

India Glycols (INDIAGLYCO)

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INDIA GLYCOLS LIMITED

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1 S'h August, 2022

The Manager (Listing)

BSE Limited

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Rotunda Building, P.J. Towers,

Dalal Street,

Mumbai -400 001

Scrip Code: 500201

Dear Sirs, The Manager (Listing)

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex,

Bandra (East)

Mumbai- 400 051

Symbol: INDIAGLYCO

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript of Q1 FY23 Results Conference Call

Further to our letters dated 91h and I 21h August, 2022 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q 1 FY23 held on Friday, I 21h August, 2022 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

truly,

ia Glycols Limited .

A J m

Head (Legal) & Company Secretary

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"India Glycols Limited

Q1 FY 23 Results Conference Call "

August 12, 2022

MANAGEMENT : MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER

MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER

MR. SANJEEV GURWARA - PRESIDENT , MARKETING

MR. SK SHUKLA - HEAD, LIQUOR BUSINESS

MR. ANKUR JAIN - HEAD LEGAL AND COMPANY SECRETARY

MODERATOR : MR. SANJESH JAIN - ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q1 Fiscal Year '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participants' lines are in listen-only mode and there will be an opportunity for you to ask questions after the presentation completes. Should you need assistance during your conference please signal an operator by pressing ** and 0. Please note, that this call is being recorded.

I would now like to hand the conference over to Sanjesh Jain. Thank you, and over to you, sir.

Sanjesh Jain: Thank you very much, ma'am. Good afternoon, everyone. Thank you for joining on India Glycols Limited Q1 FY '23 Results Conference Call. We are joined on this call with India Glycols management represented by Mr. Rupark Sarawat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Sanjeev Gurwara, President, Marketing; Mr. SK Shukla, Head, Liquor Business and Mr. Ankur Jain, Head Legal and Company Secretary.

I would like to invite Mr. Rupark Sarawat, to initiate the proceeding with his opening remarks, post which we will have an opportunity to go into Q&A session. Thank you. Over to you, sir.

Rupark Sarawat: Thank you, Sanjesh, and a very good afternoon to everybody. Thank you for joining us for this investor call. Let me take this opportunity to give you a brief overview of how the performance has been, and then we can discuss the questions. Some of my colleagues will also participate in this.

So let me come directly talking to you about the performance numbers. So for Q1 FY '23, we have had a turnover of INR 1,858 crore at a gross level, which is up 0.1% or nearly flat. We have had a net turnover of INR 808 crore, which is down by about 6.6% compared to the same quarter last year. The EBITDA is at INR 69 crore, which is down in reported terms by 12% compared to same quarter last year. And we have had a modest EBITDA margin of 8.4%.

However, it is important to note a few things here, the comparative terms look much more suppressed, because last year we had the EOD business, which was transferred to the joint venture with Clariant. So therefore those numbers are not there in Q1 of this year, which were included in the Q1 of last year, which has therefore affected our net turnover EBITDA negatively. So if I take that apart, what you'll see is that as far as top line is concerned, we've had significant top line growth in all three sectors, which is BSPC or Biobased Specialties and Performance Chemicals, Portable Spirits as well as Ennature Biopharma, and I will touch upon that a little later.

The other thing which has also driven top line growth is the fact that there has been a very sharp escalation of costs which also means that it has helped us get the top line because we've got some price increases, but it has had an adverse impact in the sense that the margin pressures continue, and we will talk about that in a minute. Those are essentially feedstock, energy and freights headwinds that impacted the margins. In terms of high-level highlights, as I said, we've had strong sales growth in all the 3 segments on a like-to-like basis, when I say like-to-like basis, I take the EOD business out. And broadly speaking, there is roughly 18% to 20% increase in the chemical sector, that is again, 25%-26% increase in Ennature Biopharma and there is 30% + increase in the Liquor segment.

One of the things that we were doing in the Ennature Biopharma business was to diversify. The good thing is that whilst we have maintained the Thiocolchicoside leadership position, we've also shown good growth in nicotine, excellent growth in nicotine as another product. And the joint venture performance

has broadly been in line with the expectations.

As I mentioned to you, key talking point for us from a performance perspective has been an unprecedented increase in raw material and other cost, which particular have impacted quite significantly. So whilst there has been a fall in the crude prices, there hasn't been a commensurate fall in the ethanol prices, which has also put pressure in terms of our products being competitive in the marketplace, despite the fact that we have certain unique position with respect to our products being biobased. So the energy cost continue to remain very high. I will touch upon that in a minute.

Looking forward, we had mentioned to you that we are installing two grain-based bioethanol plants for our businesses, which means biofuels Biobased Specialties and Performance Chemicals, as well as Portable Spirits, which was 180 KLPD in Kashipur and 110 KLPD in Gorakhpur. Now the installation of the plant has been done. The trials are being conducted right now and in near future, we will have these plants fully functioning, and we think that medium to longer term these will have very positive impact on our margins and that list of line.

We continue to steady sort of mark in the IMFL space with a few launches like Zumba Lemoni, Amazing Orange etc. Again, looking forward, we had mentioned to you that we are working on building up a new specialties value-added business. We have had a project approved for that. And now the plant for that is right now being erected. We have a good pipeline that we're working on in terms of new specialties. And in fact, though a very small point, it is good from our perspective that even though our new plant is not ready, but our first product, which is in the oilfield space to a major U.S. company is already commercialized and we've started supplies, and this is a significant volume for the year. And we are working on a new product pipeline, across six segments, 20 products, which includes some specialty amines, oilfield products, some plasticizers, green solvent and so on. And as we progress in the direction, we'll keep you posted.

A short in the arm of kind of encouragement for us was that we were awarded together with our customers, Unilever and partner LanzaTech, the ICIS Global Innovation Award in the surfactant space, which is encouraging for us. And so that we look forward to doing more. I was talking to you about commodity price trends, I think it is important that I give you a flavor rather than just say that the prices have been high, so that you understand what has been impacting us, which also means you will also have a better understanding of what we can expect going forward, because prices will not continue to rise further. So if you go back in competitive terms, say let us talk about coal, which is a major part of our cost, product cost and it is a very high part of our cost, see in Q1 2021, on a base of INR 100, the coal prices now are more than double, INR 209, and you are all aware of it. In fact, if you look at what's happening to coal, is that from a price of about INR 5,500 to be per metric ton, if you were to buy, and that is what we are doing, and many others are doing, coal from the private market, it is in excess of INR 15,000 per metric tons. Those are, that is higher than the average that is costing to us.

If you look at ethanol from a base of INR 100, it is up something like 59%. And however, some wrong tails have also started to soften like acetic acid has been coming down. We also see that ethanol in the international market has softened a little bit, and we think that going forward that'll also help us. I had plotted some ethanol price trends in terms of imported ethanol from the

U.S. If you look at where our company sits in this business, it is important to understand this, and it'll also give you a better understanding of where we stand.

One of the things which drives ethanol prices locally and our cost, because we have been importing quite a lot is the price of imported ethanol, U.S. being the largest exporter of green based ethanol. So we have continued to buy ethanol at a rate which has been lower consistently than the spot prices because of the timing the way we bought it, which has been good, but there are several factors which has been driving ethanol prices, or whether it's upwards or downwards. Some of the key factors to understand are the fact that U.S. ethanol production is impacted by gas prices, because it is an energy-intensive process and they use gas. And the grain prices, which is wheat and corn prices have also surged due to the Russian invasion, the Ukraine is a big producer of food grains. Many countries continue to focus on blending. You heard recently the targets of 20% and 25% blending by the governments being repeated. There is broadly an expectation of a global slowdown, which we are also seeing for our businesses.

And the expectation is that the demand for industrial ethanol globally is expected to come down in Q4. And the prices we expect will suffer. Some pressure in terms of decrease in rice production in India, may also put some pressure, but still grain-based or rice-based ethanol is going to be much cheaper than imported ethanol for us. Longer term, the general consensus in the world seems to be that the world, particularly the U.S. will move more and more towards EVs rather than ethanol blending, which means that even if it does not happen in India, you will have more and more corn being available for converting to ethanol for other purposes, which will help us get ethanol for sectors like ours at more competitive prices.

You know, it's a very connected world, so it doesn't matter what's happening here. If something big happens in the U.S. that also affects us. The numbers that we are hearing in terms of targets are also like 50% of the vehicles, which is carbon in the U.S. would be on EV say by 2030, which will make a big impact. And so that's broadly in terms of ethanol space. I have also shared with you a chart on freight trends, which helps us understand what the pressures were, but it also helps us understand that, look, these are not going to stay forever. Let me give you an example. So if you look at the freight costs of product that is shipped to U.S. and I have actually calculated it roughly in terms rather than state in terms of dollar per container, which is a little more difficult to interpret, convert it into rupee

per kilo of our product.
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So the freight cost to the U.S., for example, which was close to INR 7 a kilo in Q1, Q2 of last year is up close to INR 46 a kilo, so what you're seeing is that the freight costs have gone up by a factor of 5 or 6 times which therefore puts a lot of pressure. Now, the good thing is that it seems that the pressures which were there in the freight market have also started to soften and we expect that this will continue to come down in the near future. And the same trends you see for other products in areas where we export, whether it is Shanghai, whether it is Indonesia, Dubai, Houston or Taiwan.

And in terms of how we have done on our market sectors, just high-level commentary, so when we talked about Biobased Specialties and Performance Chemicals, we've seen a top line growth of roughly 20% year-on-year on a like-to-like basis, if I take the EODs out, of course, also driven by price increases, and the fact that costs have gone up. As I said, particularly

chemicals has faced a lot of pressure on margins due to the sharp increase in ethanol and utility costs. We've continued to work on a healthy new product development pipeline, I mentioned about it. We've started the work on the Phase 1 of the new specialties unit, which we intend to commission in the first quarter of the next calendar year. And we've also started to commercialize some products, but for us to scale up really, we will have to have the new unit ready.

In the Portable Spirits sales, we've seen a healthy top line growth of something like 36% year-on-year. And I must also mention that while I'm talking about healthy sales numbers, the comparative quarter last year was also a quarter where the demand was under pressure to keep that in context. But margins in Portable Spirits have been impacted due to sharp escalation in cost of ENA, which is a purified version of ethanol, increase in logistics and packaging costs. However, our grain-based plants are in the process of being commissioned. We are taking trial production, that will help us both in terms of feedstock security as well as costs. Another thing that we are keeping a close eye on because we have an interest to participate in this market is the excise policy volatility in Delhi. Let's see how it plays out, but that's something that is not helping the industry overall.

In Ennature Biopharma, which is a smaller segment that we have, again compared to the rather subdued last year that we had in terms of volume growth. We've had a good top line growth about 28%. We've maintained margins. We've diversified it to nicotine, focusing on diversification and we've maintained our market share in Thiocolchicoside as well. I've already spoken to you about challenging operating environment in terms of sharp increasing of costs, so I will not repeat that, but what I may add in terms of the operating environment is that there continues to be a high degree of uncertainty in the macroeconomic environment. And right now what we are seeing is somewhat subdued demand growth in our end markets. However, on the positive side, there is increased thrust on sustainability by governments as well as industry, which may have some challenges, but I think on the whole, medium to longer term, we definitely think that from an IGL perspective, it presents opportunities, and irrespective of the demand growth slow-down that we may be seeing, we believe that the products that we have in our portfolio and the ones that we are adding, we will continue at a macro level see growth over the times to come.

So that was a high-level commentary on how the quarter has been. Let me hand over to my colleague Mr. Anand Singhal to take you through the financials.

Anand Singhal: Good afternoon. The net sales, net of excise, for the current quarter is INR 808 crore vis-à-vis INR 651 crore of the last quarter. The EBITDA for the current quarter is INR 69 crore vis-à-vis INR 56 crore of the last quarter. EBITDA margin for current quarter is 8.4% while it was 8.6% in the last quarter, which is slightly lower than the last quarter. And PBT is INR 35 crore vis-à-vis INR 259 crore on Q1 last year, which includes the profitability due to transfer of our EOD business to Clariant for INR 240 crore, and PAT is INR 28 crore in the current quarter vis-à-vis INR 211 crore of the last year first quarter and INR 67 crore for Q4 last year.

So this is the brief and I think everybody has already gone through the financials, and we will take up the questions whatever in due course. So this is the brief about our financial performance for the current quarter.

Moderator: Thank you, sir. Ladies and gentlemen, at this stage, we will be conducting a question-and-answer session. The first question we have is from Balasubramanian A from Arihant Capital.

Balasubramanian A: Good evening. Thank you for taking my questions. Congratulations for good set of numbers . My first question regarding that, new grain -based plants. Are these plants have started trial production. Previous India Glycols Limited
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calls you mentioned that these plants are expected to make 40% of ethanol requirements , when we can able to achieve if there is any timeline, please mention? These are my first questions, sir.

Rupark Sarswat: So, right. In terms of the numbers as a percentage, whatever we've given that will be maintained. We expect that in terms of capacity in this quarter, we should be able to achieve our capacity in terms of grain production. No doubt we've had a slightly long, prolonged commissioning exercise, we were also doing some retrofitting in our plants and we are using some older equipment etc. So that has led to a slightly longer commissioning and capacity utilization in terms of trials. So that is what we expect.

Balasubramanian A: Could you please share some light on market size and demand environments and what kind of opportunities we would be able to capture going forward ?

Rupark Sarswat: So, exactly what specifically are you talking about, are you talking about chemicals, potable spirits

Balasubramanian A: So in nicotine, where we are experiencing demand, especially which are the sectors?

Rupark Sarswat: See the major use of nicotine is for therapeutic use. Yes, with nicotine we are new player in the nicotine space. So nicotine, the major purpose of, purified or extracted nicotine is as people want to get out rate of smoking, which is highly hazardous, even for a therapeutic use , things like patches, etc. use nicotine. So that's a major use for our nicotine. Some of it may also find its way into vaping, but I don't have the exact numbers into how much is may be going for vaping compared to therapeutic. Our purpose and objective here is to supply nicotine mainly for therapeutic use to pharma companies, who are supplying products that help you overcome nicotine or smoking addiction.

Balasubramanian A: Branded country liquor segments, we are targeting 6 states, that include Chandigarh, Punjab, Rajasthan and UP and Uttarakhand, like where we are right now in terms of penetrations.

Rupark Sarswat: So just one second. Are you talking about branded country liquor or are you talking about IMFL?

Balasubramanian A: Sir, branded country liquor segment?

S K Shukla : So branded statement, we are the leader in UP, we having the approximately 24% market share in the UP, and Uttarakhand we are also the leader in the country liquor business.

Balasubramanian A: Sir, we are currently targeting 6 states further?

S K Shukla : No, no, I think you are mixing both, I am discussing about the country liquor business.

Balasubramanian A: I got it..

Rupark Sarswat: So, yes. Maybe my colleague Raj uji might just add as to where we stand in terms of our plan.

Raju Vazirani: As far as IMFL is concerned, our home state is UP, there we have good presence in IMFL segment. In the Tetra segment, we have a very good market share, more than 50% market share, and we bought good price increase in the Tetra segment from 1st April, which has made the business interesting. But that is still, you know, UP is huge market as far as IMFL is concerned. And Vodka particularly, like Magic Moments sells about 100,000 cases per month in UP alone. UP is also about 20% of all India Vodka sales in that price point. So we have launched a brand called Amazing, which is now already number two next to the leader brand, and the volumes are increasing at an increasing rate. And since it is a home -state where we have a huge advantage of country liquor, so we leverage that strength and get our IMFL also going.

Now, as far as 6 states you mentioned, our presence in

IMFL in Uttarakhand is also very prominent.

We have about 20% market share in IMFL segment, and even in Uttaranchal or Uttarakhand, which is supplied from our mother unit from Kashipur. Now we are by -and-by moving into other states like Delhi, Rajasthan , Chandigarh , Punjab , but we are very careful because this business requires a lot of

working capital and we have to be sure about the payments. So as a policy, we are moving into markets where the payments are secure, where the realization is handsome, because these are new brands. They will require time to nurture. We don't want to lose margins. I have less margins than lose money. So we are going step-wise.

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And the good, good point is that our Amazing Vodka is well accepted. So we are concentrating on the white spirits. And as a next step, as our CEO rightly mentioned, we are launching Zumba Lemon, you know, Lemon, India is a tropical country. There's huge heat 10 months in a year, and particularly now the heat is severe, so people want refreshing citrus drinks. So it's order of the day. So Zumba, we call it Zumba and Lemon, which is in the price point of Bacardi. And it is in the premium segment. And riding on the success of Amazing, we want to go on up, consumers want to upgrade, and go on a higher price-points. We want to capture those consumers with our Lemon, we call it Lemoni because Lemon is trademarked by somebody else. So that is what will hold future, but as it will take time, stepwise we have to go, but once there, then we'll stay there.

Moderator: The next question we have is from Bajrang Kumar Bafna from Sunidhi.

Bajrang Bafna: Congratulations for a good set of numbers. My first question is towards liquor margins. We have been going through a rough patch for last couple of quarters, where the country liquor segment, the UP government has not allowed for any price increase, despite the increase in fuel cost and packaging cost and so forth raw material costs. So there are talks which are going on in the market that the industries people have met recently the government officials and they are demanding this for a quite long period of time. When can we expect this to happen? And what impact do you see that it'll have on our margins? Can we go back to the erstwhile margins when we were making almost INR 40 crore kind of EBIT on a quarterly basis, which has now come down to almost INR 22 crore, INR 25 crore. So if you could guide on that'll be really helpful. And that's my first question.

S K Shukla : Good. So, going to your questions, you are surprised to note that is still in this adverse situation India Glycols has maintained the markets share of 24%, first. Second, besides the peak increase in the packaging material price mainly the PET, the CC boxes, aluminium, all the packaging material prices has gone more than 50% to 60% and truly impacted our margin. That's while the UP distillery is trying level best to get the prices increased on behalf of all the members, we are trying, we have approached to the government and hopefully, we are expecting another 10 to 15 days we will get the price increase. What would be the price increase? It is not appropriate to just inform you because we are not in the panel to decide the numbers, but anyway, we are expecting a good price and we expect a good profitability in the coming months.

Bajrang Bafna: Okay. Got it. So hopefully we might go back to our old glory of those numbers, which we were achieving before these old price increases.

S K Shukla : Hopefully.

Bajrang Bafna: Yes. And my next question pertains to the grain-based distillery, which is already going through trial periods of this both the Kashipur and Gorakhpur. So, the erstwhile in last

two, three calls, we have indicated that this could help us to reduce the cost structure ethanol and the margins could go up in the overall company segment, wherever we use it, whether in chemical or it is in liquor segment. So can you give us some update, though Rupark sir has already indicated that this quarter we'll see this, but when can we see full utilization of this facility and what sort of raw material linkage, hedging that we have done so far, because we are also hearing that this year the rice, which is a commodity for us, is not in a good shape, and there are lot of reports, which are saying that because of heavy flooding, this time the acreage is going to be pretty low and there could be some cost inflation on the rice side. So what is the hedging strategy that we have adopted and what sort of inventory that we are maintaining to safeguard us for those costing increases and get the ethanol at the right pricing? And earlier indicated that this segment can do INR 600 crore kind of top line hundred, INR 150 crore kind of EBITDA, so some sense now, since it has doing the trial runs, what we guided, can we say confidently that this is something which is achievable for us? That's my second question, sir.

Rupark Sarswat: So, I'll start with your second question first. So in terms of a potential INR 600 crore top line growth at, whatever INR 100 crore, INR 150 crore, what you said bottom line impact, that was a correct assessment of the project, and that was done on the basis of all green-based ethanol or significant

portion of that being sold for biofuels. But from a bottom -line perspective, of course, it depends on where we use it and we will obviously use it in areas where we make maximum money, whether it is biofuels, Portable Spi rits or simple. And as far as the use is concerned, in comparison to saying imported ethanol, even at some of the slight escalation in grain prices that you may see, our produced grain -based ethanol is definitely going to be cheaper. That assumption is sti ll correct, after of course, we've commissioned and we start running up to capacity. So does that answer question.

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As far as I inventories are concerned, look, fortunately we are in such a position that one, we have, I don't know the exact number, we've got significant inventories of imported ethanol which was aligned with us. Secondly, we have the opportunity also to buy ethanol domestically, which is also as of now somewhat cheaper than what is imported ethanol. So that option is always there. And if we are, say for example, not able to meet our requirements based on grain, which we know, grains may not suffice for over a long period of time, even if we put that too for the use, we can always buy ethanol locally, or we have a season coming up where we ca n buy molasses and make molasses based ethanol as well.

Bajrang Bafna: I was talking about rice inventory that we are maintaining to run the plant at full capacity, because there is an expectation that this rice prices will shoot up because of the lower a creage. So just wanted to understand from that perspective, what hedging that we have done for that.

SK Shukla: Our both plants, Gorakhpur and Kashipur is in Tarai region of Indian continent. And the paddy, new crop is almost going to arrive after 15th of October. So we have the two months, I think, crucial time, this monsoon time start from July to September. So the crucial time is up to the 15th October, and we have the sufficient stock of rice to continue our production till that day, first. Second, I would like to reiterate here that spirits made from grain is in very good in the taste as compared to spirits made from the molasses. That's why UP government has made compulso

ry one country liquor segment 42.8

degree exclusively from the grain spirits. So this is the future indication how the government is inclined with our promoting the grain spirit in UP. Most probably the government may allow further stream to cater with the grain spirit for the betterment of the poorer . So that's why this year we sta rted new segment of country liquor only in the glass bottle from the April. And we stood till now the first position in the supply of 42.8 degrees segment, which made from the grain spirit. So customer liking is abnormally super b in this segment.

Rupark Sarswat: I may add something to say that, look, when we are in a business, which uses agricultural feedstock, unlike in the business of crude, we will be faced from time -to-time in situations where there will be surplus, and in times when there will be some shortfall. So our business strategy, of course, it sounds and clear in terms of why the reasons this plant was putting in and why we have gone for grain production. And those fundamentals do not change. For example, on one hand you are reading rep orts about the rice prices may go up, because of war starting and all of that, but I'm sure you are also reading that the Government of India in terms of its blending policy is only more aggressive, not less aggressive. So which means there is, when you ar e in segments, like, which are based on agricultural feedstock, we will be sometimes faced by quarterly or yearly challenges or opportunities. It works both ways, but the longer -term strategy of the Government of India wanting to go up to 20%, 25% blending and more is intact, you and I know that. The longer -term strategy that India will continue to be a major producer of rice in the world is intact, we know that, the longer -term issue or the issue that we had, where we have many times significant amount of stocks of damaged grains is still the case, which is what the government has considered and the policy for blending, or for ethanol blending, which is a major factor why great plants are coming up apart from the opportunities that Shuklaji spoke about, that story has not changed. It is possible that we may have a challenging six months, quite possible, unfortunately we are seeing that headwind early in our commissioning, but the longer -term story is intact. I don't think that has changed.

Bajrang Bafna: Got it. And if I'm not wrong that we have the ancillary infrastructure with us. So we are best placed in terms of making margins, especially in the grain segment, because it is not fully grain for us because the ancillary infrastructure we got where we didn' t invest much. So as compared to other players who are coming up in this space, we are better placed to make better margins. So, just to summarize, my understanding is right?

Rupark Sarswat: Yes. And I've again said that when you compare people in the sim ilar business that we have, I think strategically we have taken the right decisions. We are amongst, I don't know of any other company, which has three sources of ethanol and three potential outlets of ethanol. But yes, we are facing challenging times. The re is no denying that, which we have told you clearly where it is in terms of the

positives as well as challenges.

Bajrang Bafna: Yes, yes. And just Anandji, one question on the CapEx side, we want some clarity, from a cashflow perspective, what is the CapEx number, which is going to be spent in FY '23, if you could clarify, that will be really appreciated.

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Anand Singhal: Bajrang, actually, we have some CapEx expenses, which is to be done on grain, because boiler and turbine is under commissioning stage. Apart from this, we are going to put out one specialized chemical unit, so total

CapEx, which we hope that the expenditure will come in FY22-23 will be around INR 175 crore to INR 180 crore.

Moderator: The next question we have is from Sanjesh Jain. Please go ahead, sir.

Sanjesh Jain: I have few questions. First, from new product development, the products you have listed, one among them is Amine, the second one is Green Solvent. Can you help us understand what in the Amine's we are trying to do? And also in the Green Solvent?

Rupark Sarawat: So we are developing certain molecules, still they are pilot market and commercialized. I would hold back the names, but I would tell you broadly. See, there are three things which are required for Specialty Amines. One of the raw materials is ethanol for such one range of Amine. The other raw material for another range of Amine is ethylene oxide. And ammonia, of course, or some other form where the nitrogen molecule comes in. So our sense, if you see is one, we have ethanol, but many people have ethanol, that's one thing. But we are the only ones probably in the world, the second one, and only one who would be doing Amines, which are based on biobased ethanol, okay. And so that category of Amines we are examining and the major customers for these are also a significant personal care companies, for example. We are doing lab trials; we are sampling them.

So we are looking at Amines which are either based on various alcohols, ethanol being one of that or ones which use ethylene oxide, which gives us the advantage of having ethanol and ethylene oxide, more importantly, having biobased ethylene oxide, and last but not the least, our understanding that we have of the specialty end markets like personal care, even though that business in some other product ranges is part of the joint venture. So we still have the relationships and an understanding of applications and the process development and synthesis knowhow, which is an added advantage. Just to clarify, when I'm talking about our product ranges here, all of them are product ranges, which are not product ranges identified for the joint venture. They're separate, they're in the non-conflict or non-compete space.

Sanjesh Jain: But can they buy from us for their products or we have to go directly to the customer?

Rupark Sarawat: No, for these, we can go directly to the customer, but the JV wants it like other customers, they can also buy.

Sanjesh Jain: Got it. And will it be a long time Amine or a short term of Amine?

Rupark Sarawat: These are right now, we are looking at short chain Amines, but as we complete our development work, we'll keep you posted.

Sanjesh Jain: And at what stage are we or when can this product say commercial, say will it take a year or 24 months? How far are we from a commercial sale?

Rupark Sarawat: Look, some of these products, now you are only talking about Amine, but there are several new products. Okay. as I mentioned to you, an important product, which was completely new in terms of chemistry, we have already commercialized, which is for a significant oilfield player in the U.S. We hope to try and do more products for them, and that product itself we are expecting volumes of something like 700 tons per year, but that is based on whatever existing infrastructure we have. We need new capacities. We are already talking to another major company, I cannot name them right now, where there is a commitment of something like 2,000 tons of a specialty molecule, lab trials are already being done. We are already in touch with a major for a biobased Amine, with only volumes of something like 1,500 tons have been indicated to us. So these will start flowing as soon as our new facility unit is up and running.

But some products, you see when you're talking about the product pipeline, you are talking about a stage-gate process. So in the list that I review with the team, we are really talking about something like

ike

25 different development projects. We all know that we are not going to make big in all 25. The point is to be able to make big in six or seven of them. So we have top 10 kinds of products where we are working on. Then we also have made some plasticizers. We started to sample them. We'll see how it pans out, but Amines, definitely we are in discussion, some oilfield products we've already

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commercialized, and there'll be more which will come in the process. I think as we develop, we have more things to tell you in the NSU space.

Sanjesh Jain: Yes. And what is the Green Solvent we intend to make?

Rupark Sarswat: See what happens is, when you talk about Green Solvent, there are two categories which we already can leverage. One of them is based on ethylene oxide, broadly glycol ethers of various kinds, but the glycol ethers can also be modified by enhancing their properties through formulation and position them as biobased solvents, that's one. Then there are a number of esters which are used as Green Solvents. So we are working on some esters as well.

Sanjesh Jain: And when is this speciality facility, likely to commission for us?

Rupark Sarswat: February, March of next year.

Sanjesh Jain: So we are like six, seven months today.

Rupark Sarswat: Yes. So as I mentioned we have already started the construction initial stages.

Sanjesh Jain: And it'll be a multipurpose plant, right, because we are trying so many products, it'll be a multi-purpose plant of Solvents?

Rupark Sarswat: Yes. You're right.

Sanjesh Jain: The second question is on the relationship between crude and ethanol. I understand that, but how do you see this economic playing for us in medium terms now that we are getting into a lot more products from the ethanol side, how do you think? And we have a limited capacity on ethanol, right? We are not self-sustained on ethanol. We buy a lot of ethanol from U.S. So that's the volatility, and our competition goes through crude. So we will always be either at an advantage or a disadvantage, advantage state, but the history says more on the disadvantaged side, how to see this relationship from here, and assuming that there is more EV coming in, that means the crude prices will be under pressure in the medium to long term. How should we see our margins in the medium to long-term for IGL?

Rupark Sarswat: Okay. So I will answer this question in two ways. One is that the interconnectivity between crude and ethanol is dependent on so many factors that I can only claim ignorance in being able to predict it, but that can do at shorter term. For example, crude, ethanol, biodiesel, food, they're all connected. Let me give you an example. If there is increased demand in for soybean, because Chinese are eating a lot of pork, which means that people in U.S. start to grow more soybean and less corn, which means it puts an upward pressure on ethanol. Green transition, one of the reasons why ethanol has been under pressure is that, a lot of, you know, Europe and Latin had invested a lot in green energy, which is hydro energy, wind energy. So last year, some of the green energy that they were getting tipped, which means, again, greater pressure on ethanol. If crude prices go up now, unlike say 10 years ago, if you go to France, and if you go to Brazil at the petrol pump you can decide how much ethanol you want how much petrol you want, you can actually blend. So consumers start to shift. Then we talked about the fact that global social political situations like Ukraine war, so I think it is a little complex, but let us look at it in other ways. In a more longer-term strategic perspective, the fact is that the world will move more and more towards feed

stock, which are environmentally friendly, which are greener, which have a lesser carbon footprint. So this trend will continue. And the other, I said, I'll answer question in two ways. One is that this trend will continue.

Second thing is, in future there will also be innovations. And since you talked about a more longer-term thing, which I had mentioned about EV is, look, the future of ethanol will also be in terms of

carbon capture from emissions, what we are doing with LanzaTech is one example, which is carbon basically captured from emissions. The other is cellulosic. You saw the Prime Minister inaugurate one plant though it is a piece of demonstration where ethanol produced from agricultural waste. So this is the longer-term future of ethanol where we move from sugar, to starches, to cellulosic to carbon from emission, that longer term trend will continue. And the second point was that apart from depending on ethanol macroeconomics for the profitability of a company, the focus has also been that become a little independent topic, not necessarily becoming independent by dropping it and not using it, but becoming independent by getting into more value-added products. One of the value-added product that we talk about is Portable Spirits, which has obviously more buffer to feedstock prices. And the other is knowledge-based chemicals, which is value-added chemicals. So that's the broad strategy. There's a India Glycols Limited
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longer-term strategy, which we still believe is right to maintain our strength in ethanol and the strategy to make sure that we are adding into knowledge-based value-added chemicals and other value-added products like Portable Spirits. Does that answer your question Sanjesh a little bit?

Sanjesh Jain: It answers, but it is still blur to me. We are telling that we cannot find the right balance between crude and ethanol. So we are telling that we will go more forward integration away from ethanol and protect ourselves.

Rupark Sarswat: No, no, that's not what I said. And I clarified that. We did not say we will move away from ethanol. We said that we believe...

Sanjesh Jain: We are moving farer from the ethanol value chain, like Portable Spirits, specialty, which will have lesser volatility compared to ethanol, right?

Rupark Sarswat: So that based on the fact that we have strength on ethanol, but has other reasons for us to do value-added products. So both Portable Spirits and all these chemicals will use ethanol and ethylene oxide.

Sanjesh Jain: I will stick with you sometime to understand this better, probably it'll require a lot more deliberation. The other question is on the plants on the trial run, how has been the yield, are the expected yield what we are getting right now? And the second, probably I may naïve, but correct me, is it only rice we can use as a feed stock or any grain? Is there a fungibility on the feedstock? That's the second. Yes, these are my questions on the new facility?

SK Shukla: So very simple to your answer about the various available feedstock, which can be converted into the ethanol. See starch is the main criteria which convert into the ethanol. So in the rice, in the maize, in the bajra, in the potato, all are having starch in various percentage. Why everyone is using the grain, rice, the broken rice, because of the starch content. Approximately, 69% to 72% starch contains in broken rice, and 60% to 62% in the maize, though India is going to explore, we have a lot of deliberation, discussion with the UP government about genetic modified seeds to grow the productivity of food grains, not only to the productivity, but quality of the seeds, which can be utilized for the higher yield and more productivity. But coming

to your questions we can use with the same plant, maize, broken rice, and bajra and up to some extent, the wheat flour. And you have asked about the yield, we are getting around somewhere around 480 litres/ton

Sanjesh Jain: We are getting there, right. The yield is there, right?

SK Shukla: Yes.

Moderator: Thank you, sir. Ladies and gentlemen, the next question we have is from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Sir firstly, as you were mentioning that these figures are not to be on a comparable basis. So when we look at your consolidated numbers, are they comparable on a like-for-like basis?

Rupark Sarswat: So consolidated numbers are not comparable on a like-for-like basis because of consolidated results for last quarter will have the EOD business, which is now part of the joint venture.

Saket Kapoor: Okay. But on a Q-on-Q basis they are comparable when we look at the March number versus the June, they are very much comparable?

Anand Singhal: Yes. March versus June is comparable.

Saket Kapoor: Okay. So looking at what we did for in the month of March, although there is a significant increase in the revenue for the Biobased Specialty and Performance Chemical, the margins have considerably reduced. So are the effects of mainly the coal or also the -- what explains this significant drop since the revenue have gone up where the profitability has depleted?

Rupark Sarswat: Yes. So Saket, I actually began my opening slide by mentioning this, that we've seen top line growth, which has also been held by price increases, but we've seen some growth, but the biggest challenge has been the increase in cost, which we have not exactly been able to pass on, and these have been largely increase in ethanol cost, which is a big increase, increase in coal cost, which is a huge increase, and also some other factors, particularly, in the export market last year, we were helped by high prices of India Glycols Limited
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ethyl, butyl, propyl in the glycol ether space, which have come down this year. So that has also put pressure on our prices and made it difficult to increase prices off of this then. So that's a combination of what's happened in the food alternatives, what happened the MEG space, which has been unique last one year, somebody had mentioned that it's a historic trend, we are always going to be a disadvantage, which is not correct. Our disadvantage is that to crude is a very recent phenomenon. So these are a combination of factors, which has really pulled our margins down.

And if you see going forward now, I can't say whether it is going to be five months or six months, but the fact is that your coal prices cannot continue to be INR 15,000. The government rates are still maintained at INR 5,500. The issue is that the government is not -- there are supply issues, there are no rates are available to transport that coal. So therefore we are having to buy private coal. And the fact that the global energy prices continue to shoot up, and if you were to buy actually imported coal, it is INR 25,000 plus. That is one of the reasons why India is suffering, because people who are to buy imported coal that has got slowed down as well.

Saket Kapoor: But when we look at you, say March number of INR 430 crore on the biobased facility and INR 549 crore for the June, there is a significant increase in the revenue. So the end product prices have definitely moved up. So, if you could explain to us had that been the case, that there is significant increase in the revenue, but the bottom line goes down. So there's not complete pass on, on the inflationary trend. This is what the understanding is.

Rupark Sarswat: Sorry, your last content, can you just repeat.

Saket Kapoor: Sir. I am trying to make sense of what could have left to this margin decline, when the revenue has significantly improved, on a quarter-on-quarter basis, there is a significant increase in revenue from INR 430 crore to INR 549 crore. So is it only the inflationary part on coal and freight cost that has dented the same?

Rupark Sarswat: Yes. So two of them and the fact that, we were easier in terms of competitiveness with some products like, ethyl, butyl, propyl, glycol ether, which were more expensive in the international markets in this year. And those are the three main reasons, you are absolutely right.

Saket Kapoor: And sir, for the MEG prices, there's a significant declining trend in the MEG prices, correct me, sir, today, currently is it trading in this \$525 band, INR 46, INR 47 a kg, that is down from INR 58 last quarter average?

Rupark Sarswat: I don't know the exact number, but it is true that it has come down further.

Saket Kapoor: Okay. So what out of the total portion, what is the contribution from MEG sales sir?

Rajesh Marwaha : I would just like to add here that you are absolutely right. The domestic prices are in the range INR 55 to INR 58, but those are the crude-based MEG prices. We are essentially operating in the biobased MEG space. And most of the product that we are doing right now is going into exports, small sales are made in the domestic market, which are because of our continued contracts, but the most of the major quantity is going into international markets as bio MEG. So that particular level of prices of INR 55 is not impacting us in terms of revenue. But yes, it is impacting in terms of the volume, because it is bringing down our sales volume a little bit.

Saket Kapoor: So any colour on the realization you can give, especially for the MEG front out the total biobased?

Rajesh Marwaha : Our MEG price realization is much higher, because it is based on ethanol feedstock price, and it's generally a formula -based pricing. So that's why when you see that the revenue has gone up it is based on that. But the margins have come under stress, definitely.

Saket Kapoor: Since the raw material prices are on the higher side?

Rupark Sarswat: Saket, we are not selling and competing right now with crude based MEG at all. It is only our biobased MEG customers outside of India, that is where we are making our money. In the past, yes, we were also competing and selling in the domestic market opposite crude based MEG, but that's not an area in which we are participating now and the area where we are participating where the prices are much higher, you are right as margins have come down because of increase in energy and ethanol costs.

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Saket Kapoor: Okay. Sir, and on the scale of non-core asset, I think so, there is a long time that has gone back, we were trying to sell off our non-core assets especially for in the sugar segment. So any update on the same sir, any likelihood of monetization?

Anand Singhal : Saket, the process is still, I will say in process, but till now the final agreement had not signed. So we cannot say that the final version has come out. It will take some more time, although we are on the job, don't worry and we'll update you once it is done.

Saket Kapoor: Right. And coming to the point about the Biopharma segment also, sir although this quarter, how correct it is that to go for a quarter and quarter comparison for this Ennature Biopharma, because there also they have seen a dip in margin, if we take the Q-on-Q numbers, so on a full year basis, if you could give us some colour on how this segment is going to behave, and then probably two more questions from my side?

Manish Pant: Yes, Saket, Manish this side. And I could tell you that the numbers which are right now in the first quarter are being visible to you are basically because of the nicotine surge. So, the volume of the nicotine are going to be same as for this quarter, and this story is at least will be going to last till the March 23. So, you are absolutely right that we could see year-to-year basis, number much higher than last year.

Moderator: The next question we have is from Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Thanks a lot for the opportunity and congrats on good set of numbers. Sir, first question is, Rupark sir, you mentioned 20 to 25 projects under development, what could be a potential size of these products for the domestic market, or if we're eyeing say international market, just to gauge a sense in terms of, from a 3-year perspective, where we could be in the chemical business from here on?

Rupark Sarswat: Look, I am going to be conservative and not throw a number up, but I will tell you that it is completely realistic for us to expect and build a business, which is as big as, if not larger than what has already gone into the joint venture. And underlining the word potential, I think potential wise, it is significantly higher. It is just that we are at an early stages and as you know, when you are setting up your R&D, you are being entrepreneurial, you are drawing up so many products, it's just that I'm not highlighting a projection, but yes, we've done that work internally when we approved that CapEx for the new specialties unit as well.

Rohit Nagraj: Second thing is, from operational efficiencies perspective, historically our margins have been, particularly from the specialty chemicals front, have been sub-par the industry margins, when do we expect that we will probably be at par with the industry margins, maybe you can give a broader timeline and what are the constituents that will make this happen?

Rupark Sarswat: I will talk about the constituents. We talked about the fact that we want to have greater presence in more value-added chemicals. So that's going to be the driver. The other driver is going to be the fact that something completely unanticipated happened. And I think you will agree with me, this, tripling of coal prices, doubling of ethanol prices, it's only a last year phenomenon, and it is anybody's guess, but you would probably agree with me that this cannot continue forever, and generally it's happening. And the fact that freight prices for exports had gone up so drastically, have you heard of freight prices going up by six, eight times in a year, even 20% is high. So this has been a completely, completely unprecedented time. So we expect that there will be normalization of cost in freight, energy and feedstock, to what extent, how fast, a little difficult. But I think anybody looking at a macroeconomic picture will say they should normalize.

And the second thing which is in our hand is to continue to build a value -added business. It's going to take time to grow it, you need to develop products, you need to go to customers, it's not a commodity product, large volumes start going immediately. So those are going to be the two factors, which will help us improve the margins for the chemicals business. And we are acting on, one is a little beyond our control, except the fact that we are putting grain -based to help us in terms of our costs hedging, so to say, and the second is, to aggressively look at more value -added products.

Rohit Nagraj: Sir, just one question for Anand sir, what would be the debt now, and you indicated about INR 175 crore, INR 180 crore of CapEx for this year, so what is the debt that we are looking at the end of FY '23?

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Anand Singhal: Hopefully our debt will be around INR 1,000 crore at the end of the year. This includes the working capital limit of INR 350 crore.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would like to hand the conference over to Rupark Sarswat for closing comments.

Rupark Sarswat: So thank you. I've made all the comments that I had to make. Thank you everybody for giving us your precious time in the evening to listen to us and hear our answers. And we look forward to meeting you again in the next call. So bye from our side. Thank you very much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purpose)

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q 2FY23 Results Conference Call

Further to our letters dated 10th and 14th November , 2022 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q 2FY23 held on Monday , 14th November , 2022 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary

Encl: A/a

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"India Glycols Limited
Q2 FY 23 Results Conference Call "

November 14, 2022

MANAGEMENT : MR. RUPARK SARSWAT - CHIEF EXECUTIVE
OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL
OFFICER
MR. SANJEEV GURWARA - PRESIDENT ,
MARKETING
MR. SK SHUKLA - HEAD LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD LEGAL AND COMPANY
SECRETARY

MODERATOR : MR. SANJESH JAIN - ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q2 FY'23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain. Thank you, and over to you, sir.

Sanjesh Jain: Yes, good afternoon, everyone. Thank you for joining on India Glycols Limited Q2 & H1 FY '23 results conference call. We are joined on this call along with India Glycols' management represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Sanjeev Gurwara, President - Marketing; Mr. SK Shukla, Head Liquor Business; Mr. Ankur Jain, Head Legal and Company Secretary.

I would like to invite Mr. Rupark Sarswat to initiate the proceeding with his opening remark post which we will have an opportunity to ask question and answer. Over to you sir.

Rupark Sarswat: Yes. Thank you, and a very good afternoon, Sanjesh. Thank you, everybody for joining us for this call. I understand there are other number of calls that you are having to attend today. So thank you for joining the IGL call.

Okay. Great. So let me give a quick update on the last quarter and the Company's performance and then me and my colleague can take your questions.

So I will jump straightaway to the quarterly performance for the quarter that we are discussing. So essentially, in nutshell, it has been quite a challenging quarter as far as top line is concerned, but I think it has also been somewhat a resilient performance by the Company, as you can imagine, given the specific challenging headwinds that we have faced.

So at a gross turnover level, we've done a turnover of INR 1,634 crore. As you know, the excise component is quite significant for us, which is down 3.6%. At a net turnover level, it is down 14%, but you would see that the EBITDA is actually nearly flat, which is marginally down by 0.6% at INR74 crore.

It's worked good for us is that despite this the EBITDA margins have improved somewhat at 11% and while I'm repeating what I've said before, but the fact is that we've had a significant headwind in terms of continued feedstock prices, which have been high. And to be honest, they have stayed high longer and higher than what we had imagined and discussed earlier and we will discuss that in the subsequent slides.

As well as the energy costs, which continue to be high, but the freight headwinds are softening a little bit. I will talk about that.

If we talk about the first half performance that looks better than that, with a gross turnover of INR3,502 crore, up 4.6%, our net turnover of INR1,478 crore, up 3.3%.

EBITDA of INR143 crore, which is up 9.2% and then EBITDA margin of 9.6%. One of the things to note here is there is an impact of the EOD business that was transferred to the joint venture in the sense that for one quarter last year, those numbers were part of the comparative numbers last year, and we of course, have taken the ethylene oxide sales to the joint venture this year.

So at a high level, if I talk about the business highlights, as I mentioned to you in terms of the business performance, the revenue is down 14%. But the Company has been able to maintain the EBITDA, which is marginally down by 0.6%, but improved the margins to about 11%.

For the half, revenues up 3.3%, EBITDA up 9.2%. At an overall

II level, excellent growth
in Ennature Biopharma though a smaller, but a better margin business for us. The ENA,
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which is extra neutral alcohol, biopolymers and IMFL have also listed healthy growth as far as top line is concerned.

One of the challenges that we continue to face is increased feedstock and energy costs, which continued to impact the business, particularly the global ethanol prices, which I will talk about a little later as well. And the high energy costs that continue to impact product costs.

We have taken several actions to mitigate the cost impact. We have been looking at alternate fuels, and we will continue to do that. We have been carrying out changes in our operational philosophies and doing modifications in the plant operations, etc., etc.

Also, freight costs have started to soften and we expect that that trend will continue considering that we also have significant exports.

It's worth mentioning that the joint venture performance also got impacted in the quarter on account of high input costs and the pressure on margins again the same that I spoke to you about.

And in terms of what we're doing new, the new specialties unit, the first phase investment that we have spoken about earlier, the plant erection is in progress, which is progressing as per plan. We expect that our trials will be conducted in January, then some more in April, May and then we will be putting in place a new portfolio of specialty products.

I've been reviewing that with the team and I can say that the product pipeline is robust. And in fact, the first new product or new specialty is already developed and commercialized. It is being exported to a company in the US.

Also as we have spoken about before, we have been putting capacities for grain-based ethanol plants in Kashipur, as well as Gorakhpur. Both those plants have been commissioned. We are cranking up the capacities to take them to 100%, but we have been commissioned and we expect that going forward starting this quarter itself, it will help us improve costs as well as sales. Costs because Ethanol is an important raw material for us for chemicals as well as liquor and sales because some of the ethanol that will produce will be sold for the biofuel business.

And the biopharma business has also introduced a portfolio of nutraceutical ingredients, which includes XanthogreenTM, TurminovaTM and GingerenTM. And in the IMFL space, we have launched Zumba Lemoni in UP and Uttarakhand and I have been hearing that the brand has been starting to get a good pick up from the market.

I have mentioned to you about costs. Unfortunately, beyond what we had imagined, the coal costs, our energy comes from coal, continues to remain high and you must be reading that from something like INR5,500 per ton, which used to be the cost and as far as I know, the government rates are still around that, but because the rates have not been allocated and there has been a priority allocation to the power sector, in fact, we have not been able to pick up the allocated coal to us from the government and we have been buying, like many others from the private companies, which has been more than double the cost of that coal. So that has been a major...

We all know that at some point in time, it should streamline because this has never been the case and it's not that the coal prices have been revised upward by the government.

The other thing is the increase in Ethanol costs on -- which have been up something like 60% over the last one and half years and that too has remained stronger or higher for quite some time more than what we had anticipated. And we understand the reasons for that. I am not going into too much

any details right now because I have discussed that before.

But the factors driving ethanol cost apart from the COVID factor, then the climate transition factors, etc., etc.

One of the reasons why it is -- it has still remained high I suppose the Russia -Ukraine war has a major role to play. One is that Ukraine is a major producer of food grains in the world, which has a direct impact because Ethanol comes from plant-based feedstocks.

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And the other thing is that as the world and particularly the Western world tries to reduce the dependence in terms of energy on Russia, which means that there is greater demand for ethanol blending because that directly impacts the energy requirements for these countries.

So I expect as far as imported ethanol is concerned, this will continue to remain tight for some more time, definitely I would imagine the next six months, but let us see how things pan out.

Things like steel continue to be expensive. That does not impact our direct product costs, but definitely capital and other things.

Having said that, I think some raw materials are also coming down. Acetic acid is one of our raw materials, where the prices have been coming down, which is a good thing. But that's a smaller part of what we consume.

The other good news is that I'm sure you've heard in other calls, that the container freights have actually come down quite sharply. So in the last couple of years, they had actually gone up roughly -- I'm referring to the world container index by something like five times, can you imagine the price, or the cost has gone up five times.

So there were various reasons for it. However, there is a major correction happening right now and already from around 10,000, the freights have come down to well below 4,000. And obviously, the port congestions, the disruptions, the container shortages have been easing. So that's been one of the factors.

The other factor, of course, is that the expectations are that the global economic conditions will be softer, there is a slowdown expected and I'm told there's also a shift in consumer buying patterns where people are spending more on services and less on goods like they did in the COVID time. I think that's a bit of a positive for us going forward for the exports.

Now, let me just sum up segment-wise highlights for you. So we, as you know, classify our business into three broad segments Bio-based Specialties and Performance Chemicals, Portable Spirits, and Ennatura Biopharma.

So let me talk about the largest segment first, which is Bio-based Specialties and Performance Chemicals. Quarter two has been very tough for chemicals with revenue being down on a like-to-like basis compared to the prior year by 19.8%. EBIT being down by 14.4% compared to the prior year. However, if you look at it for the first half, revenue is down by 1.8%, but EBIT is more or less flat or down by about 0.9%.

I've mentioned this before. We've been having this pressure on margins due to a sharp increase in ethanol and energy costs. And also, we've had lower sales in biofuels and sanitizers. The reason we've had lower sales in sanitizers, obviously, is because there's hardly any demand for sanitizers now, compared to the last two years. Biofuels have actually been an internal allocation decision that we have been producing ethanol, but considering that imported ethanol is much more expensive, it made much more sense for us to consume it for captive use.

We've seen subdued demand in prices of gases, for example, oxygen. There was obviously a huge demand for oxygen last year, but what has happened is people have also put up more capacities, which has also meant that prices

have been under pressure.

We've had significant headwinds as far as glycol ethers are concerned. It is because the butyl and propyl prices globally have come down and therefore it has impacted our glycol ethers. Though we do not use butyl and propyl in our glycol ethers, but our products compete with them. So that's the issue.

But for biopolymers and E NA, we've registered some healthy growth. And as I mentioned, our grain-based ethanol plants have been commissioned and inhouse ethanol will help us improve costs in the specialties and performance chemicals division as well. I already gave you an update on the new specialties unit earlier. So I will not repeat that.

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Now jumping to portable spirits. For the quarter, revenue is down by 5%, but the EBIT is up by 2.2% compared to prior years. For the first half, revenue is actually up 13.4%, but EBIT is marginally down by about point 0.9%.

The sales impact has mainly come in the country liquor segment, and one of the major contributors for us has been a policy change. It is not something that's going to impact us forever, where they have been trying in UP to push the tetra pack mainly to prevent misuse of packaging or for those reasons. So we are also installing tetra pack capacities and we believe that in times to come, we'll catch up with some of the sales loss that has happened there.

In the IMFL space, we've seen growth and as you see, in IMFL, servicing a better product mix has also helped us improve our margins. But nevertheless, margins have been impacted for the same reasons as I discussed earlier, packaging being one more factor. We've started business in Delhi, which is picking up steadily, particularly traction is seen in the whiskey segment.

We also expect rum sales to pick up as we see winters coming up and we've also launched Zumba Lemoni in UP and Uttarakhand that doing well.

Coming to Ennature Biopharma. This segment has performed very well for the first half as well as the first quarter where revenues have been up 19.2%, EBIT up 25% for the quarter and revenues up 23.5%, and EBIT up 26.6% for the first half. The good thing here has been the increase in revenues in nicotine for therapeutic use compared to last year, which has been very good.

Thiocolchicoside, we've had a difficult market situation. However, we've maintained our market share and leadership position there, by increasing our customer base in the domestic market.

And as I mentioned, there are a few other products -- branded products in the branded portfolio, which is launched there, which include XanthogreenTM, TurminovaTM and GingerenTM range of Lutein, Curcumin and Ginger based ingredients

So that's a quick snapshot of highlights as far as the business segments are concerned. I'll hand over to our CFO, Mr. Anand Singhal to give a quick update on the financials.

Anand Singhal: In Q2 FY'23, the revenue from operations is INR670 crore vis-à-vis INR780 crores in the last year corresponding quarter.

The EBIT DA in Q2 FY'23 is INR74 crore vis-à-vis INR75 crore in the corresponding quarter last year. So basically, the EBIT DA more or less is same, although the sales have come down. The PBT in the current quarter is INR 31 crore vis-à-vis INR47 crore in the last year corresponding quarter and profit after tax is INR24 crore vis-à-vis INR37 crore in the last year corresponding quarter.

So this is the highlights of the quarterly performance. For the half year FY'23, the revenue from operations, net of excise is INR1,478 crore vis-à-vis INR1,431 crore. So it's slightly up. EBITDA is INR143 crore vis-à-vis INR131 crore.

PBT is INR66 crore vis-a-vis INR306 crore in the last year

first half. This includes the profit out of the sale of the EOD business for INR240 crore and the profit after tax is INR51 crore, vis-à-vis INR249 crore. This also includes the profit of EOD business, which we have sold out on 1st July last year.

So this is the brief performance highlights, although we have already given our results, which I think you must have seen. And after this, yes, we will certainly like to take the questions.

Rupark Sarswat: So that's a quick update from our side and happy to take questions. I've already given an update on the various segments.

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Moderator: The first question is from the line of Rohit Sinha with Sunidhi Securities. Please go ahead .

Rohit Sinha: Yes. So question from my side, firstly on this specialty chemical business. So, obviously, revenue was down as sir has mentioned because of slowdown. But going forward just wanted to understand with the kind of global pressure which we are seeing, what kind of revenue growth we can expect in this business and also as we are talking about the new capacity to commission, how is the progress there and when we should be expecting commissioning of that?

Rupark Sarswat: Yes, Rohit, let me try and take that question and Sanjeev ji, please add if you have anything to it. So first of all, we mentioned that some of these pressures we expect will continue for the near future. At the same time, we are quite convinced that the strategy that we've adopted for growing the chemical business is the right one, but we have obviously encountered completely unanticipated situations at a global level. And you can go ahead and check for yourself that never ever has there been a case where, global Ethanol prices have jumped from something like 35 to hovering to well above 60 right now, in a period of one and a half years. We all expected that to come down. But that didn't happen. Similarly, is the situation as far as the energy costs are concerned.

The second point is that the fact is that as far as the drivers for one specialty chemicals or performance chemicals are concerned, those continue to remain positive more than the world from an Indian perspective, because our end market segments like paints and coatings, personal care or textile auxiliaries, or automobiles will continue to see growth, sometimes there'll be a little lower, sometimes there'll be a little higher. You all know that the world is right now, wondering about or looking at potentially a recession. So those can be some challenges, it's very difficult for me to specify.

The other two positives which you might like to consider is, I've already mentioned that we have commissioned our grain-based ethanol plant. So that will help to get our costs down, get our margins up and get our competitiveness to improve, including helping us register sales in the biofuel segments.

And the last one that you asked which is also the second question that I was talking about, is that look, we are starting to invest in the new specialty chemicals business. As you know, our specialty chemicals business is quite different from a petrochemical business or a five-product or a two-product business in the sense that it is a knowledge-based business. So, we have to build that knowledge, look at those products, work on those chemistries with various customers, but as I said -- and this is different from what the joint venture does. We are very clear that this is a noncompete space as far as the joint venture is concerned, but we are quite confident of the pipeline that we have.

And over the years, we believe that this new specialty chemicals and performance chemicals portfolio that I talked about, will become a significant part as far as driving

the chemicals business forward is concerned. And you will hear more about this in a couple of quarters because we will be getting more and more business and as I said one of the products is already commercialized as well. So that's from me.

Rohit Sinha: Okay. Secondly, as we are still awaiting the government's price hike thing on the country liquor, so any update on that front as of now?

Deepak Satya : Yes. So, as far as the price rise in the country liquor is concerned, we are still in talks with the government and nothing concrete has been finalized from the government --

from the side of the government as of now, but some news is expected by mid -December or if not, by mid of January is what the timeline we are looking at.

Rohit Sinha: Okay. And one last question from my side. Looking at the power and fuel costs for this quarter, it has come down from as compared to the last quarter, although, Y -o-Y, it's still higher, but it has come down from last quarter. So, just wanted to know which -- what things has helped there because looking at the other chemical c ompanies or even other companies, which has reported number in Q2, their power and fuel costs have more or less increased from even Q1 also. So where this reduction was there and is it -- I mean, India Glycols Limited
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we have already signed some agreement with the renewable ene rgy sources or some other things is there?

Rupark Sarswat: So there are a couple of things and one of course, as you see that in some of the power intensive areas, our sales itself is subdued. So that obviously gets our power costs down. You saw that for the quarter even though EBITDA was reasonably flat, but our sales were down by 14% and including, ethylene oxide that we sell to the joint venture. So, that is one factor.

The second factor as I had mentioned, we are also trying to look at everything that we can do using alternate fuels wherever we could buy rice husk or some of the other biobased materials, whenever they were less expensive to us that is what we were doing. We have also carried out modifications in our plant to run much more efficiently e tc. So, that has contributed.

At an overall level as far as the power costs are concerned, those have not by and large changed . Those -- that situation has not changed. You did allude to our investment in renewable etc. We are working on it. That is not so mething that -- we are very close to actually signing a contract. As and when we do it, we will indicate that, but that is not a benefit which has accrued in the in the last quarter or last half. That is for future.

Moderator: Our next question is from th e line of Vaibhav Gupta with Bowhead Investment Advisors. Please go ahead.

Vaibhav Gupta: Sir, just wanted to understand like, how is the realization between ENA and ethanol and what is the outlook for the next six months?

Rupark Sarswat: Sorry, Vaibhav, can I ask you to repeat your question and try and just elaborate what exactly you want me to respond to.

Vaibhav Gupta: Sir, the realization of ENA and ethanol like and if there is an differential, you can provide a description for that and outlo ok for the next six months given the new ethanol policy is already there.

Rupark Sarswat: Realization means you want to know what? You mean contribution?

Vaibhav Gupta: Yes, sir, that would also do.

Rupark Sarswat: Look, as far as the new ethanol policy is concerned for blending. So ENA is different from the policy for blending. ENA is extra neutral alcohol, which gets sold either for beverages, not ready -made beverage, but it is usually I think, 99% strength ENA for other applications like pharma and perfu

mery. Whereas when you're talking about the policy or the blending policy for the government, the government has announced new rates which are slightly increased particularly for molasses -based ENA for the blending in petrol. So these are two different issues. We make ethanol for blending, mainly is going to be grain -based now, though there may be some molasses -based, but molasses based , largely we will use in captive because we have our own requirement for our IMFL and country liquor segment.

Also considering that a lot of sugar industry themselves are forward integrating into converting their own molasses into ENA that is not of such a great interest going forward for us. So we will continue to make molasses based ENA .

And as far as realization for E NA is concerned, I think the end prices have not moved up that much; however, what we are looking for this quarter if that helps me answer your question is that our costs will certainly come down because we have commissioned our grain-based ethanol plants.

And I think those numbers, we will be able to bring to you and share in subsequent quarters. Right now, our plants have been commissioned. We know for sure that those costs are lower.

Sanjeev ji, would like to add something?
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Sanjeev Gurwara: No, I think you've explained. Just one small, I think correction. ENA which is there is used for portable alcohol and is used for blending in various, I think alcoholic beverages like whiskey, rum, all this and it is 96.4% and while the alcohol which is used for blending in petrol, biofuel is 99.9%. So I think that is the only correction and I think from the Company's point of view, the value is seen where I think we derive higher values, allocations are made accordingly. And as Rupark has pointed out that the cost of our alcohol is going to go down as our grain-based alcohol production is increasing.

Vaibhav Gupta: Sir, how have the contribution and margins of the ethanol segment changed over the past couple of quarters?

Rupark Sarswat: Yes. So, I kind of responded to that earlier that look, our costs of ethanol and energy have gone up and therefore the contributions have come up. If you see I also commented the same as far as the profitability of the country liquor and IM FL businesses are concerned. Those have affected our contributions in a negative way as far as ENA is concerned. But the overall contribution in IMFL has been better more because of the improved product mix that we are selling.

Vaibhav Gupta: Okay.

Rupark Sarswat: Okay. And the contributions have been under pressure, but in subsequent quarters, including this quarter, we will see an improvement.

Moderator: Our next question is from the line of Rohit Nagraj with Centrum Broking. Please state your question.

Rohit Nagraj: Yes, thanks for the opportunity. So, first question is on the JV performance. So, on a sequential basis, the JV performance has drastically come down. Any specific reasons, particularly from demand side challenges or was it purely because of the operational challenges that we have faced during Q2? Thank you.

Rupark Sarswat: Rohit, thanks for the question. One of the major contributors has been the fact that ethylene oxide costs because of ethanol and because of energy for them has gone up and still a major part of the joint venture sales actually comes from domestic sales, though one of the key areas for the joint venture is actually to position the biobased products in the international markets. That continues to improve and the margins in exports are better. But still, it is not large enough and the major impact has come because of subdued domestic sales, mainly because of

cost reasons. But as you also know, there has also been some challenges as far as the markets are concerned, particularly textiles and some of the others as I understand.

Sanjeev, if you have something to add to that.

Sanjeev Gurwara: I think this is mainly ethoxylate business, which goes into various industries, like textiles, agro, oil fields, home care, personal care, I think there was a bit slowdown in the last previous quarter. Overall, I think this impact was felt globally also, and in the domestic market as well. So I think the main reason especially I think what I understand is the textile market, there was a slowdown in production of various types of fabrics where the surfactants are used. So that is the main reason because of that.

But right now, what we see is that it's encouraging and things are moving, I think slightly an uptrend at the moment and we hope that it carries on to Q4 as well.

Rohit Nagraj: Right sir. Got it. Sir, second question is now our Gorakhpur and Kashipur facilities have been commissioned. The specialty chemical capex is also going as per schedule and probably will be commissioned by Q4. What is the plan for next leg of capex because in terms of the gestation period, I suppose, there will be at least 12 to 18 months of gestation period for the next leg of capex. So, since FY '23, capex is more or less coming to fruition or what are the plans for future FY '24 -'25 capex? Thank you.

Rupark Sarswat: So, I'll take part of it and the other part I will request Anand ji to comment. One, we've made significant investments in grain -based as well as specialty chemicals. So this is a India Glycols Limited
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significant slug of capex and I think the major focus of the team is to realize value through these capex's.

However, we are evaluating whether we should invest more in either ethanol capacity, if that makes sense for us to reduce our costs to or also increase our sales in the biofuel space. We have not come to a conclusion there. As and when that will happen, we'll let you know.

Other than that, you will see some investments as I talked about, for example, in increasing capacities in the country liquor space as far as tetra packaging is concerned, and in the IMFL space as we ramp up our sales that continue to grow. But other than that, I don't see any significant Capex immediately coming other than these that I've already spoken about.

Anand Singhal : In addition to what Rupark ji has just told, the Grain Distillery has been completed, but the project relating to boiler and turbine is still in process. So, for both the distilleries, the boiler and turbine is in process and hopefully will be completed by June '23. That is in process.

Apart from this, the new specialty chemical unit is also in process. So, these will be the capex's which we hope will continue in '23 -'24. So, this is from my side.

Rohit Nagraj: Right, sir. Anand sir, just one more clarification. One is that now we have sold the stake in the JV. So we will be receiving about INR66 crore, and I understand that from the Clariant deal, we were also supposed to receive INR190 crore. So when are we likely to receive this entire amount of may be INR250 odd crore and how does our debt look like at the end of FY '23 post receiving this amount? Thank you.

Anand Singhal: Regarding the realization from the JV out of the INR191 crore, we have already received INR20 crore from them in June and hopefully will receive another INR40 crore by March '23. So in this year, we are hopeful that we will get about INR60 crore out of INR191 crore. The rest of the amount will come in the next year. That's what is our understanding.

Regarding the debt, hopefu

lly after the payment of the regular term loan, our term loan will be around INR650 crore as on March '23 and EPBG will be about \$23 million, okay. Working capital, yes, there is a working capital which will be hopefully will be utilized at 75%. So this will be the debt as on 31st March '23.

Rohit Nagraj: Right sir. Just one clarification, will this include the money received from the JV stake sale, INR66 crores?

Anand Singhal: JV means KIFTPL?

Rohit Nagraj: Right. Right sir.

Anand Singhal: KIFTPL has been considered into this.

Moderator: Thank you. Our next question is from the line of Sanjesh Jain with ICICI Securities.

Please state your question.

Sanjesh Jain: Thanks sir. Thanks for taking my question. Few from my side. First on the grain -based ethanol and the strategy to use that. How do you want to use this ethanol? How much of it will go into as ethanol for blending? I understand it's 75%. And what is the remaining 25%? We plan -- do we plan to sell it or do we plan to use it internally to reduce the cost as you said in your opening statement, and will this be constant or when the prices are more stable globally, you would want to sell the 100% of grain -based ethanol and for the other consumption, you want to import. How should one look at the utilization of this ethanol from internal and external perspective?

Rupark Sarawat: Sanjesh, you have actually given the answer in your question in the sense that you understand this quite well, except that I would like to mention that you have presumed that 75% of this will necessarily go to biofuels. It is a condition provided we are availing India Glycols Limited
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the subvention benefit. If we don't, then it is not necessarily a condition. Anand ji, am I right?

Anand Singhal: Correct. Correct.

Rupark Sarawat: So that is the position we will take based on what our best possible allocation is, and in this very volatile scenario, honestly, I have myself come here and spoken to you saying, we expect imported ethanol prices eventually to come down and that has not happened. And I mentioned to you the reasons why that has not happened .

And so we continue to look at our scenarios, as I said. We are in some ways in a better position, because we have what I call the 3x3 matrix, we have three potential sources of ethanol, imported ethanol, molasses -based ethanol, grain -based ethanol, and three potential uses of ethanol, which is either we use it in captive for our beverages segment, which is country liquor and IMFL or we use it as an intermediate for our chemicals, or we sell into biofuels. So that is so dynamic, but we are on a quarterly basis reviewing this scenario, and seeing how best we can maximize our profitability.

Sanjesh Jain: Just one follow up on that, the subvention is an annual process or we have to avail it now and that benefit will be available for the years prescribed? How does that work?

Anand Singhal: So, for our Gorakhpur project, we have already opted out from the subvention scheme.

Sanjesh Jain: Okay.

Anand Singhal: Regarding the Kashipur, although we have not opted out till now, but in future we have to be out from subvention scheme because we don't want to commit the supply of 75% alcohol for ethanol blending.

Sanjesh Jain: Right now, how much of our total quantity requirement do we import or buy it from outside? And assuming that we don't sell any of this as a biofuel, will we be self -sufficient on an entire requirement of the ethanol?

Rupark Sarawat: Yes. Just one second, Sanjesh ji.

Sanjesh Jain: Yes. Sure.

Rupark Sarawat: I think in short, by and large, we will be, but we might have to procure something.

Manish Pant :

So, Sanjesh, the annual requirement for our captive consumption for like for our chemical division and for our portable division will be around 80 million bulk liter.

Sanjesh Jain: So with this entire grain base, assuming we use internally, we are completely decoupled from the external volatility of the ethanol, will that be a fair assumption?

Manish Pant : Yes. If we are going out of the subvention, then most likely except the tender which we have already accepted. We could use the whole of the quantity for our captive only.

Sanjesh Jain: One related question. In a longer term, our view earlier was that it is better off to sell as a biofuel initially, when we started hosting this call and imported was what we were looking. Has the digression materially changed and do you think it has changed for the long term for us to make such a big difference in our allocation of ethanol in last few years?

Rupark Sarswat: Sanjesh, honestly, we've been doing this call since August last year, and I don't think I ever expressed the view that we are shown that imported ethanol is going to be the feedstock for our chemicals for sure, because it was a couple of years ago completely because that was cheaper.

However, as I said, we will continue to look at it. If for example, imported were to come back to prices this was one and a half years ago, the obvious strategy for us would be to maximize uses either in beverages or biofuels and get imported ethanol for captive consumption. Does that answer your question?

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Sanjesh Jain: Not that answer. That means every year, we will have to make a decision telling how are we using this grain-based ethanol usage? Is that a fair assumption?

Rupark Sarswat: Yes, I wish it was as easy as every year. We are looking at it every month.

Sanjesh Jain: Okay. Fair enough, sir. My second question is on the specialized product, which we have commercialized. Can you elaborate what is the product, what are the application? I know we did disclose a lot about it in the previous call about various products, but I am more interested on the product, which we have commercialized.

Rupark Sarswat: Okay. So it is a specialty ester. Okay. I can only tell you that much. And it finds application in oil fields. It is being sold to a major company, which supplies ingredients to oil field majors like Slum, Aramco, etc. And so that's the product and it is in the oil field space. And we'll probably be introducing a few more products in this portfolio as well.

So it's just a start, one of the reasons why we have not kind of talked about it is, let the portfolio develop sometimes these are things where you walk two steps forward, then you take one step backwards, then you walk three steps forward. That's how the specialty chemicals business is, but we are sure we want to build a knowledge-based business. And I'm happy that even before the plant is up and running, we've been somehow able to use existing assets to start something going at least. So that's been encouraging from that point of view.

Sanjesh Jain: Great, great. Can you elaborate on the R&D effort parallelly for us to understand how serious are we on the specialty? How many products are in the development pipeline? How are we looking at R&D itself? Some say three-to-five-year perspective.

Rupark Sarswat: Sanjesh, I'm pretty serious about having my job. So we are pretty serious about.

Sanjesh Jain: No, I completely -- I don't disagree on that. But I just wanted to understand how deeper are we into, what are we investing?

Rupark Sarswat: Yes. So maybe we could have a more detailed discussion sometime. So we've done several things to

give you some assurance that. So we don't want to go big bang and just create a global R&D Center. I think the thing is to identify where we want to build based on our strength. So what we've done is we first of all -- what was our specialties kind of R&D Center was made a part of the joint venture. So that was separated. We've now created using some existing buildings etc., new R&D Center for IGL. You are happy to visit and see that in a couple of months' time that will be ready. We've also recruited more people, seven or eight people definitely and we are working on several areas, one of them being oil fields. I spoke about some of the others that we are evaluating right from amines to plasticizers to polyol.

So, we have -- how else can I really -- we are very serious about it, because we believe that we have to make that kind of -- either you can call a portfolio addition or a portfolio shift to make sure that despite some of the stance in biobased materials etc., we create an overall portfolio which is much more resilient.

Sanjesh Jain: Fair enough. I think there are many people still waiting in the queue. I will come back in the queue. Thank you and best of luck for the coming quarters.

Moderator: Thank you. Our next question is from the line of Mr. Balasubramanian with Arihant Capital. Please state your question.

Balasubramanian: Good evening. Sir. Thank you so much for taking my question. My first question is there any pricing pressure on butyl and propyl prices in the glycol ether space?

Sanjeev Gurwara : Just to clarify, is this you're asking that the prices of butyl and propyl in glycol ether? have they come down, reduced or is it competitive for us? What is the question?

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Balasubramanian: Okay sir. And like what kind of realization for biobased MEG and like in international markets, it is witnessing traction. Sir, if you could throw some more light on that.

Rupark Sarswat: Can you -- Bala, can you just repeat your second question?

Balasubramanian: Sir, what kind of realizations for biobased MEG and are international markets witnessing traction for these products?

Rupark Sarswat: Yes. I can respond to that. Let me give you the difficult side of the news first. The difficult side of the news is that as far as crude -based MEG prices in the market are concerned compared to our biobased MEG prices, the difference has increased from something like 2x to 3x, which means that the differential has increased which puts pressure on us.

But the good thing, which is an encouraging thing for us is that despite this significant increase as far as the differential price of biobased MEG and crude -based MEG is concerned, we have continued to grow our customers in the biobased space. To give you -- five years ago, roughly five years ago, 95% of our business used to come from one customer and that particular customer shifted completely to recycled pet for whatever reason. Having said that, we now have something like 15 different customers in various parts of the world which include Japan, Taiwan, Korea.

And, I was looking at the numbers. Even though our volumes have come down quite significantly, our overall contribution for biobased MEG is still of the order of 75% to 80% of what it used to be five years ago. So volumes have come down something like 60%, but our contribution had come down something like 20%. This is despite the major 95% consumer, or buyer from us having shifted away completely.

So that kind is the situation. I believe, biobased MEG, we will -- we are very encouraged to see this kind of traction. Our new customer pipeline is robust, we do have some headwinds, we need to continue to work

with them. I think when we are working in a portfolio like this, sometimes, as I mentioned earlier, I would like to believe it's not a 20:20 match, it's a test match, we need to make sure our positioning is correct, sometimes these prices will go up, sometimes these prices will come down, but I think we are in the right space. We are probably going to find it very difficult to suddenly start to replace crude -based MEG and polyester, but that's not the game we are in. But we continue to see decent traction by a number of customers even though they are smaller, niche customers for biobased MEG.

Balasubramanian: Okay, sir. Got it. So, like in last call, you have mentioned packaging costs went up by 60% to 70%. Right now, it is softening or cooling down or you're facing the same kind of costs right now?

Deepak Satya : So, Bala just to give you a perspective, right in terms of like the glass prices, right. So,

the basic ingredient for glass is soda, which has gone up by 30% and the suppliers from whom we sourced glass, the fuel that is used for them -- their furnaces, the natural gas, it has also shot up by in the range of around 40% to 45%. So yes, the packaging cost for the IMFL business continues to pose a challenge for us. And yes, while we are facing this pressure, we are also like in the process of finding another couple of vendors who can help us in reducing the cost. We are in talks with them. So that's the detail I have with me right now.

Moderator: Our next question is from the line of Rohit Sinha with Sunidhi Securities. Please go ahead.

Rohit Sinha: Hello. Yes sir. Just a followup question on this grain-based capacity. So how much was the utilization level for this quarter and basically, what kind of cost saving was there if you can quantify?

Rupark Sarswat: Rohit, we could get back to you with the numbers. I don't have them ready because we've been going through the commissioning process. What I know is that utilization will soon in the next quarter be closer to 100%. And the prices have been varying. We have been
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having to run our plants to get our efficiencies up etc, but I don't have exact numbers to share right now.

Rohit Sinha: Okay, okay. So next quarter, probably will be operating at almost 100%, right?

Rupark Sarswat: Yes.

Moderator: Thank you. This is the last question for the day. I would now like to hand the conference over to Mr. Rupark Sarswat for closing comments. Please go ahead, sir.

Rupark Sarswat: Thank you, Sanjesh and I just would like to thank everybody for patiently listening to us and we have tried to respond to the questions. Hope, we have been able to respond to them to their satisfaction. Nothing else from my side. From me and my colleagues, have a good evening and that's all and we'll see you in the next quarter.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

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Call: Feb 2023

13th February, 2023

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 01 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 – Transcript of Q3FY23 Results Conference Call

Further to our letters dated 8th and 10th February, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Results Conference Call for Q3FY23 held on Friday, 10th February, 2023 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary

Encl: A/a

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"India Glycols Limited
Q3 FY '23 Earnings Conference Call"
February 10, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. SANJEEV GURWARA – PRESIDENT - MARKETING
MR. ANKUR JAIN – HEAD LEGAL AND COMPANY
SECRETARY

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the India Glycols Limited Q3 FY '23 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you, and over to you, sir.

Sanjesh Jain: Thanks, Frank. Good afternoon, everyone. Thank you for joining on India Glycols Limited Q3 and 9M FY '23 Results Conference Call. We are joined on this call with India Glycols management, represented by Mr. Rupark Sarswat, Chief Executive Officer, Mr. Anand Singhal, Chief Financial Officer, Mr. Sanjeev Gurwara, President - Marketing, and Mr. Ankur Jain, Head Legal and Company Secretary.

I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Over to you, sir.

Rupark Sarswat: Thank you, Sanjesh, and good afternoon, each one of you who joined us a little belated, but a little in advance as far as the financial year is concerned, wishing you all a very happy New Year. Now let me take you through to slides that I have put across and the highlights for the last quarter.

So as you would have seen, it's been in some ways a good quarter for us, if I look at the quarterly results. So at a high level, our gross turnover at INR 1,524 crores, though is down by 13%. I will comment on it in a moment. Our net turnover at INR 554 crores also down by about 30%.

However, our EBITDA at INR 76 crores is up by 23.7%. And if you see the EBITDA margin is also up to 13.6%, up 591 basis points. So we've seen a good EBITDA recovery on the back of improved cost and product mix. And I will comment in a little while on the drop in turnover, mainly because we discontinued some low-margin businesses, and I will explain that in a little bit.

If you look at on a YTD for the nine months, our gross turnover at INR 5,026 crores is up 1.6%. Our net turnover at INR 2,032 crores is down 8.7%. But our EBITDA at INR 219 crores is up 13.8%, and EBITDA margin at 13.8% is also up 210 basis points.

One of the things you would remember, but I would nevertheless repeat, is that on a like-to-like basis, for the comparative prior year, we also had one quarter of sales for the Specialty Chemicals business, which was made part of the joint venture. Overall, I think it has been good in terms of recovery of EBITDA across sectors led by Ennature Biopharma. And I think those are important from the fundamentals of the business point of view.

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So overall, good recovery for the quarter in terms of EBITDA, EBIT, which is up 32% on a year-on-year basis. Though there has been a revenue decline by about 30% in Q3. EBITDA margin is up by 24% for Q3 on a year-on-year basis. Good recovery for 9M on a year-on-year basis with EBIT up 17%, and revenue though is down 8.5%. EBITDA margin up 14% on a year-on-year basis.

Now the revenue is down primarily because we discontinued some low-margin businesses, partly because we made certain operational changes to scale down production and not having to put volumes at low margin. Now what it means is that for some of our plants, we had to run them at a minimum throughput rate, which are large continuous plants. Now given the pressure that we had on peak of prices and energy prices, etc, it took us some time to make some changes so that we could actually significantly scale it down. So some of the volumes which we had to sell at lower margins is no more being done. I think that is

one of the reasons why, one of the most significant reasons why our volumes are down.

And also, there is an impact of the business, as I said, for one quarter, which was transferred to the joint venture, whose volumes were part of the revenue for Q1 of prior year for comparison. So I can say that as far as Q3 is concerned, there is excellent margin recovery across sectors. So it is -- EBIT is up 22% for bio-based Specialties and Performance Chemicals. It is up 28% for the portable spirits. It is up 28% for Ennature Biopharma. And for a nine month period, EBIT is up 7% for BSPC. 8% for PS, which is Portable Spirits and up 27% for Ennature Biopharma. Now if you look at the PBT, however, is down by 65%, mainly because of the impact of transfer of the bio-waste ethoxylates and select derivative business to the Clariant IGL joint venture,

which had led to an exceptional income from the slump sale. So that is the reason why the PBT is down.

And also, we have an impact which has also been taken into account, which is a gain of INR 28 crores from the sale of Kashipur Infrastructure and Freight Terminal Private Limited, which was a non-core asset and has been dealt with. For the quarter, however, PAT is up 108% in Q3 to INR 50 crores.

And in terms of other highlights, cost pressures in some ways have continued. So if you look at ethanol prices, which is our main feedstock and most of it we were actually just even one year ago, importing from the US or Brazil, continues to be at a high price. Those have not really come down. But what has happened is, if you remember, we have been talking about our grain based ethanol plants being commissioned, which have been commissioned. They are being run up to capacity, which has significantly helped us mitigate the impact of huge feedstock price increases. Given this, we wanted to do it steadily. We are evaluating further expansion and I think our objective is to become completely, if I may say, Aatmanirbhar and not be dependent on imports of ethanol, which I think is going to secure our margin in many ways. Apart from that, we've been working on operational and expense improvements and improvement on costs.

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And there also have been a movement in energy prices, which has been softening, particularly coal prices. And as you know, there has been a significant reset on international freight. We expect that these trends will continue in the quarters to come. I have mentioned that the joint venture has had a tough quarter and nine months, mainly because of the increased cost of feedstocks. And we've also executed, I can tell you an agreement with the Renew Green Private Limited in January 2023 to procure captive wind and solar hybrid power.

Now that will start coming to us in a period of two years, but it will deliver, not only will it deliver significant cost savings. But from a green energy perspective and particularly from our sense, it will also help us strengthen our sustainability credentials. We've from time-to-time talked about our slow and steady movement towards more value-added products. And our first phase of expansion for new specialties is expected to commission between February and May because it is two different units within the unit. And we hope to start building a new value-added specialty chemicals business starting in the coming financial year.

We were asked questions about the cost and the fact that we had pressures on cost. And I have kind of maintained that while we are going through very volatile and what appears to be a completely unexpected challenging time from an ideal perspective.

If you see, it was very difficult to imagine that ethanol prices which were at INR 34 - INR 35, just about 1.5 years ago, are continuing to hover at INR 60-plus. And it was not easy for us because we compete with crude alternatives. And I think our strategy in terms of you

to offer

and articulate it in terms of 3x3, mitigating the risk in terms of our feedstock, which is what we've done by installing significant grain-based capacity.

And also our movement towards a better product mix. It appears while slow and steady, but we are heading in the right direction. And we expect that will continue in the quarters to come. Now with that, let me quickly give you some highlights for the business segment. So if you look at Bio based Specialty and Performance Chemicals, for the quarter, EBIT is up by 22.3% compared to prior year though there has been a significant drop in reported sales, and I had just explained the reason for that. On 9M basis, EBIT is up 6.5%, though revenue is down by 17.6%. For the reasons that I mentioned and also the factor that for one quarter for the prior year in comparison, we also had the specialty sales which were transferred to the joint venture.

And we mentioned that we've discontinued low-margin, high-volume business, also helped by certain operational changes to scale down production to achieve the same. We managed to get some price increases to cover ethanol and conversion costs. I talked about the in-house grain-based ethanol production, which is helping us improve margins and the fact that we are looking at further expanding capacity.

Bio-based MEG margins have improved. And the good thing is that despite such a delta, we've maintained our profits for the bio-based MEG business. Our business in glycol ethers did not do as well, particularly in exports because of the pressure that we faced due to the prices of butyl

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and propyl-based alternatives, whose prices came down quite sharply. We hope and also expect that the position will steadily improve on this front as well. I spoke to you about the new specialty

unit. And I think it's very important for us in the next few years to build the new value-added chemicals business.

Now talking about portable spirits, for the quarter, EBIT is up 28%, revenue up 7% compared to prior year. For 9M, EBIT is up 8.2%, revenue up 11.3%. Sales have improved particularly in the branded country liquor segment, and we continue to maintain a leadership position in Uttar Pradesh and Uttarakhand. Amazing Vodka is picking up market traction in state of UP, Uttarakhand and Delhi. And costs here as well, partly because of grain-based ethanol that we are producing is helping not only the chemicals business but also the portable spirits business, have been reduced and packaging material costs have also been stabilizing.

So that's also a positive, and we are hoping that positive, if at all, will steadily improve in the subsequent quarters. We've had a good year for Ennature Biopharma with revenues up 27% and EBIT up 28% for the quarter and revenue up 24% and EBIT up 27% for nine months for the year so far. So we've increased domestic share for Thiocolchicoside by acquiring orders from some major customers. We've made changes to the Thiocolchicoside facility to reduce cost and increase output.

In the pure nicotine segment, we've seen some demand slowdown, but we've been focusing on customers, particularly the ones which give higher value and pharma based nicotine derivatives. We continue to work on new products and new formulations and more value-added products in Ennature Biopharma as well. So I have essentially completed again to reiterate, I think broadly, we are following our strategy of mitigating our cost risk on two fronts on the feedstock front, on the cost and efficiency front and also on taking steps to add more value-added products in a diverse portfolio, leveraging our stance in terms of chemistry, product development, our strength in ethanol, and also our financials and sustainability.

So with that, I'll take a pause, and I'll request my colleague, Anand to give you a brief on financial Anand Singhal: Good afternoon.

Just to cover briefly the performance for Q3 and for the 9M, the revenue from operations net of excise in this current quarter is INR 554 crores vis-a-vis INR 795 crores in the last year corresponding quarter. The EBITDA for the current quarter is INR 76 crores vis-a-vis INR 62 crores in the last year same quarter. PBT is INR 53 crores in the current quarter vis-a-vis INR 31 crores, and profit after tax is INR 50 crores, vis-a-vis INR 24 crores. So EPS for the current quarter is INR 16.20, vis-a-vis INR 7.80 in the last year's corresponding quarter.

To take up the 9M financial performance, the nine months revenue from operations, net of excise is INR 2,032 crores vis-a-vis INR 2,226 crores in the last year nine months. The EBITDA is INR 219 crores vis-a-vis INR 192 crores in the last year nine months period. The PBT is INR 119 crores, vis-a-vis INR 337 crores in the last year nine months. As Rupark ji has just told that this includes the profitability out of the sale of the COD business to Clariant, which is around INR

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226 crores. And profit after tax is INR 101 crores, vis-a-vis INR 273 crores in the last year nine months. So the current nine months EPS is INR 32.70 for the nine months vis-a-vis INR 84.80. So this is what is the brief result of the company.

Now to broadly, take here to brief about the segmental results. So, net revenue in the Biobased Specialties and Performance Chemicals. The third quarter performance for the net revenue is INR 324 crores, with EBIT of INR 30 crores with a percentage of margin is 9.2% vis-a-vis INR 587 crores in the last quarter with EBIT of INR 24 crores, showing percentage margin of 4.2%. Basically, in the current quarter, despite the revenue has come down, the percentage of the EBIT has gone up.

For the 9M for the same division, performing the net revenue is INR 1,315 crores vis-a-vis EBIT of INR 82 crores, with percentage margin is 6.3% vis-a-vis INR 1,597 crores in the last year, nine months is INR 77 crores EBIT showing a margin of 4.8%. So basically, the overall for the three months and nine months, the percentage of the profit has gone up.

Regarding the Portable Spirits, the net revenue for the current quarter is INR 188 crores, vis-a-vis INR 175 crores in the last year corresponding quarter with EBIT of INR 28 crores in the current quarter vis-a-vis INR 22 crores in the last year corresponding quarter, showing percentage margin is 14.7% vis-a-vis 12.3% in the last year quarter. So again, the Portable Spirit has done good for the company. For the nine months, Portable Spirit INR 568 crores turnover, net revenue, vis-a-vis INR 510 crores in the last year, nine months with EBIT of INR 72 crores vis-a-vis INR 67 crores, showing percentage margin is 12.8%, vis-a-vis 13.1%.

In respect of the Ennature Biopharma, the Herbal division, the net revenue is INR 42 crores, vis-a-vis INR 33 crores in the current quarter with EBIT of INR 10 crores vis-a-vis INR 8 crores in the last year corresponding quarter showing in percentage margin of 24.8%, vis-a-vis 24.6% in the last year corresponding quarter. The nine months results for Ennature Biopharma, the net revenue is INR 148 crores vis-a-vis INR 119 crores, EBIT is INR 37 crores, vis-a-vis INR 29

crores, showing a percentage margin of 25.1% vis-a-vis 24.6%.

So showing overall better performance vis-a-vis the corresponding quarter last year or the nine months. So overall, performance has gone up

Rupark Sarswat: Thank you, Anand ji. So we have completed our quick overview for the quarter and the year so far and happy to take your questions.

Moderator: Our first question comes from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: Congratulations for a good set of numbers. Sir, first question from my side is that we permanently discontinued this low-margin business or is this for this quarter only, and maybe we'll see t

hat number going forward also? And if you could also quantify how much was the impact of this on sales or maybe in other way if we could get the Y-on-Y change, excluding this low-margin business?

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Rupark Sarswat: Yeh Rohit, so we could provide those numbers separately, but a significant amount of the decline that you see in sales is because of that. Now I tried to explain it to you that when we run a continuous plant, they are designed for a minimum throughput rate, and they cannot be run at rates below that. And what happened in the last one year or two years was that really, if you go by market demand, let us say the plant has a capacity of 100, but it has a minimum throughput rate of, say, 60 for it to run optimally or say 70.

Now therefore, for some time, we were kind of forced to run at 70. And even though we were producing, we had to sell, so let us say, MEG at relatively lower prices because we were producing it or sometimes at low margin, sometimes even at slightly negative margins. Now because we've done modification and we've done operational improvements and significant modifications in the plant to be able to scale down the operation, I believe in the current context, unless drastic changes happen in the marketplace, we've kind of done away with a significant part of this low-margin business, or I would say, very low-margin business for the time to come, and it's not only one quarter phenomenon.

Rohit Sinha: And secondly, on the grain-based plant commissioned last quarter. So last quarter also, you didn't mention that how much was the contribution, so would it be possible in this quarter to quantify how much benefit we get from this grain-based plant, especially on the margin front?

Rupark Sarswat: Yes. I don't have the numbers calculated with me, but it is actually quite straightforward. So now the benefits may not have seen exactly in result. But if you look at the real benefit, you for yourself can take that the landed price of ethanol from the US, here is of the order of INR 58 liter to INR 59 liter to INR 60 a liter. Whereas the cost of production of our grain-based ethanol is closer to much lower, it close INR 44 liter, INR 45 a liter.

We would have been in an even more difficult soup had we not done that. So we can quantify that, but that does not necessarily translate into a complete profit gain because there is already a challenging market even at INR 44 competing with crude. And there is a combination of things because it has helped us in Potable Spirits. It has helped us in chemicals. And some amount of it, we have also started to sell into the biofuel space. But our priority has been largely to meet the in-house requirement and not import. In fact, for quite some time, we've not been importing, ethanol anymore.

Rohit Sinha: And on the JV side, last quarter also, there was a lower contribution from JV because of higher cost as well. In this quarter also, it has reported actually a loss. So is it only because of higher cost or the sales have also been on the lower side, and any guidance you can get from the JV side for '23 or '24?

Rupark Sarswat: So two or three things. One is that, yes, the end market like textile, auxiliary's etc, have also been slow. Second thing is the biggest factor has actually been cost of EO, which is derived from ethanol. And obviously, impacted by energy cost and freight cost because a significant part of - - at least going forward, buildup was expected to from export. So that has affected adversely. As

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far as I know, I think being also on the Board of the joint venture, I think there is definitely a discussion on how to consider lowering the free stocks cost, which are pegged at a particular value as a part of the contract and also focus a little bit more on exports. So we hope that a

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things stabilize and normalize, JV performance will also improve going forward.

Rohit Sinha: Yes. One more question, if I can squeeze in. On the specialty chemical plant site, which is about

to commission, I think, in first quarter FY '24. So initially, we have indicated for close to INR 50 crores kind of capex in that business. So has there been any increase in capex debt side? Or maybe you will see increase in capex or additional capex maybe after commissioning of that plant?

Rupark Sarswat: Yes. So the capex is what we have told you. Look, we are a brownfield site. Okay so we have significant assets and utilities etc., which are already available, whether it is cooling water, whether it is electricity, whether it is team, whether it is warehouses, whether it is maintenance staff or whether -- so I think this was a capex which we have for now.

Our idea is to first build this business over the next six months, one year because it is not an ethanol business or a commodity business. It is a business which you start to build after you start to manufacture. You sample it to customers, you get approvals and then you start. So, no future capex plans in immediate future, but it depends on how the business will grow, based on that growth will definitely support this business.

Anand Singhal: Rohit, just to correct, the actual capex value for this specialized chemicals, which we say NSU is around INR 82 crores, not INR 50 crores.

Moderator: Our next question comes from the line of Bala Subramanian from Arihant Capital.

Bala Subramanian: Sir, in that JV agreement out of INR 190 crores, around INR 40 crores are expected in H2 FY '23. So when we can expect to receive that amount?

Anand Singhal: As per the agreement, JV has to give us this money in three years. So till now, they have already paid INR 55 crores to India Glycols. And the balance amount will come back as per the agreement.

Bala Subramanian: Sir, my second question, regarding the capex part. We are evaluating per capex. So it comes under PLI, you go through more like on what kind of plans we have in terms of capex for a medium term?

So like what kind of capex plans we have for grain plants next over two or three years because we are...

Anand Singhal: Just to update that we have recently completed two grain plants, one is in Kashipur which is 180 KLPD. The other one is in Gorakhpur, which is 110 KLPD. So now we are exploring to increase the capacity in Kashipur plant from 180 KLPD to 360 KLPD keeping in mind the benefit which India Glycols Limited

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company has got in the current quarter. Regarding the Gorakhpur, the capex for 100 KLPD is already completed, and we are not rather going for any increase immediately. That may happen sometime later, but not now. So we are increasing our capacity in Kashipur plant for grain distillery manufacturing.

Bala Subramanian: Sir, we have executed agreement for wind and solar and hybrid power. So like what kind of cost savings we can expect in that?

Rupark Sarswat: I can give you a ballpark number. But it's a good payback. I think the investment is possibly -- we have indicated what the investment. The investment is about Rs 20 crs, we expect the payback time to be under three years.

Moderator: Thank you. Our next question comes from the line of Nitin Awasthi from Incred Equities.

Nitin Awasthi: A few questions on the liquor business. Does the company do an ENA sales in bio-ethanol sales?

Rupark Sarswat: Yes, we do a significant amount of ENA sales. If I'm not wrong, we do close to INR 100 crores of ENA sales.

Sanjeev Gurwara: Yes, INR 120 crores

Nitin Awasthi: So, ENA sales is a part of the Potable Spirits? Or is it part of the bio-based specialties?

Anand Singhal: It's a part of the BSPC segment.

Rupark Sarswat: Because it is B2B. And this is not a retail product as - this is a high concentration... Nitin

Awasthi: Okay. So you are selling ENA, which is under the bio-based specialty division, which is about INR 120 crores for this quarter. How much is your Bio-Ethanol sales?

Sanjeev Gurwara: Yes. This is our yearly sales.

Nitin Awasthi: Yearly sales, got it And your bio-ethanol sales to fuel companies, which segment is that under and how much was it for the quarter and for the 9 months?

Rupark Sarswat: So far, what has happened is original intent of the grain-based plant was that the grain-based plant, we had estimated a significant part of that will go to biofuels, and some of it will get used for Potable Spirits and chemicals. But given the very wide gap in terms of imported ethanol as a raw material -- we have actually consumed most of our grain based ethanol production or even molasses based ethanol production in-house.

We've been making right now small sales into the biofuel space, which is of the order of roughly like 15 lakh liters a month ever since we commissioned our grain-based plant. As we expand our capacities, we hope that, that will increase. And if our international imported prices of ethanol India Glycols Limited

come down to pre-COVID levels, then of course, we'll be able to sell it quite a lot. It's very difficult for me to give some kind of outlook it's so dependent on so many factors.

Nitin Awasthi: I understand there is dynamic and it's based on the import prices of ethanol, because if that becomes more profitable for you, you will rather sell this to the fuel companies. I understand that part. Now coming to the ENA prices, what are the ENA prices prevailing in UP? And what are the ENA prices prevailing in Uttarakhand, as of now?

Rupark Sarswat: See, honestly, I don't know the precise ENA number, but we make some decent margin on ENA. It's not very high, but we make a decent margin there. I don't know exactly what the ENA prices in UP and Uttarakhand are. Prices also vary customer to customers.

Nitin Awasthi: No, no, I agree it's a B2B agreement with the customer base, but there would be a rough ballpark figure which should be trading at, right?

Rupark Sarswat: I don't have the ready numbers with me as far as industry prevailing trends are concerned, you can get it from the Internet also

Anand Singhal: Otherwise, you can send me the mail, I will give you figures.

Rupark Sarswat: We will respond to you.

Nitin Awasthi: So similarly, for the right prices, I believe the industry -- even the domestic ethanol industry and the ENA industry is suffering because of high rice prices, and there seems to be some inflow from the rabi season, which is starting to come in. So could you throw some light on that? What are the rice prices roughly you are dealing with? And what are they right now?

Rupark Sarswat: I will give you a broader answer without giving rice prices. I think rice prices vary a little bit, but it is still a profitable business for us to invest. I don't think the broader strategy as far as investment in grains is concerned is getting impacted.

Nitin Awasthi: Okay. And because all this information was actually given very nicely in your previous presentation, where you had coal ethanol, mild steel and your acetic acid prices and you are telling a quarterly representation of the same. I would just make a humble suggestion, if you could go back to that, then these questions would become unnecessary and we would actually get a lot of trend analysis from that.

Rupark Sarswat: No, I can provide that to you that we have even now available with us.

Nitin Awasthi: Similarly, you have for the coal prices?

Rupark Sarswat: Yes, yes, we have those. We will -- I've just not put that slide. We can -- you can write it to us, we can circulate that slide.

Moderator: Our next question comes from the line of Sanjesh Jain from ICICI Securities.

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Sanjesh Jain: A few questions from my side. First, just wanted to understand. I thought there's a very high correlation between the crude price and the ethanol prices. But this time around, there's quite a disconnect. Can you help us understand what is driving ethanol prices? That's number one.

Number two, some of this discontinuation of the product is also of the result that the crude alternatives have become so cheap that it's unprofitable for us to even think about it? That's my second question, something like MEG, as you rightly mentioned. That's number two.

Number three, is there also an impact from the demand side because some of these polymer prices, which are falling, a lot of polymer guys have been -- they are destocking so that they don't carry a high-cost inventory. Is there a postponement of the buying as well in this chemical segment? So, these are my three initial questions.

Rupark Sarswat: So, let me try and answer your second question first, which is whether crude-based prices of things like MEG has impacted some of our products like MEG the short answer is yes. Now if you go back many, many years ago, the competitive advantage for this business was to produce low-cost MEG using low-cost bio-waste feedstock like molasses.

Now over a period of time, the world has seen value in molasses. And obviously, as there is greater requirement for ethanol, molasses has a price, and it is a significant price. And therefore, now we are no more in a business where we are competing with crude on a cost or price basis. But also, what has happened is, yes, crude prices have gone down.

But more importantly, MEG prices have gone down and they did not go up when crude prices went up. And this is because significant capacities have been added worldwide pre-COVID, COVID times, etc. So, despite the crude prices going up, MEG sees a correlation, it did not go up. In fact, it came down. With the China slowdown, there is obviously, as you know, pushing up material to other parts of the world to continue to run their plants. So, they did not take the corrective action. We took some corrective action to stop bleeding or to stop supplying material

in low cost. So that is as far as the crude correlation is concerned.

Then your first question was on ethanol, that ethanol doesn't seem to be following crude. Now there was one time when ethanol was not connected to crude at all. Then ethanol started to get clubbed with crude because it's a source of energy. And then you're saying it's not even falling with crude. Now there are several factors in one of the previous presentations I had kind of presented and because it would have been a bit of a repeat, I did not do that. So, in maybe six months, I'll give an update on ethanol and what's happening in the ethanol space.

Now not only is there requirement of bio-based ethanol because it is a green fuel. The world is working, and there's a dynamic around energy security in the world, as you know. Europe takes a lot of energy, crude, gas from Russia. So, the world is kind of campering to not only reduce cost by buying cheaper crude, but also become more secure. So, I think that is one factor, which has continued to sustain high ethanol prices.

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The second factor is that in some cases, if you go back, there has been an impact in terms of the green energy transition. Where a number of countries, Brazil, France and many others, Europe, they had made significant plans, and they were based significant on hydro, wind, etc. I think that generation was also impacted. There was also impact on, say, the corn crop, etc, in the US. And if you see another factor which has impacted is that Ukraine is also a big producer of grain for the world, and that is accepted. So all these factors, and I think it is very difficult to -- you know it better than I do, have kind of created a se

ntiment which has sustained high ethanol prices.

And whether it will continue for a long time, probably for some more time. I think at some point in time, eventually it is going to be some amount of recoupling back to energy, which is things like crude. That's my assessment. I'm not saying it is right, unless some of my colleagues have something more to add. And the one thing that I've learned, Sanjesh, is that no matter how confidently I can articulate a point of view, second day and forget about three months, in 15 days, you could be proven completely wrong.

Sanjesh Jain: No, I agree. I'm just taking because you would be in a much better position to assess this better.

Rupark Sarswat: So for example, the freight prices, if you have been tracking freight prices, which went up for some routes, 5x, 6x unthinkable. And if you track some of the profitability of these big shipping companies, and then they are nearly back to -- not exactly there, but they've kind of dropped again 3x to 4x in many areas, which is good for us. I think because even though it does not increase our variable cost in the sense of raw materials, but our end cost to customers for exports were also getting impacted because of that. So I had not even predicted that fall in my mind. -- Certainly not that rapidly.

Sanjesh Jain: Just one follow-up here. In such a scenario, is it fair for us to not use ethanol for the blending purpose and use it more internally, so at least we can protect the business, right?

Rupark Sarswat: So that's what we are doing, Sanjesh. That's what I said, that supposing ethanol, prices were to come back to 35 levels, which it was 1.5 year, two years ago. I think it's great for us because we start importing ethanol completely for chemicals. If you remember, I continue to say 3x3 and all the ethanol that we are producing grain-based start to go for biofuels all that can be produce.

Sanjesh Jain: Correct, but is it allowed for us to dynamically switch between the blending and for the internal purpose I'm just trying to understand the government policy, are we have not availed for the subsidy at all, so we can do the allocation as per our requirement. How should...?

Anand Singhal: We have not avail the subvention. And so that's why we are not committed for 75% of the production for blending.

Sanjesh Jain: That gives us a complete freedom on the allocation of the...

Rupark Sarswat: Yes, we have complete freedom.

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Sanjesh Jain: One follow-up question on the NSU. We did mention that we are investing INR 82 crores there. What will be the potential asset turn and the product portfolio?

Rupark Sarswat: Sanjesh, we need to get back. It's not really top of the mind. What part of product portfolio you wanted to know?

Sanjesh Jain: In the NSU, what are the products we are initially aiming at?

Rupark Sarswat: So we have spoken about it before. And if required, maybe in another next quarter, we can spend some more time on that. So we have identified several product ranges, which includes some ethoxylates, particularly carbon smart ethoxylates. Some products for the oilfield segment, where we are already in the process of signing some contracts with certain global players. We

are looking at some bio-EO based Amines.

We are looking at some esters, like plasticizers and also similar products, which go into cosmetics. So we are looking at some green solvents. So this is the broad portfolio. And as you know, specialty is something which we will kind of build brick by brick. It's not like an ethanol plant that we have the capacity and we start selling. We start sampling and building the business.

Sanjesh Jain: One last on the portable side. Are we getting the pass-through for the high ethanol prices in our key market? Where are we in that entire process?

Deepak Satya: We have got a kind of a price rise when it comes to the

country liquor thing. In Uttarakhand, the

prices have -- the policy is yet to come out and same is the case with the Delhi market. So, the price rise is there in the UP market, that's a good news for us in the potable side.

Sanjesh Jain: At the Delhi market was Okay. That's where the hampering is. So when are we anticipating Delhi things to come?

Deepak Satya: So right now, as per the representation made by CIABC to the Delhi government, the policy is expected any time in the month of April.

Moderator: Our next question comes from the line of Jay Bharat Trivedi from Centrum Broking Limited.

Jay Trivedi: Sir, just wanted to know on the Ennature Biopharma business segment. Is there any seasonality in that business? Or is it weak in Q3 and Q4? Because even last year, the sales dipped during the second half of the year and even the same trend is seen in current quarter as well as compared to last quarter?

Rupark Sarswat: So, I don't think there is much of seasonality, but there has been some kind of business challenges, which I can talk about. I think one is that last year, we were impacted by some regulation and duty-related and subsidy related changes in some of the markets in thiocolchicoside. That is one factor.

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The second thing is that our then -- the thiocolchicoside was a major product. But somewhere around last year, there has been a significant ramping up of nicotine for therapeutic purposes also. So, it is this kind of combination and shift of product folios and some of the market dynamics.

For things like muscle relaxants, there is not much of seasonality. Thiocolchicoside just to let you know, is actually something that goes into muscle relaxants. And nicotine that we manufacture is for, again, therapeutic use. So, from an end market perspective, it's not seasonality, but they are a dynamic based on what's happening in the COVID environment, what's happening in Turkey, their economic situation, so some of the subsidies, what kind of restructured, so those kinds of dynamics. It's not seasonality.

Jay Trivedi: Sir, any specific reason because of which our quarterly sales were down in the Ennature biopharma business?

Rupark Sarswat: Yes. So, with some customers, we had -- I mean, these are regular things like contracts and price negotiations, particularly for nicotine, some of those contracts have been slower to come through or actually, some have actually also gone by, we let that business go.

Moderator: Next question comes from the line of Saket Kapoor from Kapoor Co.

Saket Kapoor: So firstly sir, I missed the capex numbers. So how much have we spent for the nine months? And what are we going to spend for FY '23 and '24 in totality?

Anand Singhal: So now Saket, for the capex's which I have already explained, the total capex, which we are in the process is about INR 600 crores. Out of INR 242 crores capex's has been completed and about INR 350 crores capex's is in pipeline. These capex's include the boiler and the turbine, which is related to the grain distillery. NSU and the boiler and turbine, plus Tetra Pak machine in Gorakhpur and there is some expansion in Nicotine project at Dehradun. So, all the three plants are having some capex's and about, I'd say, INR 400 crores capex's are in pipeline, CWIP.

Saket Kapoor: Sir, in the presentation, it was mentioned that we had done with the distillery capex. So, this is further capacity augmentation that we are going through?

Anand Singhal: Actually, distillery has three parts. One was the green is distillery -- the other one is boiler. The third one is turbine. So distillery has been commissioned. But related to that, boiler and turbine is still in process for Kashipur. The same thing is for Gorakhpur also.

Rupark Sarswat: So I can just add to that, Saket, what happened there, as you know, we are quite an integrated site. So you may ask

that if it is part of a distillery why you are not commissioning that distillery.

It's for a simple thing that given our volumes and other things, we had adequate capacity for steam and power in our existing infrastructure. So we could defer the spend.

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Saket Kapoor: So going ahead with these commissioning, sir, what kind of margin acquisition will take this. And currently sir, that distillery is contributing to the top line and bottom line for this quarter at optimal level?

Rupark Sarswat: Your question is whether we can do better? The answer is yes. So as I said, we are doing two things. We believe that we could possibly add more capacity at relatively lower incremental cost, which is something that we are evaluating. As soon as that is something which is decided and very clearly being executed, we will inform you. So that's as far as that -- you had another part to that question, which I think I missed.

Saket Kapoor: Sir, I was just trying to understand that when this two part of boiler and turbines are not integrated, whether the purpose of grain distillery it's serving the purpose of top line and bottom line or not?

Rupark Sarswat: I do not know what you meant but they are not integrated. It only means why do we need a boiler -- we need a boiler because we need steam, and we needed a turbine because we need power. Now if we can integrate it into our existing equipment and setups because there was less load or there was adequate capacity, we could defer it. That is one. And then you're saying whether it's contributing to our bottom line and top line. I think so far, it has contributed more to the bottom line because we kind of replaced expensive imported ethanol.

But going forward, it is -- it will definitely contribute to the bottom line, but whether it -- how much it will contribute to the top line depends on several factors. Cost of imported ethanol. And as we add more and more capacity, everything that we had produce in more than what we required now, since we sold in biofuels. So that top line is very difficult to kind of project. But any capacity we had is definitely going to contribute to the bottom line.

Saket Kapoor: Two small questions. Firstly, on the cost of fund and the net debt number? And then one question on Ennature Bio Pharma?

Anand Singhal: Cost of Funds has gone up slightly because of the increase in term interest rates by all the banks. Although we are closely monitoring and checking the same. But yes, I will say the cost of funds has gone up. Regarding the term loan number.

Saket Kapoor: What is the cost of fund in percentage terms, currently?

Anand Singhal: Average cost has reached to say about 9.1% right now, which includes the term loan as well as the working capital.

Saket Kapoor: And net debt number?

Anand Singhal: Regarding the debt, we are hopeful that the Debt including EPBG as on 31.03.2023 will be INR 800 crores. Term loan and EPBG as on 31st March '23, plus working capital fund base is INR 350 crores, and non-fund base is INR 850 crores.

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Saket Kapoor: This INR 800 crores includes the long-term borrowing also?

Anand Singhal: This includes -- this is only for the long-term borrowing and EPBG.

Saket Kapoor: And sir, now coming to the Ennature Bio Pharma segment. Sir, currently, what is the potential from this segment that we are looking forward, say, two year to three years down the line, and what kind of steps are we taking to explore the opportunities here, from the segment as our margins are significantly higher, sir?

Rupark Sarswat: Yes. So we are taking a few steps. First of all, look, when you have an exciting market like this, many people enter that market, you have to continue to deal with competition. The steps we are taking is that we are firstly diversifying our po

rtfolio. The first step was to move from

thiocolchicoside to nicotine, we have for therapeutic use and some other products as well.

The other steps that we are taking is for sales into, say, European or more developed markets, there is a long process of getting approvals, meeting certain standard requirements. So those are things that we are doing so that we can sell to high more higher value-added market. So, steps, access to the developed market by getting regulation standards, etc, broadening our portfolio in terms of plant-based extract and also looking at some more value-added formulations and products.

Saket Kapoor: Sir, then how should one look at this segment -- last year, we did a top line of 156. This year, we are already nine months closer to 148 and just to understand the size of the addressable market going ahead, what can we look forward? And that is what the idea is. And other than that, sir, other facilities, what is the current utilization level, sir, you did spoke about some lowering of demand in this segment and we switched from the low-margin products. So, what are we envisaging in the current quarter in terms of the demand outlook, sir. If you could throw some more light on...

Rupark Sarswat: You talking about what Ennature Biopharma?

Saket Kapoor: Sir first, Ennature Biopharma, I want to understand the opportunity, the addressable market? And what are we eyeing in terms of the growth in terms of revenue and profitability? And then secondly, coming to the other business verticals, where you mentioned about that there is softening of demand because of the external factors, how is the current market shaping up and these are the points sir?

Rupark Sarswat: So, I think there are several things which have got mixed up. One is Ennature Biopharma, you can see how the growth is for this year. I think those trends, we expect to continue. As far as market size is concerned, the plant extract market is so complex, and it has so many areas. I don't have ready numbers what I can say is market size, what is our market that we are participating in and so on. But it's overall a significant market and a growing market because there is greater and greater preference for people at the right price point, of course, to have more nature-based
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ingredients. And so that's one. The second thing is, as far as softening of demand is concerned, I think more of that -- my comment in particular was with respect to the JV performance.

Saket Kapoor: And sir, this JV is currently the Clariant is the same Heubach India Limited? Or is there a different entity, the Clariant chemical and I think you renamed that Heubach India. So, is the same listed entity or difference there?

Rupark Sarswat: No, look, I think Clariant had, first of all, to two different entities in India. Second thing is, I'm not completely aware, but one of their businesses, I think masterbatch or something...

Anand Singhal: This is not listed this is non-listed.

Rupark Sarswat: One of the masterbatch segment business was acquired by Heubach This is not that business. This is the Consumer & Specialty business, which is with Clariant, This has got nothing to do with Heubach

Saket Kapoor: And sir, taking into account the current business sentiment. How is the current quarter shaping up? I think so the inflationary trends have retreated considerably. So, the type of margin expansion, which we have seen Q-on-Q. Those factors would be aiding to the margins going ahead? Is there a likelihood of improvements?

Rupark Sarswat: I would not like to give a forecast or prediction. But I think I had already mentioned it that some of these gains, which are because of cost reductions on account of feedstock, operational improvement and softening of feedstock, as you can yourself see are expected to continue in this quarter as well, in the coming quart

er. And the other factor, which will kick in a few months

later is that, I think we hope that we are evaluating, as I said, putting up more gain-based facilities, which will be -- if we do it and if our calculations are right, it will be another bit of a step up, say, in five months or six months or two quarters down the line.

Saket Kapoor: And non-core assets, sir, are we done with the same or anything more in the -- or what are the other non-core assets on block?

Anand Singhal: We have one company called Shakumbari Sugar, so that is also in process, but nothing yet has been finalized. While KIFTPL, you are already aware that we are done with that.

Saket Kapoor: And this quarter also, sir, we did reverse some ICD also for Shakumbari Sugar. So, going ahead, any further de-mutation is required or we are done with this entity?

Anand Singhal: We are done with the, whatever is the shortfall. And we don't see any further write-offs out of the Shakumbari exposure.

Moderator: Our next question comes from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: Sir, just one thing on this Nutrition business side, since we have good exposure in Turkey. So, any update, we should get considering the devastating earthquake there?

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Rupark Sarswat: Look, it is something that goes into pharmaceutical applications. And the reason we see it in Turkey is because Turkey is also seen as for some of the categories as a gateway to Europe, okay? So, I would imagine there may be some disruption, depends on how it impacts Turkey economy, but it's not only about Turkey, even though it may be in Turkey, some of it is there. Too early for me to comment what will be the impact. I don't see an immediate and significant impact happening in the quarter.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing remarks.

Rupark Sarswat: So, thank you, gentlemen, for patiently listening to our answers and asking your questions, spending the time. Have a good day and a good year ahead.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purpose)

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Call: May 2023

30th May, 2023

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q4FY23 Results Conference Call

Further to our letters dated 24th and 26th May, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q4FY23 held on Friday, 26th May, 2023 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary

Encl: A/a

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"India Glycols Limited
Q4 FY2023 Earnings Conference Call "

May 26, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD – SALES &
MARKETING (BSPC)
MR. S K SHUKLA – HEAD – LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY
SECRETARY

ANALYST: M R. AKASH KUMAR – ICICI SECURITIES

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Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the India Glycols Q4 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Akash Kumar from ICICI Securities. Thank you and over to you Sir!

Akash Kumar : Thanks Evelyn. Good afternoon everyone. Thank you for joining us on India Glycols Limited Q4 and FY2023 Results Conference Call. We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat, Chief Executive Officer, Mr. Anand Singhal, Chief Financial Officer, Mr. Rajesh Marwaha, Head, Sales and Marketing, Mr. S K Shukla, Head, Liquor Business, and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceedings with his opening remarks post which we will have a Q&A session. Over to you Sir!

Rupark Sarswat : Thank you Akash. Good afternoon everybody and we welcome and thank you for taking out the time to join us and I hope all of you are doing well. Let me now take you through a brief statement of performance for India Glycol Limited for the quarter as well as the full year. You may have seen the results so I will quickly go through some of the highlights. If you look at the quarterly performance, we received a gross turnover of Rs. 1,616 Crores which is roughly 8.1%, a net turnover of Rs. 619 Crores which is down by 3.6%. Our EBITDA for the quarter of Rs. 100 Crores which is up 19%. We have seen a healthy EBITDA margin improvement so the EBITDA margin for the quarter is 16.1% which is up 306 basis points. If you can see for the quarter overall business has shown a good growth momentum during the quarter and you can also see marginal improvement which is supported by cost as well as some focus that we have had on better margin businesses. I will take about it a little later in a minute. If you look at the yearly performance, we have achieved a gross turnover of Rs. 6,642 Crores marginally up 0.6%. A net turnover o

f

Rs.2651 Crores down by 7.6%. Keep in mind that when we are looking at the comparative year for one quarter. For the prior year we also had the business which eventually became a part of the joint venture. EBITDA for the year on a consolidated basis is Rs.319 Crores up 15.4%. EBITDA margin has also seen improvement at 11.9% which is up 237 basis points. As I mentioned to you, it has been impacted to some extent by the transfer of the EOD business to the JV which was still part of IGL for the Q1 in the prior comparative year and we have also discontinued some lower margin businesses which has impacted our turnover but at an overall EBITDA and EBITDA margin level it has remained healthy. As you have heard from us before the pressures on energy cost have largely affected the entire year and having said that we have taken actions for cost mitigation which has helped our margin improvement. Giving you a quick snapshot of what happened through the year so you can

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Page 3 of 18 see, I have already advocated the numbers. We have had good revenue growth in terms of potable spirits which is up 10% and Ennature Biopharma which is at 22% and a decline in the BSPC or Bio-based Specialties and Performance Chemical top line with 15.9% again this is the part of the business from which the specialty portfolio was carved out and put into the joint venture and this is also part of the business in which we discontinued some poor margin businesses which is something that I have already mentioned. EBITDA in the quarter improved by 19% on a year-on-year basis compared to the same quarter of prior year and it improved 15.4% for FY2023 and you can see that there is a margin improvement across sectors so for the BSPC EBITDA margin for Q4 is 14.9% which is up 300 basis points and for the year it 9.7% which is up 270 basis points. For Potable Spirit for the quarter EBITDA margin is 16% which is up 40 basis points and for the year it is 14.1% which is up 50 basis points. For the Ennature Biopharma about 20 basis points improvement in EBITDA margin. That is also a business which is the highest margin business as such so that margin has been maintained. It has moved marginally up from 28.4% to 30.2%. Overall margins improvement across sectors we have had good margins sustained in ennature biopharma and we have also seen some positive impact on the cost including in house manufacture of grain-based ethanol and as I mentioned discontinuing some poor margin businesses. For Q4, PBT after exceptional items and share of profits in the joint venture is up by 43.4% on a year-on-year basis and PAT for the quarter stood at

Rs.40 Crores and Rs.141 Crores for the full year which is FY2022-23.

Coming to some other non financial kind of highlights for the business. As I mentioned cost pressures have continued with high international ethanol prices however we see some softening energy prices and as you all know a significant reset on freight which has been a relief to us. I will talk about in a couple of minutes about some signs of softening future ethanol prices but it is too early for me to say whether it is going to be permanent. If it happens it is good for us. We have talked about grain based ethanol plants that we have installed, we have commissioned. The originally planned capacity has been achieved. It is helping us mitigate the impact of huge feed stock price increases and we are working on further debottlenecking the ethanol capacity to get more ethanol out of it. May be we will do some bolt on capacity increases as well so as a result for the last many months we have completely stopped importing ethanol and if you go back one and a half to two years all the ethanol requirements for our business was actually coming from imports so I think that has been a major rise I would say strategic actions on the part of IGL to have taken that step I think it is helping us clearly. We have also from

time to time spoken about new value-added products to the new specialties unit so that project is by and large as per plan. It has got multiple units to be commissioned smaller units to be commissioned one after the other. One has already been commissioned. Of course businesses like this need much more than that. It needs significant amount of work in terms of product development and business development which is work in progress. We are working with several good customers
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Page 4 of 18 domestic and international and we have started initial commercial supplies to a few customers I think which has been a good start as we expected. On Ennature Biopharma we have successfully completed the EU-GMP audit conducted by the European directorate for the quality of medicine at our plant in Dehradun and this allows us to sell some of our nutraceuticals products in the Europe because it is a kind of a standard in Europe like FDA. On the joint venture front, we had a strong top line growth for the year but margins have continued to be under pressure overall because of the increased cost of ethylene oxide, feed stock and energy. IGL is also sold its entire stake in Shakumbari Sugar and Allied Industries Limited and the sale of the parent company's entire investment and equity shares and preference shares of the subsidiary is contemplated in one or more transfers to be completed before May 31, 2023. I stand corrected here. I have been told that it has been moved to 15th August 2023.

To give you a quick snap shot on what has happened in various business segments. As you know we have classified our business into three broad segments Bio-based Specialties and Performance chemicals which is BSPC, Potable Spirits and Ennature Biopharma. So, talking about BSPC Q4 revenue stands at Rs.389 Crores down by 9.3%. Full year revenue is at Rs.1705 Crores down 15.9% and we said that EBITDA for Q4 is up 12% and EBITDA for the full year for BSPC is up 17% and Q4 EBITDA margins at 15% are up 300 basis points. Full year EBITDA margins at 9.7% are up 270 basis points for BSPC. As I had mentioned and repeating it again business transfer to the joint venture was part of the Q1 2021-2022 results as far as BSPC is concerned so that is also in terms of comparative terms affect these numbers. We focussed on better margin businesses. We have discontinued some core margin businesses that has shown in terms of a reduction in top line but we can see a healthy growth as far as EBITDA and EBITDA margins are concerned. We have taken a number of actions including operational changes to bring down cost that has helped and we are developing new niche customers for our green products which are an ongoing process for us. The advantage also was that we now have in house ENA or ethanol available from grain based so not to a large extent to a significant extent mitigated the cost of increase in ethanol prices for us. New specialties unit is also going to help us build this business. It is a business that will grow slowly not a plant to set up and starting operating at 50%, 60% and 70% capacity right on day one. I think the entire exercise is about developing products, working with customers, and doing their business development work so that is in progress. On the Potable Spirits front, Q4 revenues are up 6% on year-on-year basis. Full year revenue up 10%. EBITDA for Q4 is up by a very good 32% and EBITDA for the full year is up 13%. On the EBITDA margins for Q4 it is 16% up 300 basis points. For the full year it is at 14% up 50 basis points. In summary, on the branded country liquor spirits, we have maintained a strong position in UP and Uttarakhand which has been the case for a couple of years. We also see that packaging material costs have gone up but they are stabilizing and they are giving us some room for margin improvement. There have been policy changes in
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18 several states. I think the biggest policy change or change after change I would say has been happening in Delhi where the government reverted to now only the government-controlled bodies since September 2022 after all that has been going on in Delhi which means that there will be no private retailers for whiskey. It is in a way myself from the point of view of managing outstanding. The UP government has given some price increases as far as country liquor is concerned and this is expected to have a positive impact in the upcoming financial years.

I am talking about Ennature Biopharma Q4 revenue was 16.7%, full year revenue was 22.7%, EBITDA in Q4 up 15% and full year up 22%. Margins for the quarter at 30.2% is up 30 basis points. Margins for the full year at 28.4% up 20 basis points. One of the good developments for the year has been a four times growth in the nicotine business segment compared to last year. We have continued to maintain this position as far as Thiocolchicoside is concerned. The market has been challenging from the point of view of demand as well as pricing and Thiocolchicoside is the API what also good is that the dependence on the business on API has been reduced by growing the business in terms of nicotine and in terms of branded nutraceuticals. That trend is expected to continue in the year ahead as well. You must have seen the financial summary so I will not go through the other details on the financial summary. I have covered segment wise performance and I have largely talked about the EBITDA performance but in terms of the reported results you will also see EBIT numbers because that is how it is supposed to be reported. I did not go through them because I have made that general commentary in terms of business of coming to segment wise performance. I have enclosed some details in terms of feedstock prices. The coal prices have softened a little bit which is good. Ethanol prices have continued to remain high, and I will talk about them a little bit. Ethanol has been important for our business, and I have from time to time spoken to you about the global ethanol scenario. I have mentioned to you that from a landed ethanol price of close to Rs.40 a litre we went up to Rs.70 a litre and the prices have continued to stay quite high for quite some time which is quite unusual if you look at it historically so obviously there are several considerations over there which includes ethanol blending, which includes the war. While everybody talks about war affecting everything but I think clearly you would understand that it has a significant connect. Energy prices in Europe went up very very high so a few things have happened some of which are encouraging. One is that there has been an extension of the grain day in Russia to allow export of grain through Ukraine navigating through Black Sea or the Bosphorus Strait. You would know that Ukraine is actually a big supplier of grain in the world. 10% of wheat, 15% of corn, and 13% of barley so that immediately impacts the grain prices and ethanol prices in many ways. You know the gas prices in Europe actually went up more than 10 to 11 times to something like €340 per megawatt which was down to close to €30 now so that has been a big relief based on the actions that Europe have taken. I understand that they have very significantly reduced the dependent on Russian gas. Energy India Glycols
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Page 6 of 18 prices of course were also putting pressure on ethanol prices for two reasons. One is that the increased blending of ethanol for the country to become more energy independent and also in general people have higher cost and likely more blending. I also understand that because of this constraint that Ukraine had they are also putting up their own ethanol plant so it will be very interesting to see what that does because they are finding difficulties in supplying the grain.

In general, rising interest rates a

nd weaker prices of the agri commodities like wheat and corn paddy has had an impact. There is a broader projection worldwide that longer term gasoline usage is expected to decline at least in US and some of the major markets and I think in India, it will probably see a similar trend for whatever it means you can all feel a little proud that India now is the world's largest producer and consumer of sugar ever since we were children, we thought Brazil was number one and we were number two but as I said I have just spoken about trends and we all know that in today's world it is very, very difficult for even the best experts to make predictions and I am no expert, but since it is something that impacts our business, I thought I will give you a quick update. So that is more or less what I had to talk to you about in terms of how our business has been doing across segments, what are some of the factors that have been impacting us or what are some of the actions that we have taken and hope I was clear in communicating what I had to and over to Akash for us to take a few questions.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Thank you for taking my question Sir. Congratulations for a good set of number so just wanted to understand the kind of margin expansion which we have seen in this quarter? Obviously there was some bit from the low margin businesses which we have discontinued and most of the benefit maybe would be coming from the grain based plant so what other apart from this what are the other factors has contributed to margin expansion and how much we are seeing going forward that could be possibility of further margin expansion in context of this grain based plant?

Rupark Sarswat : So Rohit to answer your question, I think first of all there are several factors. One of course is the fact that we have put in grain based ethanol capacities in house and as far as that is concerned in the last quarter we were using all in-house ethanol so a big jump coming from adding grain capacities by itself is not going to happen except that if we start to get cheaper ethanol from imports we could always direct what we are manufacturing largest parts of that for the biofuel segment or if we add capacity. The other thing that we have done as I said is we have taken steps to reduce poor margin businesses. In fact to tell you one of our challenges was that we run continuous plant and if you run continuous plants, various
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Page 7 of 18 products get produced at a minimum support rate anyway one of them being MEG so which means that in a very, very bad market, there really has been a bloodshed as far as MEG is concerned not only for IGL but for other people as well, but most of IGL given our higher costs so we had no choice but to held the energy that we producing so we have taken some operational action based on which we could operate our plant at much, much lower energy output and shifting the mix of product which we could sell. That has helped us, so obviously that business which sometimes could also be loss making. We are not doing in terms of top line and some other things that we are working on some action that we taken. We have been trying to run a very comprehensive energy equipment programme on the site. A number of those actions have been taken. Had it not been for some of those actions we would not have seen such results. That I believe will continue and we will get some more benefits out of those actions in the years to come because some of these actions are slightly longer term. It may take us six months or even one year to complete based on equipment that has been ordered. It is too early for me to say what outlook I gave for you to margin, but I think there is enough reason to believe that the mar

gin improvement that you saw this

year and this quarter is not a one stop happening. It is based on fundamental things. It is based on ethanol capacity. It is based on energy. It is based on changing the operational philosophy for our plant which allowed us to not do poor margin business so I hope that answers your question Rohit.

Rohit Sinha: Yes Sir thank you. Secondly, I mean as we were talking about the debottlenecking grain-based plant so just wanted to understand what is the update there when we are expecting new capacity to add and would we be looking for selling in the market also ethanol and if we have a better pricing scenario?

Rupark Sarswat : You have answered the question Rohit. Look I do not have numbers to give you right now in terms of what capacity increase, but we are quite encouraged that we have done the right thing and we are also aware that the government is quite bullish on continue to blend more. As you know the government has actually preponed their target of ethanol blending from 2030 to 2025 so which means there will be a requirement for ethanol and from our perspective anything additional that we produce, we believe we could always sell it for biofuel blending largely. Of course it is a little more complicated than that because there are geography constraints and transportation constraints. It is not that suddenly you could ship it all the way to Tamil Nadu, but yes the generic strategy will be of course we will also have to look at how to allocate our capex and so on but the generic strategy is to get some more capacities out of our plant without spending an awful amount of money and if we have whatever amount of surplus ethanol we have we could contribute more towards the biofuel opportunity.

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Page 8 of 18 Rohit Sinha: Okay great. One last question before I come into queue in the Potable business as we have mentioned that earlier we have got price revision from the UP government so for other regions what is the update and given the size increase there I mean from Q1 FY2024 maybe we should be expecting better margin in the Potable business also or it could be in the similar line?

Rupark Sarswat : See I think we are talking about branded country spirits and maybe I can ask and you want to comment or may be Deepak can comment and you can add.

Raju Vaziraney: I will comment on IMFL.

Rupark Sarswat : Deepak are you there.

Deepak Satya: To answer your question. In the country liquor the EDP increase will be having be having a kind of a positive impact across the strength of business that is 25%, 36% and 42.8% there has been a significant, not a significant one, but considerable price rise given by the UP government and when it comes to Uttarakhand the introduction of tetra packaging in the country liquor segment, it also gives us another kind of an area to improve our margins in this business.

Raju Vaziraney: As far as IMFL is concerned in Delhi, as our CEO mentioned a few minutes ago Delhi offers a good opportunity for newcomers and Indian companies because number of MNCs are not approved this year. You would have read it in the newspapers so what we have consciously done is in states like UP, where our deployment of working capital is very high because we have to offer duty paid credits. Here is an opportunity where we deal with government and government pays us within 30 days so the entire cash flow cycle improves number one. Number two, we have made huge gains in terms of as many as three Vodkas we are doing one plain and two flavors and cautiously we are trading the product mix and also the state mix so ultimately in the long term this will give us very good results because our dependence on our home states of UP and Uttarakhand number one will not only reduce, it will improve the cash pricing as well as the bottom line. Cautiously the management has taken a call to enter into markets which are corporation driven

where the

money is secure and the payments come in time so we are opening up in states like Rajasthan which is a corporation lead market and it is a big white spirits market and our Amazing Vodka is showing good signs and good traction so it is already number two Vodka in UP, Uttarakhand and Delhi so we would like to open up more corporation markets where we can make our presence felt.

Rohit Sinha: Okay Sir got it. That is it from my side. I will come back in queue. Thank you.

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Page 9 of 18 Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi: Thank you for the opportunity. A few questions from my side. Firstly I want to understand there is a statement in the earnings presentation where you say that you're a leader in country liquor so I just want to understand country liquor or branded country liquor and how different is the segment, how big is the country liquor size and how big is the branded segment out of that?

Rupark Sarswat : So it is not much of a difference as far as we are concerned. All are country liquor is sold as branded so it is branded country liquor.

Nitin Awasthi: Okay how much percentage market share would you have in branded country liquor if I may ask?

Rupark Sarswat : Yes Deepak do you know the numbers?

Deepak Satya: We hold a decent market share of about 25% to 27% in UP. We are one of the largest producers of country liquor there and in terms of the market share in Uttarakhand we command close to about a 50% to 55% share in Uttarakhand.

Nitin Awasthi: Okay so when you say you have 27% of country liquor in UP, you are not discriminating between branded country liquor and normal country liquor?

Deepak Satya: No, we are not discriminating between them. Both are the same.

Nitin Awasthi: Both are the same okay understood. Now I want to understand one more thing Sir in the recent excise policy by the state of UP, they mentioned something on the lines of what the Rajasthan government does in the sense of UPML or UML, UP made liquor how are you viewing the segment? Do you think this segment is going to be very lucrative for a company like yours who has a huge market in country liquor already?

Deepak Satya: Sir to answer your question. The UP made liquor is predominantly directed at I mean like in order to promote the production from grain, grain based ENA leveraging that to make a country liquor that is what the idea of the UP government was. What they have done is they have placed this entire UP segment UPML in the 42.8 strength of country liquor and we definitely do see this as a kind of like a large market. Having said that so this particular 42.8 has traction in all of your UP that is from West to East and we are currently working out on our logistics to cater to far West of the UP because our plant is in the Eastern side of the UP so in our adjacent districts of the manufacturing location we are pretty much well placed in

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Page 10 of 18 that and we are leveraging our existing network to penetrate into the shops that are allocated for country liquor, but on the Western and the central part of UP, we are working on our logistics and hopefully by the end of next quarter will be able to update you more on this.

Nitin Awasthi: Understood. Sir one of the participants had asked a question and you responded saying about the Vodka segment, you mentioned your positioning in the Vodka segment? You have also launched a whiskey single reservoir whisky is that gaining traction in the market especially the home market?

Raju Vaziraney: Yes see we have launched three new brands in the last one year and we would like to consolidate them. First, as you rightly mentioned, it is amazing Vodka. Amazing Vodka has got very good response from the consumers and we have as much as 25% to 27% market share in Uttarakhand. We have more than

12% in UP and we already have more than 17% in Delhi and within a span of one year. This is largely due to our brilliant blend that we have innovated and end of the day blend is what sells in the market. Now as far as single reserve is concerned, the whisky segment is very difficult in India because multinationals all make their brands available in India and it is very, very competitive. It is very easy for us to burn a lot of money and try to make gains in the whiskey market but ultimately the consumer is extremely, the franchise of the brands in competition is very, very strong and deep pockets are required for making whiskeys popular. So it is a slow burner, but it is a definite growth. We have good traction of single reserve in Uttarakhand and Delhi. UP we are concentrating on Vodka and the third brand that we have launched called Zumba. Zumba as the name suggests talks about fun and frolic and it is aimed at youth and it is a fun drink and we have got two expressions of Zumba. One is the Zumba Black, which is a spiced rum. Spiced Rum is a new innovation in the market. Youngsters love spice rum as opposed to the traditional cane juice which will give off smell. We offered genuine spiced rum and second is the, we have a very prominent summer in the North particularly in our hinterland of UP, Uttarakhand and Delhi so we have offered a citrus version of Zumba, the early signs are very encouraging. As you know we make Bacardi in Kashipur Bacardi brands, it is coming from the same source. We have very high degree of quality consciousness at our mother plant in Kashipur and the good report is that we are making good inroads into the semi premium segment. This is our first brand in the semi premium segment which is as high as Bacardi Plus we say so we are at say 5% higher than Bacardi and I am sure in the next few quarters, the brand will establish itself. So all the three brands we are very closely working. We have no plans to launch new brands because we want to consolidate on these new three brands launched last year.

Nitin Awasthi: Understood Sir. Sir last question from my side what has been the ENA price trend in UP and what is it now? What was it during the quarter and what is it now and the same thing for grain prices broken that is damaged grain prices.

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Page 11 of 18 Rupark Sarswat: Sorry.

Nitin Awasthi: Broken rice prices because that is what the main source of ENA would be?

Rupark Sarswat: Yes look, I think I do not have the exact numbers of the grain prices inside, but maybe you can send us this question. I know that they have been largely range bound which is around 22.

Anand Singhal: The grain which we are buying from FCI that is costing us Rs.20 and from the market, the grain largely is coming out in the range of Rs.21 to Rs.22 at present. The prices have slightly firmed up in last one to one and a half months but the FCI prices is firm at Rs.20.

Nitin Awasthi: Understood and similarly for ENA?

Anand Singhal: ENA in the market since we are buying grain and molasses more than the ENA it is still I will say that the grain prices are ranging from Rs.49 to Rs.52.

Rupark Sarswat : So you are talking about ENA buying prices or selling. We largely sell ENA.

Nitin Awasthi: I am talking about the selling prices or the market prices at which the market it trading or which companies are buying it?

Rupark Sarswat: So there is a wide range Nitin. It is anywhere between Rs.62 to Rs.65. Even in some places it is Rs.70 depending on applications and so many other factors. We are not a very big ENA player. We have our huge consumption based on our opportunity we sell.

Nitin Awasthi: Understood. Thank you Sir.

Moderator : Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good evening Sir. Thank you so much for taking my questions. Sir on the power and fuel cost, it is

above 15% of sales in Q4 FY2023 and can we expect this will normalize around 8% to 10% in that kind of range and we also signed an agreement with Renew Green to secure captive wind and solar hybrid power when this will come into the place if you could share more light on that? This is my first question.

Rupark Sarswat: Bala to answer your second question first. We expect the Renew agreement to be, we have

already signed it, but for us to start commercially getting this will be one and a half years from now but from this time roughly two years ballpark right and as far as the cost of materials is concerned I was looking at.

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Page 12 of 18 Anand Singhal: This you are asking Mr. Balasubramanian is vis-à-vis the last quarter or what.

Balasubramanian: Sir power and fuel cost in this quarter Sir Q4?

Anand Singhal: Q4 power and fuel cost is about Rs.102 Crores.

Balasubramanian: It is above 15% of sales and if you look at historical which comes to 8% to 10% of sales and will the forecast remain elevated in that range or like how you are going to manage?

Rupark Sarswat: So Bala what has happened is there two things while the power cost as a percentage is high.

One power and fuel costs not only power costs, One we have mentioned to you that the energy cost really went up and having largely it was quite high and that is why I also displayed a coal cost because that also contributes to fuel costs. So, we were buying coal on credit that is one factor. The second factor is that since we have also discontinued some not so profitable businesses in terms of volume, etc., so you see that to some extent that there is an impact of the scale so per unit cost seems to be higher, but if you see overall EBITDA level that is much better so I think in terms of trends, what I would see, it is a bit of a guess estimate looking forward. One is that as volumes come back, volumes were relatively lower, both from a daily perspective and from our own perspective. We got rid of some businesses and as an energy cost stabilize whether it is coal or whether it is a Renew power coming to us, I would a little cautiously say that our power and fuel cost as a percentage of revenue can be expected to come down. It is very difficult for me to give specific numbers but I have given you the rationale based on the current changes.

Balasubramanian: Okay got it Sir. Sir on the export side, what would be our revenue share for 2023 and Q4 FY2023 and are we facing any challenges on the export side because some of the countries are slowing down right now if you could share your comment that would be really helpful?

Rupark Sarswat: So, Bala countries are slowing down. Obviously, it will put some pressure. As of now, we had some challenges which have included freight, which have include increased costs of technology, it has included lower costs off energy, etc., so I think we have been all that is there. We are looking at it cautiously like you I also read Germany has gone into recession so there is no doubt that there will be some impact but how much is very difficult for me to right now say, but it is not that it is going to suddenly fall off the cliff. That we do not see.

Balasubramanian: Okay Sir got it. Sir on that Bio-based Specialties and Performance Chemicals if you could share which are that products are witnessing tractions or which are the products are facing slowdowns?

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Page 13 of 18 Rupark Sarswat: See, we have two categories in this. One is a category called glycols so in glycols what we saw was that over the last two or four years one big customers of our buying glycols for use in packaging, they shifted to recycled PET in the US and that customer at one point in time was 95%. All our sales to that customer came down. However, the good thing is that over the last three or four years, we have developed a number of niche few customers which is about

15 to 20 customers and our sales have continued to steadily grow and despite the fact that we lost a customer which was 95% of our sales four years ago, we have still maintained 70% of our profitability and we expect that the steady growth will continue in the years to come. You know, we have also seen some players who are working on 100% bio PET. Right now the bio PET which is made in the world uses two components. One of the component is Bio MEG. The other one is PTA. PTA was still not bio-based and people are very kind of somewhat excited that they would like to offer 100% bio based PET. When those units come up, we are expecting that it will happen in the next one to two years, we will see further traction in that segment. We faced a challenge as far as glycol ethers are concerned mainly because butyle prices internationally drop so we had a lot of competition whilst we maintained domestic sales over there. ENA, we have seen good traction for a few reasons. One is that we are now manufacturing grain based in ENA ourselves, so that momentum will also continue. In biopolymer, we have done quite well. It is a small business, but we have grown well both in terms of top line as well as bottom line and because of our focus on specialty value added products, we expect that momentum to continue. In the new specialty areas, it is something which is a completely new range of products, not something that has gone to the joint ventures. The focus that I have seen so far in terms of the work that we are doing on process development, business development, and initial commercial success is positive so you will see that we will continue to see good traction in a new specialty product particularly somewhat this year because this will be the

first year of various parts of the plant getting commission but definitely next year, so I have tried to give you a snapshot on the relative level of tractions that we are seeing in various segments.

Balasubramanian: Thank you so much for detailed answer Sir. That is it from my side.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on good Q4. Sir my first question is in the last one year we had a challenging P&L however the balance sheet has become more leaner given that we have done a lot of noncore businesses divestment, I just wanted to get a perspective from a three-year vision, what will be the individual levers for individual segments and what are the key challenges that we may face to get that particular vision right? Thank you.

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Page 14 of 18 Rupark Sarswat: So thank you Rohit for asking me a difficult question, but I will give you a long answer. You asked me about the key levers and challenges right?

Rohit Nagraj: Right I mean from a three year perspective, what are the growth drivers across our business segments and what could be the challenges that we might face?

Rupark Sarswat: Okay so the drivers for our business is one of the actions that we have taken was to do significant risk mitigation in terms of feedstocks and as I had spoken about it earlier we are one of the few companies which now have potentially three sources of ethanol and three potential outlet for ethanol so we could do grain, we could molasses, we could do imports and you can use them in chemicals, you can use them in potable spirits, and you can use them in biofuels. That has largely been taken and I think that makes our business quite resilient from the point of view of safeguarding some of the things that we saw. The second broad key driver is where is the growth going to come from? So in terms of the growth, we have been looking at several things. I think we have looked at new areas, which is what led us to taking our small steps toward new value added product where we are looking at amines, we are looking at plastic

zers, and we are looking at oilfield chemicals. Oilfield chemicals already we are selling some. We are looking at grain solvents and more new chemistries as well and the third driver would be our ability to leverage our strength and credibility in several areas which is sustainability, product development, process development, R&D and developing some real good partnerships and we are talking to as we speak at least five or six big global companies to see how we can develop some partnerships so these I see as key growth drivers. Of course, we need to take actions internally within the organization, which is to restructure and strengthen the growth engine in terms of people, in terms of systems and processes and in terms of culture. The challenges that I see is one of course whether the world slows down. The challenges in terms of feedstock prices like ethanol. Right now of course they are showing signs of a softening, which is a good sign and the competition response in terms of what happens to MEG, etc. I think and I like to believe that the worst headwinds that we had to see, we have seen in the last one and a half to two years. Some headwinds may continue. We may have a few new ones, but my guess is that the worst has been received and I will now we need to direct our sail make use on new tailwinds. There are potential significant tailwinds. I think the fact that the world is looking at India is a very reality for partnerships with good manufacturing organizations in India. For that there are a number of developments in India in the chemical industry be it hydrogen, be it with hydrogen-based chemicals, be it with ammonia, be it energy I think they are going to be very interesting enablers for the chemical industry so all in all I think times of caution continue if you understand that. We are in a very, very rapidly changing world but given what I have seen over the last couple of years, I am certain about what is going to happen but I am reasonably confident and optimistic that we will navigate this well.

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Page 15 of 18 Rohit Nagraj: Sure thanks a lot. That was an elaborate answer. Sir the second question is Anand Sir for you on the balance sheet front once these divestments are done and we receive money from Clariant the rest of the Rs.190 Crores, what would be the debt on our balance sheet?

Anand Singhal: Rohit if you talk about the debt numbers, the company is having say about Rs.621 Crores term loan okay as of 31 March 2023. Out of that if we get that money which is to come from the joint venture which is about Rs.100 Crores so that will also go to the debt repayment. Apart from this, we have a normal repayment of the rupee term loan which is about Rs.150 Crores and of course, the \$11.4 million for EPBG because the remaining period for EBVG is only for two years. So hopefully I will say that debt will start coming down because there is no big size capex in the pipeline except some of the expansions in the

grain distillery or some of the projects which we have already undertaken okay so we do not expect any big number or big increase in the term loan and of course, it will come down that is what I can say.

Rohit Nagraj: Right. Just one last question if I can squeeze in from the ethoxylate perspective the business that we have diversified to Clariant, how much of the ethoxylate usually go in for agrochemicals? I mean I am asking this question primarily because there has been a significant demand slowdown on the agrochemicals given that inventory destocking is going on and plus China coming back into the equation, so just wanted to get a perspective whether it will affect the JV business significantly or not Thank you?

Rupark Sarswat: Rohit I do not have the exact numbers or what percentage of there is argo chemical. I can only see that given some of the actions that we have taken on the cost front and some more that we will take because t

he challenges of the JV are completely different. As of now, we would be seeing some increase in daily off take activity but to be honest how agro chemicals, it is not really big for them. Look, there are many segments, but it is not as if it is the dominant segment for them.

Rohit Nagraj: Sure got it. Thanks a lot for answering the questions and best of luck Sir.

Moderator : Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Thank you. Good afternoon all. I got a few questions. The first is on the revenue outlook for each of the segments for say FY2024 and FY2025 we had a lot of the demerger which optically made revenue growth look softer for the last two quarters can you help us understand what is the range? I know we do not give guidance but at least a ballpark range if it is possible for us to grow the revenue assuming the raw materials prices remain where we are today.

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Page 16 of 18 Rupark Sarswat: Yes. As I said we do not give forecast for top line, but I have in my long answers to questions from Rohit and Bala before this I had talked about the levers and I have talked about the challenges. I have narrated the action that we have already taken. I said that some of these things will continue to possibly impact us in the times to come. There are some uncertainties around as you said, I was asked about the recession in the world about what happens to ethanol prices. The fact that I believe the last one and a half to two years was probably one of the most difficult times and times ahead in my view would be better and the same thing I have to say about the business very, very difficult to put a number to it or at least I would not like to give a forecast.

Sanjesh Jain: Fair enough Sir. The second question is on the ethanol we have used grain based ethanol for captive consumption while we started with the view that we may use it for the blending say a year down the line if ethanol prices come down to say Rs.40 again will you want to shift grain based ethanol for the energy and we start again importing back ethanol for our downstream products?

Rupark Sarswat: The answer is in your question. The good thing is that our capacities will not go waste. We can direct more and more towards Bio fuels and for captive use we will start using imported ethanol. We think it will help us in our top line as well as bottom line.

Sanjesh Jain: Got it, but jut now we have an edge on the raw material locally at least significantly because we are now backward integrated for ethanol from a business perspective what is more advantageous position for India Glycol? The ethanol prices remain high and we are backward integrated? We can always remain competitive to peers or you want the ethanol prices to normalize and we maximize the earnings from all our assets so what is more idealistic situation for India Glycols?

Rupark Sarswat: That is also clear Sanjesh you would understand that. If the ethanol was a free market and everything could be sold everywhere and then you would imagine that if the ethanol prices fall what would happen to my factory but that is not the situation. You have got a government which wants to blend 20% by 2025 compared to 2030 so they are encouraging people to put ethanol capacities and the price of ethanol is decided by the government leaving on the table some reasonable decent or marginal profit for the manufacturer. Okay so that is the case. In this respect what happens is, our other business which had the traditional business of India Glycols is in the business of ethanol based and bio based chemicals. Now you said we have an edge. We do not have an edge. We have tried to mitigate the risk. Right now we do not have an edge. At one point in time we had an edge because our competition is not ethanol. Our competition is crude so if the ethanol prices come down globally and for t

he chemical sector, it is good for us. Increased crude prices
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Page 17 of 18 and lower ethanol prices are good for us. It is more complicated than that but I have to give an answer, so that is what broadly it is.

Sanjesh Jain: No it is quite clear for me. The next question is on the JV performance for the year at least can you elaborate and explain as how is the JV performing? Are we on the track to what we thought when the JV was signed?

Rupark Sarswat: So on the top line yes. On the bottom line, no and I have mentioned to you that the same sectors which are impacting us, particularly EO and ethoxylate which we sell that affected their profitability quite a lot, but on the top line as I mentioned it has been a good growth for the year for the JV. So going forward, I think some more actions are being taken on the cost front, which will help them compete better in the market. Some actions are also taken which were always supposed to be slightly longer term which is developing the bio-based business in their international market which as you would imagine is time consuming one from an approval perspective and second, it also involves transferring some recipe and some technologies here which will also time consuming so those two are the positives which the JV would like to leverage in this year and the year ahead.

Sanjesh Jain: Got it. My last question is on the capex so we intend to increase our ethanol capacity from 180 KL to 360 KL and this will be largely a Brownfield so will this be a significantly lower capex than what we did in the first phase because a lot of infra will be commonly used when we are expanding the capacity and number two, what is the capex anticipation for a FY2024?

Rupark Sarswat: The answer to your question will it be lower is yes. We still have a lot of things to do. We have a Brownfield site already there. We also have some infrastructure traditionally from molasses base fermented, etc., contracting so the cost will continue to be significantly lesser than that of Greenfield size.

Anand Singhal: In 2024, we are hopeful that the capex size for all the capexes which is under pipeline or which we will start fresh like 180 KLPD to 360 KLPD will be around Rs.200 Crores.

Sanjesh Jain: Got it. You want to give the number what was in the capex means from increasing 180 KLPD to 360 KLPD?

Anand Singhal: No, that is in process. I cannot share that number right now, but the overall capex size for the year 2024 will be around Rs.200 Crores.

Sanjesh Jain: Fair enough. That answers all my questions and best of luck for the coming quarter. Thank you.

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Page 18 of 18 Moderator : Thank you. That was the last question for this call. I would now like to hand the conference over to the management for closing comments.

Rupark Sarswat: Thank you Akash. Thank you very much for conducting this conference. Thank you gentleman and ladies, no lady asked me a question though for joining us on this conference and showing the level of interest that you have shown by asking me a lot of questions. We hope we have given you the responses that you needed and behalf of my colleagues here thank you. A good evening and best wishes to all of you.

Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

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Call: Aug 2023

14th August, 2023

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q1FY24 Results Conference Call

Further to our letters dated 31st July and 9th August, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q1FY24 held on Wednesday, 9th August, 2023 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q1 FY2024 Earnings Conference Call"

August 09, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES &
MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) & COMPANY
SECRETARY

MODERATOR : MR. ROHIT SINHA – SUNIDHI SECURITIES & FINANCE
LIMITED

India Glycols Limited
August 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the India Glycols Q1 FY24 Earnings Conference Call hosted by Sunidhi Securities & Finance Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Sinha from Sunidhi Securities & Finance. Thank you and over to you, sir.

Rohit Sinha: Thank you, Aman. Good evening, everyone. Thank you for joining on India Glycols Limited Q1 FY2024 Results Conference Call.

We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat - Chief Executive Officer ; Mr. Anand Singhal -- Chief Financial Officer ; Mr. Rajesh Marwaha -- Head, Sales and Marketing, Bio-based Specialty Chemical Division ; Mr. S.K. Shukla -- Head, Liquor Business; and Mr. Ankur Jain -- Head (Legal) and Company Secretary.

I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarswat: So, thank you. Rohit. Happy to be here again with you all. Thank you for giving us the time this afternoon to give you an overview of how the Company performance has been. I know there is monsoon season in Mumbai, so I'll try and do a shorter presentation today evening.

Coming to high level numbers in terms of business performance:

Overall, we had quite a strong quarter, particularly from the point of view of profitability and margins. You see that our gross turnover is up 1.4%, net turnover is somewhat down 14.7%, largely because of certain low margin businesses from last year which we discontinued, which therefore helped the quality of the business in marketing.

If you look at the EBITDA at Rs.106 crores compared to same quarter of the last year ; it is up 54%. Our PAT is up 85% for the same comparison.

A combination of some of the actions that I spoke about, our EBITDA margin is 15.2%, up 697 basis points and PAT margin is up to 7.4% as well.

As I mentioned about the discontinued business, apart from that one of the things that we've spoken about before is the speedy installation of grain-based ethanol plants that has helped us mitigate the ethanol cost increases and saved us in some ways and part of the recovery in margins and good margin is because of that.

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So, talking about the business performance, as I said, continuing with that discussion, strong growth, PBT share, there's a strong profit growth, excellent EBITDA performance compared to Q1 of last year, largely led by the bigger segments of potable spirits and biobased specialties & performance chemicals. And you see EBITDA up 54.0% with EBITDA margins of 15.2%.

Revenue I spoke about down because of discontinued low margin businesses. But potable spirits has overall seen good growth at 14.7%. Even in chemicals, some of the core businesses have actually shown decent growth. To an extent, margin growth over Q1 of last year led by portable spirits in particular, where EBIT was up by 97% and BSPC EBIT is up 73%. So, if you look at the EBIT margin percentages for the sector, which is 10.3%

So, I was giving an overview of the performance and I understand that I was not that audible because I'll repeat a couple of high-level sentences. So, you see overall strong profit growth in Q1. So PBT including share of profit from JV is up 83.7% on a year-on-year basis. PAT at Rs.51 crores in Q1 is up by 85.4%. Excellent EBITDA performance compared to Q1 FY23. This is led mainly by potable spirits and BSPC we've seen a good EBITDA growth about 30%

. So, revenue

growth as I said has come down by 14.7%, but it is mainly on account of relatively low margin business that we've discontinued compared to same quarter of last year.

Portable spirit, however, has seen a healthy top line growth of about 14.7%. And in the core businesses in chemicals also, as I said, we've seen decent growth. And if you see our performance in portable spirit, EBIT is up 97.4%, helped both by top line growth but also importantly by cost mitigation of raw material, packaging, ethanol and so on. So, EBIT percentages for the segments are healthy, BSPC 10.3%, Portable Spirits 18.3% and Ennature Biopharma 24.0%. Within portable spirits, headlines were country liquor growth in UP and Uttarakhand, particularly in eastern UP. IMFL sales also, we saw a dip, but a lot of it was also because of sales channel optimizations to improve cash and collections.

Coming to some high-level highlights:

As I mentioned, we have commissioned the grain-based ethanol capacities which has helped us mitigate impact of ethanol cost increases. Ethanol international stock prices have continued to remain high for the quarter that we are talking about, however, I may say that in the last one, one and a half months, we've also seen significant softening of the future ethanol prices with respect to imports, which is good from our perspective, but it is too early to say whether the trend will be sustained.

I may like to bring you back to some of the discussions we may have had earlier, is if you go back roughly two years, imported ethanol landed per liter was roughly Rs.35 a liter. It went up to well above Rs.60 a litre and it held there for quite some time. There are many various factors, green energy transition related issues in Europe, energy prices in Europe, countries wanting to have increased self-dependence on energy and therefore blending more crop factors and also the Ukraine war which is a big producer of grain. So, this is what led to a big challenge for the India Glycols Limited
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business because our business particularly for chemical was largely dependent on imports over the last few years before they hit the price of Rs.60. But taking advantage of the Government of India blending program and encouragement to grain-based ethanol, we speeded our plans to modify, add augment capacity for grain-based ethanol which has allowed us to mitigate costs, but we are very closely watching the global ethanol prices. As I said, there has been softening over the last one, one and a half months and we'll see whether this continues. It will help us to in that case continue to import for our chemical consumption while continue to deliver ethanol that we make for biofuel sales. That will be good if it continues to see a correction to anywhere close to two years back.

We have spoken about new value-added products and addition of some assets for making new specialty chemicals. So, we have commissioned part of that, a smaller one and we expect to have a full commissioning by year end. But this is a specialty business. It takes time because these are new product lines where the lead time to establish our product opposite customers is long. But we are working on product as well as business development work with several reputed customers.

Ennature Biopharma commenced production of nicotine. One of the therapeutic plant extracts that we make at the capital side, doubling the overall capacity, and we continue to focus on branding nutraceutical range.

For Shakumbari Sugars & Allied Industries Limited, you are well aware... I will leave, Anand maybe you can give a quick update.

Anand Singhal: In Shakumbari Sugar in this quarter, we have got an additional amount of Rs.24.8 crores, total received is around Rs.80 crores against our deal amount of Rs.87 crores. Basically, we are most likely in the process of closing this transaction with the buyer.

Rupark Sarswat: Oka

y Thank you.

A small milestone sometimes makes us feel good. So, we received the certificate from India Book of Records for the highest sales of any country liquor brand, which is probably in a year which is selling 1.63 crore cases in a year.

A quick summary of how we performed in our business segments:

Starting with bio-based specialties and performance chemicals:

So, our Q1 revenues are at Rs.401 crores, which is down 26%. But our EBIT for Q1 compared to Q1 of last year is actually up at 41 crores, which is up 73%. EBIT margins are also looking healthy now at 10.3%, up 596 basis points. I mentioned about the impact on sales because of discontinued non-profitable sales.

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We've also made operational changes to bring down costs, which have primarily benefited not only specialties, but also the portable spirit business and we continue to look at other actions to reduce costs, we have more actions planned.

The thing that we have been watching very closely is the price of crude-based products against which we compete. We do not necessarily compete for price-to-price. People do pay a premium for being a product, but I think the delta with respect to crude-based product as of now continues to be high, which is also putting pressure on our joint venture as well as our chemical product.

As ethanol price gets corrected, as energy prices become better, we hope this impact will be reduced, but for the near future, we expect this broad trend to continue.

As I said, grain-based ENA now available means that we have not been importing ethanol for

our internal use or captive use, which has also helped us improve margins.

And as I mentioned about new value-added chemicals, we continue to look at various segments which include oil field, brake fluids, exploring collaborations for green solvents, bio-based amines, etc.,

In the portable spirit sector, Q1 revenues at Rs.235 crores are up 14.7%. EBIT, there is a lot of recovery and also growth is at 43 crores which is up 97%, and the EBIT margin is also up at 18.3%, which is up 767 basis points.

Growth was driven by country liquor in UP as well as Uttarakhand particularly in UP and IMFL growth in Delhi, we are continuing to look at selectively new areas, new paramilitary business in Uttarakhand, Tamil Nadu and Delhi, helped by in-house manufacturing of grain, packaging material costs have also been stabilizing, which has been good, and the plan to continue to increase sales in other markets which is ongoing.

As far as Ennature Biopharma is concerned, revenues up at 53 crores, margin is down by 3.3%. EBIT at Rs.13 crores and EBIT margins at 24%.

I spoke about nicotine capacity, we are at wider customer base for nicotine and business development on value-added derivatives which will put us in a stronger position, and we're also focusing on building, branding nutraceutical range.

I have given the overall kind of gist of my commentary. Now, I will request my colleague, Mr. Anand Singhal, to give you a summary of the financials.

Anand Singhal: Just to give the brief Financial Results:

The Company's income from operations is Rs.1,899 crores in the current quarter Q1 financial year '24, with an EBITDA of Rs.105.81 crores. The company has PBT of Rs.63.72 crores and PAT is Rs.51.14 crores. The Company has shown an EPS for this quarter is Rs.16.52 per share

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vis-à-vis the Q1 of the last year, the Company achieved EBITDA of Rs.68.7 crores and PBT of Rs.34.68 crores, PAT of Rs.27.59 while the EPS for the Q1 financial year 23 was Rs.8.91 crores. So, as Mr. Rupark Sarswat has already given the presentation that overall, the results as compared to Q1 of the last year has shown a very good growth. Because most of the persons had already received the results, so that's why I have covered in brief.

Moderator: We will now begin the question-and-answer

session. The first question is from the line of

Vaibhav Gupta from Bowhead India Fund. Please go ahead.

Vaibhav Gupta: Recently, FCI has stopped selling grains to distilleries, which has led to like a significant jump in the price of ENA as well. So, sir, what would be the price of ENA now versus Q1 FY24 average?

Rupark Sarswat: So, let me give you another point. In the meanwhile, maybe Anand if we can get the numbers. Yes, we have read the news that FCI had stopped supplies. We are quite aware we believe of what is going on in terms of what's going to happen. So, the larger picture there is two things. One, the blending program of Government of India is going on as planned. The target for this year, if I'm not wrong, is close to 12% and I think we are very close to doing that. Don't hold me for these numbers, but broadly grain required for the future part of the year is broadly 1.5 million tons or something, but the stocks are of the order of 40 million tons. So, from whatever I hear is while there may be some bit of policy thing in terms of pricing, etc., which may have caused a bit of a holding in terms of grain supply. We are expected to see increases in bioethanol prices because the government will want to blend more and more. In fact, the target to blend 20% has been preponed from 2030 to 2025. Broadly, there is no shortage of grains and we believe that they will be made available. We see it as a minor hiccup, we don't see it as a problem from a strategic, time price perspective. I don't remember the exact numbers of the price, but we can maybe give you details later on.

Anand Singhal: Initially earlier when the FCI grain we were getting, the open market grain price was around Rs.21.5 to Rs.22 which has now increased to Rs.24, Rs.24.5. While the government has also increased the prices of the ethanol by Rs.4.75 paisa, making it Rs.60.29 paisa. So more or less, whatever price of the grain has increased is now being compensated by the government by increasing the prices.

Vaibhav Gupta: And for the country liquor business, like there also ENA would be used, right, like given our huge volumes. So, like for that, like ENA how would be the change for ethanol? You have told that government has given this price increase of Rs.4.5, but there what would be the change like of ENA raw material?

Rupark Sarswat: There of course, a significant chunk of the ENA used is also based on molasses, all of it is molasses broadly, I think that's my understanding. So that segment is relatively unimpacted by increasing grain-based ethanol prices.

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Manish Pant: So ballpark number would be around 80% is molasses and 20% is being used from grain.

Moderator: The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: You summed up earlier that for the country liquor business, our raw material is molasses, we are not dependent on the grain from FCI?

Rupark Sarswat: Largely, yes. That 80% of the ethanol broadly that goes into country liquor is molasses.

Anand Singhal: The entire FCI grain which we are getting is compulsorily we have to supply for the blending. Yes, we cannot use that ethanol for internal consumption.

Saket Kapoor: Currently, FCI has banned the sale. So, has the ban not been implemented, can you put some thought on the same what is then the embargo created by FCI?

Rupark Sarswat: I started this discussion while Anand was looking at numbers, there is no official written ban on it is my understanding. There has been a little bit of a hold up because of some policy with respect to pricing and so on and so forth. I gave you an overall picture. That is my understanding of the stock versus requirement, which I think the stock position is very good. The amount of grain which you go into blending compared to the overall thing is minuscule. The government has been talking about still p

ushing for the blending program. I do not know. Have you seen a notice something which is saying there is a ban? I have not seen.

Saket Kapoor: We have seen in many distilleries coming up with a notification that FCI has stopped the supply of grain. So, my point was that.

Rupark Sarswat: You are right and as I said that it seems there is a bit of a policy thing on a few factors. It is true. We expect it to be resolved quite soon. That is the information broadly that we have. But there is no ban as such. It is true that for a short period not supplying, but we have not been served any notice as such that this is banned and so on and so forth.

Saket Kapoor: As of now, we have been sourcing the grains but at the higher prices?

Rupark Sarswat: The moment the government says it is banned; the government will have to largely drop its blending program. So, there may be some issues, all of which I may not be completely aware of. We are thinking in terms of pricing, balancing, review of monsoon and so on. Obviously, government works in a sociopolitical environment. But the feedback that we have is that the broader picture is intact, some corrections here and there should be okay and I'm quite hopeful that is how it will be.

Saket Kapoor: So just to clear it, we are receiving the government blending program which is in progress and they have raised the grain prices and to commensurate the same, ethanol prices have also been
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raised and we are participating in the ethanol blending program. This is what the current situation is?

Rupark Sarswat: Except it is true that for some days supplies have been withheld, which we don't think of it as a ban, and the reason it is not a ban is from my understanding of the matter is the blending program is intact, the PM has been talking about the blending program even after what I think is a temporary hold on supply and the stock position seems to be okay. So, it's not a ban. There has been a hold up. In order to resolve it. One of the actions that Anand Ji said is to improve the pricing for blending. So, it is a very clear intent by the government.

Saket Kapoor: Please repeat yourself what are you saying.

Rupark Sarswat: Stock position as a proportion looks fine. There is no as such official ban. Yes, there has been a hold up on supplies. The government is acting on several fronts, including improving final prices, as my colleague just told you. The government is completely on with this blending program. So, I am quite optimistic and hopeful that while there has been a hold because of internal review of some things, it's a bit of a speed breaker, it is not a dead end or anything.

Saket Kapoor: That has resumed already the way you are saying that the hold which was there....

Rupark Sarswat: But we are expecting that it should be resolved soon.

Saket Kapoor: That will impact our production numbers on the distillery front for this quarter as of now?

Rupark Sarswat: It may to some extent. We had also stocks of grain, you can also buy some grain from open market, etc., for some other purposes, we also can run on molasses, we can buy molasses, base ethanol and all, we can also import ethanol. I told you that import prices are looking interesting now. So, whilst I agree there is a bit of a road bump and a speed breaker right now, it is too early for me to sound alarm bells for the quarter.

Saket Kapoor: We are again pursuing CAPEX on grain based. So, once we come to know about this kind of risk propping up, how confident are we on further CAPEX again on the grain-based distillery or do we have other feedstocks also, provision for further CAPEX?

Rupark Sarswat: Strategic decisions are not completely changed based on technical situations. So broadly, our plan is that we are also in touch with people. But what does happen is, supposing we feel that there is going to be some delay, supposing that's o

ur starting point. So, with the CAPEX approval we have, my intention is very clear. We can always phase it out.

Saket Kapoor: With this portable spirit numbers, there is also profit margins. How sustainable are these numbers on a top line of Rs.235 crores we reported probably the highest number in my nearest memory.

So, are these numbers sustainable on ongoing basis or what should be penciling in going ahead?

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Rupark Sarswat: For the time being, yes, we are on a little bit of high spirits on PS. Yes, they are good... and I think look, if you look at fundamentally, we have done a significant margin recovery, margins used to be quite good in potable spirits even before. So given the broad operating environment and the cost structure with some price movements may impact. I mentioned to you about ethanol cost stabilizing, I mentioned to you about packaging cost stabilizing. Of course, we are also taking actions to improve our portfolio in terms of margins, look at a few markets. Let me summarize it this way. There is no reason to believe that it is a blip. But if you look at data numbers earlier, we had a decline where our margins really eroded because of packaging, because of energy because of ethanol. Now, a lot of this improvement is on ground of top line sales, better product mix, better raw material cost, better packaging cost, and better energy cost. I don't see energy cost suddenly sharp rising again... I think they have come down from quite high levels. I think we are expecting packaging costs to be stable. We are not expecting huge movements in ethanol availability and cost. We hope we'll maintain our market. You need not fear, which is my perspective to your point is that I don't see that as a blip in this quarter.

Saket Kapoor: And a small point, what are our current utilization levels in the entire portable spirits currently, how are the plants? As you mentioned that we had closing stock of grades. As of now, what are our utilization levels?

Manish Pant: So, I could tell you that we are running on 100% capacity right now still, though the FCI has banned this grain, but you must understand that whatever the grain we are taking from the FCI grain has to be catered to the ethanol blending program. Our ethanol blending program sales could affect for the time being, otherwise, we don't see any shortage in reduction of the capacities or shortage of the raw material for us in any segment.

Saket Kapoor: On the Ennature Biopharma as you have told that if we compare it from the last year it has shown a flattish revenue growth but according to your product profile and your trajectory what criteria do we have as far as Ennature Biopharma is concerned?

Manish Pant: For this Ennature Biopharma, our main two USP products like Thiocolchicoside and nicotine. The sales have been booked for the forward months also in advance and there is a stress, that's why the margin has not picked up in this year because of some sales pressure on the nicotine by international scenario. Otherwise, the third product which we are right now trying to envisage the possibility and we are having some breakthrough in the US market with respect to our branded nutraceuticals product like Ginger, Lutin and other products. So, we are expecting that the same scenario would continue for the next quarter, but after the next quarter, we are expecting a huge jump in our branded nutraceuticals product.

Saket Kapoor: So, sir for the year what should we penciling in from this segment when we did revenue closer to Rs.192 crore last year?

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Manish Pant: So against, last year of Rs.192 crores, we are expecting that our revenue would be around 250 crores.

Saket Kapoor: The margins should be similar to what we posted last year because of the improved value-added segment?

Manish Pant: So, this should be in the in

the range of 30% to be precise.

Saket Kapoor: Anand ji, what is our net debt number, cost of funds?

Anand Singhal: Average cost of fund is around 9.2% as of now. Regarding the debt number, our term loan outstanding as on 30th June is Rs.650 crores, EPBG is Rs.145 crores, apart from this, we have working capital fund base limit of Rs.350 crores and non-fund base limit of Rs.850 crores. So, this is all the debt.

Saket Kapoor: What is our current year maturity?

Anand Singhal: Around Rs.175 crores.

Saket Kapoor: A small understanding and a submission from my side is more in the investor presentation if that could be uploaded earlier, we would be getting some more time to review the same, if that could be looked into sir, it is submitted at the fag end of the call, hardly 30-45 minutes are left when the same is being uploaded. So please I would request the team to take care that ample time is given to us so that many questions which are there in the presentation already laid out can be negated out.

Anand Singhal: We'll take care from next quarter onwards.

Moderator: The next question is from the line of Ram Mohan Rao, a private investor. Please go ahead.

Ram M Rao: I've been an investor for a long time in India Glycols. A simple question, on the premiumization of portable liquor, can you give me an update on the launch of new branded premium brands of liquor or increasing the reach of premium liquor into new markets?

Deepak Satya: Sir Ram, this is Deepak here. On the premiumization front, our Amazing vodka is currently available in three flavors and they are spread across four states currently: UP, Uttarakhand, Delhi and Rajasthan. There are two more states which are in the pipeline. Having said that, we have also launched a premium White Citrus Rum with a name of Zumba Lemoni, it's again available in these four states. Rajasthan is currently under work-in-progress. Once the paperwork is done, we'll be launching it in the second quarter. And yes, our whisky has pretty much been well accepted in the states of Delhi, which is currently like as we speak, it's the fourth largest selling whiskey in its segment, that is a mid-premium segment. This is spread across the entire portfolio.

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Ram M Rao: What about nutraceuticals, are you getting into branding there as well?

Deepak Satya: Sorry, I couldn't understand your question. Can you come again?

Ram M Rao: The nutraceuticals segment.

Manish Pant: Ram, we have already got some of the patents and the brand approval for some of the nutraceuticals like Lutin and ginger and curcumin and we are in the arrangement with some US firms to cater the US market.

Moderator: The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata: We are launching a new product and there are a couple of capacity expansions that are coming in the latter half of the year. So, keeping all that in mind, what kind of top line could we look at the end of the year from the Company? The second question would be, are these margins that we have achieved in this quarter sustainable throughout the year?

Anand Singhal: Regarding the growth and the margin, I can only give you this picture that yes, the performance of the Company will be good or better whatever we can say and the margin whatever you have seen in this quarter, we cannot commit for the next three quarters because there are so many ups and downs, but yes, our intention is to maintain the margins for the full year '23-24.

Naitik Mohata: So, what would be the kind of scenario or basically what would be the factors that would enable us to sustain these margins and what kind of risk do you see for the same?

Rupark Sarswat: See, I have already articulated some of the factors which have led to this margin improvement. It will be better if you look at that and then I think partly it answers your question f

or the future.

So, the reason you are seeing improved margin up to now is one, improvement in the quality of the business, discontinuing some non-profitable businesses, so therefore you see an improvement in EBITDA percentage, etc., Second, risk mitigation in terms of ethanol cost by making in-house grain-based ethanol. Third, improvement in some cases of the product portfolio, say in liquor or elsewhere, where we are selling products which are slightly better. So, none of these factors was an incidental one shot factor for the quarter. Now, as far as the risks are concerned, broadly, these factors how they play out over the remaining part of the year... and of course there was one more factor which was energy cost which have also suffered and packaging cost. Freight was another one for people. So, if you look at these four or five factors which have led to margin improvement, so we would imagine that they will not suddenly drop off the cliff. However, these very factors are also therefore something that we keep looking at going forward. I don't see a big issue happening with energy. In ethanol, there may be some variation, but fundamentally, we've set up our own ethanol manufacturing, etc., some cost fluctuation may stay. Also depends on suddenly ethanol prices for imported materials were to slide back anywhere close to what it was two years ago, it will be an upside in terms of our ability to manufacture our products as well as increase top line by selling more into biofuels. So

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that's a potential upside, not a risk factor, but probably an opportunity factor. The other factor is how crude prices and crude-based alternative prices behave. It's not going to suddenly change because crude and crude-based prices are already quite low. In fact, if my understanding is correct, people who are manufacturing MEG, etc., are already under a lot of pressure and they are continuing to do because they have to continue to run their plants. So, I hope that will improve. But we do understand that while India continues to do really well, but globally there is a bit of a sentiment in the chemical industry, which is slightly cautious. So, I can't quantify what this will lead to. I have given you the factors which led to the improvement for you to see what you can yourself kind of extrapolate what will happen to those. And I've also articulated what are some factors that we need to keep an eye on.

Moderator: The next question is from the line of Rohit Sinha. Please go ahead.

Rohit Sinha: So, my question is on this new CAPEX on the specialty chemical segment which we are doing. So, I think a few quarters back we had announced around Rs.50-55 crores kind of CAPEX and now this is additional Rs.80 crores. So, wanted to understand if this is in order to expand those capacity or there are completely new products and what sort of end user industry would be focused on this?

Rupark Sarswat: See, this is part of the same thing. I think we had announced the intent now, we made a more specific announcement to the stock exchange, I think that's how it is and maybe the number is slightly higher, Rs.82 crores.

Rohit Sinha: So, we are seeing better visibility on those products or how basically we are considering this new CAPEX to culminate?

Rupark Sarswat: See, these products as you know, it's not like ethanol where the day you start manufacturing, you have a cost and you can start blending. These are performance application-based products. I can tell you that from my knowledge of the product pipeline, including products which are at an idea stage, we are looking at something like 30 products across several chemistry, of which, roughly 10 to 13 products are where we have completed the lab work, more than half of them we've done pilot plant and sampling. That's one way. The other thing is we are working with some very good customers which are global customers

rs, which includes Tao, includes Nobel, Lanzatech, New

Park, includes Baker Tools, it includes a number of these names, I can articulate a few more. So, we are building that business. I am quite satisfied with the product and business development pipeline, but this is a business which takes time building, it's a knowledge-based business. It is about developing a number of customized products for people. As per our plan, I think we are more or less on track in terms of product development. Now, we are focusing more and more on commercializing and scale up and business development as the plant comes up.

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If you make a product in the plant, we have to give samples, there is a gestation period, we work with the customers, there are internal approvals. So, it is relatively far more time-consuming. But I gave you a gist of the product and business development pipeline.

Rohit Sinha: What sort of asset turn we can expect from this CAPEX at peak utilization time whenever all these products would be at a commercial license?

Anand Singhal: The EBITDA margin we are targeting is around 15% to 16%.

Rohit Sinha: On this 130-140 crores CAPEX is there, so what sort of revenue contribution -?

Anand Singhal: This is for Rs.82 crores and we are not targeting a very huge amount of revenue in the first year '23-24. And depending upon the acceptability and the product development, then we'll target for '24-25. So, this year will be a nominal kind of turnover out of NSU, and then we'll decide.

Rohit Sinha: Secondly, on the JV business, how things are now looked at, the kind of growth or any kind of guidance from Clariant we are getting there for FY24 numbers?

Rupark Sarswat: On the JV, Q1 was much better than Q4. But it was not as good as Q1 of last year, mainly because of the delta I mentioned, on any petrochemical-based alternatives. So that pressure continues, but it is much better than what it was in Q2 and Q4 and we expect to continue to improve on account of a few things. So, what the JV is focusing on is one is increased exports where the EBITDA margins are much better. So, there is a pipeline and approval process that they're working on. They are also focusing on indigenizing some products which Clariant was importing and selling in India, and they're focusing on formulations. Based on this, our objective is and the way we look at is going forward is that last year was a tough year, Q4 was quite tough. Though it continues to remain somewhat challenging, but we'll continue to see steady growth and improvement.

Rohit Sinha: And on the IMFL side, what is the current market share that we are getting there...have you gained anything during last quarter?

Deepak Satya: To answer your question, you need to look at product-by-product wise. So, when it comes to different states put together, currently we are number 2 in Uttarakhand when it comes to the

vodka segment, when it comes to the whiskey segment that is assortment and it's associated with this in Uttarakhand, we currently hold number 2 position in that state, in that very price segment to be very specific. When it comes to Delhi in vodka, we are currently the third largest selling brand in the state. When it comes to the soulmate whiskey in the Delhi market, in that particular segment, we are currently occupying the number 4 position out there. When it comes to UP where our brand has been pretty much well established over more than 3,000 plus retails, we currently hold premium position when it comes to the Tetra Vodka segment, which comes in the economy segment side. When it comes to the glass segment in UP, we currently hold number 3 position in the vodka. When it comes to the whiskey side of it, we are currently like in the phase

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of improving our width of distribution, so it would be too early to comment upon the market share

because we are right now like 5th or 6th in the race right now. But currently the focus is all about like improving the width of distribution. In Rajasthan, currently we are in the process of introducing the brand in the market. So, we would not be in a good position to comment about the market share in Rajasthan.

Rohit Sinha: So, given the price hike which we have got in country liquor from April onwards, so can we expect somewhere around 15% to 20% kind of revenue growth in portable segment for FY24?

Deepak Satya: We are currently a bit bullish on the country liquor side of things because Uttarakhand market has also opened up a little bit. Previously, it was more from a quota perspective that okay, we were allocated certain districts, but now with the opening of market, we are expanding our footprint across the state. As we speak, we have seen a spike of about like 20% to 25% in our volumes on month-on-month. So, currently we are holding a run rate of about 1.1 lakh cases a month in Uttarakhand. And in Eastern UP, we continue to like to defend and grow in our existing market that is like Eastern UP, which happens to be the heartbeat of our operations. So, we are continuously like trying to expand towards the central side of the state and hopefully the volumes will continue to grow in the coming quarters.

Rohit Sinha: One last question on this MEG side, I mean, how has been the spread recently, obviously from last 6-7 months, it has been continuously falling, but how it has been in the recent time and how is the domestic and export business we are looking at right now?

Rupark Sarswat: Can you please repeat your question?

Rohit Sinha: So, on MEG spread, how it has been in the last few days I would say from July onwards and obviously since it has been on the lower side for the last few months, so how it is now placed?

Rupark Sarswat: Just hold on. What do you mean by MEG spread over last two days?

Rohit Sinha: I would say from July onwards for this Q2 FY24, and overall, what sort of movement we are seeing on the domestic and export front?

Rupark Sarswat: So first, let me answer your question to bring in the more relevant aspect which I have kind of alluded before as well. Our bigger MEG play's profitable growth is not competing with Reliance, at least for it has not been for the last some time one year plus and we don't see it currently, we don't see in the near future, as I commented about the delta and crude-based alternatives continues to remain quite high. So, it is not so critical for us to think on MEG cost, movement of crude or any petrochemical player with respect to MEG because we are not selling against them anyway right now.

Rajesh Marwaha: Initially my colleague mentioned that we moved out of certain markets which were low margin markets, one of the major markets was movement out of domestic MEG sales. So currently, all

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the sales are basically focused into exports, which is a green MEG and where we are not competing with the crude-based MEG pricing structure.

Rupark Sarswat: I would however like to add is that over the last say, four or five years we have moved bio-based MEG from being almost a one customer product to something like pipeline of 20 customers which is good. Because of a drop of one big customer which went into recycled pet, it meant it impacted our volume quite significantly, but our margins were not that significantly impacted. So, in a sense, while we may not have seen an exciting growth in bio-based MEG, but I believe it is more resilient than what it was four or five years ago.

Moderator: Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for the closing remarks. Thank you and over to you.

Rupark Sarswat: Thank you, Rohit, and thank you all who joined us. I didn't realize that I would make a short presentation but would hav

e a long set of questions. Anyway, that was our pleasure, it allows us to clarify things to you, also, give you a perspective on the business. Really appreciate the time of you all have. Good evening and on behalf of my colleagues, and also to them, a big thank you for hearing us out.

Moderator: Thank you, ladies and gentlemen, on behalf of Sunidhi Securities & Finance Limited, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes.)

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Call: Nov 2023

10th November, 2023

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q2FY24 Earnings Conference Call

Further to our letters dated 27th October and 6th November, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q2FY24 held on Monday, 6th November, 2023 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q2FY24 Earnings Conference Call

November 06, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES & MARKETING
(BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) & COMPANY
SECRETARY

ANALYST: M R. ROHIT SINHA – SUNIDHI SECURITIES & FINANCE
LIMITED

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Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q2 FY24 Earnings Conference Call hosted by Sunidhi Securities Limited. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Rohit Sinha from Sunidhi Securities. Please go ahead, sir.

Rohit Sinha

Thank you, Pelsia. Good evening, everyone. Thank you for joining on India Glycols Limited Q2 FY24 results conference call. We are joined on this call with India Glycols management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head, Sales and Marketing (BSPC); Mr. S. K. Shukla, Head - Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we'll have a Q&A session. Thank you, and over to you, sir.

Rupark Sarswat

A very good afternoon, and thank you for joining us, to give us a brief on the performance for the quarter, also how we've done so far in the year. So, I will briefly take you through what the performance numbers have been, what the general story behind the numbers is, and then we can take questions. So, if you look at the quarter, the performance for the quarter, look at the comparison of Q2 2024 versus Q2 2023. You would see that we've had a gross turnover increase of about 4.5% with a gross turnover of INR 1,871 crores. You know that we have a business which has a very high excise duty of about INR 670 crore. Therefore, the net turnover is actually up INR 775 crore, up 15.7%.

We've seen a very healthy. In fact, you would see a very good EBITDA growth for the quarter, which is at INR 105 crores, up 43.4%. And, it is also accompanied by improving the quality of the business that the EBITDA margin is actually 13.5%, up 257 basis points. So, what I would like to generally say is that, this set of results is quite satisfying to us as a management team. But we were also expecting the results basis the kind of actions that we've taken over the last couple of years. And they are not different from what we have communicated to you in terms of what we have been doing. And therefore, I can say that the performance has been resilient.

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It has been on the basis of a foundation that we kind of created in a situation where probably in the last couple of years or two-and-a-half years, ideal phase to one of the toughest times in some ways with our feedstock prices and energy prices really going through the roof. And we had spoken about before the actions that we would take on feedstocks and cost and so on. So, in that sense, it is a result of that foundation work, which has been done systematically, delivering profitable growth. And we are quite hopeful that these set of actions, of course, business as a level of uncertainty, as you saw in COVID times and all sorts of things can happen.

But there is reason for us to feel optimistic and believe that this performance and this trend will continue. And there's some satisfaction saying that we've taken the right actions to deliver a sustainable profitable growth in the times to come. And I will briefly touch upon what we've done to kind of deliver that growth. Let me just go back and give you a snapshot of what happened in the first half, and then I can talk about the common points together. So, if you look at H1, the story is by and large similar to what we are talking

in terms of Q2. So, our net turnover is flat. And I say that whilst it's flat, this is also flat because we've discontinued some low margin or non-profitable businesses.

Some of which is trading business, but you would also know we have discussed before that because we were running a continuous plant, and because we faced a lot of headwind in MEG, and the continuous

plant has to be run at a particular throughput rate, some amount of MEG had to be sold in the market, completing with food based MEG not necessarily making us money. So, we've made operational changes to be able to produce much less MEG and not having to sell all of that, which means that our net turnover is kind of flat. But if you look at our EBITDA for the first half at INR 212 crores, it is up 48.5%. We are happy about it and I'm sure our shareholders will also be satisfied.

And our EBITDA margin, this is also important. You see, just 2 years ago, I was trying to explain an EBITDA margin, I know exactly of 9.6%. And we have moved in about 2 years from 9.6% to 14.3% EBITDA margin, which looks quite healthy. And now coming to some of the general actions, which tells the story behind this trend. So, if you remember, we had said we are going to do a few things. One is that, the thing that had affected us really badly was that we were dependent on imported ethanol as a raw material feedstock for ourselves, particularly the chemicals business, and roughly, to give you a flavor, don't hold me to a precise number, the landed price of ethanol went up from something like INR 35 a liter to well above INR 60, INR 64 a liter.

And ethanol prices have continued to stay high, though not to such high levels of INR 64 levels. So, one of the key actions for us was to mitigate that risk. There were changes happening in the Indian marketplace or in the Indian economy, where the government was encouraging production of grain-based biofuel. So, we were very, very prompt in taking that calculated view and putting up significant grain-based ethanol

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capacity, which we have done, and which is yielding results. So, which we can reduce the cost of ethanol for our potable spirit business. It's reduced, relatively speaking, the cost of ethanol also for the chemicals business.

In future, however, the cycle may be turning, which will be beneficial for us, and I will talk about it. And, so that is a big base of the business. And now I used to talk about our 3x3 metrics, where we have three options to get our ethanol - molasses, grain-based, or imports. And we have a way, a three kind of uses for our ethanol - potable spirit, biofuels, and as an intermediate for chemicals. So, it has also created a new segment of biofuels for us, which will also continue to drive top line growth for us in the years to come. So that is one action around ethanol manufacture, ethanol sourcing, and optimizing it with respect to the front end usages of it.

The other significant action for us was to look at our costs, for which we have done significant amount of work on energy, looking at our operational models, which has also helped us contain our costs. And the third bit, which is about growth. So, there are two significant factors on growth. I think one is, putting up grain-based or damaged grain-based ethanol capacity, have meant that we can now sell bio-based ethanol for petrol blending, which we are doing. And the second thing which we are making relatively steady progress, but it is expected to take time is to start manufacturing new value-added chemicals, which is something that we have started as well, though it is relatively smaller business right now.

We have just commissioned part 1 of the plant, part 2 is expected to be commissioned by the end of this year. But I am quite satisfied with the project pipeline that we had with the number of reputed customers. And over the years, we expect th

at that will continue to drive, to give us some top line growth, but also improve the quality and stability of our business. So, biofuels and new specialties is largely in terms of top line growth and some prompt actions. So, this I think by and large explains the numbers that you see on your chart. And, we've had a good performance in terms of potable spirit sales, driven mainly by in spirit country liquor sales, we continue to be market leader in Uttarakhand as well as UP, where sales are actually up 80% in Q2.

As far as ethanol is concerned, we still continue to have cost pressures, because ethanol cost within India is high. However, what has also happened is that imported ethanol prices have significantly softened, though they have not gone back to the levels which were pre-COVID close to INR 35, but they have been consistently hovering around INR 50, which means a very interesting thing for us. Now, we put up capacities which were meant to service ethanol requirement, but also, give some product for biofuel. We are seeing that if this trend continues, and we see that continuing. We could go back to importing ethanol for chemical use, and all the capacity that is needed in grain-based ethanol, because it fetches a better

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realization would go on to adding the top line in biofuel, which I think is, if it continues, it's going to be even more positive than what it has been right now. That is how we see it.

I've already spoken about, the new value-added product and a brief comment on the joint venture. Joint venture overall has been functioning quite well. I think the integration has been very good. The challenge of cost pressures like our chemical business has continued on the joint venture. And by and large, the joint venture has been focusing on formulated products, indigenizing products in India, and also looking at exports from India for bio-based products, fetching us some premium. So, there is some pressure there, but the joint venture is functioning well. And, we believe that as we do think about improving ethanol costs, including going back to the softened ethanol prices of internationally imported ethanol, that should help the joint venture.

In terms of headlines for our business units, if you talk about bio-based specialties and performance chemical, I think we are moving towards, calling it, chemicals and biofuels, as biofuels becomes a significant part of what we do in the space, so this will continue to drive top line. As I said, we have been somewhat, let's say, being doing business in the sense that we have done business, which was not profitable, which we had to do for various reasons. And things like reduction in freight, reduction in coal costs have also helped improve our margins. And, yes, it is an important sector for us in bio-based MEG. Bio-based MEG has been, kind of flat or has been under pressure in terms of volumes.

But the development that we go seeing into the future is that the market for bio-based MEG will continue. Bio-based MEG goes into manufacture of polyester or PET, there was a feeling that recycled PET will replace a lot of bio-based MEG. We see that recycled PET has its own challenges, including the number of recycles that you can do. So, we will continue to see some traction for bio-based MEG in its own way. World is also working on 100% bio-based PET, which include bio-MEG and, bio-based PTA, we are engaged with those people who are working on those projects and as those materialize in the next maybe couple of years that will be another interesting growth period.

I have already spoken about what has happened in the portable space. In the Ennature Biopharma space, it is a relatively smaller segment for us. The headline is that, whilst we've been under some pressure for sales, largely because there's a lot of competition in nicotine and there's a lot of cost pressure there,

which

has also eroded our margins. However, we continue to maintain our position in Thiocolchicoside. We have our sourcing of raw materials well covered over there. And there is a push for data quantities and demand in the market. And to some extent, it will continue to mitigate some of the market pressures on prices and costs that we have in this segment.

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So, that's a very, very quick summary of what are the headline numbers and what has been the story behind these numbers. And let me now request my colleague, Mr. Anand, to take you through the financials.

Anand Singhal

Thank you, sir. So, now for Q2 FY24, the net revenue from operations is INR 775 crores vis-à-vis the last year's Q2 of FY23 is INR 670 crore, showing an increase of 15.7%. The EBITDA amount for the current quarter is INR 106 crores consolidated basis vis-à-vis INR 74 crores in the last year Q2, so the improvement of 43.4%. The PBT in the current quarter is INR 50 crore vis-à-vis INR 31 crore in the last year's quarter, which shows a 59.5% growth. And PAT is INR 38 crore vis-à-vis INR 24 crore, which shows an improvement of 61%. EPS for the current quarter is INR 12.3 vis-à-vis INR 7.6 in the last year's same quarter, showing an improvement of 61%. So, as CEO has said that there is improvement in all the areas.

As well as on a consolidated basis half-yearly result is concerned. So then, in H1 FY24, the revenue from operations of net of excise is INR 1,464 crores vis-à-vis INR 1,478 crores showing a decrease of say about 1%. EBITDA is INR 212 crore vis-à-vis INR 143 crores, showing an improvement of 48%. PBT is INR 114 crores vis-à-vis INR 66 crores in H1 FY23 last year, showing an improvement of 72%. And PAT is INR 89

crores vis-à-vis INR 51 crores in H1 FY23, showing an improvement of 74%. EPS in the first-half of the current year is INR 28.80 vis-à-vis the last year H1FY23 EPS of INR 16.50, showing an improvement of 74%. So now in the current half-year, the EPS is 28.8%. So, this is what is the consolidated basis. The standalone, I am not giving the numbers because I want to give more time for the question-and-answer session. That's all from my side.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. First question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian

Sir, after two quarters we have seen a decent growth on bio-based and the chemical side. And, like, I just want to understand which of the sub-segments have driven the growth. And if you could throw some light on the overall demand environment on each sub-segment. This is my first question.

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Rupark Sarswat

Okay. What is your second question?

Bala Subramanian

Second question is, we have the plan for Capex of INR 160 crore for grain-based facilities from 300 KLPD to 500 KLPD. So, what is the status of that? And the third question is, we have seen substantial INR 90 crore to INR 100 crore increase on that balance sheet, inventories, receivables, and payables side. So, if you could share more light on the working capital side also?

Anand Singhal

To take up your question number two, regarding the expansion in the grain project. So, as of now, from 300 to 500 KLPD, we have already completed 300 KLPD grain distillery in Kashipur, and the 400 KLPD will be finalized till 31st December. And 500 KLPD as per our projections will be completed by 31st March 2024. So, this is what is our internal projections. And to be very frank, till-date whatever expansion in the grain distillery we have done is as per the target. And third question, regarding the increase in the stock and the inventory means receivable, that is a routine kind of thing. I cannot comment on that right now. But that is as per the balance sheet

as of 30th September 2023. So, not much about the increase in the working capital.

Rupark Sarswat

Yeah. So, let me take your first question. So, in terms of chemicals, you wanted to know what are the sub-segments which have given growth within chemicals, right? So, we divide our chemicals into three broad categories. They are not roughly equal. We may change the categorization in future. One is performance chemicals, which includes the specialties, which included by glycols, glycol ethers, and also biofuels. So here, we have seen a top-line growth of 16%. Significant part of that top line growth has come from supply into biofuels, which had roughly contributed about INR 100 crores of the increase. And we also have another segment called bio polymers, where we have seen some growth in H1, which is about 2%, but we have seen much better growth in terms of its contribution.

We also have a segment called industrial gases which is much smaller. There, we have seen something that's like a 35% increase. And this increase is mainly, mainly driven because of increased demand for argon gas and its prices. So, to tell you what has happened here is that my understanding is that with the India imposing anti-dumping duty on some stainless steel, India is manufacturing more stainless steel, so

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more demand for argon. And also, I think some package of suppliers were cutdown that led to a better pricing for us as well. So, this is how the growth has been under three sub-segments within what is broadly a chemicals space.

Bala Subramanian

Sir, my final question is, the industry is moving from molasses based to grain based. What would be the cost advantage overall the industry perspective?

Rupark Sarswat

There is no straight answer to this. I'll tell you why. Because when you say industry is not moving from molasses to grain based. Industry is doing as much molasses based as it can, plus it is adding grain-based capacity. Okay? So, the sugar mill has two grades of molasses. One is B heavy molasses, and the second is C heavy molasses. C heavy molasses has less sugar to be converted into ethanol. So, every sugar mill is trying that they should convert all B heavy and C heavy into ethanol. But the government is also now allowing ethanol being produced from sugarcane juice. Now, what the government has done, I don't remember the exact number, it is not based on cost alone. Government has given different prices for each one of them for procurement into biofuels. So, really speaking, based on the government prices, you have to look at how much margin you make on B heavy and C heavy or sugarcane - juice based usage ethanol. That is one.

People are not moving. People are adding grain-based capacities. Why are people adding grain-based capacity? Because there's a huge increase in demand for ethanol. The government has a plan to do 20% blending by 2025. We are well on track to achieve that. I think we did roughly, I don't remember the number, something like 10% last year, this year I think the target is something that close to 12%. And based on the capacities that currently exists, they will continue to be demand is exceeding supply. So therefore, people are putting up grain-based capacity, both damaged grain and whatever excess is available.

Moderator

Thank you. Next question comes from Saket Kapoor, an Individual Investor. Please go ahead.

Saket Kapoor

Firstly, Rupark sir, you mentioned about the benefit of lower ethanol prices will aid to the profitability of our JV. Am I correct?

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Rupark Sarswat

As I mentioned, initially, we were procuring imported ethanol, ballpark just to explain the situation to you, something like INR 35 landed per liter in terms of imported ethanol. This is pre COVID times. This shot up because of a variety of reasons, energy tr

ansition, increased blending, so on and so forth, Ukraine war, to something like INR 64 a liter, where it really started pinching us, okay. We invested in grain-based capacity for some time. We started to replace that and that helped us. Now, the imported ethanol prices are hovering around something like INR 50. If I make grain-based ethanol or molasses based ethanol, generally the realization on an average in biofuels is something like INR 63 a liter.

Now, irrespective of the cost that I produce at, whether it is INR 53, INR 54, INR 50 it depends on rice prices and DDGS prices and so on. If I have capacities, It makes much more sense for me to first sell to the biofuels market where I have a realization of INR 64. Now, which means, then I can use all my capacities or most of my capacities to serve biofuels. And if the imported ethanol prices hover around INR 50 a liter,

it makes much more sense to start importing. If I look at the trend going forward for the next 6 months, maybe the next entire year, that is my estimate. It will make sense to import ethanol for use in chemicals, which means that ethanol which was much more expensive base because in-house produced, that cost will come down for chemicals in IGL. And one of the chemicals in IGL is a feedstock for the joint venture, which is ethylene oxide. So, we do expect it to help the joint venture.

Saket Kapoor

Right. Sir, earlier, our pain point last time when the commodity prices touched the roof, it was also for the coal prices. Now with the current trend, I think so the power and fuel cost on a QoQ basis is down from INR 95 crores to INR 83 crores. So, in the near vicinity what's the outlook, and I think we will be receiving the benefit of lower power and fuel prices going ahead also?

Rupark Sarawat

It's not about benefits. I think we had a huge pain because of the increase in coal costs. So, that that pain has got mitigated. And that we expect in the times that we see. It's a very dynamic world in terms of what leads to coal prices, et cetera. We see that coal prices have stabilized maybe marginally higher than what they were before COVID times to somewhere close to that. And in the near future, we expect the energy prices to be stable around those numbers. And whatever benefit or whatever contributions of that cost you see in the number there is expected to continue in the near future.

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Saket Kapoor

Right. Sir, if I may add just one more point. In your presentation, especially, sir, if we see, you mentioned about that our Ennature Biopharma performance has been subdued for the quarter also and for the first half also. If we take the top line and you mentioned in your presentation about the nicotine prices and the pressures, there. So, what's the next step of mitigation activities we are doing? And also, sir, in your presentation, you have mentioned about that you have a commenced production of nicotine at Kashipur doubling the capacity. So, if you could just give us some more understanding, and also about the other product.

Rupark Sarawat

So, Saket, basically what has happened is, nicotine has use in first of all in therapy because for de-addiction people use nicotine, and I think it has some use of intermediate, et cetera. So, there is a large number of player in the marketplace has been quite competitive because which has meant that we have seen price realization fall off something like 10% to 15% in 2023-24 compared to 2022-23. So that is mainly because of increased competition, not because of suppressed demand. And as far as the Kashipur facility where we were converting some of our given assets that were concerned, it is looking at the demand scenario. What we are also doing for nicotine is working with and because it is in the pharma space and similar space, et cetera.

We are looking at newer markets where, say, the US, in Europe, et c

etera, where realization is better, though the approval time is higher. So, we are working on our standards, our quality so that we can get those approvals. And, we are also looking at, in some cases, having tie-ups for some of our products which are right now not a very large part of what we do in Ennature Biopharma. It seems like where we could supply ready to consume B2C kind of branded products. So, we are looking at those kinds of tie-ups for curcumin, Astaxanthin etcetera. So, these are the main actions. And of course, in this scenario, we are also looking at how we can reduce our cost, improve our processes, improve our sourcing, for example, in Thiocolchicoside, that's the raw material plant-based, India is the largest producer.

So, your position with respect to sourcing also determines your margin. So, one of the good things that I understand, people have Thiocolchicoside supplies covered better than what we think some others have, and Thiocolchicoside demand has been strong. So, we expect that our top line and bottom line in Thiocolchicoside, will continue to remain healthy in the near future.

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Saket Kapoor

And what has been its contribution, sir? This product which you mentioned right now, for the first half in terms of the top line and bottom line. Also, sir, if you take into account this segment performance, last year, our top line was at closer to INR 192 crore and the bottom line was around INR 49 crore profitability. So, taking into account the current situation, what should be the trajectory for the second half, since the profitability has moved lower QoQ from INR 13 crore to INR 7 crore, and for the first half it is closer to INR 20 crore. So, especially for the segment if can tell us the future outlook?

Rupark Sarswat

Look, also keep in mind that, before that Ennature Biopharma productivity and top line had grown very well. So, business has a bit of cyclical. So, if you look at potable spirit for Ennature Biopharma, H1, we registered a top line of INR 99 crores, right? And we've registered, a bottom line of INR 20 crores, in terms of EBIT that is what has been shared to you in H1. The expectation is, while we expect the pressures on nicotine, et cetera, to continue in the second half, because we are working on approvals and new market, et cetera. But because of our better position in Thiocolchicoside, in terms of sourcing, we expect that, while the pressure will continue, our profitability in our top line will be better in the second half.

Saket Kapoor

Okay. So, is it fair to match last year's number, sir? Is there any visibility basis the current numbers?

Rupark Sarswat

We think that it will be better than first half. We are trying to kind of be equal or better what we've done last year. But we expect some challenge in the whole year, though the second half will be better than first-half.

Moderator

Thank you, sir. Next question comes from Makarand Tilloo, an Individual Investor. Please go ahead.

Makarand Tilloo

Thank you very much. Sir, I would like to ask you that, this LanzaTech, that was mentioned in previous presentations. When this project will be in full fledged next year? What kind of turnover we are expecting?

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Rupark Sarswat

So, this question has been asked to us before. See, we are working with CarbonSmart products with Lanza with a number of reputed customers which include Dove, which includes Migal, which includes Unilever, and possibly some others where we have not or they have not made it public. As I have spoken many times, this is a new area. It is not going to suddenly grow, because there are various things like supply and cost and so on, but it is the future direction in which the chemical industry is going to move. So far, we've continued to make steady progress, but, you know, s

low progress in this area.

And because it is so new, it is very difficult for us to give you a number on what will happen in LanzaTech number next year. What we are hoping is that the CarbonSmart feedstock prices become lower. We know that some of the CarbonSmart feedstocks may become available in India. I'm sure they will become

available in India. And I'm also sure that, the cost and prices of those feedstock will continue to come down. But to put a timeline number and how much will happen next year is difficult for me, and I'll have to give you that answer.

Makarand Tilloo

Okay. The second question was that, there was some information that there is a change in molasses policy regarding GST and it will help the distilleries. So, can you elaborate or let us know how our company will be care getting the benefit?

Rupark Sarswat

Look, I'll have to look at some of those details. So, why don't you just put in this question and let me talk to the concerned person with some details and we will revert to you on the specifics of the policy and specifically what it will do to us. Because I also need to understand what exactly you meant.

Makarand Tilloo

Yes. Correct. Sir, we have sold the Shakumbari unit. So, how we are going to get benefited due to this?

Anand Singhal

Actually, Shakumbari was closed and it was not working. So that was a dead asset or you can say a non-performing asset in the books of the account. So, that's why we have sold it out. We are not getting any benefit out of Shakumbari running or not running.

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Rupark Sarswat

We didn't want to focus on running a sugar mill as-simple-as there. Sugar mill is a complex kind of business, for whatever reason 14 - 15 years ago, it was acquired. Anand Ji, when was it's acquired?

Anand Singhal

It was in 2008.

Rupark Sarswat

Right. So, I think the broad strategy was for a variety of reasons in the area, et cetera, that we don't want to be in the business of sugar mill. So, it was best for the company to liquidate or sell that asset, and that was the main reason.

Makarand Tilloo

So, whether it will help us in reducing our interest cost?

Anand Singhal

No. Shakumbari was not having any debt in the book. So as such, there was no interest cost in the books of Shakumbari sugar, except the ICDs which they have taken for repayment of the debt and other things.

Makarand Tilloo

Okay. And another question is that, our company will be completing around INR 3,000 crores of turnover this year, tentatively. So, internally, when company feels that it will touch INR 5,000 crore of turnover?

Anand Singhal

INR 3,000 crores you are talking about net or gross?

Makarand Tilloo

Net.

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Anand Singhal

So, this year, hopefully, we will achieve about INR 3,500 crores net turnover, as per our internal projections. And we cannot give you the concrete year when we will reach to INR 5,000 crore.

Makarand Tilloo

Okay. And the last request to you, sir, that our company is now performing very well under all of your activity and actions and management. So, that has to be reflected in the digital way, our website has to be renovated and digital presence need to be reshuffled. So, are we planning anything regarding that?

Rupark Sarswat

So, yes, you're right. That work is more or less completed, very soon you'll see a new website, very soon.

Makarand Tilloo

Okay.

Moderator

We have a follow-up question from Saket Kapoor, an Individual Investor. Please go ahead.

Saket Kapoor

Anand Ji, for the first half, our capital work in progress closing balance is INR 102 crore. So, if you could just explain what is affecting to which project, and how much Capex exactly we have done and capitalized for this quarter as the depreciation has gone up by around

d INR 8 crore QoQ.

Anand Singhal

The depreciation has gone up because of the capitalization in Q1 and in the last year. INR 102 crore capital work in progress is related to more for the grain project, and the NSU project which is under process. Apart from this, there are some maintenance Capex which is continuously going up. And current year, we will be completing the grain project from INR 300-500 crores, which will cost about INR 160 crores. Apart from this, we are putting up one more project, one more grain project in Gorakhpur for adding 180 KLPD

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distillery of grains. So that will also cost us about INR 80 crores to INR 90 crores, and project will be completed. So, more or less, the capital work in progress in process will be say about INR 300-350 crores.

Saket Kapoor

Sir, I miss the Gorakhpur point. When will we do the Gorakhpur capex and by when will it be implemented?

Anand Singhal

Gorakhpur Capex is in process. We have just completed the financing and other things. The process for

finalization of the machinery supplier is going on, and hopefully, this will be completed by 30th June to 30th September.

Saket Kapoor

Next year, it will run to, say, the first quarter?

Anand Singhal

Yes. In the second quarter.

Saket Kapoor

Second quarter. And sir, what is our debt number currently? The long-term and the short-term debt?

Anand Singhal

That is already there in the balance sheet, you can see, Saket.

Saket Kapoor

Any change in the cost of funds, sir?

Anand Singhal

No. As such no. No major.

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Saket Kapoor

9.5% was the last number. If I'm right?

Anand Singhal

The average cost of borrowing is around 9.45%.

Saket Kapoor

9.45%. Correct. Right. So, Rupark Ji, just to sum it up, going ahead, taking into account the current economic situation and also the demand supply. What should we look at H2 as a number? Because the key segment of bio-based specialties, we find that on a QoQ basis, there is a decline in the margin. Firstly, you can explain what led to this? Which chemical margins have taken a hit, because from INR 401 crore it has gone up to INR 508 crore, whereas the EBIT number is the same, which we had for the first quarter.

Rupark Sarswat

You're talking about?

Saket Kapoor

I'm talking about the bio-based specialty and the performance chemical margin. If you look at the turnover, the turnover QoQ has gone up from INR 402 crore to INR 508 crore, whereas the EBIT number is the same. That shows the margin decline. So, if you could explain the key reason for the same, sir?

Rupark Sarswat

See, I mentioned to you that the pressure in the chemicals business has largely been on account of increase in ethanol cost which happened over period of time. Going forward, we see that importing ethanol at prices which are now much more softer will help improve the profitability of the chemicals

business. So essentially, that is a broad reason. Other than that, sometimes it is also about the product mix and what's happening in the competition. So, for example, MEG market has been very, very suppressed for a long time. So, the product that we were able to position there against that has been difficult.

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Similarly, glycol ethers, butyl and propyl based glycol ether, the costs have been lower. So, some of those, that market has been very tough for us. This is where we have had pressure on margins. But broadly, I think in terms of the market trend, my expectation is that the market trends for H2 are largely going to be similar. We are going to be helped by increase in our biofuel supplies on account of, one, addition of capacity compared to last year. Second, we are going to substitute what we were producing grain-based and using as an intermediate, using imported ethanol and lead capacities for biofuels, which will improve the overall top line as well as bottom line for the chemical portfolio broadly.

Saket Kapoor

Right. And sir, have we started importing of the alcohol, or we are about to do so?

Rupark Sarswat

Yes, we have taken action. It will start arriving pretty soon.

Saket Kapoor

And sir, the number for this Thiocolchicoside, the revenue and the contribution to the margin, do we have it separately?

Rupark Sarswat

I will take that as a homework, Saket, for myself. As in, I don't remember exactly. We'll get back to you, if you can put a question. I don't know specifics of this.

Moderator

Next question comes from Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha

Just, on the country liquor side, I think, last year in FY 2023, we have the record sales and I mean, we have listed our name also on the record books. So now, after that, how has been the volume growth as of now and where we would be heading going forward? And, secondly, on this, IMFL segment, how has been the

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market share as of now, because for last few quarters, marginally, I think we were gaining some market share. So, how right now it is placed?

Deepak Satya

So, let me take the country liquor first. So, country liquors volumes in UP are currently doing an average of about like 19 lakh cases a month. During the season, we had also, like crossed, closely touched 20 lakhs in one of the months. The major driving factor has come in from the state of Uttarakhand where previously we used to do around, like, an 80,000 cases a month, which is currently touching close to about 120,000 cases a month. So, there's a good jump of about, around like close to 45% to 50% on a volume basis, right? So, this is where the volumes have grown. We expect that once the policy regarding the Tetra packaging

is clear in Uttarakhand. Possibly we will be able to replicate our existing capabilities in the state of Uttarakhand and also pick up on that volume as well.

So right now, this particular policy is sub judice. So, once the Hon'ble High Court clears it, we'll be in a good position to comment upon the volumes in the near future. Coming to your, IMFL market shares and volumes, right? So, just to give you an overview from a state perspective. In UP, previously, we have a good coverage of about, like close to 80% on the wholesale footprint. Coming to the retail footprint, which is about, like, close to 7,500 shops. We are currently able to cater to around 5,000 shops on a brand presence. Coming to the segment-wise market shares, we are doing good numbers, we are the 3rd largest player in the vodka space, with a share of around, like, close to 22%, 21% and 25%.

Coming to the whisky side there are other things, in the Tetra packaging in UP we are currently around like the 4th largest player in the market. The volumes continue to expand. But during the winter season, we are also expecting a certain kind of a delta volume increase when it comes to sales of rums in the coming two quarters. The Delhi market has also shown a kind of like a good uptick for us. We have been doing close to around like 30,000 to 35,000 cases a month. In the segment that we operate in Delhi, we are the second largest player in that particular segment, in the whisky segment. In vodka, we again continue to be the third largest player in Delhi, overall.

The same kind of market share you can replicate for the Uttarakhand market as well. But in the market expansion, we are looking to expand our footprint in the state of Rajasthan. And there has been a kind of like a state expansion in the paramilitary division as well. So, that's what the entire growth story of IMFL is.

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Rohit Sinha

Than

k you, sir. And on this country liquor side, I think we got a price increase effective from first quarter, April 2023. So, looking at the kind of growth in this quarter or maybe in first half, would it be possible anything to give a brief overview that what would be the volume growth and how would be the pricing benefit we have, in getting?

Deepak Satya

So last year, if you see, for the similar amount of time, the average volume that we use do in UP was anywhere between 16.5 lakhs to 17 lakhs per month. That has actually increased by 1-1.5 lakhs if you see it for this particular year. That is on the volume front. And the price rise has been different for different kind of country liquors that we make, but on an average if you can think of, it's anywhere between like INR 15 to INR 25 per case, across this spectrum that we operate, right? So, that's where the entire growth story comes in.

Rohit Sinha

Secondly, on the JV side. I mean, again, in this quarter, some subdued number was there from the JV side. So, basically, how we should see JV performing in the second half ? Considering the kind of environment right now is there in the market? Any thoughts on that?

Rupark Sarawat

Yes. Some bit of it is a repetition on what I said. The pressures on the JV have had largely been on account of increased input costs. It has been account of ethanol costs. We expect that based on some of the actions that I just said that margin will improve, which will also help JV to improve its margin. The JV has a plan in place. I think the plan is to look at increasing manufacturing in India, indigenization, increasing competitive products, looking at exports. We also know that exports, however, has been slightly more challenging than what we had expected initially.

And it is largely because outdoor markets like Europe, et cetera, as you know, from the performance of

various global specialty chemical company in the current environment have been facing some headwinds. So, given that the situation and the market situation is it is what it is, particularly in the exports. But the actions that we're taking in terms of trying to reduce the ethanol cost for the JV, should help improve their margins in the second half for sure.

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Rohit Sinha

Okay. And what is the status on the payment we were about to receive from Clariant on this JV deal?

Anand Singhal

Payment to whom?

Rohit Sinha

I mean, we are supposed to receive from Clariant for the final.

Anand Singhal

That payment is as per the due dates, what I have understood from the question.

Moderator

Next question comes from Marsal L, an Individual Investor. Please go ahead.

Marsal L

My first question is regarding some, I think, nuance in the PPT. So, I think the quality of PPT can be improved, like somewhere they are mentioning NSU. We don't understand what is NSU. So, if you can just put an abbreviation at the end of the PPT so that we can understand. So, it will define it's mentioned that an NSU Phase 2 is going to start from the end of 2023. So, what does it mean, this NSU, and then during this call you mentioned that we are increasing Capex to 400,000 liters. Is it the same thing or what?

Rupark Sarswat

Your first question is regarding the abbreviation. Sorry, we had assumed that as we spoken about several times ago, but we will put the abbreviation. It stands for the New Specialties Unit. Okay. And your second question, can you please repeat?

Marsal L

Yes. Second question was, during this con-call you mentioned that for certain products you are increasing the capacity to 400,000 by end of this year, and then, to 500,000 by March. So, what is it? Do you mean to say, are we going to do just ethanol or something else?

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Anand Singhal

This is relating to grain, and the capacity will become 400 KLPD by December and 500 KLPD by March.

Marsal L

So, what is the current capacity?

Anand Singhal

Current is 300 KLPD.

Marsal L

So, for both Gorakhpur and Kashipur.

Anand Singhal

No, this is only for Kashipur.

Marsal L

But like last time, I remember, like, last year, we started these two constructions and then we said that both are going to be commissioned during the last year. So, you want to say only one we have commissioned, second we didn't commissioned yet?

Anand Singhal

Last year, we did Kashipur for 180 KLPD and Gorakhpur for 110 KLPD, which is in operation. So, 180 KLPD distillery has increased to 300 KLPD till now, and we are further increasing to 400 KLPD and 500 KLPD. And it's not from 110, we are adding one more distillery 180 KLPD, so Gorakhpur capacity will become 290 KLPD. I think it's clear to you.

Marsal L

Okay. And then, you also mentioned that the landed price is 500,000 currently, for this ethanol. So just to understand it, the government is paying about INR 56 to INR 63 depending upon the B heavy, C heavy or

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the cane juice. So, is it like whether the government only they are buying directly what is produced from India or like somebody can just import and supply to them also or like why they are not importing directly from the overseas market?

Rupark Sarswat

Yes. It is not allowed. You cannot import grain-based ethanol from US and put it for blending because the rationale for blending is several folds. The rationale for blending is to reduce Indian forex outflow, which will not happen if you import and blend it. The second rationale is to increase farm sector incomes, which will not happen if you pay farmers of US. And the third rationale is also to increase farm sectors and do something with the damage grain which is lying in the warehouses. So, the government does not allow you to import ethanol and blend it for biofuels. You can only use it as an intermediate for chemicals.

Marsal L

Yes, sir. So, whatever we are producing ethanol, how much we are selling approximately to the overseas?

Rupark Sarswat

I'll have to look at the numbers, If you can give a question, I'll tell you how much are we selling. Just one second.

Marsal L

What's the email address sir, to which one?

Rupark Sarswat

So, I think we are selling something like close to 70 lakh liters per month right now, which will continue to increase to something like 140 to 150, during April, May, June, kind of period as we add the capacities that Mr. Anand just said we would be adding.

Marsal L

And what's the price, sir? What is the price for the grain-base, like is it a premium to the cane juice or B heavy molasses, like what kind of price selling?

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Rupark Sarawat

It is at different prices. We are not doing cane juice. We are only doing largely grain. We are not selling cane juice or B heavy, C heavy, too much to biofuel. We are doing grain-based.

Marsal L

No, sir. I understand that. I'm only asking that what is the price approximately for grains? Is it more than the cane juice B heavy or is it less than the C heavy?

Rupark Sarawat

I think our average realization is around INR 63 to INR 64.

Marsal L

INR 63 to INR 64, Okay. The other thing you mentioned that it is a Bacardi, we are going to bottle. So, what kind of additional revenue and the EBITDA margin we can project for this one? And when it's going to start?

Rupark Sarawat

We didn't talk about Bacardi. Can you repeat your question?

Marsal L

No. In the PPT it is mentioned about Bacardi. That's like you have a tie-up with Bacardi for bottling of their products at the Kashipur bottling unit.

Rupark Sarawat

So, what's your question? Yes, there is a tie-up.

Marsal L

My question is that,
when it's going to start this bottling for them and providing to their customer and
what kind of revenue and margin we can expect from this one in the year, in a quarter?

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Rajesh Marwaha

Bacardi is a running business for IGL. We have not projected any additional business on Bacardi, that's a regular going on business. The Bacardi bottling plant is at Kashipur facility where we are supplying EMA

for them.

Marsal L

Already going on there?

Rajesh Marwaha

Yes.

Marsal L

Okay. So, in the Slide number 8, like it is sentence mention. I'm reading sentences, maybe I'm not able to understand or there is some a mistake here. It says, Shakumbari Sugar and so and so, subsidiary of IGL received the last and final tranche of INR 11.76 crore on 8th September 2023, for the sale of IGL entire stake in SSAIL in addition to advance amount of INR 78.7 crore. My question is that, if IGL is selling its stake in Shakumbari, money should come to IGL, why the money is going to Shakumbari?

Anand Singhal

IGL is holding shares of Shakumbari Sugar. And Shakumbari Sugar has been sold out to some XYZ party. So by this, the IGL has transferred its holding to the new buyer. That's what we want to say.

Marsal L

No, sir. Sorry. IGL is holding stake in Shakumbari. Right? So, IGL is a shareholder of Shakumbari. And IGL has sold its stake to third party. So, if IGL selling its stake in Shakumbari to third party, then the money from third party must come to IGL, not to the Shakumbari.

Ankur Jain

See, as a part of deal, if you have read our disclosure to the exchanges. We have already clarified that the share has been transferred at a fair value. The balance amount has been stocked into or put it into

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Shakumbari by the buyers to discharge the ICD or liabilities of Shakumbari. So that is why most of the money has come into Shakumbari, not to IGL. If you have seen the disclosure of IGL in the market during the last 1 year.

Marsal L

No, I remember. I remember once we said, something about INR 3 crore, something we sold our stake.

Ankur Jain

No, we have never said it INR 3 crores. The total value whatever Shakumbari has received is around INR 90 crore. And IGL has received about INR 30 lakh or INR 35 lakh. This is categorically mentioned in the disclosure made to exchanges. Can you refer the disclosure which you're referring to?

Marsal L

No, here I'm just reading this Slide 8.

Ankur Jain

So, Slide 8, we are saying Shakumbari has received INR 11.76 crores, that's right. For sale, when we say for sale, means it is a part of the transaction. You want to elaborate more on the deal part, because this deal has already been consummated during the quarter and adequate disclosures are in the market. So perhaps it was our intent to convey to the market as a part of the slide, but adequate our disclosures are already placed in the market. Maybe if you wanted to add one or more to sentence for the clarification, that we can always add.

Marsal L

Yes. So, like here it's not clear that why the Shakumbhari, like, so if you're going to complete sense or like it will be easier, sir.

Ankur Jain

Good. But I think adequate disclosures are there in the market as such.

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Marsal L

My last question is just regarding premiumization of our alcoholic products of our IMFL. So, as we can say that recently one of our Indian companies Whiskey has been rated our top 10 in particular kind of competition or whatever you can say. So, what's the plan to premiumize this whisky, vodka or whatever we are doing so that, that can directly increase your profitability?

Deepak Satya

To answer your question, the premiumization efforts that we are currently taking in is basically to introduce certain

brands which are currently higher about the kind of price point that we operate in. We don't want to take the names of the competition right now, but it's kind of like a regular whisky segment that we are trying to target in, and there we have a kind of like a scope of better realizations currently. And on the vodka front, of course, the market is pretty much open because there are a limited set of number of players who are there. So, we want to introduce a higher grade of a vodka brand. So basically, like, our existing one becomes a carrier for that particular premium one. These are two categories we are working in right now. And also, on the Gin front, we will be seeing certain kind of a premium Gin coming in.

Moderator

I'm sorry to interrupt you, sir. Sir, I am sorry to interrupt you. Just a moment. Dear participants, kindly stay connected while we connect the management team back on the call. I welcome back to Chairperson, please go ahead.

Marsal L

Yes. So, you mentioned that we are going to open this Rajasthan market for our product, for alcoholic products. So, are you also trying to open some other market like Haryana, Punjab or MP?

Deepak Satya

Yes, we are in talks with a couple of the people out there. We are currently working upon the distribution channel network.

Marsal L

Because that will increase our sales also. So, one clarification, if we compare our standalone PBT and consol PBT, there is a hardly increase of INR 2 crore. Whereas we have one of the major entity in

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consolidated, Clariant JV. So, does it mean that we are making only INR 2 crore in a quarter from Clariant

as well as four-five other subsidiary, whatever we have? So, how is this Clariant JV heading now? Is it facing some headwinds or what?

Anand Singhal

Regarding the Clariant, the INR 2 crore is the profitability. And when we are consolidating, so the profitability is the figure which we are consolidating. I think our CEO has already explained that there are some cost pressure because of the higher alcohol costs so that they are getting the EO on the higher cost. So, that is the pressure which Clariant is facing and that's why the current quarter is not good as they or we expect. Maybe in the next quarter onwards, they start getting benefit of the lower alcohol cost.

Marsal L

Okay. And my last humble submission that during call we also mentioned, sir has just now explained that we are going to increase the ethanol to 400 KLPD and then 500 KLPD from this one. None of these things have been mentioned in the PPT. So, from going forward next time, suppose regarding all capacity, if you can give more detail in the PPT, so it will be more clearer to the investor and the analyst and it will be informative.

Anand Singhal

Okay, we will do.

Moderator

Thank you, sir. There are no further questions. Now I hand over the floor to management for closing comments.

Rupark Sarswat

Thank you all for your interest, and I'm sure you've looked at a lot of details because you're interested in IGL, and we have hopefully tried to respond to you and answered your queries. So, thank you very much for this meeting and giving us time. Thank you from myself and my colleagues over here and wish you all a very Happy Diwali.

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Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day

(This document has been edited for readability purposes.)

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Call: Feb 2024

9th February, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q3FY24 Earnings Conference Call

Further to our letters dated 25th January and 5th February, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q3FY24 held on Monday, 5th February, 2024 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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India Glycols Limited
Q3FY24 Earnings Conference Call

February 05, 2024

MANAGEMENT: MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER

MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES & MARKETING (BSPC)
MR. S. K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: MR. ROHIT SINHA – SUNIDHI SECURITIES LIMITED

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Moderator

Good evening, ladies, and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q3 FY24 Earnings Conference Call. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Rohit Sinha from Sunidhi Securities Limited. Thank you, and over to you, sir.

Rohit Sinha

Thank you. Good evening, everyone. Thank you for joining us on India Glycols Limited Q3 FY24 Results Conference Call. We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head - Sales and Marketing (BSPC); Mr. S.K. Shukla, Head-Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarswat

Good afternoon, everybody, and thank you for joining us for this investor presentation. As we normally do, I will take you through a quick update on the performance of IGL so far in this quarter and nine month and my quick comments on that and subsequently we can take questions. So, as you would have seen, it was a strong overall performance with robust growth in revenue and profitability for IGL. Our gross turnover at INR 2,119 crores was up 39.0% for the quarter. As you know, there is a very high excise component in our gross turnover. Our net turnover of INR 904 crores was up 63.3% for the quarter. Similarly, EBITDA at INR 107 crore for the quarter is up 40.3% and EBITDA margin at 11.8%, PAT at INR 42 crores up 90.1% and PAT margin at 4.6% up 68 basis points. As I will talk about it briefly a little later all three segments for us which we classify broadly as Bio-based Specialties and Performance Chemicals.

I was saying that there has been a strong overall performance with robust growth in revenue and profitability in all three segments delivering a strong double-digit revenue as well as profit growth. There also has been a strong margin growth in all the segments, particularly led by potable spirits for the quarter. If you look at the yearly performance, our gross turnover at INR 5,882 crores is up 17.0% and our net turnover at INR 2,368 crores for the nine months is up 16.6% as compared to the same period last year. Our EBITDA at INR 319 crores is up 45.6%. Our EBITDA margin is at 13.3% which is also up 267 basis points, and our PAT is also up 79.0% at INR 131 crores. So, on a nine-monthly basis also there is a strong revenue and profitability growth, particularly led by good performance in potable spirits and bio-based chemicals and specialties As I mentioned with a positive start in Biofuels, we expect to do better in the coming year as well. Amongst other things that we have spoken about, our actions to put in grain-based ethanol plants was timely and has helped us in mitigating the cost increases. And we've also discontinued some low-margin domestic business which has also helped overall performance. If you

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look at business performance and drill down a little bit more, our gross revenue is up 39.0%, net revenue of 63.3% what I already said.

For the chemicals segment, which is BSPC, the net revenue grew by 87.8% in the quarter. For potable spirits it grew by 30.1% in the quarter over the same quarter last year, and for Ennature Biopharma it grew by 21.8%. Overall EBITDA grew for 40.3%. And if you look

at the nine monthly basis, it was supported by a strong growth particularly in BSPC and Potable Spirit segments which is 15.4% and 23.3% respectively. As I mentioned to you, we have benefited from our actions really, wherein the fact that we are putting grain-based ethanol plants which

have helped us mitigate cost increases which have been very useful. Ethanol prices have continued to be high, but they have come down compared to the earlier very highs.

I have broadly indicated to you that for a long period of time import of ethanol prices have hovered around INR 35 or so before during the COVID period and the energy crisis and everything coupled together they went up to even INR 60 plus rupees a liter. They are significantly down and we have been booking imported ethanol for future requirements and we expect that those cost gains will start to come in Q1 onwards when we start to receive deliveries at those lower prices. What it also means is that the grain-based ethanol that were using for in-house use is something that we can divert to biofuel and use in-house or imported ethanol for our chemical business.

Another small bit of satisfying update from my side is that we have completed part commissioning of the new specialties unit, which is a relatively smaller investment and we expect to commission the unit completely by around Q1 of the coming financial year. We are seeing a healthy pipeline and good commercialization of new products and I'm sure in the quarters and years to come you will see this business growing as well. As a part of our strategy to diversify into the biofuel space segment, as we have kind of reported in the media as well, we have got a biofuel supply allocation. I have mentioned order, but I think the correct word that can be here is allocation of, this is 1,65,490 KL of ethanol, which is to be supplied between November 2023 and November 2024.

It has a potential revenue impact of roughly INR 1,100 crores for the year. So, we see this potentially as a growth area for us. Even for the joint venture, there has been a strong recovery in margins driven by reduction of material costs. So, for the quarter, the revenue for the joint venture is up 6% and EBITDA is up 118%. Essentially because the gap between price of say competition which is crude based ethanol sold in India and ethylene oxide that we supply to the joint venture has reduced. We expect that this trend will continue in the subsequent quarters and hope to see further reductions.

I'll give a quick highlight by the three business segments. So, talking about Bio-based Specialties and Performance Chemicals for Q3 revenue at INR 609 crores is up 88%. I must add here that in this top line there is a significant contribution of what we are selling to biofuels now as well. EBIT at INR 38 crores is up 26.5%. The 9M revenue is at INR 1,518 crores up by 15.4%. And we also mentioned that, internally, we also look at businesses from a like-to-like perspective.

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Moderator

Hello, sir. Hello. Dear participants, kindly stay connected while we connect the management team back on the call. I welcome back the management team. Please go ahead, sir.

Rupark Sarswat

Yes. Sorry about slight disruption which happened because of the audio system. I was talking to you about Bio-based Specialties and Performance Chemicals. Where, I said that some contribution in top line growth has also come from the biofuels that we are selling now. I must also add that we look at our business also on a like-to-like basis. And if I look at the business on a like-to-like basis taking away, particularly, the manufacturing segment, on a like-to-like basis, within BSPC, our sales for the quarter are up by something like 50%, and for nine months they are up by something like 28%. So that is more to say that whilst we have discontinued some non-profitable business, some of it

just trading business, our core manufacturing business has seen a decent for a very good recovery and growth in the chemical space as well.

As you know, we've developed a new biofuel portfolio which we expect will continue to add to our top line and bottom line in the quarters and years to come, and we have also focused on reducing some low-profit domestic business. Our focus for the years to come will also be the new value-added product or the new specialties unit which is in the process of getting commissioned. And in the quarters and years to come, we will start to see better numbers in this segment as well. In the Potable Spirit space, there has been a very good quarter for us with revenues up 30.1% at INR 244 crores and EBIT at INR 41 crores up 49.9%, and with a good EBIT margin of 17% up 224 basis points which is essentially on the back of improved portfolio as well as reduction in costs of ethanol, packaging material, et cetera. 9M revenues at INR 700 crores are up 23.3% and the sales essentially have been driven by country liquor sales growth which is excellent in Uttarakhand, and UP being a big market for us has seen good steady growth as well.

IMFL or Indian Made Foreign Liquor growth has been led by sales expansion, mainly in the paramilitary segment where our presence was relatively low, where we have expanded to 13 states, and also IMFL sales in Delhi, which have been significant contributors in driving the IMFL sales for this quarter as well as the year. In-house manufacturing of ethanol has not only helped us in the BSPC segment but also in the potable spirit segment, both from a supplier perspective as well as from a cost perspective. We've also been focusing on premiumization and improvement in the width of distribution, which is also yielding results both in terms of top line growth as well as quality of the business.

In Ennature Biopharma, we've visited a Q3 revenue of INR 51 crores up 21.8%, EBIT of INR 12 crores up 16.2%, 9MFY24 revenues at INR 149 crores and EBIT margin of 21.2%. We've had continued pressures, particularly on nicotine sales, because it's becoming a competitive market with more and more players. However, our efforts have been on building value-added pharma customers, which we believe will start to result in the times to come.

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Fortunately for us, our position on the raw material has been stronger and there has been an upward trajectory in prices, but we had our bookings which has resulted in better margins for Thiocolchicoside & Colchicine. Broadly our focus also has continued to expand nutraceuticals in the key global market.

I will now hand over to my colleague Mr. Anand Singhal to take you to the financial. Anything else you would like to add? Okay. So, I think we will leave it for you to then ask us questions on financials or all the business. We can then take them to the Q&A.

Q&A

Moderator

First question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian

Good evening, sir. Congratulations for good set of numbers. On the earlier call, the guidance was around INR 3,500 crore top line by end of this year. Is there any change in that guidance? And we got recently one order of INR 1,164 crore. Is that fair to assume around INR 300 crore revenue per quarter from this order we can expect? Because the order supply period is around November 2023 to October 2024. What's your view on that?

Rupark Sarawat

So, Bala, two points. One is that we do not generally issue specific guidance, there may have been some discussions. But my broad expectation for the coming quarter and for the year is that we expect the current business performance and the environment to continue. And that would guide you towards the kind of results that we would expect. The other small correction I would like to make for the purpose of being

precise is on
biofuel. It is an allocation and not exactly an order.

While we expect that this allocation, will translate into supplies which is what these big oil companies usually do. But I must mention that it is an allocation and not a purchase order for that period. However, from an allocation perspective, obviously it is a contract. And it will be fair to assume that depending on the macroeconomic environment, depending upon the policies of the government and some other factors which sometimes may affect biofuel blending from time-to-time. This kind of top line growth is something that we would like to potentially see from this allocation.

Bala Subramanian

Got it. On the second side, on the JV Clariant side, what would be the top line; and on margin side, what kind of opportunities we have in this business?

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Rupark Sarawat

See, we have discussed this before. The joint venture actually caters to several consumer markets, which includes personal care, coatings and polymers, top care, textile auxiliary. Largely based on soft plates. And we did face some challenges last year like we faced in our business because of raw materials cost for biobased material is going up. However, with the difference in prices between crude and bio-based material is coming down. We expect that the joint venture will continue to grow with the end market, which is what I have mentioned. But it is difficult for me to give you a precise guidance on how the performance would be. Obviously, the joint venture has been formed because these are growth areas in India as well as in the world, and we also supply bio-based products which are considered greener.

And on the whole, if I have to not call it a guidance, but see what's happening in future, I think with the cost of materials coming down or the delta between food-based ethylene oxide and bio-based ethylene oxide that we supply, reducing and reducing further in the quarters to come, we should see a better performance from the joint venture. Not only in the quarter which I just mentioned, but in the quarters to come. That is what we would expect. And given the volatility that we have seen, I would hesitate from giving a longer-term guidance in terms of numbers. But qualitatively, the rationale for the business and the fundamentals of the business, I just mentioned to you, and we are optimistic about how the joint venture will do in the times to come.

Bala Subramanian

Got it, sir. On that chemical business side, whether the growth is majorly driven by volume growth, volume-based or price-based. If you go to bifurcate segment-wise, which are the segments are doing good. If you could talk about the demand environment on those segments? And what are the things are shaping up overall global levels, especially in China and how the competition is there?

Rupark Sarswat

Okay. If you look at the chemical segment for us, the way we have covered it right now, it has biofuels, which I talked about. We are looking at new value-added chemicals, which we talked about. We have a small segment in biopolymers. We also have a segment in industrial gases, and we have segments in glycols and glycol ethers. So, there are several factors which—

Moderator

I'm sorry to interrupt you, sir.

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Rupark Sarswat

Yes, please. Okay. So, he asked me a question on chemicals. As I said, when we talk about chemicals, our big top lines will be driven by the biofuels business, will be driven by the glycols and glycol ethers business, mainly. Also, we have smaller segments, which is biopolymers and industrial gases, etc., within chemicals. We believe that particularly biofuels and new specialty chemicals, value-added chemicals will drive growth in the near future, definitely. As you've seen, I've already given clarity on the biofuel

I segment in terms of bio-based ethanol, which goes for blending. We are just in the process of commissioning our new specialties unit, where we see that we've got a strong initial pipeline. But as you would realize, these are initial days for the business. I would rather have the numbers speak for them in the quarters.

So that we will continue to drive, not only in the next year, but hopefully in the next few years. We are quite optimistic about it. We have done some good work, particularly in, say, the oil field segment. And we are looking at some other segments, like biomime, plasticizers, carbon smart products, etc. On the glycol front, bio-based glycols, we expect that we will see a steady increase in growth of bio-based glycols. There was some challenge because the prices of bio-based products had gone quite high. But we are seeing a slightly favorable shift as prices of bio-based ethanol are looking down. So, we will continue to see steady growth there as well. On glycol ethers, we have faced some challenges.

Okay, coming back to glycol. See, I would like to add a few things that our glycols business, just about five years ago I am talking about was quite different from how it is today. It is because our bio-based glycols were largely being sold to one customer, which was Coca-Cola and which was high volume and largely one customer dependent. The good thing is that now we are engaging with 15-plus customers which we are supplying in various parts of the world.

Moderator

I'm sorry, sir. Disturbance is from Bala Subramanian line, sir. He got dropped. Shall we move to next question?

Rupark Sarawat

Yes, please. Thank you.

Moderator

Thank you, sir. The next question comes from Saket Kapoor from Kapoor & Co. Please go ahead. I repeat. Question comes from Saket Kapoor from Kapoor & Co. Please go ahead.

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Saket Kapoor

Yes, sir. Namaskar, sir, and thank you for this opportunity. Sir, I just missed some part of your remarks to the previous participant. So, pardon me if I'm repetitive. Sir, firstly, taking into account the current scenario with respect to the raw material, we may expect an increase in margin for our bio-based specialty and potable spirit going ahead. That is a good understanding?

Rupark Sarawat

I think that's a fair expectation based on how we at this point in time see imported bio-based ethanol prices coming down. However, I may need to say that with caution as far as biofuels and potable spirits is concerned. And the reason I'm saying this, I am not so concerned about the top line. The reason I'm saying this is that the dynamics of the two is different. Whilst for chemicals, we can use imported ethanol as well as ethanol produced within India either by ourselves or purchased domestically by us. However, for potable spirits, we can only use ethanol which is produced in India and for biofuels, there is a predetermined price by the government on various feedstocks, C heavy molasses, B heavy molasses, cane juice and damaged rice or FCI supplied rice and MEG, etc.

Which means that our profitability can get affected based on price movements of two or three things, which is the grain that we buy or the molasses that we buy, as well as sale price of one of the byproducts, DDGS, which is a protein into the market. So, while it is a reasonably fair assumption for bio-based chemicals, and however it is not something that I can exactly predict for potable spirits as well as for biofuels. Within potable spirits, there is a cost factor which involves cost of ethanol. Yes, this year it has benefited us because instead of buying we have been producing grain-based ethanol. But grain-based ethanol costs can be variable in the future as well. But the larger focus in the potable spirit space for us is about expanding, one, to selected new markets and also improving our product mix.

So, does that answer your question, Saket?

Saket Kapoor

Yes, sir. I got the understanding. So, my next question was also pertaining to this policy framework, pertaining to both our potable alcohol as well as bioethanol segment. In terms of I think so, for this sugar season, the levy molasses percentage has also been increased by the Uttar Pradesh government. So, how does that gel for us as a company in terms of the purchase of molasses, as levy molasses percentage goes up?

S. K. Shukla

See, this is a good part in UP because government is giving the full security in the raw material, availability of raw material as well as the price both to the manufacturer of potable liquor. So, this year also as compared to the last year when the reservation percentage was around 19%, now the government has increased from 19% to 26%. So, we are assuming that next year would be the very comfortable year for the potable spirit manufacturers in UP as
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far as the raw material is concerned. So, we are hoping that margin should be fair in the coming months from the

Potable Spirit sector.

Saket Kapoor

Hi Shukla ji, like you're saying and we also got some price increase in potable alcohol segment. So, that will aid our margins only going ahead, since the cost is not going to go up.

S. K. Shukla

Yes, certainly we are hoping that and now this year new segment of the grain ethanol this government has added in 36 degrees. So, we are hoping that the coming years will be the more good months for just evaluating or just increasing our potable production for the grain in UP annual category in the 42.8 and 36 degree. So, these two steps are good for the industry.

Saket Kapoor

My question to Rupark, sir. When we look at our number for the company sequentially, we find that for the bio-based specialty performance and also for our potable alcohol, we see a dip in margins. You were alluding to the fact that margins have improved YoY, but how? Please correct me here. When we look at our September quarter performance with December quarter for both the segments, it is only the Ennature Biopharma wherein we have seen an expansion in margin. Both the other segments, there is a dip in margin with the commensurate revenue the margins have taken a hit. So, if you could explain the key reason why these two segments have not performed with the increase, why there is a reduction in margin.

Rupark Sarswat

You mean in margin percentage?

Saket Kapoor

Correct sir. On a top line of INR 508 crore for September quarter for bio-based, we posted an EBIT of INR 40 crore. Whereas for this quarter, on a revenue base on INR 610 crore, the EBIT is INR 39 crore and simultaneously for potable spirit also INR 1316 crore had INR 40 crore of EBIT, and now INR 1459 crore had INR 41 crore, we can see contraction in both the segments. If you can explain this anomaly?

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Rupark Sarswat

See, as far as this quarter for bio-based chemicals is concerned. Overall, the number we have shared with you for the business, all the margins are not only coming from Ennature Biopharma, that is a relatively lower contribution. So, if you see, there has been a margin expansion in BSPC from at an EBIT level for the quarter from 30-38 and for 9M from 80-121, right?

Saket Kapoor

Yes, sir, continue.

Rupark Sarswat

So, we had an overall margin expansion, margin meaning overall absolute margin. But in terms of percentages, let me just have a look, I have the numbers. In terms of percentages, there is a slight drop for the 9M period for chemicals, and it has also happened because of grain prices going up quite sharply. And for the time being, there is a lag between before the government acts to revise the prices etc., which also as far as I understand they have revised efforts, so that

eroded some margins. That impacted the percentage margin for us.

Saket Kapoor

Okay. And lastly sir for Ennature Biopharma. In your presentation, you have articulated about nicotine sales

continue to face pressure, but also you have pointed out to strong raw material position in an upward trajectory in Thiocolchicoside and another word terminology you have used. So, if you could give us the trajectory of what the likelihood should be? Because we are flat on the Ennature Biopharma for the 9M. So, how are we performing in this segment? And sir, the base that's being prepared for the next year, what growth can we expect depending upon the business environment?

Manish Pant

Saket, Manish this side. So, as far as nutraceutical is concerned, first two quarter was in stress, no doubt. But in Q3 we have a recovery, not only in margin but also in sales volume. And the Q4 is going to be remained same as Q3 or it could be more than the Q3. So, we are going to end the whole of the year as far as the nutraceutical is concerned at par with the previous year at least, if not less. With respect to the next year guidelines, in nicotine, no doubt, it is under pressure as far as the export is concerned.

So, we are now developing the nicotine derivatives for which we have already backed some very good orders from the local manufacturing of the tobacco-related and the nicotine patches related companies. So, I hope that nicotine will recover somewhere in the Q2 of the next year. And Thiocolchicoside, right now the prices are very India Glycols Limited
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good and we are having quite raw material already available with us in the lower margins, in the higher margins with respect to the preview prices. So, I think the first two quarters would be same as the Q3 and Q4 of this year.

Saket Kapoor

If we get the split between nicotine and Thiocolchicoside out of this INR 50 crore, what should be the percentage or even for the nine months if you could give the split between the two?

Manish Pant

As far as Thiocolchicoside, there is a very much price difference in that. Like Thiocolchicoside is a very high-value item like INR 4.25 lakhs per kg and on the other nicotine is hardly INR 7,000 per kg. So, the value comparison would not be there. As far as the EBITDA percentage is required to maintain the overall EBITDA. Thiocolchicoside is certainly going to give some very good margin to us. And nicotine, we are trying to recover and trying to increase the margins by adding the new derivatives in the nicotine segment, not pure nicotine.

Saket Kapoor

Okay. And last point to Anand Singhal ji is about the finance cost part, sir. If we look at the number again for QoQ also and I think for YoY also, there is a significant increase from INR 26 crore to INR 32 crore. So, Anand ji, if you could give me, first of all our current debt numbers, what is our net debt as on 31st December and what has led to this increase in the finance cost?

Anand Singhal

Saket, finance cost has increased because of the recent expansion for which we have raised some term loans, and that is in our radar to reduce the finance cost for which we are taking some measures. As far as the term loan is concerned. Sorry. Net term loan as of 31st December it is around INR 650 crore.

Saket Kapoor

And our working capital, sir?

Anand Singhal

Working capital, Fund-based working capital is INR 350 crore and non-fund-based sanction limit is INR 850 crore.

Saket Kapoor

INR 850 crores. For the 9M how much we did on CapEx, how much have we spent?
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Anand Singhal

Till 9M, the total work in progress in our book is around INR 414 crore and hopefully the CapEx for about INR 300 crore will be completed by 31st March which will be capitalized and rest of the funds will be shown under CWIP and which will capitalize

in next year when the CapEx will be completed.

Saket Kapoor

Okay, sir. If the time permit, just a small observation. We have found that this time Pragya madam has chaired the meeting. Any particular reason or do you generally find Mr. Bhartia there? Anything to be mentioned? Succession planning or what could be? Anything to read about it, sir?

Ankur Jain

Please don't make any speculation or like that. Mr. Bhartia was not well that time.

Anand Singhal

You would have noticed, we have not noticed Saket this thing.

Saket Kapoor

Okay sir. I wish him a speedy recovery.

Moderator

Thank you. Next question comes from Bala Murli Krishna from Oman Investment Advisors. Please go ahead.

Bala Murli Krishna

Hi, good evening. This is my first call. First of all, I would like to say that I've gone through Annual Report and it's a very well described product wise and category wise. This is one of the best Annual Report I came across. Regarding this distillery segment I have a few questions. So as of now, we have around 340 KLPD capacity and we are going to add 700 KLPD in the coming maybe three-four quarters. Is it right sir?

Anand Singhal

Right now, in Kashipur we have 400 KLPD grain-based distillery which we are further increasing to 500 KLPD. In Gorakhpur, we have 110 KLPD distillery which is working right now and adding 180 KLPD distillery more in Gorakhpur, which will be completed say in 2024-2025.

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Bala Murli Krishna

But sir, in recent action selling and in Kashipur I think we are showing that existing capacity at 140 KLPD.

Anand Singhal

That is biofuel not distillery.

Bala Murli Krishna

Biofuel. Okay, understood. So, my question is regarding this biofuel only.

Rupark Sarswat

I think it will just be good to understand that we produce ethanol. This ethanol, basically, is produced using various feedstocks which include grain and molasses, both at Kashipur as well as Gorakhpur. This ethanol is then used for potable spirits, biofuels as well as potentially as an intermediate for chemicals. So, this interlinkage, it is good to

keep in mind, and sometimes if we understand that, we will be aligned in terms of our understanding. Okay, please go ahead.

Bala Murli Krishna

So, regarding capacity additions. Are we planning to sell all the ethanol to OMCs or do we have any plan to use for captive consumption also?

Rupark Sarswat

Look, it is a dynamic situation for us where we evaluate, what is the best mix for us to sell into potable, to put it into potable spirits, which obviously gives us good returns per liter of ethanol, to use it as an intermediate for chemicals or to sell it into biofuel segment. The reason I'm saying this is that, for example, when imported ethanol was very expensive, we diverted significant quantities of our grain-based ethanol produced in-house as an intermediate to the chemical segment. Now that imported ethanol prices are correcting, it makes sense for us to start importing ethanol for intermediate use in chemicals and divert higher quantities into biofuel. So, it is a combination of demand and allocation that we have got, the price of imported ethanol, the realization that we are getting in potable spirit.

What we find is that given the scenario that I more or less see for the year ahead, based on how we see our businesses going, we will be able to place all our excess feedstock in terms of ethanol into the biofuels market. We should not have a problem in filling up our plants there. And that is obviously based on allocation that the India Glycols Limited
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government has decided, making some assumptions with respect to grain availability, making some assumptions with respect to imported ethanol. We believe going forward for some time we will be buying, getting back to buying imported ethanol

for chemicals, and releasing more and more capacity of grain-based ethanol for biofuels, obviously after covering for our potable spirits.

Bala Murli Krishna

Okay sir, understood. Thanks for the explanation. So, sir, regarding this 700 KLPD, normally 200 KLPD can contribute approximately INR 500 crores of revenue on annual basis. So, the 700K LPD can contribute around INR 1,700 crore of revenue with the EBIT margins of around 16-18%. As I compared with the peers, I'm tracking them also. So, is it the fair assumption, sir, in your case also?

Rupark Sarswat

See, I have already indicated to you the biofuels part of the turnover. I also mentioned to you that it is not as status calculations for us to assess turnover for our case because our ethanol can go into intermediate use, will go into potable spirit where it will go as intermediate. Now, you are probably making an assumption for a plant which only produces ethanol and sells all the ethanol that it produces. And also, you may yourself need to check your numbers based on the cost which can be very variable in terms of margins which as far as I understand, that is not the margin that industry is making on selling biofuels at this point in time. It was the case earlier, but not at this point in time.

Bala Murli Krishna

Okay, sir. And regarding the feedstock for these new capacities, which feedstock we are preferring and are there any sourcing already happened like long term contracts of feedstock, raw material?

Rupark Sarswat

Can you please repeat your question? I'm not very clear.

Anand Singhal

I think you are asking about grain supply, no?

Bala Murli Krishna

Yes.

S.K. Shukla

So, as of now, government is not giving any sorts of guarantee for long-term supply of grain. Though they are very curious, and they wanted to divert all the ethanol, grain-based ethanol, manufacturer to the major raw material. And for that, the different types of schemes, policies are going to be amended by the central government for promotion of the cultivation of maize based. And we are also aggressively working on that. So as of now, the distilleries are free to take the grain from the open market without any supports of the government. Hope this is clear.

Bala Murli Krishna

Yes, sir. If we assume that there will FCI rice supply, rights will not be resumed. Then, do we have any maize or plan to run based on maize?

S.K. Shukla

Yes, certainly. So, now the central government has already involved the method for the procurement and supply of control based MEG to the distilleries. But it will take another two to three years because it requires a huge extension of the whole supply chain management. I'm talking about the storage of corn. Right now, it is not available. So, it will take certainly two to three years. But certainly, industry have a better hope. And the government is giving the incentive for the supply of ethanol from the maize based. So, still it will take another 18-20 months to get the sufficient corn in India. But certainly, the corn would be the future.

Bala Murli Krishna

Okay, understood. And lastly on CapEx cost, sir, for this Gorakhpur.

Moderator

Sorry to interrupt you. I request you to join back the queue, sir.

Moderator

Next question comes from Prasanth Shah from AM Investments. Please go ahead.

Prasanth Shah

Hi sir, just wanted to understand in our JV with Clariant, what is our pricing strategy for selling it ethylene oxide? Whether it is cost-plus basis or it's a dynamic?

Rupark Sarswat

So, it is not dynamic. I think the kind of agreement that we have. There is a nominal margin which has been built in and it is done on that basis. That's a part of the agreement.

Prasanth Shah

Okay. Recently we have commissioned this solar plant. So, what type of savings can we expect on the energy costs?

Rupark Sarswat

It is something where we are in agreement with ReNew Power for hybrid power, which is solar and wind power. It is something that initially was expected to start delivering power to us in a period of two years. I think there

have also been certain policy changes, etc. So that is something that needs to be reviewed. However, the expectation at the point of the contract was that it will get started early next year which is probably 2025, and it had a payback of close to two to five years.

I must add there that there is some ongoing discussion based on some policy changes and I am not in a position to completely update, and neither have we built in those savings into any of our future projections as of now. Yes, we did announce that and we are hopeful that starts based on the original plan at the original terms. But it is something that we are reviewing based on some policy changes and the way the client company is looking at it.

Prasanth Shah

Okay. Thank you.

Moderator

Thank you. Next question comes from Ram Mohan Rao, an Individual Investor. Please go ahead.

Ram Mohan Rao

Good afternoon. Thank you for an excellent set of numbers. I just wanted to check whether for potable branded alcohol. Do you have any plan for expanding your network beyond UP, Uttarakhand and Delhi?

S.K Shukla

Yes, certainly, we are seriously looking to expand our brands in CSD and paramilitary and Rajasthan. So, we are very keen and we are looking sizable increase in the next financial year.

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Ram Mohan Rao

Okay. Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have any question please press * and 1 on your telephone keypad. We have a follow up question from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Yes, sir. Anand ji, as you mentioned that we are keenly looking to reduce our debt. I think so, sir, non-core assets we have already disposed off. So, it is from the cash flow only or what steps are in the annual? Or if you could give us some understanding, what kind of debt reduction are we going to undertake going ahead, sir?

Anand Singhal

Saket ji, it's very difficult to give you the numbers right now. But only thing is, whatever we are planning that is in process and most of the debt repayment will happen out of the cash flows.

Saket Kapoor

For the JV part, Clariant balance amount, that we have received or how much is due from them?

Anand Singhal

I think that number is around INR 90 crore, which will come in the current year. So that will also be used for the debt reduction.

Saket Kapoor

Okay, by March 2024 we will be receiving the INR 90 crore also.

Anand Singhal

I'm not aware whether they will get till March or 2024, 2025. But this year, yes, we will get.

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Saket Kapoor

Okay. And what are current maturities to us as of March? Is there any dues for us to pay in terms of the borrowing?

Anand Singhal

They have to pay in February and March, the total liability for term loan payment is around INR 45 crores.

Saket Kapoor

And that will go from the cash approved?

Anand Singhal

That will go out of the cash approval.

Saket Kapoor

Okay. And lastly, sir, Rupark ji, for the allocation part for ethanol. Have we factored in our expanded capacity in terms of the ethanol allocation that we have got?

Rupark Sarswat

When we get an allocation, there is a commitment from us to supply. And we have factored in capacities that we have. And our assessment is that if that allocation is translated to us in terms of concrete orders which we hope so, we should be able to supply. And that is why we spoke about further expansion we are required as well.

Saket Kapoor

Okay. So, our expanded capacity will be fully utilized with this allocation for the period mentioned in terms of the deliverables.

Rupark Sarswat

I think broadly well utilized. Obviously, it's a function of several factors. Including whether we are diverting or whether we are not diverting to intermediate use. But we will be operating and utilizing our capacities very well.

Saket Kapoor

Thank you and all the best.
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Rupark Sarswat

Thank you.

Moderator

Thank you. Next question comes from Rohit Sinha from Sunidhi Securities. Please go ahead, sir.

Rohit Sinha

Hi, sir. Thank you for taking my question. Just one clarification I would be looking at. In last call, we have announced this thing on the CapEx side, that our capacity of grain-based ethanol would be expanding from 300 KLPD to 400 KLPD, and then probably by another 100 KLPD in six months. So, this Gorakhpur addition is included in that, or this is a new one which we are talking? And with this biofuel thing for Kashipur, how we should see this different as compared to this branded ethanol side?

Anand Singhal

Kashipur, we are making this capacity to 500 KLPD. And Gorakhpur, 180 KLPD is over and above that 500 KLPD. Okay. And whatever cost you have taken from us, that doesn't include the cost of 180 KLPD distillery at Gorakhpur. Regarding the biofuel, there is not much investment. That is hardly INR 10 crore, INR 15 crore investment which will be taken care by the company itself.

Rohit Sinha

Okay. And One thing on this tender thing from this tender side. Just to understand that how much incremental revenue we should be considering from this tender. And going forward as this is, I think recurring-based or tender-based thing. So that we will be tendering again, next year also it would be a continuous process. So, how to make it sure that this size will continue to us or there would be only addition to this kind of tender size?

Rupark Sarswat

Rohit, there are two questions that you've asked. One is future growth and how assured do we feel about that. And second, is what is the top line this will deliver to us broadly. So, I think that's in my presentation as well, in terms, and I said that the contract is on allocation. The estimate potential revenue based on the allocation of close to INR 1,100 crores in the year is already mentioned. As far as the business going forward is concerned, I would say that in a business environment, obviously there are certain uncertainties. But broadly, for us to understand whether we are in the right place and whether this is the right investment, I would like you to consider the
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following. The government has clearly articulated a plan to move up to close to 20% blending by 2025. And there was hardly any blending by 2014.

The track record has been that the government has, by and large, been able to meet its target. If you see, we have moved from nearly very little blending to close to 12% blending, and the government has met its blending targets YoY. And they would like to meet the blending targets going forward to 20% and maybe even higher going forward because there is a strategic objective. The strategic objective is to increase farm sector incomes, is to find a way out for sometimes excess grains, to reduce forex dependence and dependence on oil for many other companies. So that strategic objective stays. We can only say that so far, the blending program has been on track. And by and large, some ups and downs notwithstanding, it should be on track in the years to come as well.

That is what I would like to believe gives us an assurance that this is a good business to be in. Sometimes there may be some hiccups, sometimes there may be some issues with respect to raw material availability, price, et cetera. But the broad poli

cy direction on this government is very clear. In fact, they have a proper paper on this in terms of what they want to do with the blending program. I think there is no other way except to look at that, to get an assurance that this is a business which should by and large continue to grow.

Rohit Sinha

Okay. Okay, that is from my side. Thank you and best of luck.

Moderator

Thank you. Next question comes from Makarand Tilloo from Makarand Tilloo Investments. Please go ahead.

Makarand Tilloo

Good afternoon, sir. Heartly congratulations for excellent number and as well as excellent website upgradation displaying company's potential.

Rupark Sarswat

Thank you very much.

Makarand Tilloo

Now my question is, we have seen that this expansion of capacity of biofuel ethanol plant, the costs are meagerly INR 14 crore. But whether it will increase our profit margin in future?

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Anand Singhal

INR 14 crore, how you are calculating, Mr. Tilloo?

Makarand Tilloo

Investment required they have written.

Anand Singhal

That INR 14 crore is only for biofuel.

Makarand Tilloo

Yes, for biofuel only. So, for biofuel it is INR 14 crore. But with this, our capacity is going to expand very much. So, whether it will increase our margins also?

Rupark Sarswat

I think we need to clarify here. There is a cost which goes in putting up the distillery, and there is some cost which goes into further processing of ethanol, if I'm not wrong, to convert it into biofuel, which is increasing its purity. And when you look at evaluating a CapEx and its profitability, actually this may be how we do our CapEx, but you have to take into account the entire cost.

Makarand Tilloo

Okay. Yes, I got it now. Now the second question is that, how much maize we are currently utilizing for producing ethanol? Because we have seen on Facebook that we are promoting maize cultivation in nearby districts also.

S.K Shukla

Yes, we are aggressively to increase the cultivation in our catchment area. We have started this journey in the last November and probably in the next month, I think March and February swing, we are putting our efforts to increase the maize production in our catchment area. So, we are very ahead. And hopefully this year, next coming year, our catchment, we will develop around 50 to 100 acres maize forming in our catchment area.

Makarand Tilloo

Okay. Currently we are utilizing how much of capacity, by maize?
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S.K. Shukla

Not much. I think most probably 1,000 tons to 1,015 tons in the last couple of months.

Makarand Tilloo

Okay. But when maize will be utilized more. For that purpose, do we need to have additional, some cost for that?

S.K. Shukla

Not too much. Some cost may be required for the enzymes and nothing else. So, it may be hardly INR 0.10, INR 0.15 paise, but not much. But certainly, the output of DDGS will get more and prices of DDGS will reduce as compared to the right DDGS.

Makarand Tilloo

Okay. That means whenever maize will be more available, our margin expansion will be more also, correct?

S.K. Shukla

Correct.

Makarand Tilloo

Okay, sir. And now the second point is, sir, in that you have written that NSU, there is a growth potential part commissioning is done. Can you elaborate more on that, sir?

Rupark Sarswat

I have mentioned to you that part commissioning is done. We'll have complete commissioning by Q1. We have a good pipeline, we have commercial supplies have started, and we are already doing, starting to do close to 150 metric tons of business per month. And we see this we have further, I would not say contracts, but we have got further business development done with a few customers. And largely, they are in several spaces in the oil field chemical space, they

are in the carbon smart space.

We expect that we will have significant volume coming from the new specialty unit in the next financial year. Definitely. You may be wondering why I'm not giving a number. In a new business, our approach has been kind of entrepreneurial. For a business where you are developing the initial pipeline, trying to get the initial contracts

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going. We are very happy with the pipeline. We are very happy with some of the order indications which have already come.

For a plant which has relatively just been commissioned, starting to do 150 tons to 200 tons per month is a good start. But as you can understand, for a new business like, it is not an ethanol business or a cement business, that you can say I have this much capacity, I will start sending that into the market. Once you have the plant, you start working, you start working with your customers and you start having application and development projects.

And this is a business which has a gestation period, and every product is customized and that is how you build this business. It is very different from biofuels. In biofuels, we have already told you capacity and what kind of potentially top line we can expect. But I can only tell you there is a good pipeline. I am happy with that the fact that we are supplying 150 tons to 200 tons per month tons is a good start for a new project with not that much investment.

Makarand Tilloo

Fantastic. So, if that it is customized then whenever the orders will be fixed from the customer you will get more orders in future also, correct?

Rupark Sarswat

We are very much hoping so. Our salespeople obviously have internal targets. We obviously have internal numbers as to how we would like to see this year and next year panning out. But it is not something that I would like to go ahead and give a commitment here. I would rather have a set of numbers which will give you a confidence and for you to see the growth.

Makarand Tilloo

Correct. Sir, last question is that internationally MEG prices are again increasing, correct?

Rupark Sarswat

Yes, I heard.

Makarand Tilloo

So, whether it will also help us in bio-MEG?

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Rupark Sarswat

In a small way, yes. We are not so dependent on MEG prices, to some extent, yes. See, what happens is that our customers are already paying a significant premium for Bio-MEG. And sometimes when they are using MEG, their shift, green shift is affected if the crude-based MEG prices are much lower. So, if MEG prices or crude-based MEG prices goes up, the incentive for them to invest in greener products is higher, in that sense, yes. So, the bigger is the gap, the bigger is our challenge.

Makarand Tilloo

Okay. So, in future their offtake will also increase if the regular MEG prices are increasing.

Rupark Sarswat

I think the viability of our business, new businesses will be better. But it is very difficult for me to immediately start saying that you'll see volume pickups. I think we'll be better positioned and hopefully it will translate into more sales.

Makarand Tilloo

Thank you, sir. Thank you very much and all the best to you. Within two years, we hope to see the company INR 5,000 crore mark on net basis.

Anand Singhal

Great. Thank you.

Moderator

Thank you. There are no further questions. Now I hand over the floor to management for closing comments.

Rupark Sarswat

So, thank you, Rohit, and special thank you for Saket and team. He does so much reading up on our company that he's more well informed than many of us in terms of numbers. So Saket, thank you for taking that much interest. That was on a lighter note. I think it feels good if there are people who are taking that much interest in everything that is happening and many of you do. Not only in ter

ms of what the company is doing, but I am also very impressed to see how you have a good idea of what is happening in the marketplace.

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I was thinking how much reading you do on the potable spirit space, how much you do on the biofuel space, on the blending space, international MEG prices, et cetera. Considering you are covering so many chemical companies. So, it feels good to have your interest. It is also good that so many of you have come to attend our investor call. Some of you encourage us. Thank you for that. Some of you congratulate us and then ask us difficult questions. That's also fine. Hopefully, we've answered them.

So, with that and on behalf of my colleagues here, I would like to thank you and wish you a good day and a good

week ahead.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

(This document has been edited for readability purpose.)

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Call: Jun 2024

4th June, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
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Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q4 & Full Year FY24 Earnings Conference Call

Further to our letters dated 21st May and 30th May, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q4 & Full Year FY24 held on Thursday, 30th May, 2024 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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India Glycols Limited
Q4 & Full Year FY24 Earnings Conference Call
May 30, 2024

MANAGEMENT MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD - SALES AND MARKETING (BSPC)
MR. S.K. SHUKLA - HEAD-LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST MR. ROHIT SINHA - SUNIDHI SECURITIES LIMITED

India Glycols Limited

May 30, 2024

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Moderator:

Good evening, ladies and gentlemen. I am Saumya, moderator for the conference call. Welcome to India Glycols Limited Q4 & FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Rohit Sinha. Thank you and over to you.

Rohit Sinha:

Good evening, everyone. Thank you for joining us on India Glycols Limited Q4 & FY24 results conference call. We are joined on this call with India Glycols management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head - Sales and Marketing (BSPC); Mr. S.K. Shukla, Head-Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarswat:

Yes. Thank you, Rohit. Very good afternoon to everybody who has joined on this hot summer afternoon, particularly from a Delhi perspective. I'm joined here by my colleagues, who Rohit has already introduced. I'll take this opportunity to give you some overview comments on the performance for this quarter as well as the year, and then subsequently, we can take your questions.

So as you have seen, we've had a good year overall and good quarter as well. So if you look at the numbers in Gross Revenue terms, we have clocked a growth of 19% at INR 7,922 crores. Our Net Revenue is up 24% at INR 3,294 crores for FY24. And in terms of EBITDA, that is about INR 428 crores, up 34% and PAT, which is INR 173 crores, up 23% for the full year.

So overall, there is a good performance both in terms of revenue and profitability. Particularly, it has been led by both top line and bottom-line performance by the BSPC segment, which is essentially chemicals and biofuels as well as potable spirits. And particularly good start as we added capacities for biofuels in the biofuels segment. As we have spoken over the last 1-1.5 years, it is in line with what we had anticipated after putting up grain-based capacities for ethanol, which has allowed us to do a risk mitigation as far as ethanol supply and costs are concerned.

And now the situation is that we are importing significant quantities of ethanol for chemical intermediates production, and which has meant that the capacity that we have put up is now available to therefore contribute to the biofuels revenue as well as contribution.

For the quarterly performance, the Gross Revenue at INR 2,039 crores is up 26%. The Net Revenue at INR 926 crores is up 50%, and EBITDA at INR 109 crores is up 9%, and PAT at INR 42 crores is up 6%. So we can see that there is a strong performance overall, both in terms of gross and net revenue.

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Particularly, the top line growth has been driven by potable spirits. It has been relatively modest in the Chemicals segment for this quarter.

And in terms of high level highlights for the company, you see a revenue growth of 24%, EBITDA up 34% and a healthy EBITDA margin of 12.9%, which is better than before. As you know, we've had a couple of tough years, and as we have kind of anticipated and also taken actions for this has led to improvement. So, I already spoke about grain-based capacities and the new biofuel portfolio helping us both top line and bottom line. In potable spirits, sales were driven mainly by increases in country liquor sales with both good performance in Uttarakhand and UP, where we

are close to our market leaders, particularly in Uttarakhand.

And in IMFL, most of the growth has come from our new market, which is Delhi and the paramilitary segment, and we will talk about it more later on. As you know, our key feedstock is ethanol for multiple

businesses. The cost pressures on ethanol to some extents have continued with high international ethanol prices. Although, they are not as high as they were earlier when we spoke about, 1.5 years ago. And what has also happened is that in the biofuels segment, there has been some volatility with respect to cost of grain and sales price of DDGS, which has meant that there have been periods in between where the margins of grain-based ethanol being sold as biofuels have been a little soft.

Ennature Biopharma, a relatively smaller segment for us, has registered a growth of 7%. However, here we've seen margin pressure in particular due to a challenging market, price erosion in nicotine and API segment. Having said that, I think the strategy is on track. We are focusing on long-term risk mitigation and building a pipeline of value-added products. We've also been talking about new value-added products, and I'm happy to share that there is a steady and a good start to commercialization of projects in the new value-added pipeline.

In fact, we are expecting the plant to be fully commissioned in about a quarter's time, though we've started significant production already. We are anticipating that the capacities that we have put up, even though they are not very large to start with, and that was part of a strategy to have a modular approach. We are expecting that those, by and large, taking a little bit here and there will, at least in some sections, get fully occupied in the current financial year, and we may be talking about incremental expansions to take the value-added chemicals portfolio ahead.

As you know, we have a joint venture, wherein we are putting a specialty chemicals business a couple of years back, IGL having 49% of the share. So that reflects on our overall profit performance. There has been a strong recovery in margins in joint venture performance, mainly driven by reduction of material costs. As you know, we've spoken earlier, one of the key factors, which affects amongst others, the joint venture performance is the cost of Ethylene Oxide, which IGL supplies to the joint venture. And for the factors that I've discussed, which is energy cost increases, which have moderated, which have come down for ethanol costs, which have moderated, plus the fact that we have put up our own grain-based ethanol capacity, has meant that the cost difference between crude-based ethanol in the market and ours has come down, though the delta is still there. And therefore, the relative competitiveness of the JV is better.

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So Q4, for example, the joint venture showed revenues going up 3% and EBITDA, though on a smaller base for the constraints that we said, getting up by 68%. And for the full year, there has been some recovery. We had lost sales. So now the full year in terms of top line looks flat and there's a modest EBITDA increase of 4%. So it's a good news from the perspective of the joint venture as well.

A final dividend of INR 8 per equity share has been declared. And we are utilizing our grain-based ethanol capacities nearly fully to what we have right now to service the contracts that we have with oil marketing companies, and that looks steady. But before I move on to a segment-wise commentary, what I'll do is I'll request my colleague, Anand, to give you a quick update on the financial performance.

Anand Singhal:

Good afternoon. I will take the results on consolidated basis. In the current quarter, the gross sale is INR 2,039 crores, vis-à-vis INR 1,616 crores in the last year corresponding quarter, showing an increase of about 26%. The net sale is INR 926 crore

vis-à-vis INR 619 crores, showing almost about 50%

improvement in the net sales in the current quarter. The EBITDA is INR 109 crores vis-à-vis INR 100 crores in the last corresponding quarter showing 9% increase, while PBT is INR 55.6 crore as compared to INR 45.64 crore, showing an increase of 21.8%. The profit after tax is INR 42 crores against INR 39.84 crores, showing 5.9% growth. The reason for this is due to the higher provision of the income tax. The EPS in the current quarter is INR 13.63 vis-à-vis INR 12.87 in the last year's corresponding quarter.

To take up the yearly results, for the year end 31st March '24, gross sale is INR 7,922 crores, vis-à-vis INR 6,641 crores, showing an increase of about 19%. The net sales is INR 3,294 crores, vis-à-vis INR 2,651 crores, showing an increase of 24.26%. EBITDA is INR 428 crores, vis-à-vis INR 319 crores, showing an increase of 34%. PBT is INR 223 crores vis-à-vis INR 165 crores, showing a 35% increase and PAT is INR 173 crores, vis-à-vis INR 141 crores, showing an increase of about 23%. The EPS for the current year is INR 55.87 vis-à-vis INR 45.55 in the last year.

I'll say as far as the operations is concerned, this year is the best year in the history of the company as far as the sales and the profitability.

Rupark Sarswat:

Thank you, Anand-ji. I have broadly talked about segments, but I'll give you slightly more detail, keeping it somewhat short. So if you look at quarterly and annual performance for our 3 broad sectors, the largest one being chemicals and biofuels or which we call Bio-based Specialties and Performance Chemicals (BSPC). I am consciously also saying biofuel because that is a significant chunk of the chemicals business.

So in terms of the BSPC segment for the quarter, we had INR 623 crores revenue for the quarter, up 60% and EBIT of INR 47 crores, which is up close to 11%. And for the full year at INR 2,141 crores, the revenue is up 25%, and EBIT is up 35% at INR 168 crores. Potable spirits has had a good year. And before I talk about potable spirits, let me give some additional comments on chemicals. I think in the chemicals business, a significant top line contribution has come from the biofuel business.

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It's a steady business with not so exciting percentage margins. But it is something which is kind of adding significantly to our top line and reasonably to our bottom line as well. At an overall strategic level, we see that we are on track in terms of what we are doing in the chemical space. We are leveraging our sustainability credentials much better. We expect that the year will be better for several of the key segments within chemicals. We expect it to have better traction as far as glycols are concerned. We expect an overall better year as far as biofuels are concerned because several of these capacities have actually come up this year, and you'll see full utilization of capacity in the current year. And we expect that there will be a good addition of value-added products in terms of how we perform in the current financial year. So that is as far as BSPC is concerned.

In the portable spirit space, we had a good quarter in terms of revenue at INR 247 odd crores, which is up 32% compared to the same quarter of last year, and EBIT of INR 40 crores, up 37% compared to the same quarter of last year. And for the full year, we've registered a revenue of INR 947 crores, up 25% and a EBIT of INR 164 crores, up 61%, which is a very good performance. And it is primarily, as I said, being led by growth in two new areas, which is in the IMFL space, which is Delhi and Paramilitary as a new segment for us. We've continued our strong performance as far as country liquor is concerned for both our key markets, which is Uttarakhand and Uttar Pradesh. Also, you see a very good improvement in profitability, both on account of cost actions as well as pricing actions, which

are not so much dependent only on what IGL decide, but it's a factor of getting those approved through the government as well. So it has been all in all a very good year for potable spirits.

For Ennatura Biopharma, as I said, a relatively smaller segment for us. It has been a good year as far as top line is concerned, particularly the quarter has been good at around INR 56 crores of turnover, up 28%. And for the whole year, the full year turnover at INR 205 crores is good. It has crossed INR 200 crores, for the first time for the year. So that is good from a top line perspective.

But we faced, as I mentioned earlier, some pressures on pricing because the market for nicotine and APIs has been quite competitive. And our broad strategy to look at taking costing actions and more importantly, build the value-added pipeline is on track. So that's how we see that we'll continue to take care of the business and may grow it both in terms of top line as well as bottom line. So those are my high level comments as well as far as the various sectors are concerned. And I will take a pause now and then we can take some questions.

Moderator:

Thank you, sir. Our first question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian:

Good evening, sir. Congratulations for a good set of numbers. Sir, we have seen significant margin improvement on YoY basis from like 11% to 12% kind of thing, especially it comes from chemicals and the potable spirits segments. So if you look at 2018-19 that time, so we have seen margin of higher digit rates and for this chemical side. So around more than 9% kind of margins we did it. And potable

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spirits also, once upon a time, we did it around more than 20% kind of margins. So we can able to do

those range in next over 2 to 3 years.

And Ennature Biopharma side also, like earlier, we did about 20% kind of margins, but right now, it came down below 20%. So what kind of realizations do we have on that Ennature Biopharma and especially in the agriculture and nicotine side? You could share more details on the margin side.

Rupark Sarswat:

If you look at overall margins for the last couple of years, I remember our EBITDA margin actually going up, it came down from close to 12% to 9.6% then it went up to 11.9% and this year we are looking at 12.9%. So over the last few years, I can say, that while the margins, we want them to better and you would also like them to be better. But if you look at the last few or four years, that's at an overall level, the margins have seen steady improvement. And I expect that at an overall level, this trend will continue.

We've had last couple of years of significant pressure, as I mentioned, some of the cost pressures continue. But we are taking a few set of actions, and I'll comment on both chemicals as well as the Ennature biopharma at a very high level. I mentioned to you that some of the actions that we are taking are on the cost front, which includes operational cost, efficiencies, energy, etcetera. And we have a pipeline of actions, which we'll continue to take next year as well. The other key things for us is that some things are not always entirely in our control in the sense that as you saw freight, energy and feedstock prices for us really went through the roof over the last couple of years.

That has adjusted to some extent, but not entirely. Strategically, we feel that our strategy in terms of building on our sustainability credentials, working on newer greener technology is perfectly all right. And to some extent, it is also helping us recover the margins. As I mentioned, the other key actions, apart from managing the bottom line, is to enrich our product mix based on more value-added products.

And I can say, as I mentioned, that we creating specialty chemicals businesses takes time because it needs a sig

nificant amount of R&D effort, formulation effort, application development effort.

Sometimes the collaboration with the company, even though the volumes are not flat, can take a couple of years for our product to materialize. I can only say that we are taking those actions. Those are on the right track. And as you can see and you'll continue to see over the next quarter, our progress on the value-added product is steady.

So that's the broad strategy. I think you are also probably talking about years, which is more than 2.5 years ago, when we were comparing the business slightly differently because the entire specialty chemicals business was also part of the IGL portfolio, which is now part of the joint venture. I must accept that as a percentage in the entire chemicals portfolio, the margin percentage is of the specialty chemicals business or the dense specialty chemicals business was higher and we are also operating on better time.

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Let me give you a little bit of context. If you heard some of my calls earlier, I used to say that we faced the time where for a long period of time landed ethanol imported price cost to us was close to INR 35 a litre. It went up to as high as INR 70 a litre. So we were also talking about those times. It's not cost have come down. They have come down, but they have not come down to those earlier levels. So those pressures are there, but I also talked about the strategy to build it. Now as far as Ennature Biopharma is concerned, I told you about the price pressures and again, the focus on building a pipeline, but I'll request my colleague, Manish, to give you some more comments.

Manish Pant:

Yes. So Bala, basically, as Rupark said regarding this new value added production, but we are thinking as per the pipeline. And the prices are under stress because of which margin has become low in our key USP product which are Thiocolchicoside and Nicotine. So these 2 products are our bread and butter till now, but now we have envisaged with our new product line like branded nutraceuticals and we are presently in the USA and Europe. Hopefully, this year turnover would be at least increased by 25% and the margin would be much better than this year.

Bala Subramanian:

Got it, sir. So, on the realisations, like last quarter, if I have mentioned, Thiocolchicoside INR 4.2 lakh per kg and then nicotine INR 7,000 per kg. What are those in current level, the price points, right?

Manish Pant:

I will have to check and will get back to you separately.

Bala Subramanian:

Fine, sir. Sir, on the Power cost side, it's continuously like coming down in terms of sales right now in this quarter, 7.8% of sales. So we have seen significant improvement on the power cost side. And we have signed agreement with the RENEW to procure captive wind and solar hybrid power. So it is expected in which quarter supply is expected? And whether this trend will continue? Or how do we see in coming quarters?

Rupark Sarawat:

We've already given an update that there has been a delay as far as RENEW is concerned, and the delay has been explained on account of change of certain regulations or court directions based on which there are certain challenges, which is what RENEW have told us in terms of the current structure of group captive. Now what this means is that we are in discussions with RENEW to look at it again, which means that we are not in a position to give a timeline on when we will be able to realize those benefits.

However, we are continuing to pursue not only RENEW, but also in discussion with other companies as to how we can look at not only low-cost power but secure green power for our operations. Having India Glycols Limited

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said that, I may also add, which may be of interest. We've not spent any money as far as RENEW is concerned so far, especially after we've come to kn

ow that there are some challenges. So we are in discussion with RENEW and also some other people who can potentially supply us green and cost effective power.

Bala Subramanian:

Got it. And on the NSU side, mostly commission is expected in Q2. So what kind of volumes we can expect in coming months? Like earlier, we mentioned around 150 metric tonnes, whether we can able to 200 or 300 in that range?

Rupark Sarawat:

Yes. So, this is a plant with multiple capabilities and multiple reactors. A significant portion of the plant has already been commissioned. But we have said that complete commissioning will happen when it happens, which is Q2 etcetera. Now as far as the volumes are concerned, I am cautious that I'm not going to give projections for the business. But I think in a few months, we expect our monthly volumes to cross 400 to 500 tons per month.

Bala Subramanian:

Sir, ethanol, the supply started for this INR 1,164 crore order from oil companies. Because the contract time period is November '23 to October '24, we have started the supply and when the revenue recognition will happen, whether we can expect in this year?

Rupark Sarawat:

So I would first like to slightly correct you. We call it allocation and not a contract in the sense that this is the allocated quantity based on what the oil companies are able to blend to pick up the material. Having said that, I think by and large, I have looked with a little bit here and there. We are in line with supplying what is the allocation given to us. I don't remember the monthly number. We can get back to you separately. But I think by and large, we are in line with it. So to some extent, we've already started clocking the revenue. And we expect that the revenue will go up a little bit as we start to cater to the allocations that they have been allotted to us.

Bala Subramanian:

Thank you, sir. I'll come back in queue for further questions.

Moderator:

Our next question comes from Manish Sithana, an individual investor. Please go ahead.

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Manish Sithana:

Yes. My question is regarding the country liquor space and with the new excise policy being announced by the government of Uttarakhand. So how do the company foresee that impacting our top line and bottom line in terms of the margin as well as the sales figure?

Raju Vaziraney:

As far as country liquor policy in Uttarakhand is concerned, it is quite favourable, because of two reasons. One is we have got a higher selling price, we call it ex-distillery price, which everybody has got because it is as per the slab. Now the second thing with because of the foresight of our top management, we have very quickly been able to install a Tetra machine. This is the first time in Uttarakhand, I'll give you a small background. Because of these changes, Tetra was not allowed in Uttarakhand for so many years, for ever since Uttarakhand was formed.

But now as the policy change, from 1st April, Uttarakhand Excise has seen reason for them to bring tetra pack for country liquor as well as IMFL. And as our CEO rightly said, we are leaders in country liquor as far as Uttarakhand is concerned. Now we have been able to quickly garner all the resources, and we are the only supplier of Tetra Pack in Uttarakhand. Now we are following a steady build approach. We can dump a lot of Tetra into the market, but we want both the bottle as well as Tetra Pack to coexist.

The margins in Tetra Pack naturally are higher because there is no glass bottle, there is no cap, there is no label. It is only a smart pack if I may say that. So we will have this, we will be able to harness the first over advantage. And as you know in our various calls, there are only two major players in Uttarakhand. We are there and another is Radico Khaitan.

Radico Khaitan does not have tetra machine. In foreseeable future, we don't see because it i

s highly

capital intensive. It is a very sensitive thing. It is not like any other machine. It requires lot of care because for various reasons. Now the first initial reports of April and May are encouraging, and we have made our very good mark as far as country liquor in Uttarakhand is concerned. It will not be fair for me to give you a figure, but I can only say we will be able to get most of the country liquor sales, whether in bottle or tetra in Uttarakhand. Secondly, since the policy allows Tetra Pack for IMFL also, we have a definite plan to introduce Tetra Pack in IMFL as well. IMFL already, we have about more than 25% market share. And the third step we are taking is introduce new premium brands, which is as far as all other states are also concerned.

To sum it up, we have two, if I may, sustained competitive advantages. One is we are the only company to have quickly installed a Tetra machine and also given the output. Though the consumer acceptance, I cannot make a statement that it is successful, it's yet to be ascertained. But the first reports are encouraging. But only over a period of three months to six months, maybe one year, you'll be able to make a statement that, Tetra will overtake glass bottle. And the second is the price increase in realisation. So these are the two changes of Uttarakhand, country liquor, and IMFL.

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Manish Sithana:

So the price increase that you're mentioning would certainly translate into a better margin, I may say so?

Raju Vaziraney:

Yes, definitely. Yes. Definitely. Unfortunately to discuss many details, but we are very cautious. This is our home state. We are quite focused.

Manish Sithana:

Yes. And my second question is on certain financial aspect, which we are bifurcating some cost of material consumed and purchase of stock in trade, which was not that amount in, let's say, March quarter of the last year. So what is the difference between the cost of material consumed and the purchase of stock in trade? And why are we, showing them separately? Why are we showing and what is the difference between the material consumed and the purchase of stock in trade? What is the difference? I want to understand the difference between the two items.

Anand Singhal:

Stock in trade is basically the stock in trade with clients, while the material consumed is basically the material actually consumed by the company for the different products.

Manish Sithana:

So are these materials again of a raw material or consumables or what exactly are they?

Anand Singhal:

This is basically the molasses and the alcohol.

Manish Sithana:

You're referring to materials consumed or purchase of stock in trade. I'm asking a line item, which in the current quarter was INR 115 CR.

Anand Singhal:

Stock in trade is basically the trading activity that we are doing for some of our products.

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Manish Sithana:

Well, I still didn't get you, if it is a trading activity, why it didn't show as an expense? Because corresponding March quarter was INR 2 crores and I mean, this quarter, it is INR 115 crores. So what exactly is the difference?

Anand Singhal:

This is basically the material which we have sold out on the trading activity. And this figure is the basically the balancing figure which I can say has been shown as a stock in trade.

Manish Sithana:

Still not clear. I'll get back to you separately on this. So, thank you.

Anand Singhal:

I'll give you the clarification separately whenever you are.

Moderator:

Thank you, sir. Our next question comes from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj:

Thanks for the opportunity and congrats on good set of numbers. So my first question is on, importing ethanol. So you mentioned that you've started importing ethanol. However, recently we hav

e seen

that there is again surge in terms of logistic costs. So what is your assessment of the situation in terms of the incremental imports, whether there'll be again cost that will go up and will it have impact on the margins? So just a broader view on the sales. Thank you.

Rupark Sarswat:

Yes, Rohit, good to hear from you. After a long time, how are you?

Rohit Nagraj:

All well, all well, sir. Thank you.

Rupark Sarswat:

Rohit, you understand the business quite well. You have followed it up for a long time. And I think, overall, there is some increase, as I mentioned. There was softening of imported ethanol prices, which went up to 47-48 or thereabouts in terms of the weighted average that comes to us. And then it has gone up a little bit. So there is some increase, but at the same time, given the option that we have for India Glycols Limited

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what we produce in-house and sell it for biofuels, it still usually makes sense to use imported ethanol for making chemicals, and I expect that will continue for the foreseeable future. And foreseeable as well depends on so many things, but I see that that will continue. I expect that there will be some volatility, some increases. But overall, I do not expect a significant amount of dent either in terms of our top line or our bottom line. There may be some, but I think compared to what we've seen over the last 4 years, it is relatively nominal compared to that. Broadly, I don't see our numbers or our top line getting significantly impacted because of that as of now.

Rohit Nagraj:

Got that. The second question is on potable spirits. So I think we have been doing geographical expansion. So where are we currently in terms of reaching beyond the existing geographies? And what is the plan in terms of going across different states over the next maybe 2 to 3 years? Thank you.

Raju Vaziraney:

See, as you know, we have as our CEO mentioned in the beginning, we have added 2 new areas of business, one is Delhi. Delhi, we changed this RTM, as we say, route to the market. We were earlier working through the distributor. Now the company has good focus, and 6-7 brands are already there in Delhi market, and there has been a phenomenal growth. So there is focus on Delhi market.

And what has happened is, paramilitary consists of BSF, CRPF, ITBP and SSB. So now what was happening earlier for so many years, all these 4 formations would give or tender separately. So last year, as luck would have it became one tender, and we could see it quickly. I am a IMFL person, and I understand this fairly well. So we quickly applied for tendering in all 5 brands.

And to our good luck, all over five brands because of our quality consciousness at Kashipur, where we also co-packed Bacardi for so many years, and we are known for good quality IMFL. Our 5 brands have done very well, and we are among the top sellers to paramilitary. Now the good news is, again, the tender came a few days ago, and we have been able to add two more brands, and we will be able to take the volumes up. But mind you, this paramilitary is a limited business. It is not CSD. CSD is army, while this is paramilitary forces.

There is moratorium in CSD till 30th June, and we are quite prepared to and there are certain restrictions, as you would know, since you're asking portable IMFL question. There are certain restrictions on quantity achievement before you introduce brands into CSD. We have been able to do so on two of our brands, and that we will apply. Now it is very easy to increase the geography as far as the IMFL is concerned. But our top management has taken a cautious decision to go steady build, as I said, and also focus on improvement in margins.

So at the moment, we have introduced we have made Delhi successful, paramilitary, and Uttarakhand, of course, will blossom, if I may use the word, and UP will be steady. This is our second home state.

We are at least in the next 6 months or a year, we do not have any plans to add new states instead. We have all the plans to introduce premium brands. Because it is very easy to start new states, but

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the working capital requirement is so high and open credit has to be given. So we don't want to lose money in the business.

So as a strategy or as a cautious step, what we have done, we are not increasing in this year more states. Instead, we are bringing in two more new brands. And I'm glad to inform you, it is already signed and under production. We have tied up with Amrut Distilleries. Amrut Distilleries, as you know, is a world-class single malt company, and they have visited our unit. They know about us because of the Bacardi co-packing, and we have bought their brand called Maqintosh.

Amrut is not a listed company, so you may not be able to have access, but I can it is underway. Excise approval has been given. We have got the license. So Maqintosh Whiskey, which is a 35-year-old whiskey of the company, we will be making on royalty or franchisee rule. In other words, we will be making all the we will be investing into working capital and also making all the profit and giving away a certain set of royalty to Amrut. This is the first time Amrut has tied up with another company in view of our quality standards.

So this is one step. Another is we are going to our Amazing Vodka has been quite popular and successful in the last 3 years. Wherever we have launched, we are among the top 3 vodkas, whether this is in Delhi, whether it is in UP, whether it is in Uttarakhand, or any other state. We are among the top 3. We want to sustain and extend this success to another flavour. For obvious reasons, it is not in public domain, so I cannot give more details. But we have these two steps we are taking in IMFL. So we are quite poised.

Rohit Nagraj:

Sure sir, thanks for that elaborate answer. It clarifies a lot of things. So just one last question in terms of investment in pipeline. So what are the current investments across the segments which are currently underway? And what is the plan of capital expenditure for, say, FY25 and FY26? Thank you.

Anand Singhal:

For the current year, there are 2 major expansions which are going on. One is the increase in the capacity in Kashipur from 400 KLPD to 500 KLPD, which will be ethanol manufacturing. And for Gorakhpur, we are increasing the capacity from 110 KLPD to 280 KLPD. So these are 2 major CapEx and there may be some expenditure on NSU because I think there will be some expansion depending upon the market demand. So these 3 are the major expansions for FY24-25. After that, we are not planning for any major CapEx till FY25-26 except the maintenance CapEx, which will be ranging from INR40-50 crore.

Rupark Sarswat:

Just to add there, I think based on how some of our new Chemical businesses' opportunity is built up, as I've mentioned earlier. We may be looking at some incremental CapEx, but it is not something that we have firmed up right now.

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Rohit Nagraj:

Sure. Fair enough. Thanks for answering all the questions and all the best, sir. Thank you.

Moderator:

Thank you, sir. We have a question from Shubh Jain from Emerge Capital. Please go ahead.

Shubh Jain:

Thank you, sir, for the opportunity. A couple of my questions have already been answered. Just one question. Can you please give some colour on our debt profile and how we plan to reduce it and over what period of time?

Anand Singhal:

Currently, our debt position is about INR 900 crores, including the EPBG, which we have taken about 10 years ago. So, this year, the total repayment is about INR 350 crores, which for which we have already, made some prepayment amounting almost about INR 100 crores. And we are also planning to make some of the p

repayment out of the better cash flow. So, this is what is the planning. And as far as the new CapEx is concerned, since we are already through with the new CapEx, So I don't foresee any major term loan raising from the bank or from the market.

Shubh Jain:

Okay, sir. And what is our average rate of interest?

Anand Singhal:

It is around 9%.

Shubh Jain:

Okay, sir. Thank you, sir. All the best.

Moderator:

Thank you, sir. Our next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor:

Yes. Namaskar, sir, and thank you for the opportunity. Firstly, our closing balance, closing net debt level, when we will be repaying our debt, what should be the expected long term loan level for the closing FY24-25?

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Anand Singhal:

FY24-25?

Saket Kapoor:

Yes.

Anand Singhal :

Saket, it will be around INR 625 crore-INR 650 crores.

Saket Kapoor:

Okay. So we have closing balance of INR 725 crores, which will go down to 650 crores.

Anand Singhal:

Actually, I don't know from which sources you have seen that INR 725 crores. My debt is around INR 900 crores as of now, which will come down to INR 650 crores. That INR 725 crores is not including the EPBG. I am talking about the amount including EPBG. Okay, which is the export advance which we have taken, say, about 9 years back. So the entire EPBG which we paid in the current year, FY24-25, which is about \$17.8 million and rest is the rupee loan, so this entire outstanding for the term loan will come down to about INR 650 crores.

Saket Kapoor:

INR 650 crores from the current level. And we look at when we look at the cash flow, we find we have spent around INR 553 crores for FY24. So what is the breakup for this and for the 2 years that we have spent around INR 1,000 crores?

Anand Singhal:

Actually, this year, we have capitalized all our projects, which has been completed. That includes NSU, that includes the grain distillery up to 400 KLPD and the boiler. Apart from this, there are some, I will say, the miscellaneous CapEx and one is the nicotine CapEx in the Dehradun. Major amount is coming from Grain, 400 KLPD and NSU.

Saket Kapoor:

Okay. And for the Gorakhpur part to 180 KLPD is still left to be spent, it will be spent for this year?

Anand Singhal:

180 KLPD is in pipeline and this hopefully will be capitalized in the current year after completion.

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Saket Kapoor:

Right. And sir, can you give me the feedstock also by now with the expanded capacity, we will be 500 for Kashipur and 290 or 280 for Gorakhpur. So what percentage for this we have to depend on the grains and how much will be the molasses?

Anand Singhal:

This 290 KLPD and 500 KLPD is totally on grain.

Saket Kapoor:

Okay. And these are the broken rice which we are dependent, sir?

Anand Singhal:

It is all broken rice.

Saket Kapoor:

Yes, yes. Sir, is it the broken rice sales from the FCI that is our feedstock? We are sourcing it from FCI only or from open market?

Rupark Saraswat:

We have from time to time looked at both options. FCI rice is currently not available, so damaged food grain is available depending upon what is the price, what is availability, we look at those options. There is no hard and fast. And it is also a factor of how the government wants to make FCI rice available or not available, etcetera. But we've also looked at price from the private market.

And these grain plants subsequently, I think the government has a policy to diversify the feedstock for grain that we will use for ethanol. I think going forward, and we are in the process of evaluating, taking price, etcetera, I see that significant part of grain may start also coming from corn as a feedstock. Most of these effects with some modifications can be used as corn as well. So as you see,

most of the ethanol

that is produced in the U.S. is actually corn-based. I see that also backing up in the time slot.

Saket Kapoor:

Maize and corn are the same feedstock?

Rupark Saraswat:

Yes, yes. Maize and corn are the same feedstock.

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Saket Kapoor:

So just to conclude, availability of raw material is not an issue even with the expanded capacity.

Rupark Saraswat:

Let us put it this way that the government, if you look at various articles and the policy, is very clear to continue to push to go for 20% blending. And so far, if you look at the blending program from whenever it was announced, there has been by and large, give or take stuck to the percentage increases that we have planned. In between, there have been hiccups, where sometimes FCI rice availability, etcetera, has been difficult. And we expect, as we have discussed before, that some of these hiccups will continue from time to time.

But if you strategize and look at a longer time horizon, I think we see that we will continue to be able to by and large utilize our capacities to supply to the oil blending companies because the government strategy is quite clear. And the government also when the prices have gone up, for example, if you look at grain prices when this went up. I mentioned earlier that to some extent we saw softening of margins, but the government responding by supporting to some extent by increasing those prices. So we see by and large the business for biofuels in the portable sutures unless something drastic happens like a drought or something to continue and not only to continue but also to steadily increase in terms of percentages. It is very difficult to have a crystal ball and give an exact forecast and what exactly will happen, but that's how we see it.

Saket Kapoor:

Right, sir. And just for the last point subject to ethanol is for the allocation of supply, can you give the revenue which we have booked for this financial year and the next balance we know what the contracted value is.

Rupark Saraswat:

I don't have the numbers completely ready with me as I have not and we've not given a forecast either for the business or segment by segment. As I mentioned earlier, by and large, so far we are tracking the respect to allocation. If the oil blending companies don't pick up etcetera, those kind of issues. What will be potential hiccups or somewhat derailer. Derailer is a strong word, I think raw material availability to some extent. We saw some challenges, but by and large we coped. Picking up our oil blending companies for various reasons, that could be a potential issue. But other than that, we see that by and large we will be tracking on allocation, we expect to track on allocation.

Saket Kapoor:

Right, sir. And Rupark ji, you mentioned about 400 to 500 tons per month to be the dispatcher for the NSU. Can you also provide some numerical number to it? What would be the run rate?

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Rupark Sarswat:

I don't call it a projection. I will say that give or take depends on how it goes. I'm not talking only about products produced from this specific asset. I'm talking about various new value-added products. We are expecting and don't take this as our projection is that something like in the financial year, something like INR 200 crores from new value-added product is something that we are targeting.

As I mentioned with the disclaimer, it's not a projection that I'm giving. And hopefully depending upon how some of our collaborative projects work out, there may be a little bit of slowdown happening, there may be escalation happening. As I said, it is a business which is different from ethanol or Petrochemical, this is the business that we have to build with our partners, brick-by-brick based on various products.

Moderator:

Thank you, sir. Our next question

comes from Meet Gada from Emkay Global. Please go ahead.

Meet Gada:

Hello. Thank you for the opportunity. I wanted to ask, what will be the peak revenue potential for the company on current gross block?

Anand Singhal:

Actually, your question is not very clear to us. You are talking about for the which division? This is basically for the chemical, liquor or?

Meet Gada:

Chemical and Liquor separately.

Anand Singhal:

Chemical and liquor separate. For liquor we are already on 100% capacity. For country liquor in Uttarakhand our country liquor in UP, we are already on 100% capacity utilization. And for chemical, I think Rupark Sir can answer.

Rupark Sarswat:

Yes. We have significant headroom in some of our key chemicals like glycols, glycol Ethers, Glycol Ether Acetate, ethylene oxide, etcetera. And as I mentioned, based on how some of our new value-added products and specialty chemicals projects develop, we will be adding capacity incrementally to take care. It is very difficult right now for me to give you a peak revenue potential on current Asset based on the speciality chemicals because it is a function of the product mix. I have already given you

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indications in terms of what we are targeting and the fact that over and above this, we will be doing incremental investments.

Meet Gada:

Correct. Got it, sir. Thank you so much.

Moderator:

Thank you, sir. Our next question comes from Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat:

Yeah. Thank you for the opportunity and good evening to everyone. So my first question is regarding the biofuel. So how much of the biofuel do we internally use and how much of it is sold in the market or to the government?

Rupark Sarswat:

So sir, we do not use any biofuel internally. Let me explain this to you slightly. It will help you to understand about the business. So we have 3 potential sources of ethanol. One, imported ethanol, which comes either from U.S. or Brazil, if it comes from U.S., it is corn-based, if it comes from Brazil, largely it is sugarcane-based. The second source is manufacturer of ethanol from molasses. The third source is manufacturer of ethanol from grain and the fourth source is either of these two sources purchased domestically.

None of the imported ethanol can be used either in potable spirits or for biofuels. This ethanol is then converted to various different things. It is converted to extra neutral alcohol if it is to be used in beverages, which can find way for our bottling, for Bacardi or for example, IMFL brand or our country liquor brand. But in that case, ethanol is converted to ENA, extra neutral alcohol. If this alcohol is to be sold as biofuel, it is converted to whatever 99.9% ethanol because you can't have moisture when it gets blended with fuel.

And that is a different technology. Taking ethanol from 96% to 99.9% is not distillation, it has to be done differently because it's formed at 96% what is known as an azeotrope, difficult to separate. This, which is dried up to this extent is supplied to biofuels. So it is not that we consume biofuels. We have different sources of ethanol.

All sources cannot go into all different applications. Some of the ethanol, which is either from molasses or from grains, which we produce, we don't buy and sell biofuel, can be converted into biofuels by drying it up to 99.9% and therefore that goes into biofuels. And we have a complex set of sums, which we do based on what is the best trade-off for us, and therefore, it is difficult to give you an exact number. We don't have enough time, subsequently we can explain it to you. The reason I'm saying this is, for example, if like it happened last year, if the imported ethanol became very expensive, it makes sense for us to divert things in the amounts of our manufactured ethanol for chemical intermediates.

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But now that imported ethanol has come down, hence we have shifted largely except for certain chemicals which require molasses-based ethanol to using imported risk now for chemicals. So this is a trade-off activity which we keep doing. I don't have one single number which I can tell you as a percentage, but if you do want more details, we'll be happy to explain it to you in detail later on.

Pradeep Rawat:

Okay, okay. So can you provide a number like how much litre of ethanol do we use internally?

Manish Pant:

Yes, we can provide you a number, ballpark. So for chemicals around 50 lakh litres is being consumed for our own purpose. And 50 lakh litres is being supplied to the joint venture.

Pradeep Rawat:

And this potable spirit?

Rupark Sarswat:

Potable spirit is around 15 lakh litre per month as in ENA. And remaining that we manufacture, which is leftover is supply to biofuels. I may have made a slight miscommunication. The consumption that we're talking about currently for chemicals and that's the complexity I explained to you. Currently, it is coming from imported.

Pradeep Rawat:

Yes. Okay. So 50 lakh litre is used for chemical and the other 50 lakh is used for?

Rupark Saraswat:

Sir, can I request you one thing. Mr. Manish will be more than happy to explain this in slightly more detail to you if you can connect with him. So all the numbers and how it's actually a complex set of planning is honestly really not on my fingertips now. Very difficult.

Pradeep Rawat:

Yeah. Okay. Okay. I will connect with him offline. So thank you. That's all for my side.

Moderator:

Thank you, sir. Due to time constraints, we won't be able to take more questions. Now I hand over the floor to Mr. Rupark for closing comments.

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Rupark Sarswat:

So thank you for giving us that attention, for coming to our call in a busy day when we have got a number of calls to attend, asking us a number of questions, testing our knowledge of our own business itself. I'm sure I hope I gave you reasonable replies to most of the questions, and I'm conscious that some of you needed some more details from my colleagues Anand as well as Manish. We'll be happy to take them on later on. Otherwise, that's all from our side. Thank you. A very good evening to all of you, and have a good evening.

Moderator:

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you, participation, and for using Doorsabha's conference call service. You may all disconnect your lines now. Thank you and have a pleasant day.

(This document has been edited for readability purpose.)

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Call: Aug 2024

5th August, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 – Transcript of Q1FY25 Earnings Conference Call

Further to our letters dated 22nd and 31st July, 2024 and Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q1FY25 held on Wednesday, 31st July, 2024 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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MANAGEMENT MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD- SALES AND MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST MR. ROHIT SINHA – SUNIDHI SECURITIES LIMITED

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Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q1FY25 Earnings Conference Call hosted by Sunidhi Securities. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Rohit Sinha from Sunidhi Securities. Thank you, and over to you, sir.

Rohit Sinha

Good evening, everyone. Thank you for joining us on India Glycols Limited Q1FY25 results conference call. I would like to thank the management for giving us this opportunity to host the call and congratulate them for a good set of numbers. We are joined on this call with India Glycols Management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head- Sales and Marketing (BSPC); Mr. S. K. Shukla, Head - Liquor Business and Mr. Ankur Jain, Head Legal and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Thank you, and over to you, sir.

Rupark Sarswat

So, a very good afternoon to everybody who has joined, and thank you for joining us. I, along with my colleagues, will give you a quick snapshot of how the quarter has been, and then we will take some questions. So, I'll take you through financial highlights, a quick review of the segments and a quick view of the financial results. So as you may have had an opportunity to look at, we've had a good quarter, I can say, especially I know over the last couple of years or probably more than that, we have been through a bit of a tight situation on the India Glycols front for all the reasons that we have discussed with you and several questions that we have answered. But it appears that broadly in terms of the strategy of the company, it has kind of worked for us, and it is also reflecting in the performance for the quarter as it also did in their performance for the last year.

So, if you look at our Gross Revenue is up to INR 2,283 crores in the quarter, which is up 21%. On the Net Revenue front, which is net of excise, we clocked a Revenue of INR 969 crores, which is up 41% and also, our EBITDA is up to INR 128 crores, which is up 21%, and our PAT is also up by 18%. So overall, I think a satisfying and a good growth quarter from our perspective. And if you look at most ratios, they have moved in the right direction. Now, there are several things we will talk about. I think I would highlight here that one of the things which has driven our top line as well as addition to the bottom line is the emerging biofuels business. And having said that, I think even in the chemicals space as well as potable spirits segment, we've seen good growth in top line as well as bottom line.

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Now you remember we have had several discussions where we have briefed you that our strategy to get into grain-based ethanol was kind of also expedited by the fact that imported ethanol prices were very high, it was something that happened after many years of stability. So that helped us to mitigate the prices, but it also provides us the opportunity to cater to the blending market that we are serving right now. And more importantly, the imported ethanol price has softened and therefore, all the grain-based ethanol that we're producing, we were able to channelize into the biofuels space. And I will talk about what's happening in the biofuel and ethanol space whilst many of you may be quite aware of it anyways.

So, if I look at it again, one level below,

our Net Revenue surged by 41% and, now what we've also done is that till last quarter, we were reporting ethanol sales into the power fuel blending sector as a part of

chemicals. But considering that it has become significant by itself, it is now reported as a separate segment. So, you see that our Chemicals business and basically specialties and performance chemicals business is 17% up YoY in terms of top line. And the biofuels business on a YoY has improved from INR 65 crores to INR 139 crores, which contributes significantly. And the Potable spirits business has also done very well to grow by 19.1% YoY. Our Ennature Biopharma business has also seen a modest, relatively speaking, the modest top line growth of 8%.

And that is, therefore, also reflected in an EBITDA increase by 21.3% and an EBITDA margin, which is also better than the last few years, and you would see a steady trend at 13.2%. So, in terms of some of the things that we're talking about, we have over the last 2 - 2.5 years, talked about our intent to invest in new value-added chemicals starting from almost scratch from R&D pilot plant, commissioning in 1 plant. We are nearly full commissioning. And I think I can say that whilst it's a little early, I do know, Specialty Chemicals businesses take time to build working with customers through partnerships and development work, which is what makes them Specialty Chemicals. We've had a good start, and we are quite confident in terms of the foundation that we see has been built for the new value-added chemicals business.

And the other thing that we've talked about, our joint venture has also seen significant recovery in margins, which is the joint venture with Clariant, which had also been under cost pressure for some time. And now you see whilst the joint venture top line has seen nominal growth, but there has been quite a significant growth in terms of the gross margin, which is upwards of 35%. And a lot of it is on account of the improved cost position and Equinox side that we supply to them. So that's one thing. And Anand ji I will give a bit of the segmental commentary, but could you highlight financials?

Anand Singhal

Thank you, sir. Now, for the Q1 FY25 on consolidated basis, the gross revenue is INR 2,283 crores, which is up by 12% vis-à-vis last quarter and 21% vis-à-vis the Q1 FY24. In net, turnover, net revenue from operations is INR 969 crores vis-à-vis INR 926 crores in the last quarter, which is up by 5%. And Q1 FY24 was INR 689 crores up by 41%. PBT is INR 64.93, I would say INR 65 against INR 51 crores in the last quarter that ended on 31st March 2024 and Q1FY24 it was INR 58 crores. PAT is INR 60 crores against INR 42 crores in the last quarter and INR 51 crores in Q1FY24. For the current quarter on a consolidated basis, the EPS

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is INR 19.5 vis-à-vis INR 13.6 in Q4 of last year and INR 16.5 in Q1FY24. So, this is about the consolidated results.

Rupark Sarswat

Thank you. Let me talk about our segments a little bit. So, if you look at our Chemical segment, for example, we have seen an EBIT margin of 9.9%, and which is up from INR 336 crores to INR 393 crores. And for our Potable Spirits business, the number that I talked about, we saw a growth from INR 235 crores to INR 280 crores, which is 19% up and with the EBIT margin of 17.5%. In the Biofuels segment, our EBIT margins, not only have we seen an increase in terms of our top line, which I mentioned, but also because of the improved structure of the cost, which is dependent on several things, which includes the cost of grain to us, the selling price of DDGS and the sale price of ethanol, the overall EBIT margin position for Biofuels has also improved from close to 5% to close to 8% now.

In general, top highlights in terms of the segmental performance, I talked about the numbers. We see that to some extent; our cost pressures have continued. B

ut despite that, we have seen improvement both in top line as well as bottom line as well as percentage EBIT margins. And we continue to work on optimizing our costs, mainly by looking at how we can optimize our ethanol costs, energy costs as well as processing costs.

Whilst you know the numbers for Biofuels, since we've also separated it as a segment just now, I'll give you a quick update on what's happening in this space. So, if you know from 2014, where India hardly did any blending, in 2019-20, we moved about 5% blending against the target of 5%. In 2020-21, the government had a target of 10% and we moved about 8.7% blending. In 2022-23, the government had a target of 12%, and as a country we did a target of 12%. In 2023-24, there is a target of 15% blending, and the blending fee ratio was about 12.1%, but blending in May is 15.4%. So, in short, what I'm trying to say is that the blending program is on track, and we expect that the 2023-24 blending program will finish it with about 14% blending. Now we also have some assessment, I may not be precise here, in terms of the

capacity that exists in the country for ethanol. And we see that the blending program will move up from 15% to 17% to 20%. And it will be fair to assume that even by 2025-26, even if we don't do 20%, hopefully we will do, it will be fair to look at the track record and say that we probably end up doing 18%-plus blending.

What this means is that if this level of blending has to happen, the country is still significantly short of ethanol capacity, which in some sense is a good news for the business that we don't see overcapacity happening over the next few years and considering that IGL has an advantage in terms of our cost structure, in terms of our brownfield site and also in terms of our synergies in ethanol, I think it is good from an IGL perspective. And also the government has supported its mandate by increasing the procurement price for ethanol, which can get close to INR 64 for damaged food grain-based ethanol, surplus rice-based FCI at 58.5. We see going forward an encouragement for people to also start using

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maize and the supporting price for that ethanol is also good by the government at point in time is close to INR 71.86.

So that history, in general, I shared this data with you to highlight that it appears that the blending program is on track, and we are confident that this part of the business over the foreseeable future, will continue to remain an important driver for top line as well as bottom line for IGL as well as some other players who've made a head start in this business.

So far, the Potable Spirits performance, we've seen our revenue at INR 280 crores is up 19.1% and EBIT at INR 49 crores is up 14.2% with EBIT margin of 17.5%. Of course, we look at some of the questions later on, but sales have been driven mainly by increase in country liquor sales in Uttarakhand, and we continue to maintain our dominant positions, a big dominant position in Uttarakhand, but also a dominant position in the UP market. In terms of IMFL sales or Indian-Made Foreign Liquor sales, our sales have been driven with excellent growth in the UP market and also a relatively new area for us, which is our product approved in the paramilitary sales.

In Ennature Biopharma, which is a relatively smaller segment, which is plant-based extract and nutraceuticals, we've seen a healthy top line growth, but we've had because of a number of reasons, cost pressures particularly both on nicotine as well as Thiocolchicoside, which means that our margins have remained under pressure. However, we continue to look at one, greater penetration of the regulated markets of US and Europe that needs significant amount of work and we are in the process of working on that. And two, we continue to look at more value-added products in this area. So that is a quick snapshot of the quarter

from my side, and I think Rohit, we can take questions and respond to the specifics.

Q&A

Moderator

Thank you, sir. First question comes from Balasubramanian from Arihant Capital. Please go ahead

Balasubramanian

Good evening, sir. Congratulations for good set of numbers. Sir, my first question is regarding this INR 1,160 crore allocation to oil companies. How much you're confident in achieving those allocation contract by this year? And secondly, in biofuel side, we can see 7.8% kind of margins. Can we see double-digit margins in coming quarters? These are my first questions.

Rupark Sarawat

In terms of the allocation, we've looked at the numbers and we have seen that they give an allocation and we've tracked our allocation number for what is known as Ethanol Supply Year, which starts in November.

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And the tender allocation product for us starting with November 2023, we have seen that the actual orders that the oil companies placed have been only slightly lower than the allocations that they have given. And I don't have the exact numbers, but it has been 90-95% of the allocation that has been given. Our projection is that this kind of trend will continue. And whilst we may miss the allocation numbers slightly, by and large, the kind of numbers broadly that we have given to you, we should be able to meet. It does depend on, it's not a contract as such while it's an allocation that they give. There are many factors like logistics etc. based on the ability of the oil companies to be able to blend throughout the country. Sometimes the orders are a bit lower than allocation.

Now, from your perspective, I had mentioned to you, and I had given data for many years based on the target that the government had on percentage blending and the actuals that the country achieved. So, if you look at the last several years, more or less we've cracked the target. And our projection is that compared to a target of 15% blending, we will do 14% this year. So, I think by and large the blending story is intact.

Now as far as gross margin is concerned or the EBIT margin that you talked about 7.8%, I think it's very difficult for me to speculate whether this will become better because it is a function of several things. It is a function of grain prices, which have been tight. It is a function of what we are able to do in terms of DGCS sales. I think DGCS is as a source of protein, we are looking at newer ways of utilizing. It's not only are we looking at it, but the industry is looking at it. And it is also a function of the price that the government gives on procurement of ethanol.

I would imagine the right thing to assume would be that the government is committed for the blending program and because the government is significantly involved in regulating it, regulating it and controlling it in some way, they will keep it profitable, but it is not a business where suddenly if the demand is high and the supply is low, you can fetch a huge amount of price. So that's my overall take. Shukla ji would you like to add something?

S. K. Shukla

Yes. Because the government is continuously insisting to promote maize to increase the profitability of the industry and the farmer both. So, industry and associations are doing hard and we have already started our maize farming in our own catchment area of Gorakhpur and we are going to start from Kashipur. And we are expecting approximately 20-25% would be the self-placement area maize availability in 2025-2026. So certainly, we are focusing on the variety, which would increase the ethanol yield. And second, the catchment area in which we are focusing, we would like to ensure the back-to-back logistics, so that the entire approximately 70-80% maize which is grown by the farmer would be made available to our industry.

So, the state government is also assisting us. So, as far as raw material is concerned,

in couple of years,

we are very positive about the availability of the new maize crop, which is the most essential for those land where the water availability is a challenge in part of UP and in some part attached to our Kashipur

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plant, where the irrigation is the problem. You know that the 40% less water is required of the maize crop. So, looking to all these scenario, the availability of maize for the industry would seem to be very comfortable in next 2-3 years.

Balasubramanian

Sir, this NSU plant is supposed to be complete in this quarter. Right now we are doing around 150 tonnes per month and post these completions, what kind of ramp up we can expect? What kind of additional revenue opportunities? And other CapEx plans also you can likely touch upon, like this grain-based distillery and bio-based ethanol CapEx progress. So, how much CapEx we spend in this quarter, Q1?

Rupark Sarswat

Yes, so, I'll take the question around new chemicals and I think Shukla ji and Anand Ji will take the question on CapEx on bio ethanol. So, look, as I mentioned to you, we've had a good start in terms of our projects. And if this business is different from, say, an ethanol business or a petrochemical business where you have a ready demand and you are able to then starting to cater to it. It involves working with partners to customize work on development projects. So that for us has been a good story and don't take this as a

projection, but I think in the financial year we are targeting to do INR 150-200 crores kind of top line through new value-added products, which in my opinion, if we are able to do is a very good start.

Considering, keep this in context compared to some other specialty chemicals businesses or our own business, which was there, which after many, many years had reached levels of INR 600-700 crores. So in that context for a specialty chemical business to start making INR 100-200 crores in the kind of 1st year after commissioning is, I think, a very healthy time. But these are projects which are not only dependent on capacity, these are dependent on application knowhow, technology development. The pipeline is robust, and we are working on it.

Anand Singhal

Regarding the CapEx, which we are already in for the increase in the capacity in Kashipur from 400KL to 500KL, we hope that CapEx will be completed in Q3. And as far as the CapEx, which we have undertaken in Gorakhpur, from 110 to 290KL, I think that will also be completed in Q3.

S. K. Shukla

Sorry. We will be able to start both the plants adding the 50% of additional capacity from the new ethanol year, maybe November second half or first week of December, which would be adding our 50% additional capacity.

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Anand Singhal

And with respect of the expenditure on the CapEx in Q1 FY25, we have spent around INR 60 crores on all the CapEx whatever is going on right now, and hopefully, will be capitalize once these are complete.

Moderator

Thank you, sir. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Imran Khan from Longbow India Capital. Please go ahead.

Imran Khan

Hi. Thanks for the opportunity and good afternoon. I am fairly new to the company, so my questions would be a little fundamental and maybe repetitive, so please excuse me for this. First question is on the Potable Spirits business. I wanted to understand what raw material do you use for this business to make ENA?

S. K. Shukla

So, 100% grain-based ENA we use, which may be the broken rice, which is unfit for the human consumption. And second, maize, so we are consuming both the feedstock for the making of Extra Neutral Alcohol.

Imran Khan

And sir, lately, where is the raw material basket tilting towards? Is it maize or it is still substantially broken rice?

S. K. Shukla

So maize in India, which is more popular for using and making the ethanol from the last 13 to 14 months, so maize is very new, so mostly we are using grain. I am talking about the Indian made foreign liquor. Indian made foreign liquor we make from grain-based ethanol, and country liquor we make from the both grain-based and the molasses base.

Imran Khan

Got it. And the second question is on the biofuel business. Sir, you reported EBIT margins for Q1 and Q1 for FY2524, but I was looking for the same margins for Q4 FY24, but I didn't find it. So can you please share that if it is possible?

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Anand Singhal

Okay. We will share separately.

Imran Khan

Would it be similar or there would be a marginal difference compared to Q1?

Rupark Sarswat

We can share the numbers to you, but in fact, I had spoken about it earlier that our Biofuel margin has actually improved slightly. But we can give you the specifics, we have the numbers.

Imran Khan

Okay. Okay. I'll wait for that. Later you could...

Anand Singhal

For Q4 FY24, the EBIT margin was 7.9%, while in the current quarter it is 7.82%. So as CEO Sir is saying, it has improved.

Imran Khan

Right. So then in that case, you don't make biofuels from grain, is it? Because in Q4, I think the grain cost was very, very high and people had very -- margins were a little lower for almost all the people. You haven't seen that thing at all?

S. K. Shukla

No, no. We are making 100% ethanol from the grain-based and our margin would be operational efficiency and better sourcing. So all these things will be dependent on the making margin.

Rupark Sarswat

Just to add to that, I mentioned to you, I think the previous Bala had asked us a question or somebody had asked us a question, as to whether our margins in the biofuels business, we see getting into double-digits when I responded there, that is actually a function of many things. Grain price is one of the factors. There is also selling price of grain base, there are energy cost and conversion cost. And more importantly, there is a procurement price, which is decided by the government. So if you're seeing an improvement in

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margin, it is on account of while grain have gone up, they've also come down a little bit. It is a function of a combined effect of these factors.

Imran Khan

Right. Completely understand. Just one last thing before I move to the queue. Can you call out the average grain cost for Q1 and Q4, if it is possible?

Rupark Sarswat

So, you want separate numbers, or you want what is it running right now?

Imran Khan

If you would be able to share for rice and maize separately, that would be very helpful, yes.

Rupark Sarswat

I suggest you just, you know, drop us an email, we will share these numbers with you. You want for previous year and this year and so on.

Imran Khan

Not previous year, maybe last quarter and Q4 only, just 2 quarters.

Rupark Sarswat

We will share with you.

Moderator

Thank you. Next question comes from Ranbir Singh from Nuvama. Please go ahead.

Ranbir Singh

Thank you. Thank you for taking my question. And congratulations to the board members for this quarter. Two questions I have, one, related to industry dynamics around ethanol. Just wanted to understand that how much ethanol is required to meet up 20% blending? And of that, how much has already been supplied? So what I see in news that roughly 401 crore liter has been supplied and that constitutes 15.9% against targeted 20%, so they have reached 15.9% in June. So that translates into some 500-550 crores

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liters required for 20% blending. So I think somewhere my calculation seems wrong. So just I wanted to understand how much liters actually government need to meet the 20% blending?

Rupark Sarswat

So I will respond to this in terms of our assessment. I don't have some authentic source to quote you that this is the exact number. But our assessment based on percentages, and I think some sources which my colleagues would have looked at is that the total demand for ethanol has risen at 5% blending, obviously the consumption also increases also, so 5% is also increased number. From something like 173 crore liters in 2019-20 to expected 725 crores liters in 2023-24, which is at 14-15% blending. Now this number is expected to go up to broadly 1,000 crore liters in 2024-25, and in my assessment, if you do 18% blending rather than 20% blending to about 1,100 crore liters and you can proportionately increase if the blending goes up to 21%.

Ranbir Singh

Okay. So roughly ballpark, I think 1,100 crore liter would be required.

Rupark Sarswat

1,100-1,200 crore liters.

Ranbir Singh

Okay. And because our capacity is in KLPD, so what would be the annual capacity if you convert into liters? So how much liters that translate into if we have the expanded capacity, it would be roughly 1,000 KLPD, 1,095 KLPD. So, how does it translate on an annual basis?

S. K. Shukla

So, basically, we'll be able to supply in the next ethanol year, which starts from November or December, 25-26 crores liter.

Ranbir Singh

Okay. Sir, normally we multiply because in case of molasses or sugar year, normally one season, half of the season, normally, we take for calculating this annual capacity. So, in grain also we calculate the same way? Or for grain, it is that whole year we normally process to produce ethanol?

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S. K. Shukla

Correct. Your question is very correct. See, sugar season start from November and ends by April or lately by May in a few cases. But grain distillery would run around 350 days in a year. And sugar mills, whatever they will store the molasses at the last working days, they again can be utilized in 3-4 months maximum depending upon their storage capacity of molasses. So, you can say sugar based on an average they are running around 260-270 days and grain based roughly 340-350 days.

Ranbir Singh

Okay, fine. And the last one, in Potable Spirit, how much cases we have sold in this quarter for IMFL and Country liquor?

Anand Singhal

Okay. What I will do, you send me the mail I will give you these figures, because right now we are not having the ready data. Okay?

Ranbir Singh

Okay. No issue.

Moderator

Thank you, sir. Next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor

Namaskar to everyone and thank you for this opportunity. Sir, when we look at the current quarter's performance, the finance cost is still hovering at around INR 35 crores plus. That means on competitive basis wherever we compare within QoQ or last year, this number is rising unabated. So if you could give us some color on what's our strategy in lowering our finance cost? That would suffice my first question.

Anand Singhal

Saket, finance cost has gone up only because of the reason that all term loans are continuing. Plus, whatever Capex we have done that has been funded by almost term loan. Apart from this, the overall rate of interest has gone up because every bank now is giving a very good deposit rate. So, MCLR of all the banks has gone up. So that is hurting us and of course we are planning to reduce the finance cost, but in this year, we are not hopeful for drastic reduction of the finance cost. Maybe from the next year onwards, maybe FY25-26, yes, the finance cost will start coming down.

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Saket Kapoor

Okay. And that will happen, sir, only when this capacity for both our distillery and biofuels kicks in, and that will lead to improved margins and cash flows. And that will be when the repayment start, that should be th

e cycle you are referring to?

Anand Singhal

That is true but the finance cost only because we have almost done the INR 1,000 crores CapEx . So, INR 1,000 crore if we have taken INR 500-600 crore loan, which is ultimately capitalized. But we will still have to pay interest, right?

Saket Kapoor

Correct, sir. And sir, what is the current maturity for this year?

Anand Singhal

Maturity of what?

Saket Kapoor

Maturity of loans. How much repayment is due this year?

Anand Singhal

In the current year, approximately INR 250 crore maturity including EPBG.

Saket Kapoor

And sir, when we look at the Ennature Biopharma numbers also, I think so, last time also when our head of biopharma spoke, he did allude to the fact that there is pressure in the nicotine market and all. So, sir going ahead what strategy are we making for the current year and how much utilization levels do we have and what changes are we making in product mix ? If you could just highlight how this segment is going to perform? I think we should have, yes.

Manish Pant

Saket, Manish this side. Saket, the numbers which you are seeing right now for this first quarter, we would expect it to remain same in the next quarter also. And there could be a spike in the Q3 onwards because now we have started for the value-added in this branded nutraceuticals. And our facilities are being

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upgraded according to that. And shortly we are going to have US FDA and one CB audit over there to get the certifications done. After that we would be able to sell our branded nutraceuticals in the European and American markets. Other than that, there are other few major products like Thiocolchicoside is facing pressure but still we are maintaining the pole position in all of India by supplying the maximum Thiocolchicoside.

So, the margins certainly has gone down, but we are in absolute terms we are having that profit over there. In nicotine because of certain new facility came up the price are under pressure. But now this nicotine we are having certain major tie-ups with the local bodies who are into this making of international products in more prime format. So we are going to supply the pure nicotine to them, that will going to be added certain margin to our bottom line.

Saket Kapoor

Sir, just in understanding, how are you seeing that and given the current market conditions, how is the visibility as compared to last year? Because these are things which are dynamic also. But taking today's condition, how should we conclude? Because this is where the disappointment has been for the last year.

Manish Pant

So, are you talking about only nutraceuticals?

Saket Kapoor

Only Ennature Biopharma. Yes.

Manish Pant

The revenue would be more than whatever we have done in the last year. But certainly, the margins are under pressure, and it would remain under pressure. We are just waiting to see the Q3 performance, then if it then improves then there is a possibility that we would surpass the last year numbers, otherwise it will remain same, almost same.

Saket Kapoor

Right. Sir, I will join back the queue.

Rupark Sarswat

Saket, I was almost waiting for your question. You see, as I mentioned earlier, we are looking at two broad strategies in this space. One is, penetration of regulated markets through approvals, which is various

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standards, US FDA et cetera as Manish mentioned and also getting into the branded nutraceutical space. As you would imagine, both of them are slightly time consuming so we expect some of these pressures will continue in the near term. But there is a strategy that we're working on, which we briefly explained to you.

Saket Kapoor

Rupark ji, if I may just add one more point. So that given the parameters and the base which we have built for the Q1, especially also the performa

nance of the JV also, contribution has just doubled QoQ. So can we consider this as a base for this year, at least this would be a good showcase of what this year can translate because if we take all the variables into account, or can there will be a different picture, that may appear going there.

Rupark Sarswat

Sir, you know the company as you have been tracking the company and we have been discussing, we have been explaining, that we don't track or predict the numbers. We talk about macro trends as terms of what we are doing. Then we give that assessment and I think you are well-positioned to take an assessment. And my language has been consistent for the last 2 – 2.5 years. We believe that ethanol prices imported have come down a little bit. If we are lucky, we will see some more reduction in the months to come, which will impact the overall business, including the JV business in a good way.

We don't as of now, nobody can, especially in today's world, be an astrologer. But we believe that there are reasons to believe that the fundamentals of the business, which have led us to a healthy this quarter as well as last year, are not changing, and therefore, these trends would continue. There is nothing which has happened suddenly because of which we've got a windfall. I think it is based on the broad strategy for the business. There is an element of macroeconomic dynamic, which plays out sometimes, which we discussed with you. I don't see any major structural shifts happening there, which as of now look to me to be fully we have done.

Saket Kapoor

Okay sir. Thank you. I'll join back the queue.

Moderator

Thank you. Next question comes from Tushar Vasuja from Yogya Capital. Please go ahead.

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Tushar Vasuja

Okay, sir. So, my first question is, what's your capacity for MEG and ethyl oxide? And what would be the utilization for FY24 and Q1 of this year?

Rupark Sarawat

See, our capacity in terms of MEG equivalent or ethane oxides are significantly higher than what we are producing right now. In fact, we have taken cost optimization actions to ramp down the plant that we are running to make sure that our costs are kept in control. So, from a growth perspective, that is not a concern at all. It's in the sense that IGL was a player in the MEG potential market where we were selling large volumes. The dynamics have changed, a lot of our business and profitability in MEG now comes from bio-based MEG. So, we don't have high-capacity utilization numbers. I don't have the precise numbers with me right now. If you write to us, we'll give it back. Our total capacity in terms of MEG equivalent, ethane oxide as well as MEG put together is about 600 tonnes per day.

Tushar Vasuja

Okay, sir. And sir, what's your capacity for producing nicotine and what's the utilization right now? And what can be the peak revenue potential for that capacity as per current prices?

Manish Pant

Tushar, I don't have the precise number right now. If you could send an email to me or the email ID whatever has been given in the presentation, then we would reply to you.

Tushar Vasuja

Okay, sir. So one more question. In your Investor Presentation, you mentioned that after the Kashipur expansion, your ethanol capacity will be 500 kilo liter per day and your biofuel capacity will be 590 kilo liter per day. So will you procure more ethanol domestically for producing biofuel or how that work? Can you please talk a bit about that?

S. K. Shukla

We have the in-house capacity to make ethanol, as mentioned in the capacity for the Kashipur. We don't go to buy ethanol locally. We have the in-house capacity.

Tushar Vasuja

Sir, biofuel, your ethanol would be only self-produced. Is that understanding correct?

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Rupark Sarawat

There are two things we need to understand. When we talk about our total biofuels sales, we talk about total sales from two of our sites, Gorakhpur as well as Kashipur. I think there is some confusion there, so the two need to be added up. And just to clarify, no imported ethanol can be sold into biofuels, and we

don't do that. It is not allowed in the country to take RS from imports and selling into biofuels.

Tushar Vasuja

Okay, sir. Okay. I have few more questions. I'll fall back in the queue for that.

Moderator

Thank you. Next question comes from Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri

Yes. So, sir, I just wanted to understand like from like our Q1 numbers are very good. So we hope to be able to sustain these numbers like and can the margins improve?

Rupark Sarswat

I've answered this question. As much as you would like to have a precise answer, and I would like to have a precise answer, and I would like to have a better answer. I explained this answer just before that the macro trends and what the business is doing strategically, we think is the right thing and right now things are moving in the right direction. I think to answer your question whether the numbers can improve? The answer is yes whether I can project that the numbers will be higher, I will restrain.

Darshil Jhaveri

Okay. Fair enough, sir.

Rupark Sarswat

Sorry for the disappointment.

Darshil Jhaveri

No worries about it, sir. And, sir, just one small clarification, sir. I think you were saying that with the new capacities around INR 150-200 crores revenue we could see for this year, right? So just like, it's for, for

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what part were you saying that, sir? Like, our new total CapEx will come online in Q2 and Q3. Was it for that?

Rupark Sarswat

So see, what I mentioned was that there is something like INR 150 -200 crores of top line in this financial year that we are targeting to do based on new value added products, which is Specialty Chemicals, okay? Which is a different business compared to glycols or bio-based ethanol because the longer term strategy of the company is to also build a good value added sustainable, hopefully more profitable portfolio of businesses. And so that is one part of the CapEx. Our CapEx is in several areas. Our CapEx of Specialty Chemicals was lower, but our major CapEx has happened in grain-based expansion, or ethanol expansion. So that is what it was about. It was only the two Specialty Chemicals that I gave that number.

Darshil Jhaveri

Okay. Fair enough, sir. I just wanted to understand in terms of the ramp up for our grain-based plant, so what kind of utilization would we get in the start? Like what kind of extra revenue could we hope to achieve from those in the current year?

S.K. Shukla

As I told you that our capacity is proposed to be 50% additional on this year from the 1st of December. So accordingly, we hope our margin will be increased.

Darshil Jhaveri

Yes, but it would take some time to ramp up. Like what kind of utilization will we be able to hit in maybe the Q4 quarter like?

S.K. Shukla

Around, we can say, 80-85% capacity will be utilized.

Darshil Jhaveri

Okay, fair enough sir.

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Rupark Sarswat

What happens here is that we are quite confident, and we base it on based on how we see the government is improving the blending. And we have kind of try to phase our capacity and what we do is, we kind of maybe it's not the right word, we apply for allocations, okay? And then we have allocations and we tie-in or tie-up or couple our expansion plan based on allocation. I also explained in the beginning, somebody asked me a question that allocations are there, but how much will happen. So, I said I cannot predict, but I have looked at the trend and the actual pickup has more or less been in line with allocation, a slight percentage below. And I expect broadl

y the trend to continue, and we are kind of mapping our capacities to follow the government's ramp up.

Darshil Jhaveri

Okay. Fair enough. So yes, that's it from my side. Thank you so much, sir.

Moderator

Thank you. Next question comes from Manish Sadanand, an individual investor. Please go ahead.

Manish Sadanand

Yes. So, the first question relates to the last conference call of the last Q4 FY24. We were expecting the margin in the country liquor space to improve on threefold factors. One, the increase in the supply rate of quarts, pints and nips, and second, increase in the volume, and third, the lowering of the packaging cost. But when we compare the EBIT with regards to the Q1 FY24 available and Q1 FY25, the margins have down slightly. So what factors have played out exerted pressure on those margins? And we are already in the first month of the Q2 and how are those factors playing in the current quarter.

S. K. Shukla

The county liquor margin, we have increased already our volume around 20% as compared to Q1 of the last year. So certainly, our overhead expenses reduced and the packaging prices, around dip of 10-11% as compared to last Q1. Since we have increased our capacity in both the plants, Kashipur and Gorakhpur, so relatively our margins in the Kashipur plant is little bit higher than the last Q1. So this is the reason as of now, the increasing the more profitability in the country liquor segment.

Manish Sadanand

So how are these sectors being playing in the Q2 and the first month? I mean, do you see any improvement in the margins going up?

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S.K. Shukla

No, margin would remain same because both prices because mostly country liquor, all the raw material prices, basically feedstock prices is already fixed by the government. So, we don't think any negative impact in the Q2.

Manish Sadanand

Okay. And my second question is regarding the debt. I know I was going through the MCA website, and there were certain charges being created in the month of June and July. So to extent of INR 165 crores from Exim Bank and two other banks. So are these the fresh borrowings? Or are these the modification of the charges are taken over, the loan being taken over by the other banks? So what is the rationale behind it?

Anand Singhal

That is the fresh borrowing, Manish.

Manish Sadanand

Okay. So, and this fresh borrowing that we are utilizing it for the -- for what Capex are we utilizing that?

Anand Singhal

For running Capex as well as raising some funds for the working capital requirement.

Manish Sadanand

Okay. So our net debt as on date stands at what figure? And we were to get some money from Clariant, have we got that? And what is the delay? And when do we look forward to receive that and reduce our debt?

Anand Singhal

Our debt is around INR 1,000 crores right now. Regarding the money, which is to be received from Clariant, that is still outstanding and that will come by 31st March 2025.

Manish Sadanand

So, this INR 1,000 crores that you mentioned includes the fresh borrowings of the working capital and that is being reflected in the MCA website.

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Anand Singhal

The amounts is debt as on date. That's what I'm saying. It means that already includes the debt that we have already taken.

Moderator

Thank you. There are no further questions. Now, I hand over the floor to management for closing comments.

Rupark Sarswat

Yes. Thank you very much for your time, and as usual, good probing questions. It's good to be here with you all after a decent or rather good quarterly performance. And we hope as much as you hope that we'll

have a positive trend continuing for the business. We are here to make sure that we have the right strategy, we execute it well. And hopefully, with your good wishes continued, we'll continue to support our

shareholders. Thank you very much on my behalf as well as my colleagues here, who have been here on the call.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now.

(This document has been edited for readability purpose.)

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Call: Nov 2024

13th November, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 – Transcript of Q2FY25 Earnings Conference Call

Further to our letters dated 30th October and 8th November, 2024 and Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q2FY25 held on Friday, 8th November, 2024 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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India Glycols Limited
Q2FY25 Earnings Conference Call
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MANAGEMENT MR. RUPARK SARASWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD- SALES AND MARKETING BSPC
MR. S.K. SHUKLA - HEAD- LIQUOR BUSINESS

MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST MR. ROHIT SINHA – SUNIDHI SECURITIES LIMITED

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Moderator

Good evening, ladies and gentlemen. I'm Sowmya, moderator for the conference call. Welcome to India Glycols Limited Q2 and H1 FY25 Results Conference Call. As a reminder, all participants will be in a listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing * and then 0 on your touchtone telephone. Please note this conference is being recorded.

I would now like to hand over the floor to Mr. Rohit Sinha. Thank you, and over to you, sir.

Rohit Sinha

Good evening, everyone. Thank you for joining us on India Glycols Limited Q2 and H1 FY25 results conference call. I would like to thank the management for giving us this opportunity to host the call and congratulate them for a good set of numbers.

We are joined on this call with India Glycols Management represented by Mr. Rupark Sarawat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head- Sales and Marketing (BSPC); Mr. S. K. Shukla, Head - Liquor Business and Mr. Ankur Jain, Head (Legal) and Company Secretary.

I would like to invite Mr. Rupark Sarawat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Thank you, and over to you, sir.

Rupark Sarawat

Yes. Good afternoon, everybody. We've had a small technical issue and excuse me if the clarity of the voice is not so great. And thank you for bearing with us and I hope all of you are doing well. A slightly belated Happy Diwali to all of you.

On behalf of IGL and my colleagues here, one of our colleagues, Mr. Raju Vaziraney is also here, who's representing the potable spirits business, particularly, IMFL. So, he will be available to give comments on the liquor business.

As you have probably seen, I'm happy to report a strong quarter in terms of Sales, in terms of EBITDA, as well as in terms of profit performance. So, we've had a strong quarter in terms of Gross Revenue, which at INR 2,144 crores is up 15% like-for-like compared to last year. Our Net Revenue at INR 961 crores is up 24% from the same quarter last year. Our EBITDA at INR 120 crores is up 13% compared to the same quarter last year, with a slight dip in percentage EBITDA margin, we'll talk about it, which is from 13.5% to close to 12.4%. And our PAT is for the quarter is also up to INR 50 crores from INR 38 crores, which is up 31% from the same quarter last year. And I'll talk about the broad story behind the numbers in a little bit.

So, all in all, we've had good revenue growth in biofuels, which was a relatively newer segment for us, which has been picking up. Also, very good growth in potable spirits and also good growth in top line in Ennature Biopharma.

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The Chemicals business, the numbers that you see, see a modest growth. And however, I will talk about the breakup of the Chemicals business, which also includes some ENA, which also includes some sales which happened to the joint venture. So, if you look at the chemicals business, which is the growth focused business for our part of IGL, I think that has shown good growth. And I will talk about the sectors therein which have seen some growth. So, I think not only the quarter, but fortunately, I can also report a good first half performance, which is INR 1,930 crores of Net Revenue, up 32%, EBITDA at INR 248 crores, up 17% and PAT at INR 110 crores, up 24%. So, the broad drivers behind are the same that we talked about

in terms of the quarter.

And talking about the highlights for the quarter, we spoke several times about our strategy to one, de-risk our business, make the business more resilient by expanding our footprint in various modes of ethanol production or sourcing. And as a result of the decision, which

was taken close to 2 years plus before, we've seen now excellent growth in the biofuels business. And I will talk about that business and the dynamics over there in a little bit. And those capacities are serving us now to not only reduce our costs, particularly in the Potable Spirits segment, but also drive top line growth in the biofuels segment, as you may have seen.

And as I mentioned, what can be called the focus operating chemicals business has also seen strong sales growth and margin growth, so which is not exactly reflected in the overall sector numbers for chemicals. But I must tell you that because that's going to drive growth in future as well.

And the Potable Spirits business was driven by several factors. I think we've had excellent growth, particularly in the Branded Country Liquor segment in Uttarakhand and also in IMFL in Delhi & UP; and IMFL in the paramilitary segments. We will talk about it segment wise in a little bit. Another thing which we have let the market also know before is the introduction of several Amrut brands, which IGL is going to manufacture as well as market in select regions, which is what we have got the rights for.

That we see as an important milestone for IGL's IMFL business. In terms of the trust that Amrut has shown in us and also collaboration with the highly reputed potable spirits manufacturer. All in all, we have also talked about new value-added chemicals in the past. We've made investments. And as you know, about 6 months back or thereabouts, we started to commission our new plants. And we've seen orders coming in, specialty chemicals business takes time to build, sometimes businesses take 3 years, 4 years working with the customers to build. I'm very confident of the pipeline that we've developed, and that business will also continue to grow and show results.

The other good news is that our joint venture, wherein IGL has a 49% share, has also delivered an excellent quarter. I think for the joint venture, this was the best ever quarter with sales up 24% and EBITDA also up in terms of very good numbers, I think. Supported amongst other things by improvement in raw material costs because one of the key raw materials that we supply to them is ethylene oxide. Also, they have been looking at their product mix and exports and so on. So that has been an overall story for the business.

So, I will talk a little bit about the segments and in terms of the quarter. So, our biofuel business increased to INR 260 crores from INR 105 crores for the same quarter last year. And our biobased specialty chemicals business is at INR 369 crores. For H1, our biofuels business increased to INR 499 crores from INR 170 crores last year. So, you can see a significant contribution in terms of the top line coming from the biofuels business.

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Our Potable Spirits business is up by 21% to INR 551 crores from INR 456 crores last year for H1, which is also a strong performance. Our Ennatura Biopharma business is up by 19% in terms of revenue at INR 118 crores from INR 99 crores, and we will talk about the segments.

And before I talk about the segments, maybe I would request my colleague, Anand, to give you a quick snapshot of the financials and then I will give slightly more granular commentary on the segments.

Anand Singhal

So, good afternoon. I will cover the financials for the 6 months rather than the quarter. So, on the standalone basis, the 6 months results, the total income from operations is INR 4,426 crores, vis-a-vis the last year 6 months INR 3,763 crores, up by 17.6%. The net sale is INR 1,930 crores, vis-a-vis INR 1,479 crores in the last year's 6 months, which is up by 31.9%. EBITDA is INR 246 crores vis-a-vis INR 206 crores, which is up by about 19%. and PAT is INR 86 crores, which is against INR 76 crores, which is up by 13%. So I will say the overall performance for the 6 months on a stan

dalone basis is very encouraging and the company is extremely doing good.

I'll give you the consolidated figure, the income from operations is INR 4,433 crores vis-a-vis INR 3,780 crores in the last year's 6 months, which is up by 17%. EBITDA is INR 248 crores vis-a-vis INR 212 crores,

which is up by 17%. Again, the same numbers more or less. While PAT is INR 110 crores, vis-a-vis INR 89 crores in the last year or 6 months, which is about 23% up. This includes the profitability from the joint venture, which is about INR 10 crores. So, what the CEO sir has said that the performance of the JV has shown a very good performance in the 1st 6 months.

So, this is what is brief about the results financial results of the company. We will cover more details on the financials as when we will start our question-and-answer session.

Rupark Sarswat

Thank you, Anand Ji for your summary of financials. So, I'll talk about some of the newer segments first because you're probably wanting to hear about that. As you saw in the biofuels segment, we've seen net revenue increase of close to 194% from INR 170 to close to INR 500 crores in the first half and also very strong EBIT performance from INR 8 crores to INR 32 crores, which is an increase of 281% in H1.

So, we now have an installed biofuels manufacturing capacity of close to 450 KLPD, in Kashipur. And overall, if you see, the all India blending program has been running quite well. So, the Government of India blending targets, which started from something like 5% in 2019-20. And the target for 2023-24 was 15%. India is already clocking close to 14.2% in till September, and this is expected to be 14.2% in the coming quarter as well, so for the entire year. The target for 2024-2025 are close to 17-18% in '24 - '25 are expected to be 20% in '25 - '26. And if you see, we expect that demand for biofuels will continue to grow and our business, therefore, will be supported as has been the trend by India's ethanol blending program. So that is something which is good.

The government, as you know, revises biofuel rates from time to time based on the feedstock as well as various factors, which affect the costs in order to support the business and support the right mix of the business, which was done in November 2023. And as far as we are concerned, we expect that the allocated
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quantities to us in the subsequent 2 quarters will be met by us for the year. And the trends in terms of the overall biofuel growth that we have seen so far are expected to continue. So that is about biofuels.

Talking about the other segment, which has seen significant growth, and I will in a minute ask Raju Ji to comment on it. So, you have seen total top line growth of growth to 20.9% for the first half and an EBITDA growth of 26.5%. A lot of it has been delivered has been -- has come from various sectors. It has come from country liquor in Uttarakhand, it has come from IMFL in Delhi, it has come from IMFL in Paramilitary. Some of our brands I talked about like Amrut Maqintosh is now available in Delhi and Uttarakhand, and we have plans to introduce the same in UP.

In UP itself, in IMFL, we registered a good growth in volume terms of close to 50% in H1, which has been very good. We also plan to introduce different variants of Amrut in different states that we are operating in.

The country liquor performance for us has been exceptionally well in Uttarakhand. There are several reasons for it. One of it is that we've got a strong manufacturing base in Uttarakhand. The second is that we probably were the fastest movers to make the maximum variants in terms of pack sizes available, including being the only ones to and the first ones to introduce Tetra Pack. And some of our brands that are also very well received, in fact, some of them in the country liquor space are such that the country liquor space is also competing well with

h the lower end of the IMFL space. So that has also driven growth in the country liquor segment. And we continue to look at launching new brands and new products in these areas.

So that is on the potable spirits front. But I'll just pause, I've given you a very high-level commentary. It may be a good idea to get a little bit from Mr. Vaziraney.

Raju Vaziraney

Hello. I'm Raju Vaziraney, I look after IMFL in particular. See, as our CEO rightly said, Uttarakhand has been our home market, and our traditional business has been, we have been leaders in both IMFL as well as Country Liquor. Now we have, if I use the word monopoly or we are the only ones to do Tetra Pack, which has been very well received. There was ban on Tetra Pack or PET in Uttarakhand for a number of years. And the government saw reason for it to start Tetra Pack because largely, Uttarakhand follows a mirror policy of UP, being undivided, same state and same culture and same eating, drinking habits. So, and no

wonder Uttarakhand has very well accepted Tetra Pack. And we were the first one and while we talk, we are the only one to do Tetra, which is giving us very good results. This is as far as the Country Liquor is concerned.

And we have made, being a very innovative company in terms of packaging and in terms of flavors, we have been able to make our mark in various flavors and various price points in country liquor as well.

Now as far as IMFL is concerned, our CEO talked about Amrut. As you know, Amrut Distilleries is well known for single malts and malts in particular. So about 6 months ago, we had gone to Bangalore, and we convinced them that you don't have the bandwidth to do non malt because there is unmet demand for their malts. So, whatever non malt brands are there, some of them have been taken by us on royalty basis.

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We have signed the agreement. And the first brand the first offering, if I may say, has been Macintosh, which is a 35-year-old brand and very good quality brand. No, Amrut will not put its stamp on anything which is below par, below a certain level of standard. It's like on the lighter side, and we say it is the Merc but maybe C class Merc, may not be E, but it is Merc all the same. In other words, they will give their logo and only when they are sure of the quality. And what we have tactfully done and rightly done is the liquid is all supplied by Amrut, and we do not do any admixing. We only bottle it, and we use our packaging standards and our, of course, most importantly, our extra neutral alcohol.

Just for your knowledge, extra neutral alcohol, we are possibly the best. One should not make a strong statement that we are the best, though we mean best. Bacardi, which we co-pack more than 200,000 cases per month, they all use our ENA. Not only in Kashipur, that is for North and Eastern India for Bacardi, they also use our ENA for their mother plant at Nanjanguda in Karnataka. Mind you, Karnataka is a surplus state for ENA, but they get it from Uttarakhand, that is Kashipur. That is enough testimony of the fact that we have our zero tolerance to any substandard quality. And Bacardi being among the top 3 companies of the world, since over 10 years, we are their co-packers.

So, considering it is a synergy. If I may say, we complement each other. We have in Kashipur excellent packaging standards, excellent quality of ENA, while Amrut has got its brand name. So, and they maintain the quality the liquid quality. So, it has worked well. The initial reports are very encouraging. As our CEO rightly said, Delhi and Uttarakhand have got very good traction. And we already have made our mark. We already have double digit market share in both these markets. It has been only few weeks that we launched. And very soon, we will be rolling out maybe next week itself in our home state of Uttar Pradesh, where we have IGL Gorakhpur and Haryana.

Haryana

is one market which is which has huge, huge potential. Once we launch in Haryana; I will talk maybe more on this. It's a very big potential market for entire North because the MRPs are not there in Haryana. Haryana is perhaps the only state in the country where there is no MRP. With the result, the consumers get a beautiful choice of fantastic competition in retail resulting into almost half of the MRP of adjacent states.

So, there's huge potential. I can talk more, but this is not the occasion. To sum it up, Amrut offers lot of potential for our company because we follow the highest standards in terms of packaging and ENA. And I'm sure in another year or so or maybe 2, this will Amrut business will be a very big part of the pie of our total IMFL business.

Rupark Sarswat

Thank you, Raju Ji. I'll also take the opportunity to talk a little bit about the Chemicals business. Last but not the least, also has been a bread-and-butter business for us. So, talking about the Chemicals business, I mentioned to you that our core growth business in terms of some of the core businesses other than what we supply to the joint venture and ENA has actually been doing quite well. And I'll talk about some of the subsegments.

So, our new product, which we track separately within chemicals, largely from the new plant, but also some other new products have been doing quite well starting from almost scratch. We expect that to be a INR 100 + crore business, already having grown by close to 225% this year with a very healthy growth in margins as well. But as you know, these are businesses which will take time. But the good thing here is

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that we have identified and I think we are running very good collaborative partnerships with a number of global reputed names, which include names like Stepan, Neuron, Lanza. These are companies which have been known, BASF, Dow, et cetera.

And we expect that this business will continue to grow in many areas, of course, in several areas like bio-based amines, methyl esters, oilfield chemicals, carbon smart products and so on. And we are looking at newer categories as well.

Glycols has been a very important category for us, which has also despite the challenges that it has faced over the last few years, has done quite well in terms of good value as well as margin growth. A few things there that we see is that we've focused on some new value-added segments. One of them is trying to develop a market in the Bio-DEG space. Now, what we've conventionally heard a lot about is MEG, which is monoethylene glycol. But we've also tried to develop a market for DEG, which is for applications in greener claims for polyurethane and some other products. So, we've been working with some companies there.

Also, there are people as you know, one of the significant outlets for MEG for us is PET, which goes for manufacturers of polyester. And 2 major components of that are MEG and PTA. So, while we are able to supply green MEG, the world is also working on green PTA. And there is a consortium which is working on international companies and IGL being the only supplier of bio-based MEG in the world, we are a partner to that. Hopefully, some of those partnerships will translate into good business in the times to come.

The good news overall, and I have mentioned this several times is about in 2017, roughly all of our bio-based MEG business, not the MEG that we sold in competition to the crude based MEG business that, of course, was separate, was largely with 1 company, which was Coca-Cola, 95% plus. Due to the mandate on R-PET in the U.S., that business totally went away from us. However, I think we are happy that we've been able to build that business up, and despite loss of what was 95% of that business, we've recovered 85% of the contribution. And the good thing is, this is no more from 1 customer. It is from 15 different customers. S

o that I think also builds resilience. I'm also hopeful that this steady growth in this business will continue.

We also have a business in Glycol Ethers and Acetates, which are green solvents, which we've had a good growth and contribution this year, while there have been challenges in terms of lower cost alternatives available, particularly imports from China and Russia, but we've been able to hold on to a market.

One area which is reported within the chemical segment is ENA, which you heard Raju Ji talked about, which is Extra Neutral Alcohol. And this ENA, when I talk about, I mean the ENA that we sell to people outside, not the ENA that we consume in house. So that sale is counted under, of course, chemical, which has shown as it is consumed. That, however, has dipped and that's a conscious decision because we are able to utilize our own ENA in better ways for our own portable spirits.

So that is something and also exports in markets have been a little challenging because of lower prices from countries like Pakistan, Brazil, whose currencies have also depreciated. So that has helped them.

So, the other area, gases have also been doing well for us, steady growth. We are in as you know, we are in gases not because gases is something completely separate, but because we manufacture gases as one of the raw materials for our product. So, we also sell gases.

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So, demand for industrial CO₂ has been decent. So that has contributed to growth. Also, as you know, one of the gases that we manufacture, argon, has had good demand, good uptick, good price increases this year. So that has also helped the gases business. Our EO and CO₂ mixtures, which are sold for various applications, mainly for sterilization, that business has also been growing.

So that's the overall segment wise commentary for our performance in Q2 and H1. I'm sure you some you tend to track our business even in a more detailed fashion than we do with a lot of more number crunching. And I'll take a pause, and we'll take your questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session.

Our first question comes from Kashvi Chandgothia from JRK Stock Broking. Please go ahead.

Kashvi Chandgothia

Sir, I see that there is long term debt that you have taken during the quarter to fund the CapEx, which I could understand. So kindly give us an outlook and as to what is the repayment schedule for this debt for the year 2025 and 2026?

Anand Singhal

The repayment period is from 7 to 8 years for the debt which we have taken recently. The average maturity is around 4 - 4.5 years for this debt, whatever we have raised.

Kashvi Chandgothia

Okay. And sir, also regarding your working capital, like, the debt that you have taken, so how much of it is like to be supported for working capital?

Anand Singhal

Your voice is not clear, so I'm not able to understand your question.

Kashvi Chandgothia

Sir, what are the current changes that we are expecting for the remaining half of the year for the net working capital?

Anand Singhal

We expect that the net working capital will become positive in the next 6 months and the current ratio will improve.

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Kashvi Chandgothia

Okay. And sir, any outlook and guidance for the remaining half of the year and for the next financial year?

Anand Singhal

We expect that the next 6 months will be better, since the 1st 6 months' performance is already with you and is very good. So next 6 months, I expect that the performance will be good for the company.

Moderator

Our next question comes from Aporva Mehta from KSA Share and Securities. Please go ahead.

Aporva Mehta

Wanted an update about our Specialty Chemicals, where we are currently, what is the run rate for the current quarter and what do you see fo

r the next 6 months and 1 year ahead?

Rupark Sarswat

See, I mentioned those broad numbers that we expect, these are businesses, new businesses being developed. Sometimes they move a little faster. Sometimes they move a little slower. We expect to do a modest turnover of INR 100 crores plus in this financial year. And it is very difficult for me to give a projection, however, we are expecting and targeting significant growth, much ahead of growth in other segments in new value-added chemicals.

Now of course, this is contingent on projects going through, trials getting approved. So, there is always that element in specialty chemicals because these are collaborative projects, some of them are new products. And I mentioned to you that we are working with reputed reliable partners. And there is reason for us to feel confident that this business will grow well. Though given the nature of the business, as you know, it is time consuming to set businesses. The other good thing is that these businesses are, of course, based on chemistries that we are good at. But at the same time, they are not hugely dependent on merely ethylene oxide or ethanol costs or prices, which means that wherever possible, we take advantage of the green EO, et cetera. But it is not so high that it is impacted by the cyclicalities there, which has been the case of some of our other businesses like MEG. That has also been in terms of diversifying our product portfolio to make it a little more resilient has been our focus. And I believe that will strengthen our business in the medium to long term.

Aporva Mehta

But can you just brief us what is the opportunity size on the kind of work you are doing? What can it be and where we stand today? And if our product gets approved, what kind of growth can we see that the growth can come? Can we double, triple the requirement of the products or what kind of thing? And on the competitive side also, if there are we have we faced any competition on this side or no, there is no other thing, do you think the product has to be approved?

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Rupark Sarswat

See, first, let me give you my understanding of developing a specialties business. Actually, 80% of the value creation in the specialty business is not from the product, it is from the knowledge, the capability of understanding the application, solving problems that you bring to the table. So, we moved from a journey of making product to making a good product, to make a differentiated product, to then moving on to not from our side, but having a good grasp of customers application. So, then we start to provide solutions or value to applications. Then the customer starts to say, come solve my problems or meet my needs. Then you start on to move to collaborative projects. And when you develop a confidence there, you move to strategic projects.

So, what I can tell you is that with some of our customers, we have traveled that path quite fast to start to work not only on collaborative, but even talk about strategic projects. And these are global customers.

And as far as the size of the opportunity is concerned, I must be conscious of the fact that I'm speaking to investors. I'm talking about the potential and the size of the opportunity. Please don't take it as a projection from my end. I think the size of the opportunity is many times the numbers that you are talking about for this year. So, in a matter of years, it can be 5 times, it can be 7 times, it can be 10 times. As I said, this is size of opportunity, not a projection from my side. Keeping that in mind, we are focusing on this business. Of course, it is contingent on and we also talked about competition.

Now, of course, there is competition. But these are not products which once developed with the customer, somebody else will give a sample and next day they will say somebody INR 10 cheaper so I'll shift to them. Even the

shifting is in some cases a 6 month or 1 year process, because of the amount of work that is involved. So, there is an inherent, you can say, transition threshold, which is there. And I believe if there is reliability and trust and faith on the work that we are doing in terms of the knowledge that we bring to the table, in terms of the quality that we bring to the table, we should be able to continue to grow this business despite competition.

So, some customers may continue to work with us, some customers may continue to work with competition. So, it's not a case where you will say, okay, suddenly prices of this commodity will drop, so I will become less competitive. In fact, I try to kind of say that we've looked at these value-added products to make the business resilient and not kind of dependent on cyclicalities of say raw material prices, et cetera. So, there are different people who compete in different areas. For example, when we talk about Carbon Smart Products, there is no direct competition because there is nobody else who does that. However, these products tend to be significantly more expensive. So expenses or the adoption rates are the issue.

BioMEG, nobody else supplies. Carbon Smart products, nobody will supply. We could be the 1st supplier of Bio-based Amines in the world. But the thing is that like it was for solar panels, say, 20 years ago, it is

about making sure that on one hand, costs come down and on the other hand, there is greater adoption of those products. So those are the kind of challenges more than somebody who will come in and take our product away by giving or dropping. Because some people may continue to use cheaper, non-sustainable alternatives. So those are the kind of that is how we look at the competition scenario.

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Aporva Mehta

And on the green chemistry side, are these products are where the application is on the green chemistry side, where we are working with our clients or they are different products?

Rupark Sarswat

So let me try and answer that question slightly differently. The point is, what are the pillars of creating a competitive advantage for a specialty chemicals business for IGL? One is delivering sustainable products, and sustainable may mean many things. They may be plant based, that is one part of sustainability. They may deliver a lower carbon footprint, that is another part of sustainability. They may be less toxic, that is another part of sustainability. So that's the sustainability pillar.

The second pillar is delivering them cost effectively. Now why did I not say cost of product? I think it is cost and performance in use, which is in the entire cycle of the value that it delivers to the end customer. For example, if I am delivering a product which goes for a particular oilfield application or a crop application, it is not necessarily a cost of the product which is important. It is, for example, can it increase the shelf life of the product by 6 months? So, whilst my product may be 10% more expensive, but if it is able to deliver a shelf life increase of 6 months, the value delivery to the customer and therefore cost in use becomes much more efficient. So, it is not that simplistic. The other, of course, is our ability to become reliable suppliers to customers, reliable from the point of view of quality, standard, our ability to solve their problems and so on.

So, it's not a one-point answer that I can tell you. Sustainability in some products is a stronger differentiator for IGL. But we are saying that is one differentiator. In some cases, it is performance. It is in some cases, it is our ability to work very closely in terms of doing product chemistry, process development, et cetera.

Aporva Mehta

And when can we see a jump in our on the turnover or can we see a substantial jump coming in like from 100 to 200 to maybe 400?

Rupark Sarswat

Sir,
you are asking me for a projection?

Aporva Mehta

No, just tell me is there possibility there on that type of business is there or not?

Rupark Sarswat

I answered your question. That in terms of the potential that we are targeting, I think the growth opportunity which can come through the product ranges and the customers that we are working with depending on success of projects is in several multiples. So, it's very difficult for these kinds of projects for me to say, of course, we have these discussions with our partners that say, somebody is supplying, say, a India Glycols Limited
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product for a completely new application which we are introducing, say, for some application, and they are putting it in the market.

So, it depends on what is the uptake. So far, we've seen the uptake in some of these products has been good. And I am quite confident of the pipeline. Now what happens is sometimes it takes 1 year, sometimes it takes 2.5 years. So, we'll have to go through that journey. And it's not that we don't discuss numbers within us. We discuss numbers. But it's just that I have a slightly different role to play when I'm talking in an investor call. And I think it could be, at this point in time, I can say that the 5-year opportunity in a matter of few years is actually in multiples. Now that whether that multiple is 3x or 7x or more, we would all like it to be very high.

Moderator

Thank you, sir. Our next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor

Firstly, sir, I'm referring to our wholly owned subsidiary formation for the Spirits business. IGL Spirits has been constituted. So, if what should one read into it? And is it a precursor to what the work EY has been given as per our notification dated 21st September, we should put things in order in that sequence itself?

Rupark Sarswat

See, let me put it this way. We have different areas of doing business. So, there are certain interlinkages. At the same time, these businesses have their own different dynamics. So broadly, it is a part of the promoter strategy, which they keep evaluating, reevaluating to maximize value creation and look at various options. One thought, of course, has been to make sure that these businesses, which have slightly different businesses, can possibly be looked at to be run with broader focus independently, may continue to remain under same ownership, may potentially make it easier for deriving greater value.

Now there are various possibilities of deriving greater value, which includes inviting strategic investors or strategic investors taking interest, et cetera, et cetera, et cetera. So those are not answers that are up on the table right now. But the thinking is they are businesses which need to get possibly more focused and therefore, have a neatly carved out P&L. What happens afterwards can be several things, depends on what works best. These are matter of conjecture that what happens, what's the best fit, et cetera, et cetera. But yes, EY is also helping in doing that evaluation.

Saket Kapoor

Yes, sir. Sir, when we look at the performance for the Ennature Biopharma, it has been a cause of concern for us for the Company because of the reasons explained earlier. So, if you could just allude the factors that have resulted in a flat to lower profitability for this segment now for being consistently for the over the last few quarters and what's the way ahead for the for H2?

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Manish Pant

So Saket, Manish, this side. So, whatever turnover we have secured in this quarter would remain on the upside in the next 2 quarters also, but the margin would be remain same almost like whatever we have achieved in this quarter because of the continuous pressure in the nicotine prices worldwide. And the main USP product is Thiocolchicoside, though we are now hold

ing the 50% share of the total export from
India, but the margins are in distress till now.

So, we are trying to make it more viable and to have more contribution by cutting our cost and all. But more or less these are going to remain same as this quarter.

Rupark Sarswat

Yes. So, I think as Manish said, there are price pressures on Thiocolchicoside side as well as nicotine, but those cycles happen. The focus of the business has been and I think that the business has done successfully, is continue to grow volume without getting too impacted by cyclicity so that you remain steady in the market and retain market. There are 2 ways to get costs down because when prices are

under pressure, you get your costs down to the extent it can. The other two strategies which are being followed, and I think the business is very conscious of it and following it very meticulously, is to look at higher value adding derivatives and also to look at the segment of branded nutraceuticals. We are hopeful and also, I must say, confident that it requires work. We are doing that work and also positioning ourselves in terms of getting the specifications from various international regulatory bodies to be able to breach and reach those markets, U. S., Europe, et cetera.

You are right that margins have been under pressure. But part of the strategy, as you see the good thing also is that despite margins being under pressure, I think this was also the best ever quarter for Ennature Biopharma in terms of sales. We understand this is the nature of the business. There are challenges we have to deal with and we've given you a flavor of what the business is trying to do.

Manish Pant

And this is also our growth area.

Saket Kapoor

Right. And even for the biofuels segment, sir, we found there also the margins have been on the lower side Q-on-Q basis. So, is it only the higher the cost of grains that has affected the number and how should the margins trajectory be for the biofuel segment going there?

Rupark Sarswat

So, sir, Saket, since you are a very good friend, and I look forward to your questions every time and you ask difficult questions, the glass is half empty, but the glass is also half full. We've had a decent quarter based on everything that we've been telling you for the last 2 or 3 years. You may say that to some extent by and large, we had some understanding in the business. We've been able to present a reasonable foothold.

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Yes, your points are right. As I mentioned, the broad strategy in Biofuels, you see, every business has these challenges. So, the challenges of the Biofuels business are there. The challenge is that there is an overlap that it has with the food segment because it uses grain, it uses sugarcane. And if, for example, they were to be, I hope there is not, a drought, sometimes the focus for the country will obviously be food. However, those are cyclical things. But look at the macro picture. The macro picture is, and that's why I said, if you look at 2019-2020, the blend target was 5%. In 2020-2021, the blend target was 10%. In '2022-2023, the blend target was 12%. In '2023-2024, the blend target is 15%. We are merely 0.75% short of the country's blend target, which has been over the last few years.

So, there are reasons for me to believe. And that is a well-articulated strategy by the government through a proper document that has been published and reiterated that we will do 20% blending by 2025. There are strategic reasons behind it. There is a reason to make sure farm sector incomes improve. And this action, for example, has made sure that payments to sugar mills are happening much faster. So that is one.

The strategic decision is also that, for example, you know that sometimes a lot of food grain goes waste, it drops and wear out whatever that gets utilized properly. The imperative is also in a relatively volatile

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world. We have good backups for energy security. So, the government is working on several fronts. They are working on green energy; they are working on biofuel blending. The imperative is also that we'll use foreign exchange outflow. So, if you look at the macro strategic picture, there will be ups and downs. So far, the trend has been there have been ups and downs, but by and large, the biofuel blending story is intact. And there is no reason for us to believe that's going to be suddenly very different over the next couple of years.

Now what happens in 5 or 6 years? You and I cannot say. So, I am not unduly worried, Saket, on that front. There will be these ups and downs. And if you look at the government's reaction to this, the government's reaction to this is how can we encourage corn? How can we encourage better utilization of DDGS? How can we encourage better pricing mechanisms? How can we encourage making sure that the supply chain costs do not increase for this? So, all of that is happening. I don't know whether I answered your question, but I think in order to address your concern, if not your question, you need to get that macro picture.

Saket Kapoor

No, sir. Your point is correct. Macro picture is also correct. But margins have taken a dip. That was the reason I just spoke about. And these are these are cycles wherein the current RM prices and the availability do get factored in, but we need to, continue with the project. That is what you have alluded to. My last question is for Anand sir. That said, for the first half, purchase of property plant is to the tune of INR 264 crore, and closing balance for capital work in progress is INR 200 crore. So sir, how much have we capitalized in the 6 months and how much capex is left in the current financial year?

Anand Singhal

So, sir largely we have only 2 Capex's. 1 is for 100 KLPD plant in Kashipur and second is 180 KLPD plant in Gorakhpur. So, the total cost of both the projects will be about INR 260 crores to INR 270 crores. So, the Kashipur plant has completed that 100 KLPD, while the Gorakhpur plant will be completed fully by 31st March, although their grain distillery will start working in this quarter, the Q3. Okay. So, whatever will be there will be capitalized by the year end and after that there will be no big sized Capex.

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Saket Kapoor

Okay, sir. And sir what's the closing balance of a long-term debt?

Anand Singhal

Long term debt, in this year, as on 31st March, will be around INR 1,200 crores.

Saket Kapoor

INR 1,200 crores. And what's the next year target?

Anand Singhal

The payment is INR 200 crores. So, if I can say then yes, I will target only INR 200 crores. But yes, if we are having a cash flow, additional cash flow, that will be utilized for the prepayment of the loan. And the company is not planning to raise any debt since there is no expansion.

Saket Kapoor

Okay. And our cost of fund, sir?

Anand Singhal

Our cost of fund is slightly on the higher side. It is around 9.8%. We are working on that how to reduce it.

Moderator

Next question comes from Balasubramanian Ayyanu from Arihant Capital. Please go ahead.

Balasubramanian Ayyanu

Sir, my first question regarding new wholly owned subsidiary. So, what is the strategic point of view next 4 to 5 years for spirits business? And for this, right now, we are around 20% kind of margins for potable spreads. So further adding capacities, what kind of margin improvement we can expect in coming years? And another thing, Amrut, how much your royalty in terms of sales as per the contract? This is my first question, sir.

Raju Vaziraney

For obvious reasons, this is not in the public domain because these are 2 separate companies. And I can only say that it's a long-term arrangement. And IGL is known for quality of ENA and packaging standards, while Amrut being a n

on-listed company is a privately held company. So, they are concentrating on premium products like single malt. So, we synergize very well. And long term, we will grow. We are not

mandated to talk about royalty because it's a partnership between us.

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Balasubramanian Ayyanu

Okay, sir. So, for our new subsidiary for Spirits business, what is the strategy behind this?

Rupark Sarswat

So, look, the strategies are dynamic and evolving. It is an evaluative exercise. Some part of it is known that we want to look at these P&Ls in a crystal-clear manner and bring the necessary focus to these businesses. That part is clear. Now, subsequently, what happens after they've looked at it, how to maximize value, whether to bring in strategy partners, et cetera, et cetera. After all, these are companies which have promoters. They have their own long-term thinking in terms of succession plan, et cetera. This is all in terms of readiness to be able to run the businesses much more effectively and do what is right for maximizing value creation.

And that plan is not on the table right now. There's an exercise in order to do that. What is, as I said, I'm repeating. What is clear? We understand that they are businesses with different dynamics. It will be good to run them with specific focus. It will be good to have a clear P&L, which is well defined. That strategy is clear. After that, with that structuring, what will happen in 5 years? Honestly, that is work in progress and that is that will get evolved over a period of time. There is no clear answer for that. And my apologies, I'll not be able to give that to you because I don't have it.

Balasubramanian Ayyanu

Okay, sir. Okay. And sir, regarding Tetra Pack, like we have seen good response in Uttarakhand. So, like, if you could share details about the cost and the price point of view, that's normal bottle, liquors and Tetra Packs. And basically, liquor bottles, the cost anywhere between 10 rupees to 30 rupees, while Tetra Packs, I don't know. Just like if you could share in terms of consumer behavior and cost and price point of view?

Manish Pant

So, Bala, I think you are asking right question in the wrong forum because I could not disclose the pricing comparison and all. So, for obvious reasons. But I can assure you that we have gone to Tetra and the government has gone to Tetra because of the certain reasons of like more adulteration in that. And the bottles got refilled, there used to be remained muds and all and some mixing by the distributor and all. So, all these things have been eliminated by introducing Tetra Pak. The response is very good. And I can tell you proudly that we are holding around 80% share of the Uttarakhand.

Moderator

Our next question comes from Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha

So, couple of questions from my side. One is on this ethanol side, last time in, recently what we have won the tender to supply to OMC which of somewhere around INR 1,150 Crore kind of tender. So just wanted to understand for the next phase, whenever this new tender would be out, what maximum potential we
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have to bid for and how confident we are to at least continue to have this kind of run rate for the technology supply?

Rupark Sarswat

So, sir, this kind of run rate, answer is very confident. What is wait and watch evaluation of opportunity is how much is the growth rate, what kind of margins can we look at, what kind of situations on raw material, and therefore, how much new capacity will we add, if we will add and when.

So, I think based on my understanding, and that's the reason why I took a little bit of time to show what

the trend has been in terms of over the last few years, what the government has been doing, how the pickup has been, how the government has been responding i

n terms of price adjustments, in terms of permissions to use different raw materials, facilitate various things.

So that is the information that I have. Plus, now having done this for a couple of years, we also have a track record. The government has a track record. And based on that, it is for us to assess. Based on that, I can say that we are confident this run rate will improve unless the government wants to decide something else completely tomorrow. Then it's a different issue. And there's no reason for us to believe. There is a proper paper that the government has published. They are repeatedly talking about this program. Now the ifs and buts are, now if they start to look at 24% blending by '26, then what happens? Then would you put up more capacity?

Well, we look at how the raw material prices are, how the raw material availability is, what the government price is, where do we have land, what can we put CapEx at, what cost. Those are business case valuations. So for this rate - confident, beyond that, we continue to monitor and do business case valuations.

Rohit Sinha

Okay. And secondly, on the NSU side, new chemical unit side, what kind of return right now we are seeing? And I think I believe more than 130, 150 crore kind of CapEx has been done there. So how we are seeing the progress there? And what would be the outlook going forward in terms of margin as well as the revenue growth?

Rupark Sarswat

So, I have broadly outlined it for you. I will refrain from giving you a projection. By and large, I've painted a picture going forward that we are looking at, we are targeting, we are working towards. There has been a good start. We are expecting targeting to INR 100 crores in this financial year. And I have also told you that somebody asked us what's the potential, where the potential is in multiples. We are working with good, reputed partners. And since you nearly asked that question again, I nearly briefly repeated that answer.

Moderator

Our last question comes from Sujal Shah, an Individual Investor. Please go ahead.

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Sujal Shah

Thanks for taking my question. One which I had which is more on a medium-term basis considering the amount of CapEx that you're doing and possibly the amount of R&D that is going into the enhanced chemicals that we're kind of talking. So just wanted to understand, if everything works out well, how do you see the peak EBITDA margins work out for the firm? And approximately in the medium term, what would be the driver taking us to that kind of margins? You could help me understand in terms of what could get us there, more qualitative and less quantitative should also be fine.

Rupark Sarswat

So, I think what you're asking us is, what are we doing to make sure that the business continues to get or build on and get better net margins, right?

Sujal Shah

That is right.

Rupark Sarswat

So, we are doing 2 things. I told you the NSU story. I told you, it is value more than cost. So we are focusing on that so that we can bring something more to the table than just product, which is differentiation, which is knowledge, which is application know-how. Once we strengthen those relationships, customer tend to stick with you and pay you. So that's one thing that we do.

We are continuously working on strategic cost reduction projects. We have done significant cost reduction projects. And I can give you an order of numbers.

We have identified a cross-functional team to look at a whole lot of energy projects using significant technological advancements, including modifying operational efficiencies to drive that energy task force. And off the order of savings that we are starting to realize is well in excess of INR 25 crores per year. So that is also reflected and we are doing more.

We are also looking at green energy projects, which could be from various sources, which could be wind, which could be solar, which could be hybrid or like, so these are on the cost front.

On the alcohol technology front, we are continuously looking at evaluating feedstocks. We are looking at whether, how, when we should introduce corn. We are looking at various things to reduce cost there, which will help us improve margins. And the biggest thing, last but not the least, we are looking at premiumization of our liquor segment. So, we talked about Amrut, we talked about doing it well in terms of could branded liquor we are -- so those are thing that we doing. So, there is moving of the value chain on the finished product end. There are actions to secure feedstocks. There are actions to reduce cost in manufacture broadly.

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Moderator

Thank you, sir. Now I hand over the floor to the management for closing comments.

Rupark Sarswat

So no, nothing else. Thank you very much for coming, taking your time to listen to us and also asking us questions, which helps us not only in clarifying to yourself who are our esteemed investors, but through your questions, we also gather ideas, areas for improvement and prepare ourselves better. So, thank you for all of that. Have a good evening and a good weekend. All the best. And on behalf of my colleagues here, bye-bye.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference call. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

(This document has been edited for readability purpose.)

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Call: Feb 2025

11th February, 2025

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 – Transcript of Q3 & 9MFY25 Earnings Conference Call

Further to our letters dated 28th January and 6th February, 2025 and Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q3 & 9MFY25 held on Thursday, 6th February, 2025 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q3 & 9MFY25 Earnings Conference Call"

February 06, 2025

MANAGEMENT : M R. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD SALES & MARKETING (BSPC)
MR. S. K. SHUKLA - HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) & COMPANY SECRETARY

ANALYST: M R. PAWAN BHATIA - NUVAMA WEALTH RESEARCH

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Moderator: Ladies and gentlemen, good day and welcome to the India Glycols Limited Q3 & 9MFY25 Earnings Conference Call Hosted by Nuvama Wealth Research.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pawan Bhatia from Nuvama Wealth Research. Thank you and over to you, sir.

Pawan Bhatia: Good evening, everyone. Thank you for joining us on India Glycols Limited Q3 & 9M FY25 Earnings Conference Call.

I would like to thank the management for giving us this opportunity to host the call and congratulate them on a good set of numbers.

We are joined on this call with India Glycols Management represented by Mr. Rupark Sarawat – Chief Executive Officer; Mr. Anand Singhal – Chief Financial Officer; Mr. Rajesh Marwaha – Head Sales & Marketing (BSPC); Mr. S. K. Shukla – Head - Liquor Business and Mr. Ankur Jain – Head (Legal) & Company Secretary.

I would like to invite Mr. Rupark Sarawat to initiate this proceeding, with his "Opening Remarks" post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarawat: A very good afternoon to everybody and thank you for joining us for this call. We have several topics on the agenda to talk about today. And of course, we will talk about the business performance and the nine-month highlights as well as highlights for the quarter. But equally importantly, we will also talk about the initiation of the scheme, which proposes to restructure IGL into three de-merged identities. So, what I will do to start off is to give you a little bit of highlights in terms of the business and we will come to the details later on. And a very high level view of the restructuring in terms of getting the gist of it. Then I will request my colleague, Mr. Anand Singhal, to take you through the details about the scheme, the demerger and how it's going to be implemented and the mechanisms that we will adopt to achieve that and so on. And then we will have some more commentary on various businesses. And after that, we will be happy to take your questions.

So, let me, as usual, start with how our performance has been. I recognize that what we shared with you, our EBIT numbers. So, in order to explain business sometimes, especially because there is some reclassification of businesses involved, I will be referring to EBITDA or EBITDA margin numbers as well, that is just to make sure that I am talking about and setting the right context.

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So, as you know from a business performance perspective, we have had a good set of numbers to report. So, if you look at the 9MFY25 performance, our Net Turnover at Rs. 2,905 crores is up 22.7%, Gross Turnover is up 16.4%. EBITDA for the 9MFY25 at Rs. 376 crores is up 19.9% and we continue to clock decent margins of about 12.9%. Now various segments have driven this growth, particularly Bio-Fuel has driven topline growth. Similarly, we have had excellent growth in Potable Spirits, and we have had some topline growth in Ennature Biopharma as well. And Chemical business has been slow, but I will explain that because the core business where we sell chemicals has actually done reasonably well, and I will explain that later on. In short, we have seen excellent growth, as I said, in Bio-Fuel, and the capacity that we have added have served topline growth as well as bottom-line growth, and we have contributed to the blending program, which is on track. So, in the Potable Spirits space, as I said, excellent growth both in IMFL and Country Liquor. We will talk about it in somewh

at more detail subsequently. We

have had a slightly weak quarter for Chemicals, but for the operating business, if you exclude the JV and some businesses that are readjusted, we actually had excellent margin growth. There has been strong sales growth in Ennature Biopharma however, as we have spoken earlier, both for the Nicotine and Thiocolchicoside business, our margins have been under pressure. And we have been talking to you about new specialties. Of course, these kinds of businesses have a gestation period. And I am happy to state that while you do not see so much in numbers, and I will talk about the businesses going forward. We are quite happy with the progress that we have made in terms of projects we are working with reputed companies, many of our projects and products have been approved and we are on track to generate significant commercial sales not only in this year but also for the years ahead.

In addition to that, I think the Joint Venture performance has also been very good where for the quarter itself sales are up 12% but EBITDA for the joint venture is up 75%. Similarly, EBITDA

margins for the JV were up as well. One of the key reasons, of course is lowering of the feedstock price differential for them which generally they compare with Reliance's view and also there has been a focus on improving the product mix as well as greater focus on exports. So, that's a high level commentary on the business. We will talk about segments going forward.

But let me go back to the restructuring scheme that has been announced. As I said, Mr. Singhal will tell you more about the details of the scheme but let me give you a macro view of what the proposed business structure is, what the rationale behind it is and so on.

So, essentially what we are trying to do is to restructure these businesses into three separate companies, for the time being within the IGL group. And the whole idea behind this is to run these companies differently. They have different focuses to provide them much more focus. And also, to allow potential investments in different businesses because different investors tend to have a different focus for investments. So, in that sense, there is a potential to unlock value going forward. So, that is at a high level in terms of what business restructuring is about. So, what you will see is right now we report Bio-based Specialties and Performance Chemicals, if you look at India Glycols Limited

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the existing structure for FY24, which is a topline of close to Rs. 1,626 crores. And then for FY24, Bio-Fuel was close to Rs. 512 crores. Potable Spirits at a gross level was Rs. 5,575 crores. And the net number for Potable Spirits for FY2024 would be lesser, but that's the Gross number. Now the plan is to have a Chemicals business which focuses on green chemicals and specialty products, which includes glycols, bioglycols, new specialties, industrial gases, and so on. This on a like-to-like basis will be a slightly lower turnover because some of the products will go with what will be the Ennature Bio Pharma business. The second will be the idea of the Spirits business, which will have spirits, of course, IMFL and country liquor, but it will also have the alcohol business or the Bio-Fuel business going with it. And the third one will be Ennature Bio Pharma, which will be Ennature as it is right now, and also taking the Bio Polymers business, which is a small business, from chemicals and putting it into Ennature Bio Pharma. So, we believe that this will allow us to run these businesses in a much more focused manner. They have slightly different priorities, different markets, different drivers, and therefore grow these businesses independently to create more value.

I will pause now and I will request Mr. Singhal to brief you on the details of the scheme.

Anand Singhal: Thank you, sir. So, now the board in its meeting on 4th February 2025 has largely

approved two

proposals. One is the merger of Kashipur Holdings Limited, which is a holding Company for India Glycols Limited and demerger of the business into two separate entities. One is the IGL Spirits, and the other one is Ennature Bio Pharma. So, presentation is already with everybody, so now everybody can see, but I will largely give you the brief on what is the proposal. Although CEO Sir has already given main things.

So, now for the new companies, the India Glycols, which is the Chemical business largely, for 9MFY25 this Company has a turnover of Rs. 1,079 crores with an EBITDA margin of 13.6%. IGL Spirits, which is proposed to be the other Company which will be having the Liquor business and the Bio-Fuel business, is having 9MFY25 turnover of Rs. 1,628, this is on net basis with 14.4% EBITDA margin. The Ennature Bio Pharma, which has the biopharma, means the herbal division, plus the biopolymer, which is the Guar gum business, is having the turnover of Rs. 178 crores for the 9MFY25 with having an EBITDA margin of 14.9%. So, this is what the proposal for de-merging these three companies. The merger of Kashipur Holdings, holding Company with India Glycols, is largely keeping in mind that the promoters will have the direct shareholding of IGL in their names.

The main benefits of the proposed scheme will be that the demerger will enable independent growth for each businesses. Separating the business will reduce the risk of one business affecting the others. Will create a potential to unlock value for the shareholders by drawing focused investors. Each business will have a clear focus leading to improved management and resource allocation. So, this is what we think that will be the main proposed benefits for the proposed scheme. And rest of the presentation is already with you. And I will pause here and will take up if any questions during our question-and-answer session.

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Rupark Sarswat: So, there are two things. Anand Ji, would you like to brief on the financial results first? Then I will give a little bit of sector commentary. Then we can take that.

Anand Singhal: Okay, so on the financial performance for the Q3 FY25, in the current quarter from October to December 24, we have a Gross Revenue of Rs. 2,424 crores with a Net Revenue of Rs. 975 crores. If we compare this with the last quarter

same period last year, we have a growth of say about 8%. The EBITDA in Q3FY25 is Rs. 129 crores, vis-à-vis Rs. 107 crores in the last year, same quarter, showing a growth of 21%. While the PAT is Rs. 57 crores, vis-à-vis Rs. 42 crores showing about 37% growth. If we see the 9-month results, so in 9MFY25 the Gross Revenue is Rs. 6,850 crores, vis-à-vis Rs. 5,882 crores showing a growth of 17%. The Net Revenue is Rs. 2,905 crores vis-à-vis Rs. 2,368 crores showing a growth of 23%. The EBITDA is Rs. 378 crores in the 9MFY25 vis-à-vis Rs. 319 crores in the last year nine months, showing an increase of 19%. And PAT is Rs. 167 crores vis-a-vis Rs. 131 crores in the last year, showing an increase of 28%. So, basically, if we see, the Company has shown a very good result in all round growth.

Rupark Sarswat: Okay, thank you, Anand Ji. What we will do is we will very briefly touch upon segmental commentary and then we can go to question and answers.

I had mentioned to you about 9MFY25 results while I had skipped the quarterly results, which you have already seen though. So, the Net Turnover at Rs. 975 crores is up 7.9%, but there's an excellent EBITDA growth for the quarter at 20.7% and a much better EBITDA margin of 13.3%. So, if I look at the 9MFY25 performance or the performance for different sectors, and so for the chemicals business, for example, for the nine months we see a topline degrowth of 8% and for the quarter it is appearing 30% decline. However, I may like to add here that in some senses it needs the right interpretation b

ecause we have had some declassification of products as we are preparing for the restructuring of the business where some of the byproducts like DDGS were in the earlier quarters reported along with chemicals. So, that makes you see a bit of a degrowth, which is not exactly representative for these numbers. And I will give you the commentary so that there is clarity. There is nothing wrong here. It is just a matter of interpretation. Similarly, our Bio-Fuel business at Rs. 770 crores for 9MFY25 is up 135%, and it is 79% up for the quarter. Our Potable Spirits business at Rs. 858 crores for 9MFY25 is up 25% and at Rs. 328 crores it is up 37%. And our Ennatura Biopharma business at Rs. 169 crores for 9MFY25 is up 14% and for the quarter it is up by 4%.

So, if you look at EBITDA margin level, I know you what the numbers that you have are EBIT numbers, so I am not going to repeat them because those you already have. The chemicals business has seen a moderate decline of about 5%. Now again, this is for some of the readjustments that we spoke about. Biofuels up 135%, Potable spirits, excellent growth at 42%, Ennatura Biopharma, the margins have declined, mainly even though the topline increased is

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because of the cost pressures that we have spoken about. I spoke about the joint venture, another number that I will talk about. What has also happened in some ways, some of the toughest times that we faced are past us. The price differential between crude-based ethylene oxide and bio-based ethylene oxide, which at one point in time had increased to in excess of 40%, which means bio-based ethylene oxide was more expensive, is now down to a much more manageable 15%, which has reflected in much better results for the joint venture and also much better margins and profitability in some of our chemical businesses which were under pressure. So, we continue to import ethanol for a significant part of our Chemical business. It is because it is a much more lower cost option for us than procuring or even manufacturing ethanol using grain or molasses in-house. There are certain chemicals which demand molasses-based ethanol, those, of course, we supply on that basis.

Now, a very high-level commentary in terms of our sectors. So, I mentioned to you about the Biofuels program. Whilst you will be tracking this industry, I think the interesting thing is that from 2019-2020, where the government targeted a 5% blending, they achieved 5% blending. And in 2021, they targeted 10%, but achieved 8% blending. In 2021-2022, they targeted 10%, achieved 10%, 2022-2023, targeted 12%, achieved 12.1%, in '23-24 targeted 15%, achieved 14.6%, 20'24-2025, targeted 18%, achieved 18%. So, I have read these numbers out for a specific reason. I remember having been with you in discussions earlier, where you all asked questions about how's the blending program going, how much will get blended and I kept on saying that while there will be ups and downs based on various factors, at a macro level given the strategy for the blending program which was based on increasing farm sector incomes, utilizing grain that we have, reducing forex outflow, etc. this strategy is correct and which is also reflecting that the blending program is on track. And it was in that sense a good decision for us to participate in that. And we expect that the 20% target for next year would also therefore be, would be on track. So, amongst very few government-driven programs that you see for the last few years, every single year more or less, except 2021 because of other reasons, and then we caught up, has been completely as per target. So, that's a good thing. And we expect that further for, we have done about 11.7 crores YTD in terms of liters, in terms of volume, Rs. 770 crores in terms of topline. We expect 2024-2025 would be more or less in line and we would more or less be doing possibly or hopeful

y close to 15 crore liters of sales for biofuels.

We do track several parameters that you several times ask questions for us. I think the government from time to time has been giving price increases based on cost increases. There are important factors which is grain price and DDGS price which are important from a margin perspective. The price of course is determined by the government. There is also some bit of positive news on this front that the government has released significant quantity of more FCI rice at a cheaper price into the market, which means that the grain price, which had gone up to Rs. 27 - Rs. 28, is expected to be lower in the quarters to follow. And hopefully, of course, it is dependent on a few other factors. It will lead to improved margins for the business. So, not only would the FCI price be cheaper, but I think as you introduce and put that in the market, the market factors drive other private players selling their rice also lower.

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We talked about the chemicals business. If I take out what we sell to the joint venture, of course, there is a separate dynamic here, that's a part of an agreement. And the benefit of what we do with the joint venture also comes to us in terms of, of course, profit sharing, because we own 49% of the joint venture. But if you look at the core business, and if I take out ethanol and some of the other categories, I would like to, for a little bit of reassurance about this business, that for the 9MFY25, for these businesses, which includes glycol ethers, glycols, new specialties, biopolymers, gases, and EO sales, our topline is actually up 13% and our margin, gross margin is actually up 58%. So, I wanted to make this point because, your obvious question about the numbers of chemicals therefore addressed.

So, that is broadly the commentary from my side. And I would request Raju Ji to give a little bit of commentary on Potable Spirits, particularly IMFL. I think it is important for us for two reasons. One is that one of the significant rationales for us is to provide the focus on the IMFL business, which you know is a very interesting business going forward. There's a lot of interest in the market and I was just going through some of the numbers. So, the Potable Spirits business in India, which is expected to be about \$56 billion in 2025, is expected to grow at 7.2%, going up to about 112 billion in 2034. And there are of course various factors driving this, right from premiumization to even health and wellness, therefore people investing in better spirits, change in demographics, digital, etc. And we have also had a partnership with Amrut, which is a good milestone that I am sure Mr. Raju would like to talk about. And then we can take questions.

Raju Vaziraney: Hello, I am Raju Vaziraney. I am a liquor man throughout. I served as CEO and President of Radico Khaitan for 13 years. I was with Shaw Wallace for 11 years. So, for whatever reasons, I have stayed with liquor.

Now, I joined this organization just over four years ago. Once I joined, we realized that we have got hidden potential of our ENA quality. ENA is an extra neutral alcohol, as you know, and also, we co-pack for Bacardi, which is the third largest liquor Company in the world. So, perhaps that was the reason I was hired. And we felt that while we have made our mark in country liquor, we are leaders, both in our home states of Uttar Pradesh, as well as Uttarakhand, where our state-of-the-art distilleries are located. But the potential, or we say the growth potential is in IMFL, particularly premium. Like our CEO rightly mentioned, premiumization story sells all over the world because India has captive consumption. And I don't have to go into demographic details, but the demographic dividend, as we say, is in favor of liquor because to put it in simple words, Australia is added every year in India as far as consumers are

concerned, to more than 20 million

consumers. So, there is huge potential. And while the industry, IMFL industry is growing at 7% to 8%, it also goes up to 8% to 9%.

The premium industry is growing at more than 20%. So, the top management sat down, and we said, while we have got traditional brands like Soulmate Blu, which is a million brand, which has done more than 10 lakh cases last year, but we were very shy Company. We would not talk much about liquor because IMFL was still small. But then we felt the need to do premiumization

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of our brands and as we say in marketing, we felt the need gap. The need gap in the consumer's mind was in vodka particularly. So, just to mention that the top MNCs do not have a vodka brand, only Radico Khaitan which is a prominent player, and a leader brand has a successful vodka. So, you know, there was always a room for a second player. So, we, what we did very cleverly is, if I may use that word, we got the best, our chairman always prophesies quality, quality consciousness and consumer consumables, we must give the best quality. Perhaps that is why IGL is so entrenched and over a period of time our glycols business has done so well. So, we went to Europe and we got the best of best flavors from Germany and that made the mark and our Amazing vodka in the first year of launch three years ago made its presence felt and we

got gold medal consecutively for two years in open competition. We have an annual event where all over the country people participate, industry participates and in a blind format the jury judges the quality and because of the excellent quality our brand got noticed.

Today I take a lot of satisfaction in mentioning that Amazing Vodka and its flavors are among the top three vodka brands wherever we have launched it namely UP which is our home state, Uttarakhand, Delhi, Rajasthan and Chandigarh. So, just within three years, largely because of the packaging and the quality. Then we quickly moved on to, we felt the need that, India being a tropical country, there was a good need of refreshing drink. As our CEO rightly mentioned, the taste and differences have steadily changed.

There was a time when hard whiskeys would sell like Peter Scot or Solan Number One. But today lighter whiskeys, young consumers want lighter, refreshing, easy to drink brands. So, we made a beautiful brand called Zumba. Zumba was named by us. And Zumba as you know is a wellness program. It also talks about, it also gives a hint of that you have to drink responsibly. So, we created a citrus, citrus white rum. And the leader brand, you are aware, I don't have to mention. So, I take satisfaction in mentioning that today our Zumba Limon, we call it, is the second, is the challenger brand and the second largest in this segment. This segment is very small at the moment, but we will grow the category, and our brand is doing very well, Zumba Limon, in UP, Uttarakhand, Delhi. And now also I take satisfaction in mentioning that we have got approval in paramilitary also.

So, then we felt that when we have got such excellent quality in ENA as also packaging standards for the last over decade with our Bacardi International, then why can't we also do inorganic growth and have double engine growth, if I may use that word. These days in election, double engine is quite popular.

Now, I am quite familiar with Amrut and so we approached them, and we convince them that while their bandwidth is, as you know Amrut is a wonderful Company and Amrut Single Malt's are world famous. So, while they concentrate on malt whiskies, they have got certain very valuable millionaire case brands like Amrut's Maqintosh Whiskey which is a 35-year-old Company and Old Port Rum which is the sixth largest brand in rum across category as per data available. So, we said why not we partner with Amrut on royalty basis and make it in Kashipur India Gly

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and the moment I said Kashipur they were more than happy to tie up. Just for your knowledge gentlemen and ladies, there Amrut has in 75 years history never done a partnership. And this is the first time and it is all because of the IGL Kashipur brand name.

Because of the brilliant quality, the consumer sees the label when they see Bacardi being bottled right from Breezers to the top end Carta Blanca where our chairman and the board has invested lot of money, the consumer feels doubly satisfied that this is a quality product. So, Amrut was more than happy to join us, join with us and on 7th July, 24 we started the business and though it is early days, I can't make a statement that we have made our presence felt but what we did was we got these brands in the premium segment. Premium when I say Delhi MRP of Rs. 800 to 1,100 and we have got one more variant of Maqintosh. One is Maqintosh Black and one is Maqintosh White in order to cater to both the segments. So, MRP is Rs. 1,100 for Black and 850 for White. So, you know the growth of premium segment is so fast because the income levels of the consumers are going up. The entry level of premium segment. People, youngsters that make lots of software engineers, retail opening up, has got so much money in the hands of the young consumers that their entry level is say Rs. 800 plus. So, we want to harness that potential and though we have just rolled out about 3-4 months back and it is not fair for me to say that we are successful, but I am sure we are at the right direction because I just have to mention that the entire liquid is transferred from Amrut headquarters from a distillery in Bangalore to Kashipur. In other words, there is 100% quality consistency as far as Amrut's liquid is concerned and 100% packaging consistency as far as IGL is concerned. So, it's a good, very good mix between the two natural partnership and I am sure in the next quarters you will see if I may use the word because I am basically a sales and marketing person, you will see a VTO, so vertical takeoff, which one has done in the past many a time, but I am sure with the confidence that our board has reposed in us, we have recruited certain very good professionals and this is early days, but I am sure in years or quarters to come, IGL will be known for best quality premium brands.

Rupark Sarswat: Thank you, Raju Ji. As you can see from enthusiasm of Raju Ji, we are very positive about IMFL and well of course he is very knowledgeable. And I think that being said, you have already seen the detailed presentation and the numbers. So, we will now take questions from people who have assembled here.

Moderator: Thank you very much sir. We will now begin the question and answer session. Anyone who wishes to ask a question may press * and 1 on the touch-tone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use

handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the questions are assembled.

The first question comes from the line of Balasubramanian with Arihant Capital. Please go ahead.

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Balasubramanian: Good evening, sir. Congratulations for a good set of numbers. Sir, my first question regarding post restructuring, more than 75% of business comes from IGL Spirits. Is there any plan to list that entity?

Rupark Sarswat: Thank you. You see one step at a time. Right now, while there are all these options which are on the cards and I also talked about the fact that we will look at opportunities to unlock value, right now the focus over the next period, I think the timeframe of, I do not know, Anandji will say 12 months to 15 months. The idea is to get these separately working as independent P&Ls to get the focus in the businesses to drive growth. That is number

one. Of course, these

will be different companies, you know, the options after that are obviously listing them and also looking at potential partners etc. are all there.

Anand Singhal: Just to add what CEO sir has told, that all the companies will be listed because the demerger will happen through NCLT route, okay, and the demerger will be effective from 1st April, 26. So, say we will take about 12 months to 15 months in getting all the formalities relating to demerger done which includes in getting all the formalities relating to demerger done which includes the SEBI NOCs and of course the lenders and other NOCs and the NCLT NOC or approval you can say. So, this demerger will be effective from 1st April, 26 and all the three companies will be listed on the stock exchange.

Balasubramanian: My second question, what's the price difference between imported ethanol and domestic ethanol? And we are using for imported ethanol for chemical business. Is there any quality difference between imported ethanol and domestic ethanol? Because in domestic ethanol, we are using for biofuels and distilleries.

Rupark Sarswat: We have talked about it before, but I will nevertheless respond. See, first of all the imported ethanol which is either imported from Brazil or US is either grain based, or sugarcane based, and we can take both. This is industrial grade ethanol. Now you need to understand that for the purpose of blending and for the purpose of potable spirits, the ethanol that we import cannot be used. That is not allowed to be used. So, therefore, first thing is that all the ethanol that we put into biofuels or in our potable spirits, depending upon the need is manufactured in-house, be it from grain or molasses. As far as chemicals are concerned, we can use both grain-based ethanol and molasses-based ethanol and grain-based ethanol from the US interchangeably in our plants. So, effectively there is no quality difference. Of course, these ethanol may come from different sources. There may be traces of slight ingredients which are different, which we may need to do some pretreatment to make sure that our catalyst systems work well, which we do. But as far as the decision of using them for our chemical products is concerned, from a quality perspective, there is no difference.

Sometimes people, depending upon their strategies on carbon footprint, etc. may prefer, for example, molasses-based ethanol. That is more from a sustainability carbon footprint perspective, but not from a quality perspective. From a quality perspective, we can use both

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these or multiple grades of these ethanol that I have spoke about to deliver the same quality of product to customers, either domestically or internationally.

Balasubramanian: So, my last question regarding biofuels, I had last two or three quarters back we used to report more than 7% kind of margin. In this quarter only 3.3%. Is there any specific reason for that?

Rupark Sarswat: See I briefly touched upon it that there are multiple factors which impact the margins that we make on biofuels and the margins do go up and down. Now there are three factors, and we monitor all of them closely.

One factor is the price. Now the price for various sources of ethanol which goes into biofuel blending whether it is molasses, C-heavy molasses, B-heavy molasses, damaged food grain, FCI based rice etc. or corn based is fixed by the government and it is based on the feedstock. The second parameter which affects the margin is the price of grain. So, price of grain if you remember at one point in time when we started this business in 2023-24 was even hovering around Rs. 19 to Rs. 20. Then as there was increased demand and also some slowdown by the government in terms of allowing FCI rice to be used, the prices of grain in the market had gone up. So, if you look at August 24, September 24, July 24, it saw re

asonably high prices of grain

which were hovering around Rs. 27 to Rs. 28. The other factor which also affects the margin is the price of DDGS which is the protein which comes out and the higher the price the better the margin on ethanol because that's a byproduct which gets sold.

So, the reason you saw somewhat lower margin possibly is because grain prices are higher, DDGS prices are dipped and as I had also mentioned going forward the government has announced release of more FCI for grain-based ethanol. There is abundant stock with the government, and we expect that the grain prices will come down and this will positively impact the margins for on biofuels.

Moderator: Thank you. The next question comes from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Congrats on good set of numbers. And again, congratulations for the demerger scheme. Seems interesting. So, the first question is, again, on the demerger scheme.

In terms of the individual three segments, how is the working capital for them? What could be the debt structure as of now based on the long-term debt sitting across individual businesses? And lastly, in terms of ongoing projects, what are the individual projects which are going across all the three segments? Thank you.

Anand Singhal: Rohit, regarding the working capital allocation to each Company and the term loan allocation, we are talking to the term lender, mainly the State Bank of India, who is the leader in our consortium banking. Although we have more or less finalized depending upon the NWC for the working capital and term loan for the projects for which we have taken but we have yet to get India Glycols Limited

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the confirmation from SBI. We are in process that will take some time. We will come back to you on this once it is finalized. Regarding the project completion, more or less all the projects whatever we have undertaken is complete except one grain distillery, which we are installing in Gorakhpur and hopefully that will also be completed by March 25. So, then all the projects whatever we have undertaken will be completed before the demerger.

Rohit Nagraj: Okay. That is helpful. The second question again from the managing all the three business perspectives. How would the group structure evolve? Rupak sir will be a group CEO and then we individual CEOs across the business. The question I am asking is primarily because if we were to have individual CEOs to head the businesses, we may have to groom someone from our own organization or may have to hire for the next maybe 12-15 months by the time the scheme is, you know, culminated. So, just a broader perspective on this. Thank you.

Rupark Sarswat: So, Rohit, thank you. First of all, thank you for making me feel a little insecure about my job. That was on a lighter note. Well, look, it is too early to say what exactly would be the structure, but let me put it in terms of principles. The principle of demerger to start with is to continue to run the businesses under one umbrella, but differently as in separately from a strategic perspective, but not unduly increasing the cost base. So, that is what you will continue to see in the near future. Depending upon how it pans out, of course, there will be need for individual resources, how those individual resources will be structured, built in from the organization, got from the outside, is something which is work in progress. So, it is very difficult for me to immediately tell you how that will span out. But as I mentioned, for the time there will be several resources which will be common, like it happens in many group companies. Otherwise, we will end up increasing cost quite a lot. So, there will be corporate resources which will be common and there will be a mechanism to allocate these costs going forward. And after the companies are separately formed, the way the

y start growing, the way they have their individual projects. I

think there would be an ongoing dynamic way of looking at resourcing them.

Rohit Nagraj: Sure, that is helpful. Just one last clarification. As of today, we are a green chemistry Company, given that all the three segments are having based on bio or ethanol. Once the businesses are separated, will the chemical business may transform into a combination of green plus synthetic chemistry, or will it continue to remain on the green chemistry lines? Thank you.

Rupark Sarswat: So, look, we believe that sustainable chemistry is a significant strength of ours, but it is not the only box that we would like to operate in. Not to say that we will, you know, for example, when we talk about specialties of performance chemicals, we would not limit ourselves to saying that unless it is, you know, completely green, we will not do that. No, we will look at those areas as well. But we would like to leverage our green strength, our green feedstocks to make our specialty chemicals green, greener and even more green. To give you an example, we are looking at biobased amines. So, we would be perhaps the, hopefully the first Company to make biobased amines using ethylene oxide and ammonia. But subsequently we may start to use ammonia which comes from green hydrogen. So, therefore that is also completely circular or of a much

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lower carbon footprint. So, that journey will continue. Rohit, in short the answer is, we will continue to look at opportunities to grow based on our strengths. One of our key strengths is sustainable chemistry, but our key strengths also are process development, product development, application development, and forming strong relationships with some customers in the B2B space to whom we can add significant value.

Rohit Nagraj: Sure, that's really helpful. Thanks a lot and all the best. Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Namaskar, sir. And thank you for this opportunity. Congratulations, firstly, to the entire team for setting the timeline and meeting the timeline in giving investors the update and the proposals for demerger. We hope for a smooth transition. Sir, not many questions. And only, sir, a couple of data points.

Firstly sir, the pain point in our vertical has been the Ennature Biopharma. And that has been on a slide for the last three quarters in a row. So, if you could spare a few minutes and explain.

Although I personally also congratulate the team for giving a very descriptive investor presentation. So, questions are answered there very well. But if more color, broader notes could be given on the Ennature Biopharma going forward?

Rupark Sarswat: So, Saket, thank you. And you are anyway quite aware of our business each time and are well prepared. And so you also ask difficult questions. Anyway, so look, we have spoken about it for some time. So, the strategy has been, first of all, to continue to maintain market share in this dynamic market, which we have done quite well, as you can see. So, our topline has been growing. And our market share, particularly in the domestic market, has actually increased. Now there have been various factors which have been policy changes in the international market and competition, which has put pressure on margins. However, we are confident that the business in longer term is the right business to be in, but needs the right strategy which we are following. And the right strategy is this. I think the first thing is to penetrate the developed markets. So, we are working on several fronts over there. For example, it needs several regulatory approvals in those countries which we have been working on. It needs improving our standards and certifications and compliances in-house. So, we are, for example, we are wo

rking on upgrading

our Nutra facility to US FDA audit compliance and the audit has been completed as and when that gets certified, we will be in a better position to market our products into the developed market. So, that's one part of the strategy. The second part of the strategy is innovation, to look at delivery formats which are much better. As you know, these products like curcumin or nicotine or Thiocolchicoside can be converted into various delivery formats which the pharma companies or the food companies value for their therapeutic benefits. So, that is the other thing. And the third pillar of growing this business, which is also the right strategy, which is also

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somewhat more time-consuming, is to push for branded nutraceuticals, which therefore establish ourselves as a brand in two ways, either through our products, or follow what we sometimes loosely linked to the Intel inside model, where our brand is a co-brand to important brands within India or abroad. So, while I completely recognize where you're coming from and expressing your concern about the pressure on profitability, there is a silver lining. Our top line has been growing. We are working on the right strategy to improve our standard compliance certifications within India to get regulatory approvals or approvals by customers abroad to focus on branding nutraceuticals and innovation. So, that's what I have to say about the business.

Saket Kapoor: Actually, it is heartening that the revenue is growing, but it is rather disheartening that even on improved topline the profitability has halved from the last nine months that was the key reason, but you very well explained what steps we can take to improve the same. Coming to the presentation part I think so we should also try to calculate the net debt position and the movement of debt also in one of the slides, that is the missing piece according to me in our presentation.

So, Anand Ji, if you could just give me the net debt number as on 31st December and the current maturities which are pending for payment till March 2025?

Anand Singhal: I will just tell you although whatever you have suggested that we will take up. Generally, in quarterly basis we have a repayment of about Rs. 60 crores so on yearly basis we have a 240 crores repayment on the term loan and right now the Company is having an outstanding term loan of about Rs. 1200 crores.

Saket Kapoor: Okay. Right sir.

Anand Singhal: This is the position. This time you can see that finance cost has gone up. That is only because of that the project has been completed and the finance cost has been charged to the interest because earlier till the project was not completed, that was not capitalized. And the interest rate has slightly firm up because of the overall increase in the interest rate by the banks. We are fighting

but let's see how we can reduce the cost.

Saket Kapoor: And lastly, if I may, if the time permits, firstly on the ENA dynamics, if you could just throw some more color how the pricing on ENA dynamics have been. And again, for the valuation aspect for which Raju sir was elaborating about the IMFL part of the story. So, we are clubbing the government regulated business of grain-based ethanol and the liquor part. So, does that gel better for getting the right valuation going ahead since other liquor companies may or may not be having this under the portfolio. So, weren't margins looking in the near future look subdued and get diluted because of these two-business getting clubbed. This is the overall restructuring which we are doing. That was my query.

Rupark Sarswat: So, Saket, these decisions, there are two things. One is margin percentage, the other is absolute margin. So, and on one hand, you may look at margin percentage, but there are certain synergies as well. So, if you have an alcohol business, you have the option of manufacturing yo

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alcohol, be it molasses-based, be it grain-based, control your own quality, and you may sell it to others as well. So, in that sense, it brings synergy in terms of backward integration, it brings synergy in terms of better control on quality, it brings synergy in terms of being able to leverage your ethanol business and get scale by supplying to biofuel as well as potable spirits or maybe even selling to others. Now your question is that what happens to percentage margin? Well, percentage margin is one factor, but the overall profitability and resilience of the business also improves. So, there could be various ways of looking at it. And there are also ways of how the hardware and the plants can be segregated or how they cannot be segregated, what's the best possible fit. So, so far in the wisdom of people who sat together, this seemed like the most optimal way going forward.

Saket Kapoor: Right, sir. And for the ENA dynamics, you can give some more color. How's the price?

Raju Vaziraney: Hello, gentlemen, I just wanted to highlight one point.

Saket Kapoor: Please, sir.

Raju Vaziraney: We are in this unique position, if I may say largest ENA producer or among the largest ENA producers in the country, we have 100 almost 100% captive consumption as our CEO rightly said there are three benefits for IMFL particularly because I specialize in IMFL and liquor one is consistency of supply. Our ENA just for your knowledge goes to Bacardi in Nanjangud, which is in Karnataka. Karnataka is abundant on ENA, but they only buy our ENA from Kashipur, transport it there because of the brilliant quality, number one. Number two, our captive consumption is increasing so much, particularly for IMFL and country liquor, that we naturally get the benefit because it's from one tank to the bottling line. So, lot of headache of transportation, freight, GST, interstate movement expenses are all avoided. And third is best servicing. Because as our CEO said, consistency of supply. So, we are in unique position. We use what we make. What else backward integration do we need.

Saket Kapoor: Sir, please also tell about pricing. What is the pricing dynamics? Whether the prices have moved up as per the demand supply or how are ENA prices currently quarter-on-quarter or year-on-year comparison can be given?

Rajesh Marwaha: Saket, I would like to add over here is that the ENA business is looking pretty promising right now. And since in the new tax regime, when it has moved to the state to decide the taxation, the opportunities are opening up in the immediate and medium future. Also, we are looking at export markets, but you see that our own consumption of ENA in the country liquor and IMFL segment is increasing and we are becoming a strong player within the state. So, obviously, the net sale in the state of IMFL and CL is being taken up as a larger share of IGL. So, the rest of the sales are left in the distillery market though right now available but as our share increases will slightly be impacted because of our own consumption. But then there are other alternatives like we are supplying in the pharmaceutical segment as well as in the perfumery and deodorant sector. Plus

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we are looking at certain export markets in the Middle East and in the East Africa region. So, pricing right now is pretty good. It's moved up a bit. But over a longer-term period, we will have to look at what is the final tax structure and how the margins work out over the next few months.

Moderator: Thank you, sir. The next question comes from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Hello, thank you for the opportunity. My question is regarding our Potable Spirit business. What we have understood is we are the largest player in Potable Spirit in Uttar Pradesh and Uttarakhand, leadin

g the spot in that. But the second largest player and other new players that are coming, they are making the margins as high as we do. Even the second largest player isn't making that much margin. They are in somewhere near single EBITDA, last year they were in negative EBITDA and they are guiding for lower double-digit EBITDA next year and we seem to be making very high level of EBIT margins. So, can you explain us the difference in our margin profile like this? Maybe you can explain yours like why do we have such a high margin?

Rupark Sarswat: I think we have a decent margin, and we have, I am sure there may be players who are playing in more niche volumes or niche markets. So, we have a combination of a business which is a country liquor business as well as an IMFL business. Now that gives us some resilience in the sense that the country liquor business is more-steady both in terms of volume as well as in terms of margin as well as in terms of assured feedstock for example molasses. And we believe that some of the things that Raju Ji spoke about, I spoke about, the fact that we have in-house ENA helps us reduce our costs, help us reduce our supply chain costs. We have our plants which are integrated. I told you that we make a lot of ethanol, so therefore our scale is much higher, which means our utility costs are lower. Raju Ji mentioned about the fact that there is a tank, we don't need to take it in trucks to another place, we can just pipe it and use it. And then of course, there is also having said about cost, when you are in the consumer market, it is also about pricing. And the pricing is about positioning, pricing is about strategy, pricing is about delivering a perceived value by the consumer. So, there's a set of these factors. It is good to hear your observation that we are making healthy margins. We would actually like to improve them.

Rohan Patel: That's right. Seeing that coming to your 2024 numbers, like Potable Spirits was near to Rs. 950 crores, out of that, how much would be country liquor?

Rupark Sarswat: Yes, so the country liquor, ballpark, you're talking about last year?

Rohan Patel: Maybe last year and as well as this year, ballpark, if you can share the percentage in percentage terms, what would be the percentage?

Rupark Sarswat: In terms of top line?

Rohan Patel: Yes, top line.

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Rupark Sarswat: See, in terms of topline, roughly 60% of our business is country liquor. Roughly, maybe Anand Ji can you can get into more details with Anand Ji, but you wanted a ballpark. So, that's how it is.

Rohan Patel: Yes, we can finally assuming like 50%- 60% would be your country liquor out of all potable spirits. So, is country liquor with the same margin in profile as overall potable liquor, maybe IMFL might be having higher margins?

Rupark Sarswat: IMFL also has higher cost of marketing cost, packaging cost and so on. For us, it has been kind of similar. I don't have the exact numbers with me in terms of country liquor and potable spirits, but Yeh, they are kind of similar. There are times when some brands in IMFL make higher margins, but we also need to incur that we are a relatively newer business and we are also investing in improving our channels, etc.

Raju Vaziraney: See, the good point about country liquor, particularly in Uttarakhand is, if you go into details, and it is in public domain, we have a very good market share. Out of eight bottles sold country liquor in Uttarakhand, seven to eight bottles are of IGL. So, that shows our dominant position, if I may use that word. And it was all properly done. We are the only Company which has got Tetra Pak machine and which is a huge capacity, which competition does not have. And naturally we have our own ENA, we have our own Tetra Pak capacity. So, we are able to get most of the business of country liquor. And though it is not fair for me to exactly give you the figure, but the country liquor margin is higher than the IMFL margin in Uttarakhand, where we are leaders. As opposed to UP, where the margin, because UP is a very large state with lot of players, so naturally the margins are under pressure. But the good point about country liquor is, it is all quota based. Now what is quota? If you understand this, then you will get how sustainable our country liquor business is. See, as opposed to IMFL, in the country liquor there is a quota. In other words, the wholesaler has to buy a certain volume every month, month after month to give certain revenue to the exchequer resulting in a certain assured income for country liquor for us. And the consumer behaves in such a manner that, naturally certain regions have gone to certain brands. So, we are, since we are leaders, so we particularly in East and Central UP, we are in a very dominant position. So, to sum up, country liquor is very consistent, quota-based and assured income. The margins in UP are satisfactory, but the margin in Uttarakhand is very handsome. And it is in the foreseeable future, they're likely to remain as such. So, this will become a very big revenue stream for us. Yes, of course, IMFL gives a multiple, but as our CEO said, it requires time, it requires marketing inputs, but on a long-term basis, IMFL any day will give a huge, huge value, both top and bottom-line to the organization. So, we work very closely on these segments on a day-to-day basis. The MIS control systems are so brilliant here that every day we get exactly

what is happening into the market. This is not the forum to talk about, but the processes are brilliant here and IT controlled very nicely. So, everybody knows on SAP what is happening

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transparently and that is why perhaps the investors are quite happy with the work we do on country liquor.

Rohan Patel: Well, that was a satisfactory answer. If you allow me, I have a couple of more questions for you.

Rohan Patel: Yes. I just wanted to dwell into the distribution you were just talking about, the quota base. So, the quota that is out there, is it for like a segment of liquor, like for country liquor, for IMFL or is it like a brand base, like a wholesaler or retailer has to buy certain brands of country liquor?

Raju Vaziraney: Naturally it cannot be banned because it is depending on the consumer choice. But it is the retailer or the wholesaler has to buy a certain quota. Because actually it is related to revenue.

Because they have to buy, for example in Kanpur, the quota is say for 1,000 cases per day. So, they have to buy a 1,000 cases per day. If they don't buy, they have to put the cash into the exchequer. So, they might as well sell that 1,000 cases resulting in a business to us, consistent business to us. This is the beauty of country liquor. And we are leaders there.

Rohan Patel: So, considering that your dominant position, this quota based, this might give you a very close competitive advantage compared to somebody else who is coming into UP because you know the distribution way better, the retailers way better and can push your IMFL branch forward.

Rupark Sarswat: Yes, just one point in addition, maybe you already meant it, that by and large all states or at least UP and Uttarakhand, the country liquor that they supply in their state are sourced from country liquor which is manufactured within the state.

Rohan Patel: Okay. I am talking about the IMFL initiatives that you are bringing the more premium brands. The understanding of industry dynamics, the distribution being in this field might help you compared to somebody who's the other IMFL brands that are coming into the state.

Raju Vaziraney: Yes, by all means, yes.

Rohan Patel: Fair enough. If I have any more questions, I will get back into queue. Best of luck for future.

Moderator: Thank you. The next question comes from the

line of Vanshika Gupta from JRK Stockbroking.

Please go ahead.

Vanshika Gupta: I had two questions. One, so you mentioned that our CAPEX cycle is almost complete, only. our Gorakhpur plant is remaining. So, for 2026, like maybe the next two years, what do we look, how does the CAPEX cycle look for the Company? Maybe one year because then we have the demerger. So, let's just talk about the next one year. And then I wanted to touch upon the Glycols business that you spoke about in the introduction, that the revenues have declined. There is some declassification of business compared to last year, which is why it's not really comparable. So, if you could elaborate on that and just let us know what is happening in that segment, some details on it.

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Rupark Sarswat: Okay. So, let me give you a qualitative answer on CAPEX first, because I don't have specific numbers for the years ahead on CAPEX. And if Mr. Anand wants to add, I would request him to do so. So, look, there are several opportunities that we continue to chase in various businesses, particularly the potable spirits business and the chemicals business, because they are more significant compared to Ennatura Biopharma in terms of CAPEX intensity. So, as we grow the IMFL business or the country liquor business, from time to time, there are two capacities which are important. One is the ethanol capacity. We have added significant ethanol capacity already. So, as far as our captive consumption is concerned, we are more than covered. And supposing we have more need for captive consumption of ethanol into the potable spirits business, we can always, if required sell less to biofuels, divert more to potable spirits. So, that we have more or less covered, except that from time to time as this goes up, we may need to put up capacities to make ENA or Extra Neutral Alcohol which need a higher level of purification, which does not need too much CAPEX, but based on needs we have been increasing our ENA capacity and if there is need going forward, we will augment it. The other CAPEX in the liquor business is about putting up blending and packing lines, where also most industry takes a modular approach. It is not something where you put up one big plant, you can continue to add lines which are now, which are kind of largely it is about assembling them and putting them up. And many of these lines can be changed from doing one brand to another brand and so on, based on how the market is. So, we don't expect a huge amount of CAPEX, but we would be doing CAPEX, which will be required to support the growth in the business, which may be in terms of ENA, which may be in terms of putting up lines. As far as the chemicals business is concerned, we expect that we will probably have incremental but not huge CAPEXs going forward to expand our value-added

specialties portfolio. We don't have a number fixed for it. We are working on a large number of projects. As those projects fructify, we will add more capacities to add more capacity to add more CAPEX. So, that is based on business requirements.

The other question that you had was on chemicals rather than only glycols and I will comment on it a little bit and I will also comment on glycols. So, if you look at only our glycols business, I mentioned to you and I will give you a little bit of a break-up in terms of how we have looked at our overall business. So, our glycol ethers and glycol ethers acetate business in nine months sales have been more or less flat. But our gross margins are up by 42%. Our glycol business, our sales are actually up by about 26% and our gross margin is up by about 83%. Now these are not as granular numbers that we report on the stock exchange, but since you asked me a question from my internal management meetings, what we review, I am letting you know.

Our specialties business which is small has again seen excellent rev

enue growth about 300%

and a contribution or gross margin growth about 183%. Our Bio Polymers business has declined slightly. It's a smaller business in terms of topline, but the gross margins have been flat. Our Gases business has seen a revenue growth of 16% and a gross margin growth of close to 38%. And we also have, we also sell methylene oxide. That business has seen some decline in revenue, but has seen a contribution increase of about 72%. So, I mentioned earlier that for nine months,

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the chemicals business other than extra neutral alcohol, and I am separating extra neutral alcohol, because going forward extra neutral alcohol will become part of the alcohol business. And if I separate what is JV, which is based on an agreement and contract, has seen a topline growth of 13%, approximately year to date and a gross margin growth in excess of 50%. So, to put these things in context, it is not a business which has been falling apart or not doing so well.

I think it is, we have had challenges, but it is a business which has for the period so far has done quite well. And even the glycols business, I mentioned to you that our contribution is actually up close to 52%. In fact, we have added a large number of just specifically the glycol business, we have added a large number of new customers. So, we have had a very interesting story in glycols, where if you just go back five years ago, almost 95% of our business was with Coca-Cola. And that business we have completely lost because of RPET related mandates in the US. Now, interestingly, whilst our volume declined to as low as close to 30% and I don't know the exact numbers compared to when we were doing that business, we reclaimed 85% of our margin because of developing more niche, more people who pay a premium for greener products, etc. So, I think the business has been growing steadily. The business is strong. And I would like to assuage your concerns about the chemicals and the glycols business.

Moderator: Thank you. Ladies and gentlemen, our last question for the day comes from the line of Rammohan Jay Rao, who is an investor. Please go ahead.

Rammohan Jay Rao: Congrats once again to the board on a very good set of results and also congratulations on the bold move for the demerger because this is much desired especially in the context of potable liquor. So, just my one observation is that long term value basically comes from investing in our own brand, vis-a-vis say also getting revenues from say collaborations with Amrut or with the Bacardi. So, I just want to understand how big are our own liquor brands, IMFL brands compared to the Amrut and Bacardi?

Raju Vaziraney: See, there are three types of arrangements we have got. One is co-packing for Bacardi, which is like contract bottling. But since we have made investments into maturing the spirit and so many other CAPEX. So, the returns are there, but that is steady. But we have no control because Bacardi does all the selling, distribution, investment everything. Then the second one is the organic growth that we get from our brands. So, in our mind, it is very clear that up to premium brands it will be all organically done. In other words, Amazing vodka and our whiskey, Amazing whiskey. So, because the consumer does not drink premium brands without a Company legacy. That's why you find only top multinational companies are able to quarter most of the premiumization story in India. Indian companies do not have the legacy of quality or scotch. So, people struggle. The fertility rate in the premium segment of Rs. 1,000 plus is very high. So, in order to insulate ourselves from that risk, we have tied up with Amrut. Now, it is not a tie, it is not a partnership, it is a royalty on a very long-term basis, and we give a certain royalty. Everything else comes to our bottom-line and top-line in terms of we make the investment, we

do the marketing, we get the profits, everything we are doing because these are non-malt brands.

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Amrut being a parent Company doing malt whiskeys are able to concentrate only, they have

bandwidth to do only top end malt whiskeys while all other brands, premium IMFL brands we are doing. To put it in simple words, once we give the royalty which is defined in the agreement, the entire top and bottom-line comes to us. So, it is like for so many years, the brands belong to us.

Rupark Sarswat: Rajuji, can I just add?

Raju Vaziraney: Yes.

Rupark Sarswat: You mentioned this, that value is created only if we have our own brands. Well, I would like to believe that it is partly true. Remember, we didn't start like a Diageo in this space. So, we started because of our strength in ethanol, moved into ENA, moved into country liquor, then started to take baby steps in the IMFL space. So, the logical right strategy for us to do is to first of all establish ourselves as a quality manufacturer and what better than being a very good partner of big brands like Bacardi and Amrut. Now first of all this gives confidence to us. To be like an intel inside or to be like an important API supplier to a big pharma Company is no less value creating than only doing brand. It is differently value creating. It may not give you the entire profit margin on the entire value chain, but it gives you a significant amount of profit as Raju Ji explained. And also it gives you much more resilience in terms of your business. Supposing you are an important component of big brands, let us assume you are a very important component of what Diageo does, what Bacardi does, what Amrut does. It is a strong building block for you to also build your own brands. So, honestly, looking at where we started our journey and where we are going, to be an important partner to reputed firms who have strong steady building market share, in my opinion, I might like to make my case is a stronger case for sustainable value creation than a weaker case.

Rammohan Jay Rao: Okay, got it. Thank you very much. So, I basically see this as there are significant learnings from being associated with such quality brand. And hopefully those learnings will go into building stronger brands for our Spirits Division in the future.

Rupark Sarswat: Thank you. Yes, you summarized it well.

Moderator: Thank you, sir. Ladies and gentlemen, that brings us to the end of the question-and-answer session. I now hand the conference over to the management for closing comments.

Rupark Sarswat: No, nothing more from my side. Thank you for organizing it on behalf of IGL. And I think it was a good conference in many ways. There was no disruption, the voice was clear. And good we could clear the queue in terms of questions. Thank you very much for sparing your time and going through the details of the organization and asking us questions, giving us the opportunity to explain our position and clarifying questions or doubts that you had. Thank you very much. Have a good evening everybody. Thank you.

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Moderator: Thank you. On behalf of Nuvama Wealth Research that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: May 2025

IGL/SE/2025-26/11

26th May, 2025

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q4 & Full Year FY25 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2025-26/03, IGL/SE/2025-26/08, IGL/SE/2025-26/09 & IGL/SE/2025-26/10 dated 9th, 18th, 21st & 21st May, 2025 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q4 & Full Year FY25 held on Wednesday, 21st May, 2025 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q4 & Full Year FY25 Earnings Conference Call"

May 21, 2025

MANAGEMENT : M R. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
M R. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD SALES AND MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: M R. RANVIR SINGH – NUVAMA WEALTH RESEARCH

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Moderator: Ladies and gentlemen, good day and welcome to India Glycols Limited Q4 and FY '25 Earnings Conference Call hosted by Nuvama Wealth Management and Investment Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranvir Singh. Thank you, and over to you, sir.

Ranvir Singh: Yes, thank you. Good evening, everybody. Thank you for joining us on India Glycols Limited Q4 FY '25 and Full Year FY '25 result conference call. So I would like to thank the management for giving us this opportunity to host the call and congratulate them for a good set of numbers. We are joined on this call with India Glycols management represented by Mr. Rupark Sarawat, CEO; Mr. Anand Singhal, CFO; Mr. Rajesh Marwaha, Head Sales and Marketing - BSPC segment; Mr. S.K. Shukla, Head Liquor Business; and Mr. Ankur Jain, who is Head Legal and Company Secretary.

I would like to invite Mr. Rupark Sarawat to initiate the proceeding with his opening remarks, post which we will have a Q&A session. Thank you, and over to you, sir.

Rupark Sarawat: Yes. A very good afternoon to all of you and thank you for joining us on this Investor Call once again. So I will take this opportunity to give you an overview of the quarterly, as well as yearly performance. This is also the call after the financial year-end. So, it will be a good time to kind of do a high-level catch up on that as well. We will talk a little bit about aspects of the business, issues, opportunities, and broad actions that we are taking. And I'm sure you had a look at the results and then we can take your questions.

I will first talk about the performance for the quarter briefly, then touch upon the performance for the year. We'll talk about financials, and we will have some commentary on various segments as well. So, when we look at Q4 '25 compared to Q4 '24, we had a net revenue of INR 863 crores in Q4 FY '24 versus INR 926 crores in Q4 FY '25.

Overall, there has been strong growth in Bio-Fuels, which increased by 48% to INR 273 crores. Potable Spirits is up by 14.8% year-on-year to INR 284 crores. And the Chemicals business or Bio-Based Speciality Chemicals is at INR 254 crores.

From an EBITDA perspective, it has been a very good quarter with 35.1% increase at INR 148 crores from INR 109 crores. It has also been a very healthy EBITDA margin, as you can see at 17.1% against 11.7% in Q4 of last year. So this is a surge of 532 basis points. So, our margins have been good. For Potable Spirits, the EBIT margins have improved from 16.2% to 27.6%. And there has been a marginal increase in the BSPC EBIT margins as well, which has expanded by 368 basis points to 11.4% for the quarter. PAT for the quarter stood at INR 64 crores, which is up 51.7% with PAT margins of 7.4% against 4.5% last year, which is up by 287 basis points.

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And at a gross revenue level, we have grown from INR 2,039 crores to INR 2,189 crores, which is up 7%. And I had already mentioned net revenue and PAT margins as well. For the gross revenue level, we reported a decent growth of 7%, while the net revenue for the quarter reported a marginal decline. As I mentioned, Bio-Fuels saw very strong growth while BSPC and Ennature Biopharma segment reported softer quarter in terms of the top line.

And when we look at the full year performance, our net revenue increased by 14.4% for the full year '25 to INR 3,768 crores, particularly Potable Spirits is up 22.8% year-on-year to INR 1,163 crores, which includes our country liquor bu

siness, as well as our IMFL business. Our Bio-Fuels

business has really stood top line growth, which is up 103.7% to INR 1,044 crores.

And from a top line perspective, Ennature Biopharma also grew by approximately 7%. So while at an overall level, BSPC stood at INR 1,342 crores, but we have seen that some of our core focus segments within Chemicals have done well in terms of growth and particularly in terms of

our internal margins as well.

Our EBITDA for the year increased to INR 525 crores. EBITDA margin expanded by 100 basis points to 13.9% and EBITDA margin percentage has improved in Potable Spirits, Bio-Fuels, as well as Chemicals. Ennatura Biopharma has had price pressures, which has resulted in some pressure on margins as well. So if you see our EBIT and EBITDA margins both improved by 100 basis points to 10.8% and 12.9%, respectively.

For Potable Spirits, the EBIT margins improved by 471 basis points to 22.0%. For the Chemicals business, which is BSPC, EBIT margins improved by 91 basis points to 9.3%. And for the Bio-Fuels business, our EBIT margins have been 5.4%.

So, we've had a very good PAT performance for the year, which is at INR 231 crores, up 33.5%. And before I jump into the segment and other highlights, maybe I can talk about other highlights and then Anand Ji can take you through the financials.

In terms of the year, we've also reported a good year from the joint venture, where several things have been better. So net revenue has grown by 13%, EBITDA is up 70% compared to the previous year.

I'm sure we've had these discussions many times in our previous calls, where we talked about two prime drivers to improve profitability in the joint venture. One of them, of course, is the cost of the key raw material, which has increased for IGL, as well as the joint venture, which is ethylene oxide, which has been much better controlled than before. So that has been one factor. The other factor, of course, has been as the joint venture has been functioning for a couple of years, there has been increased involvement of Clariant International business. So there has been increased indigenous manufacture of product, as well as improvement of product mix. So these two factors primarily have led to a sharp recovery in the performance of the joint venture.

Another green shoot that we keep talking about is the new specialties business, which we have been focusing on to develop businesses, which are much more value-added, which are based on

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partnerships, which are, in some ways, derisking the business from commodity prices and also cost of ethanol and ethylene oxide.

So there, though, it is a smaller business still to start with, but I'm happy to report that we've done very good progress in terms of developing products. We've developed a portfolio of products, each one of them with the potential to grow in several areas. And we are working with good international partners, and that will help us drive the business forward in the years to come. As you already heard, we've had very strong growth in country liquor and IMFL. Of the two segments, country liquor is as of now largest for us. So, of course, we've tried to retain our market share, improve our product portfolio, improve our margins, decrease our cost in country liquor, which has led to a strong performance in country liquor. Another growth engine in the Potable Spirits segment for us, of course, is IMFL, where our focus has been moving up the ladder in terms of premiumization.

You know that we have had a partnership with Amrut, which has allowed us to introduce several brands, and we are seeing good traction. And we have also looked at expanding in new areas, which is paramilitary, now we are working on CSD, as well as selective premium geographies, and we'll hear more about this later.

And our Bio-Fuels business continues to do well. It has been

in line with what we spoke about

over the last 3 years in terms of how the business would grow, what the dynamics of the business are. And if you look at the track record over the last 3 years, it has by and large gone as to plan. Of course, like any other business, it has had its ups and downs and margins going up and margins going down, but we've always been positive. And the capacities that we've added to support this business are being well utilized.

We will talk a little bit about this subsequently when I talk about the business segment. But before that, let me hand over to my colleague, Mr. Anand Singhal to take you through a summary of the financials.

Anand Singhal: Good afternoon. I will take the yearly performance first. So the gross revenue for this year is INR 9,038 crores vis-a-vis INR 7,918 crores in the last year, which is up by 14%. The net sales in the current year are INR 3,767 crores vis-a-vis INR 3,291 crores, again up by 14%. The EBITDA in the current year is INR 521 crores, this is on a standalone basis, vis-a-vis INR 423 crores in the last year, up by 23%. And PAT is INR 180 crores vis-a-vis INR 151 crores in the last year, up by 19%. So overall growth and overall good performance in all the fields by the company.

In respect of the Q4 performance, the gross revenue is INR 2,188 crores. If I compare this with the corresponding quarter of last year, it is up by 7%. The EBITDA in the current quarter is INR

145 crores vis-a-vis INR 109 crores in the corresponding quarter last year, which is up by 32%. The net sales is INR 863 crores vis-a-vis INR 924 crores in the last year same quarter, which is down by 7%. The PAT is INR 50 crores vis-a-vis INR 38 crores in the corresponding quarter last year.

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More or less on a consolidated basis, the income or the share of the net profit from the joint venture in the current year is INR 46.4 crores vis-a-vis INR 16.66 crores, which is almost, I will say, what 3 times. So the JV has performed very good. And rest of the data is more or less same. So overall, the company has shown a very good result.

And in the Board of Directors meeting on 16th May 2025, the Board of Directors has recommended a dividend of INR 10 per share with the approval of the shareholders. So this is the brief and later on, we'll take the questions one by one.

Rupark Sarswat: Yes. So let me give you a quick update on various segments. So starting with Bio-based Specialties and Performance Chemicals. So net revenue for the year is down 17.6%, EBIT is lower by 8.7%. And our margin, however, in terms of percentage EBIT margin is up 91 basis points to 9.3%. Now, part of it is also to do with the lower top line in terms of some of the businesses that we did not do, traded businesses, etc. So, the revenue at INR 1,342 crores and EBITDA at INR 125 crores.

In the quarter, chemical sales were down, and it was a relatively softer month for glycols and glycol ethers and glycol ether acetates. However, I can say that certain businesses that we call our focus businesses, our core chemical businesses, which are, of course, part of like others, have done reasonably well. So if I look at a combined of glycol ethers, glycols, new specialties, gases, this for the 12 months has actually shown an increase of 6%.

And while we do not get into report those details, but at a gross margin level internally, we've seen a healthy growth of 30-plus percent in this segment. So overall numbers do tell us that Chemicals has been somewhat stagnant. But I think in terms of some of the interesting businesses, the segment has been doing quite well, and we expect that those trends will continue. The other segment which has been of interest, of course, is the Bio-Fuels segment, where we've seen a very, very good growth in terms of top line, which is up 103.7% at INR 1,044 crores and our EBITDA at INR 57 crores is act

ually up 83.7%. So, we saw that there's been excellent growth in Bio-Fuels. The capacities that we've added have served our purpose to drive growth in this area. And I think what has been good is that, if you look at from 2014 to 2024, the ethanol blending program has actually done quite well.

Let me give you a bit of an update on that. So if you look at the ethanol blending program in the country, I think it is good to get that perspective because it gives you, hopefully, some confidence in terms of how we have thought about the strategy for this business, how it has panned out and hopefully, how it will continue to be an area of interest and growth for IGL in the years to come. So in 2019-'20, Government of India had a target of 5% blending and it met 5% blending. And this continued in '23-'24, there was a target of 15% blending, and we met 14.6% blending target. In '25-'26, the target is 20% blending, and I think the expectation is that this 20% blending target will be met.

Now, it is also interesting to note that earlier, as per the policy and statement made by the government, this was a plan which was targeted for 2030. However, it was brought forward, and I think it is very commendable from a nation's point of view that a plan which was brought

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forward from 2030 to 2025 was met again in 2025. So that's very interesting. We also keep track of overall capacities in terms of ethanol that have been put up broadly. Of course, I don't have exact figures for all capacities.

So I may tell you that by and large, the demand and capacities have more or less been aligned. My indications are that there may be a very small surplus in capacity, which is a healthy thing so that the demand continues to be met because the demand is expected to grow. Even if the blending continues at 20%, you will imagine that the demand will continue to grow. And it also gives us a signal that at the same time, there is no huge surplus capacity, which may present a risk to the business in the years to come.

And as far as I understand, at one point in time, India used to produce its ethanol primarily from

molasses or almost entirely from molasses. Still the government came up with a grain program a few years ago, essentially based on damaged food grain, FCI rice and subsequently also moving into corn. Right now, compared to, say, approximately about 1,150 crore liters, 750 crores actually comes from grain, which is a much bigger contributor now.

And I think in line with this macro trend, we also invested, as you know, in grain-based capacity, and that has been a good decision from the business as you would kind of agree with me now. So there are various things happening on this front, including focus on possibly second-generation ethanol subsequently, which is Pradhan Mantri Jeevan Yojana. And the country is also looking at potentially blending much more ethanol going up from 25% to 30% maybe by 2030.

But I think there's a task force with NITI Aayog, which is looking at that. There are no specific announcements which have happened, but I think this is a direction which the country would be taking, potentially also moving into flex fuel passenger vehicles. And that will be an interesting growth opportunity for us in the years to come.

And then let me talk to you briefly about Ennature Biopharma first, and then we'll go to Potable Spirits so that Rajuji can then add on, and we can take that as a segment.

So Ennature Biopharma for us in terms of top line has grown by about 7% and there are two major products, of course, for us apart from others. One is Thiocolchicoside, broadly and nicotine.

So whilst we have been able to push volumes and grow these areas, I think in general, there has been significant pricing pressure, partly because there is softer demand in the international market and also because there is increased competition. B

ut then in any new business, these are

the cyclicity. We have our strategy. I think broadly our strategy is to focus on value-added businesses to look at branded products, look at collaborations to look at various certifications and so on. So that's as far as the Ennature Biopharma business is concerned.

As far as the Potable Spirits business is concerned, I have already given you the top line comments for country liquor, as well as Potable Spirits and broadly how we are doing, what we are focusing on. But in order to give you a little more flavour on what's happening in this space, let me request Raju Ji to comment.

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Raju Vaziraney: Okay. Thank you, Rupark Ji. I'm Raju Vaziraney speaking. See, there is increased focus on IMFL in particular, because country liquor has been our traditional business and has been our base, if I may say that. But it is important that in keeping with the aspirations of the consumers and the need gap as we say, in marketing, there is definite growth in the premiumization of the sector.

And liquor sector is galloping, if I may use that word, and very, very bullish. Because you see India is the biggest whiskey market in the world. The consumer is young. Every year, an Australia is being added into the consumer class. This all-demographic dividend, as you know, are applicable in our country. And the consumer is young and trendy and wants to try new products at higher price points.

So in keeping with this consumer insight, the Board and the management decided that we should get into premiumization. But there is a challenge in premiumization in whiskey in particular because the 2 giants, if I may use the word, Pernod and Diageo are fighting for market share, and it's like Pepsi and Coke. With the result, it is very difficult for any other Indian company to make its presence felt. So we thought what we will do is, we will get into inorganic growth. After our initial success of Amazing Vodka, Amazing Whiskey and also Zumba Limon, which is a challenger brand to the leader brand, we were thinking that why not complement our organic growth with inorganic growth, and we were able to sign up, as our CEO said, partnership with Amrut from 1st April 2024. And by the time the stocks came in and the stocks saw the light of the day, it was about July or August.

Just for the benefit of everyone, the understanding is, in order to harness the quality excellence of Amrut, we have ensured that the entire liquid comes from Amrut Bangalore, which is the headquarters, and we only add Extra Neutral Alcohol, which is our own and make a world-class quality brand like Amrut does all over the world. So we have the best of both the worlds. Our Extra Neutral Alcohol, which is known. Bacardi International, our partners, we co-pack for them more than 2,00,000 cases per month, uses all our ENA.

So our good quality ENA, as well as the malt used of Amrut makes it a very good combination. And the initial reports are very encouraging. As our CEO rightly said, we have got 2 brands. One is Amrut MaQintosh, which is a 35-year-old brand of Amrut Distilleries. Now, what we have done is, we are making it, we are selling it. We are putting our working capital, everything

we are doing. We are giving them a certain fixed royalty, which is the more we sell, the more volume we get, we are able to give only per case royalty in addition to the, of course, the liquid cost.

In other words, it's like our brand extension. So we will be investing in these brands from long-term point of view because our understanding is long-term. And now there is a third brand available in the market, that is IGL Amrut in addition to the 2 giants, so we have an inherent advantage because the stamp of Amrut, and they allowed us to use Amrut name on the brands. The second brand is, what we have done cleverly is, we have made another brand Amrut White

Label. So there are 2 price points which we are addressing because in the market, there are 2

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price points in Blenders Pride Reserve and Blenders Pride Regular or Rockford Reserve and Rockford Regular.

To give you a perspective, INR 1,000 is the higher one and the lower one is INR 850. What we have done by positioning our brands smartly, if I may use the word, is having a price premiumness and put our Amrut MaQintosh Black Label at INR 1,100 instead of INR 1,000 of competition. Price premiumness is what talks about the consumer wants to try all the time higher-priced products being very aspirational. So it is still early days, but we have made good inroads into in our mother states of UP, Uttarakhand and also Delhi. And now we are expanding into Haryana and other government-controlled markets.

The second big achievement is our paramilitary, if I may use the word. Paramilitary is BSF, CRPF and ITBP. Earlier, it used to be fragmented, and small tenders would come. But a couple of years back now, it is called CPC. They do 1 tender all over the country. So if your brand is approved, it is approved for 2 years and you get orders all over the country. See, this gives us a platform to sell our brand all over the country from our Kashipur unit.

And I take a lot of satisfaction in mentioning that we are among the top 3 companies selling to the paramilitary forces. The business is very stable. The duty is all paid by the paramilitary forces. We only have to pick up the cost of the COG, and it is very handsome price as far as pricing is concerned.

The third is the CSD, Canteen Stores Department as we call it. I again take satisfaction in mentioning that after a gap of over 2 years, CSD has introduced new brands. And we applied for 2 brands. Both the brands have been approved by the Preliminary Screening Committee, which consists of the Board members and the Chairman. And our Soulmate whiskey, which is our traditional brand, which is a millionaire case brand has been approved.

And also our Zumba Limon, which is high-priced opposite Bacardi International's Bacardi Limon also has been approved. This CSD business is very stable business. It is lifetime registration. Duties are all paid by the government, and we have to just pick up the cost of the product and we get all India reach. So once you get all India footprint, then in CSD and paramilitary, it gives very good foothold to us from a long-term point of view because there is a common saying that if an army officer endorses our brand, he or she understands good quality drinking.

So if paramilitary and military approves our brand and it goes all over the country, it has a definite rub-off effect into the civil trade. So we are going step-wise, but definitely, we are making our presence felt.

Just to conclude, our direction is very clear, whatever state we enter, we want to be among the top three, then only we go to the next state because the success story of one state will give us a snowballing effect in the other states and then the other state to a third state.

And as our CEO rightly said, there will be at least three more states we will be adding this year after the initial success in North. So we are on the right track. Brand building is a difficult and expensive proposition, but we are lucky, we got Amrut. So we don't have to sign a celebrity

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costing us a bomb or going through the motions and the fatality rate of our brands in IMFL brands in our country is so high.

So we are able to ensure that with Amrut name on the label and IGL making the brand, the success is almost guaranteed. So our track is right. Our resources are not the limiting factor. I'm very confident that in the years to come, particularly in the current year, we will be marching

forward and the multiple of IMFL is known to

all of you. It will definitely give us very good results. Thank you.

Rupark Sarswat: Thank you, Raju Ji. I must also request just for a couple of minutes at least Shukla Ji, are you here on the line?

S. K. Shukla: Yes, I'm here.

Rupark Sarswat: Shukla Ji, I think can you please give a quick update on country liquor, that's also an important part of the Potable Spirits business.

S. K. Shukla: Okay. Thank you. Thank you. Good afternoon. My name is S.K. Shukla. So country liquor business is very important for India Glycols and not for only the India Glycols, but also for the state government because more than 60% revenue, the state collects from the branded country liquor sale. So branded country liquor sale in which the IGL's contributions in the last 2 years become more recorded.

First, we have the very prestigious brand name is Bunt Bubbly. This brand in last 2 years is continuously getting the highest India selling country liquor brand, and we have been awarded twice from the India Book of Records. If we talk about the market share, so we have around business in basically UP, which is contributing around INR 55,000 crores to the state. The country liquor business is approximately in this year, 1 crore cases in a month, which is the 4 times more than the foreign liquor business.

And growing year-by-year around 11%. Last year, if you compared to FY '23-'24 vis-a-vis '24-'25, the total growth in the country liquor business in the state of UP is reported 11%. Out of 11%, India Glycols business growth is 17%. Whatever the industries increase as compared to '23-'24 via '24-'25, out of 9 lakh cases, our business share is 35%. So we secure 3 lakh cases growth year-by-year. So, you can say we are maintaining our leadership position since last 3 years in the country liquor segment.

So we have the world-class facilities, production facilities. That's why we at our exact capacity, we can produce 40 lakh pack per day in one roof. This is the capacity of India Glycols. We have the high-speed machines. So that's why we are able to dispatch and produce around 1 lakh cases in a day. So this is all about from the production side, this year, the target, we are expecting growth of the industry is around 10% to 12%.

And this year, probably we are targeting more than that. So as far as country liquor business is concerned, IGL leadership is maintained, and we hope that next year, same will be maintained. Thank you from my side.

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Rupark Sarswat: Thank you, Shukla Ji. A very good summary. I think it's very good to see that while the industry is growing at 11%, which is very good, IGL has grown at 17% and 35% of the growth which came in the industry actually came from IGL. We've also had a similarly very strong business in Uttarakhand, which is smaller, but we are the dominant player in Uttarakhand as well.

Interestingly, country liquor in terms of its quality has been improved both by efforts by the government in terms of making it higher quality, as well as by the players. So, it's a completely different business from what it used to be 15-20 years ago. And that is one of the reasons why there is increasing expansion in this space, not only in terms of the same state of people drinking, but also some of the people in some of the relatively higher income groups also shifting to some of these brands.

So, today, we had a slightly longish update, but I'm sure even then we would have found it useful because it helps you to get it in a much more comprehensive manner. I'm sure you have questions; we'll be happy to take them.

Moderator: The first question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats on good set of numbers for FY '25 and an elaborate summary of the businesses. Sir, first question is on the Ennature Biopharma. Given that the market is well supplied, as you said in your commentary,

is it that structurally the margin profile will now be changed and lower than what it used to be historically?

Rupark Sarswat: Yes. Rohit, I recognize where you're coming from. And I would like to imagine that there is a market which is in transition and there's an organization which is in transition. So our effort, of course, it is difficult to give a prediction, is that we will continue to move up the value chain. And we have complete effort in that direction that we have been doing in terms of doing several things.

For example, we received the Establishment Inspection Report with no observations from U.S. FDA for nutraceutical products at our Dehradun plant. And both our Maxicura, Xanthogreen

are now clean label verified products reinforcing our commitment to enhance product safety and quality in global markets.

So broadly two or three things. One is, we are looking at the broader range of products. We are looking at branded products. There is a time frame which takes to work with global partners to get your product approved. There is a high focus on demonstrating differentiation, both in terms of product performance, as well as quality standards and certifications.

We believe that these kind of challenges in businesses, pressure to commoditize as we entered the business are expected to come, especially when you grow. But we have a clear plan to look at moving in terms of higher-value spaces, there is enough space in the world for this in terms of nutraceutical supplement.

As you would imagine, apart from just the chemical APIs, the world is looking more and more at natural alternatives for health, not only as a nutritional supplement, but also as APIs to heal diseases. So that is the broader macro trend. That is not only a global macro trend, but that's also

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increasingly an India domestic macro trend. However, in this space, as in every case, more and more people will try and get into. And obviously, it will become a game of differentiation, collaboration and demonstrating quality and product efficacy.

So we have enough plans there. So I would not say that this is the norm for future, and that's the new normal. I think those are the dynamics of the business. We entered this business. We are moving up that business. The business is there to stay. The business has the fundamentals to help it grow, and that is how I would like to state that.

Manish, you are more involved in the business. I'll let you want to add to that.

Manish Pant: Yes. I fully agree with what you have said.

Rupark Sarswat: Yes, okay. Rohit, does that answer your question a little bit?

Rohit Nagraj: Yes. Got that. Got that. Sir, second question is on the JV front. So we have done extremely well during the year. But again, in the recent past, the crude prices have slipped back to \$60-odd, and probably now the EO dynamics is more favourable towards the crude-based EO. So how do we foresee this particular to pan out in the next foreseeable future?

We will still have some challenges in terms of the performance. Or is it that in terms of the product split, in terms of the efficiencies, at least part of that can be taken care of in the form of better utilization rates or efficiencies?

Rupark Sarswat: So, Rohit, let me answer this question. We had a positive and a thriving JV, which was absolutely newly formed when the difference between IGL's EO price or which is what goes to the JV and Reliance' EO price in the market was in excess of 40%, right? Even then our fledgling new JV was, if not galloping, thriving and surviving and growing. Now that difference has come down and has been hovering in the range of around 17% to 18% to 19% broadly. I don't remember the exact numbers as of today. So that is one factor.

We don't see it going back to the levels of 42%, at least I don't see it because I'm sure you were there, definitely, when we spok

e about our imported ethanol costs going up from something like

INR 35 a liter landed to in excess of INR 65 a liter in terms of spot. Subsequent to that, we have taken several actions. I have spoken about it before. We have taken actions to invest in grain-based capacities. And we've also looked at specializing, diversifying, etc.

Another thing that has happened over the last 3 or 4 years also is that, if crude goes down, it also has a downward pressure on ethanol prices. I'll tell you why. And you will probably understand that but let me restate that. One of the things that happened over the last 5-plus years or around that time is ethanol prices because of it being a fuel for blending in petrol has got coupled to crude.

So once crude starts to go down, there is, of course, from a viability perspective, the pull to blend ethanol comes down as well globally. And we've seen this in France and Brazil earlier. If crude goes up, people start to blend more ethanol and that tends to put ethanol prices up. So there are things on both sides. In a nutshell, this kind of green transition challenges are going to be there.

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I don't see it going back to the severe gap levels that we were seeing more than a couple of years ago, one.

Second thing, we've taken actions to at least mitigate these risks to some extent. Thirdly, there

has been a coupling of crude and ethanol. And one of the reasons ethanol prices goes up is when crude goes up. If crude comes down, there is a downward effect as well. And thirdly, the JV also is much more established. It's working on establishing products and putting them into the global markets.

I think that is being done better. It's greater focus on indigenization and improved product mix. So whilst you raise a valid point, I think there are factors on both sides, and I don't see that shifting that drastically to start to be a big concern for the JV. These pressures will remain, but there are other things which I spoke to you as well.

Moderator: The next question is from the line of Neil Bahal from Negen PMS.

Neil Bahal: Congratulations on a good set of numbers. I had a couple of questions to begin with the Spirits division of ours. I saw in Q4 that our EBIT was INR 78 crores. This also was coinciding with a substantial jump in margin. So, first question was, do you think this kind of a margin is sustainable going forward in the coming couple of years?

Rupark Sarswat: You mean for the Spirits business?

Neil Bahal: Yes. I think as per your presentation, the margin showed 27.6% on the EBIT side.

Rupark Sarswat: So look, in terms of the broader make-up of the business, and I will request my finance and Potable Spirits people to jump in to give an answer that structurally, we faced some challenges a couple of years ago, which was higher ethanol costs, getting price increases, etcetera. Now, that has been happening.

I don't see fundamentally anything happening in cost, which will drastically get overall margins down. Yes, there is from time to time some variations in local ethanol prices, etc. There is a lag in terms of getting price increases. That is the nature of the ethanol business because you can't just go to the market and increase the price. You need to get these approvals.

And from our side, while these kinds of pressures continue, we mentioned to you that we have been focusing on moving up the value chain in terms of premiumization. So whilst I'm not only commenting on 1 quarter, our finance guys can tell if there was something exceptional. I think broadly, in the couple of years to come, there is no red flag that I see immediately to say, oh, suddenly, Potable Spirits margins are going to come under pressure.

I'll pause. I think there are other people who may add some more granularity to this.

Raju Vaziraney: See, just to substantiate to what our CEO rightly said, 1 major reason for

our very good profit in

last year has been Uttarakhand. Uttarakhand is our home state, and we have leadership in, not only country liquor, but we are among the top 3 companies in Uttarakhand. It's a well-known

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fact that country liquor, almost 8 out of 10 bottles sold in country liquor or tetra packs sold in country liquor are from our company.

And since we are in Kashipur, which is a part of Uttarakhand, we are able to augment a lot of volume and put it in the market, and we are known for quality. So there has been a substantial jump in country liquor, which is very profitable, as we mentioned earlier.

And I'm sure to what Shukla Ji said, in UP, we are doing a wonderful job in terms of volume. Here, though the market is smaller, but in terms of bottom line, the business is very interesting. And of course, we have top line supremacy. So, there is no reason, as our CEO said, for us to not work closely on this growth.

And I'm sure in the next 2 years, we are able to harness the potential. I would request my colleague, Mr. Manish Pant, who oversees the Uttarakhand market in addition to his current responsibilities also to give his inputs on Uttarakhand success.

Manish Pant: So since we were the first mover in the tetra in Uttarakhand, as Raju Ji says, that we are commanding the market with 80% of the total volume in country liquor. Apart from that, as Rupark says, the premiumization of our IMFL segment and tie-up with the Amrut and with the more volume from the Bacardi has given a substantial boost to our bottom line.

Neil Bahal: Okay. Sir, so just to reconfirm, this INR 78 crores of EBIT that we reported in our Potable Spirits business, there is no one-off. This is largely due to operational efficiency or scaling up of that business. Am I right?

Manish Pant: That's right.

Raju Vaziraney: Correct.

Neil Bahal: Okay. So second question around this would be, do you think this is the kind of a run rate we should expect for FY '26? Or do you think there could be some more growth in FY '26?

Raju Vaziraney: See, it is not that by fluke, we got this success. It is by design. And as I mentioned in my earlier discussion a few minutes ago, we are going to address at least 3 more markets in this current year. So we will definitely get that additional advantage in terms of volume. And we don't enter any market where there is risk to lose money because the liquor is marred by bad payment.

So as a management decision, we will enter those markets which are corporation controlled. In other words, where the payment is secured and carry the success story to the other states. So one is volume. We will increase more states, and also the existing brands will definitely grow. And these are our home states, UP and Uttarakhand and Delhi, we have made our presence felt. I'm sure it is a very bright future in the current year.

Rupark Sarswat: Yes. Just to add, Neil, I think to be a little conservative you may think so. Even if you don't look at quarterly trends, at least we have reasons to believe that our annual trends should be maintained. And of course, we continue to try and improve on them and there are factors which come in the business, as you know. But since you asked the direct question, I think there is

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nothing extraordinary, which should concern us at an overall level. If not quarterly, at least you can look at an annual trend.

Neil Bahal: Okay. I mean, if that's the case, I must congratulate the team because this has been exceptional performance. I mean, this is far ahead of whatever we had in mind. So congratulations on this. One follow-up question would your team have computed for our Spirits business, what is our return on capital?

Anand Singhal: It is around 17% to 18%.

Neil Bahal: 17% to 18%. Okay. And last question, sorry, talking around the sche

me of demerger that we

have in mind, would you know how much of our debt will go where? In which business how much debt will get transferred?

Anand Singhal: Just to brief you as of now position, we are having about INR 1,200 crores long-term debt in the books of the company, out of which about INR 500 crores will go to the Chemical division and INR 700 crores will go to the liquor division. This has the direct debt also, which has been taken for the expansions of the particular unit. And this debt also has something like the other debt which has been taken by the company for the other purposes.

So as far as the repayment is concerned, so every year, we will be having, say, about INR 150 crores to INR 160 crores debt repayment in the Spirits division, that is the liquor division and about INR 90 crores in Chemical division. So, this is what about is going to the different companies.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Namaskar, team. Thank you for a very detailed conversation which answers most of the questions. Sir, the point for investors are definitely what Anand sir just alluded to the split of debt and that the question remains in our mind is how are we going to repay this debt going ahead?

And also, are we done with the capex cycle? I think so for the last 2 fiscal, closer to INR 1,300 crores capex has gone through. So my first question was directed towards this repayment or lowering of debt exercise. What's the thought process behind it?

Anand Singhal: Saket, to be frank, in this year, the company has earned a cash profit of, say, about INR 360 crores. And the same run rate suppose is continuing in the next years also, then the company will be able to pay the entire debt as per the repayment schedule. Number two, what you said about the capex, we have almost done with all the big sized capex because the grain distillery and everything has been completed and in place.

So, we are not looking at something like a big size capex in the near future, except some of the capex like maintenance capex and some of the capex, which is already going on and is not complete. But no big numbers you will see in the future, at least till the demerger of the company means next year.

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Saket Kapoor And secondly, sir, on the Bio-Fuels part of the story, which with the blending program, the targets being preponed and also being achievable, what are the price trends in the raw material and also the availability of the raw material and the margin profile for the Bio-Fuels segment? Because when we look at the margin profile, although Q-on-Q basis, the margins have moved up, in fact, doubled from what we did for December quarter to March quarter. But how should the availability and the pricing of the raw material, what's the outlook, especially for the Bio-Fuels segment, sir?

Rupark Sarswat: So, Saket, I will give a more generic response first. And one of the reasons I commented on the

Bio-Fuels business over a period of 3 to 4 or 5 years because I think that is how this business ought to be looked at. And I mentioned to you, see, this is a business which has been a priority of the government, driven by several factors.

The first of all, being reducing forex outflow, improving farm sector incomes, energy independence. So look, first of all, these 3 priorities are going to remain priorities of the government even more than before, if you can look at how the world is shaping up in terms of geopolitics and so on.

Second thing, the fact that the government is already thinking about possibly up to a 30% blending. Of course, there are many, many factors to it, which I'm not discussing right now is the fact that the government is in their assessment, quite positive about how the program has gone so far and positive about how the program will proceed into the future.

In t

erms of capacities also, I mentioned to you that we started with a target of 5% in '19-'20, we met 5%. '20-'21, 10%, met 8.1%; '21-'22, 10%, met 10%; '22-'23 target 12%, met 12%; '23-'24, 15%, met 14.6%; '24-'25 target 20%, met 18%, 20% for '25-'26 expected to be. So the track record of 5 or 6 years of this broad program has been in general a success. Now, you are right to say that this has several factors. For example, it has global crude price.

Now global crude price because it affects ethanol price, it affects government decisions and so on. It has grain price. And I'm sure those variables are always there to consider. But rather than speculate, I think the fact that how it has proceeded over the last few years successfully preowned, and the government is actually thinking about or contemplating a higher blending should give us some confidence.

Now, in general, we have seen that there is adequate food grain in the country. The government is also saying that while we started with rice, one of the major drivers as far as grain is concerned is going to be corn in future. Indian corn productivity right now is much lower than global standards.

Now there are various actions which may happen shape up in future, including better varieties, possibly even introduction of GM corn, etcetera, etcetera, or import of GM corn. But I would rather than dive into every specific detail, I would say it is not something where the pricing is determined by the supplier. And it is not purely a market-driven pricing because of national imperatives.

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So what the government has done very interestingly in this case is to balance out and to make sure it also remains viable for manufacturers. There are various sources of ethanol, C-heavy molasses, B-heavy molasses, damaged food grains, excess maize, corn, etcetera. So there is a pricing which is done separately for ethanol coming from all these sources. It's not that it is 1 ethanol, so it's the same price.

And the whole idea is to make sure that whilst it is going to be a rainbow of various sources coming together to meet that national imperative, the government is going to ensure trying to enable both the back end in terms of feedstock supplies, as well as the pricing in terms of front end to make sure it is viable for manufacturers.

Given that I have given you a long overall picture, but I did not find a short way of answering it to you is, there is no reason to believe that suddenly this business is going to become unprofitable. I think if larger objectives of the nation as stated is higher than this have to be met, then the necessary actions in terms of feedstock and pricing will continue to happen.

Saket Kapoor: Last point is on the ENA price trend. If you could just allude since we have strong profitability in our chemical and the alcohol business, how are the price trends for the ENA currently?

Rupark Sarswat: Yes. So let me give you one comment, and then I'll ask maybe Shukla Ji to comment and maybe Manish can add. See, ENA for us, as I said, we have multiple outlets for our ethanol. One is Chemicals. The other is Potable Spirits, which is top of priority for us because that gives us the biggest bang for the buck, then of course, there is Bio-Fuels.

So we look at an overall picture in terms of our capacity, in terms of cost-price viability and then we position for our ENA. And also, remember that where we have certain important tie-ups like Bacardi, where we prioritize ENA and we also get, therefore, both stability, as well as realization for other advantages that we deliver to our customers.

Now, price trend domestically in terms of ENA has been stable. Internationally, it has been under pressure because there's a lot of supply from other countries. But for domestic ENA prices and some more details of it, maybe I will request Shukla Ji to give some comments.

S. K. Shukla:

Because the domestic ENA prices vary from state to state because, state excise tax involvement is major. If you are transferring ENA from one state to another state, you have to pay export duty likewise import duty. So, in the state of UP, the prices is varying from INR 64 to INR 68 per liter and whereas in Uttarakhand, it is from INR 77 to INR 78 per liter. This is because of inter-state state excise duty.

But I would like to also comment on your last question about the price reliability of the ethanol, raw material liability of ethanol. See, Government of India, as rightly said by our CEO, and I am adding to his point that the main motive behind ethanol sustainability is the farmer and Government of India linking the farmer income with the ethanol income.

So in all the state major maize development program is going on. And this year, we are expecting more than 25% to 30% production increase in Indian corn. This is because of the state efforts.

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And all the industries need to purchase the maize on the MSP. And according to that, Government of India is fixed the ethanol price.

So nowhere this program is going to deactivate, rather than that, there is high possibility to go for the 30% blending level in a couple of years because central government is focusing on the maize feedstock and the future of the maize feedstock is bright, as said by the CEOs that Indian productivity is 3 ton per hectare as compared to the 10-ton hectare, 11 ton per hectare in U.S. But now because of innovative hybrid seeds, it's still in our area, we are doing the maize development program, and we are getting 10 tons. We have started getting 10 tons from the corn. So farmer is able to get 2 times , 3 times more margin than the traditional crop like rice or wheat. So looking to all the focus of the government, the state government, central government, the ethanol blending program future is very bright.

Saket Kapoor: Thank you to the Board for recommending 100% payout this year. All the best.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rupark Sarswat: Yes. Thank you very much for sparing your time, first of all, to come to this call, and it's really the first warm hot summer day in the month of May. And also staying here to listen to us, talking about the results, about the company, about our plans, asking us questions, which is also an opportunity for us to learn many times. So thank you for all of that.

With that, on behalf of everybody in IGL, thank you once again, and wish you all the best.

Raju Vaziraney: Thank you.

S. K. Shukla: Thank you.

Rupark Sarswat: Thank you, everyone.

Moderator: Thank you. On behalf Nuvama Wealth Management and Investment Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Aug 2025

IGL/SE/2025-26/37

15th August, 2025

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
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Dalal Street, Bandra (East),
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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q1FY26 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2025-26/29, IGL/SE/2025-26/34 and IGL/SE/2025-26/35 dated 31st July and 11th & 11th August, 2025 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q1FY26 held on Monday, 11th August 2025 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q1 FY26 Earnings Conference Call"

August 11, 2025

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD SALES & MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: M R. NITIN AWASTHI – INCRED EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q1 FY26 Earnings Conference Call, hosted by InCred Equities.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity to ask the questions once the management presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, Mr. Awasthi.

Nitin Awasthi: Thank you. Good evening, everyone. Firstly, I would like to thank the Management for giving us this opportunity to host the conference call today and also congratulate them on a good set of numbers.

We are joined on this call with the India Glycols' Management represented by Mr. Rupark Sarswat, who is the CEO; Mr. Anand Singhal – the CFO, Mr. Rajesh Marwaha – Head Sales and Marketing (BSPC), Mr. S.K. Shukla – Head Liquor Business, and Mr. Ankur Jain – Head (Legal) and Company Secretary.

I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for a Q&A session. Thank you, and over to you, sir.

Rupark Sarswat: Yes. Good afternoon, everybody. And thank you for joining us. So, we have uploaded two versions of the presentation. So, before you start getting confused about it, you can look at either. There were just two minor points which are in the latest version in terms of uploading the prior one got uploaded. So, even if you have printed the earlier one or if you looked at the earlier one, there is no major change, you need not bother. But obviously, you might see two presentations getting uploaded, I thought I will clarify so that there is no confusion.

And as you know, we will talk about briefly the performance of the company:

So, we have had a good quarter, as you know. So, we have had a strong performance for the quarter with a net revenue which is up 7%. More importantly, the EBITDA growth is very strong at 18% and PAT growth is at 21%. So, you have seen a gross revenue go up from Rs. 2,283 crores to Rs. 2,503 crores, 10% up; net revenue to Rs. India Glycols Limited
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1,040 crores from Rs. 969 crores, 7% up. EBITDA Rs. 151 crores from Rs. 128 crores, 18% up and PAT to Rs. 73 crores from Rs. 60 crores, 21% up.

From a margin perspective also, it has been good. So, our EBITDA margins are up 128 basis points. PAT margins are up 80 basis points. In terms of the revenue growth, I think we are very happy to report great growth in both the Potable Spirits and the Bio-Fuel segments. It has been a weaker kind of quarter for Chemicals and Ennatura Biopharma. But when you look at chemicals, while the overall margin growth is actually better than the weakness in the sales growth. And in terms of percentage margins or the mix, we have seen improvement both in potable spirits as well as BSPC. And as I will tell you a little later, the joint venture performance has also been very good, which has contributed to the overall results.

So, to summarize, in terms of net revenue, our Bio-Fuel's top line is up by 45% to Rs. 348 crores. Our Potable Spirits revenue is up by 22% to Rs. 342 crores. Ennatura Biopharma at Rs. 51 crores. And Chemicals or BSPC stands at Rs. 300 crores.

So, EBITDA margins have increased to 17.7%, to be precise, to Rs. 151 crores from Rs. 128 crores. And as I mentioned, that has expanded by 128 basis points. For Potable Spirits, our EBIT margins have improved from 17.5% to 21.1%. For Chemicals, our EBIT margins have expanded from 9.9% to 10.9%. Of course, there are several factors, but from an operating business, the EBITDA margin improvement in chemicals has been better. Our PAT stands at Rs

. 73 crores with margins at 7.0% against 6.2% last year. And we have had a very good increase in terms of the profit that we post from the joint venture, which is up 73.7% year-on-year to Rs. 19 crores from Rs. 11 crores. In terms of overall financials, I have more or less highlighted them, so I will not go through the entire sheet. Several other points with respect to financial parameters, I

will ask my colleague, our CFO – Mr. Singhal, to talk to you about later. At a high level, I think we have continued to see a solid performance in Country Liquor, which is a good part of our Potable Spirits business. And we continue to be both reputed and a robust business with Bunty Bubli being recognized as the highest selling any brand of liquor in the country. Despite being a strong shareholder in Uttarakhand and UP, we have increased our shares in Uttarakhand marginally, and we have kind of maintained our close leadership position, which we have had in UP.

We have talked about it before. Our Amrut partnership has been gaining momentum. I think we have settled down in terms of getting that partnership going, and we are starting to see good momentum in UP, Uttarakhand, Delhi, and we are increasing our India Glycols Limited

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focus on premium brands. And one of the important objectives for us this year is also to enter the CSD, which is the Canteen Services Department.

Within the Chemical space, I will talk a little bit about the businesses. But from a highlight perspective, we have a new value-added Performance Chemicals business, which is still small. But just to let you know that that is growing very well, and we are quite confident of the business pipeline that we have put in place. In fact, in select areas, we are doing incremental capacity expansions. And I think the indicators from our perspective are that this will continue to drive growth in the quarters and years to come.

For the joint venture also, there was very strong sales growth, excellent profit growth numbers. I think several factors have helped. One is that there has been a reduction in the EO price gap vis-a-vis Reliance, and we have seen much higher gap numbers earlier. And the JV obviously also has been focusing on what products they can bring from Clariant worldwide to position them in the Indian market, which is the imported products. That portfolio has increased and also helped to increase margins. In general, manufacturing in Kashipur also continues to focus on more innovation, more formulations, more value-added products. And I think that strategy is more or less in terms of the plan. And I think we have come back from tough situations over the last couple of years ago to the JV starting to look neat and tidy and doing well. And so, from a sales perspective, I think JV sales are also up in double digits. EBITDA is up in high double digits or well in excess of that.

And as you know, 12th August 2025, has been fixed as a record date for determining the entitlements of eligible equity shareholders for the purpose of subdivision split of equity shares of the company. And I think these are areas which we will talk about later.

Let me give you a high-level input on our segmental performance for our Performance Chemicals business:

Our top line has not done so well. It has been a weak quarter, and I will talk about it a little later. So, our turnover is down to about Rs. 300 crores, whereas for the Bio-Fuels business it is up from Rs. 239 crores to Rs. 348 crores, with EBIT margins at 6.5% in Q1FY26. The Chemicals business has EBIT margins of 10.9%. For the Potable Spirits business, top line up to Rs. 342 crores from Rs. 280 crores and EBIT margin is up from 17.5% to 21.1%. For Ennature Biopharma, margins have been under pressure, sales have been weak and so have been the margins for this business.

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So, we have some amount of

portfolio shift that has been happening. So, you see that compared to other segments, the Potable Spirits business and the Bio-Fuels business have taken a larger share, both in terms of revenue or EBIT this year, which is more or less in line with our expectations. But we do think we have a strategy in place which is working for the Chemicals business as well as the Ennature Biopharma business. So, let me start by talking about the Chemicals business:

So, we achieved a Rs. 300 crores top line with an EBIT of Rs. 33 crores, margin expanded by 100 basis points to 10.9%. I mentioned to you about Performance Chemicals and the strong growth by the joint venture, we sell ethylene oxide into the joint venture. Some of the areas in the Chemical segment have been under pressure. While we continue to sell glycols in niche markets, the gap with respect to crude-based MEG has increased, which means while there is still interest for green MEG, but if the gap continues to be high, there is increased pressure.

Crude prices have been lower, which means crude-based MEG prices have been lower. The demand for PET, PET resin, etc., has been softer. Having said that, I think at a more longer-term level, we continue to believe that MEG will continue to see steady growth. More importantly, greener MEG of which plant-based MEG is one part is expected to see double-digit growth over the period of time.

In the Potable Spirits business, our revenue is up to Rs. 342 crores, up 22.4%. EBIT at Rs. 72 crores is up 47.4%, and margins are up at 21.1%.

We have been focusing since last year on the partnership with Amrut because that gives us an opportunity to look at premium brands and acquire some brands which Amrut had not been focusing on as they focus more on their single malts, and it allows us to move up the value chain. Our focus so far has been UP, Uttarakhand and Delhi. And we have now included Amrut's Prestige Whiskey, which also in addition to others, we shall be adding to manufacturing, bottling and marketing that IGL shall be doing for these brands on a royalty basis. I spoke to you about strong performance in Country Liquor with our flagship brand, Bunty Bubli, continuing to be the highest selling any liquor brand in India for three consecutive years.

In a newer segment that we had entered last year, we have seen strong growth, which is the Paramilitary segment, where we have strengthened our sales position and where IGL now supplies five brands and is amongst top four suppliers out of the 66 companies that had participated. We have also introduced some of our in-house brands

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like Zumba Lemoni, Amazing Vodka in Kerala, which we consider a high potential market and also a market where we would like to increase sales for some of these relatively premium brands. We continue to hold leadership position, as I mentioned, in Country Liquor and IMFL, I mentioned that before.

We have spoken about the Bio-Fuel strategy before. I think it is something that we take some satisfaction in. Many of you have been attending our calls for the last three-plus years when we have been speaking about the Bio-Fuel segment. So, by and large, I think the government's strategy to blend Biofuels starting from 2017 onwards has been very robust. It has more or less gone as per plan. In fact, the initial plan of blending 20% was to be there by 2030, that was preponed to 2025. And as far as I know, we are well on track to deliver in '25.

Now when we say 20% blending, it does not mean that 20% is happening throughout the country. There are some portions, for example, in Northeast where blending is lower. But it means that in several big states up to 20% blending has been achieved. An empowered set of personnel from ministry, along with NITI Aayog, are looking at enhancing the blending to anywhere between 25% to 30% by 2030. There are signs that, to some extent, govern

ment is likely to move that forward.

But I think we will wait for the final call, and which essentially means that the Bio-Fuels business is expected to continue to grow. One, because of increased consumption; second, because of increased penetration across the country; and thirdly, if there is an increased blending mandate. And the more India looks at energy independence, I think that is one more added factor to continue to drive this forward, looking also at FOREX outputs.

The Ennatura Biopharma segment broadly has two big molecules, thiocolchicoside and nicotine and various derivatives of them. Two of them have been facing some challenges, primarily because of slowing demand in terms of the developed country markets. Thiocolchicoside particularly goes via Turkey to EU. Nicotine demand is there, but there's also capacity and there are a number of new entrants that is putting some margin pressure.

But broadly, the strategy of the company has been to continue to come with differentiated products on purity profiling, continue to get regulatory approvals to participate in developed markets like U.S., Europe, Japan. We made good progress in that area. Continue to look at our formulations and the branded portfolio. So, whilst this particular business has been under pressure, but I think the broad strategy has been

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very clear, we will continue to maintain the market but look at differentiation, registrations and regulatory qualifications, branded and formulated products to drive this business forward.

You have all heard about restructuring. I will just talk about the rationale. You are aware of it. And I think greater details, if you have any questions on it, my colleague Mr. Singhal will take it. Broadly, the idea has been to look at our businesses to enhance value. The idea is to put together Potable Spirits business and the ethanol or the Bio-Fuel business together into one business, which will be called IGL Spirits. To put the Chemicals business, value-added Chemicals business and the Clariant JV into one cluster. Clariant JV, I think because that sells chemicals and the profit from the joint ventures come into that entity. And to put Ennature Biopharma along with the biopolymers business into another business.

The idea is that different investors have different appetites for different kind of businesses. So, that gives us an opportunity to ride these businesses with different strategies satisfying how different investors may have interest in different businesses. Whilst we will continue to build on some synergies that we have because of the proximity of our plants and the integration of our business models that exist. There are some numbers to share, which have already been shared.

I will take a pause here and see that I may have missed out, particularly on the financial front because I have just given a very high-level overview. I will request Anand ji to give some more details and take your questions.

Anand Singhal: So, I think the results are already with all the investors. And just to read out the brief. So, on the consolidated basis, I think the CEO sir has already briefed.

EBITDA vis-à-vis Q1 in the current quarter is almost about 18% up, amounting to Rs. 151 crores vis-à-vis Rs. 128 crores in Q1 last year. The PAT is Rs. 73 crores vis-à-vis Rs. 60 crores in Q1 in the last year, which is up by 21%. And the EPS for the current quarter is Rs. 23.7, which is again up by 21% in the last year for Q1.

So, this is very brief I am giving and ready to take the question and answer. Because I am not taking much time, I will request to start the question-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital Markets Limited.

Please proceed.

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Bala

subramanian A.: Good evening, sir. Congratulations for the good set of numbers. Sir, my first question in the Potable Spirits side, I think we have seen highest selling brand of Bunty Bubli, I just want to understand how this dominance is sustainable. And secondly, we are focusing on especially in Delhi, Haryana and targeting Paramilitary in CSD channels and how these channels are picking up? And thirdly, in the Amrut side, we are targeting Rs. 850 to Rs. 1,100 in that range for our brands. And how these things are getting adaptable in the market? And finally, if you could share what is the breakup between IMFL and Country Liquor, approximately that would be.

Rupark Sarswat: So, Bala, thank you. You have given us a question paper. I have my colleague, Raju ji here, but I will try and answer just the first one, which is strong Bunty Bubli. And I will request Shukla ji. Shukla ji, are you there?

Shashi Kant Shukla: Yes, sir. I am here.

Rupark Sarswat: Shukla ji, so their question was, how have you managed to be number one in Bunty Bubli? And how do you think that will be sustained? So, I would request you to respond that. I was not sure if you are there. So, yes, please. And then I think you and Raju ji can take the remaining.

S.K. Shukla: Okay. Thank you. So, Bunty Bubli is the brand which came in the picture in 2006. And after 2006, because we are growing this brand approximately 15% to 20% every year. And the peculiar character of this brand is made from the rose and lime, which is more comfortable to the drinkers. So, that's why in the Country Liquor segment, the liquor is in three categories, 25-degree, 36 degree and 42.8 volume by volume strength. And in all strength, this brand is the most favorable brand because customers liking is growing day by day. And our size is currently approximately we are holding more than the 24% to 25% the share. And amongst the share, this brand is around 16%. So, this is undoubtedly the most favored brand in the Country Liquor segment, especially in UP. Raju ji, over to you.

Raju Vaziraney: Hello. The next question was on Delhi and Paramilitary and other segments, how are we growing? See, Delhi is a very safe market as far as payments are concerned, it's well known. And Delhi, I take satisfaction in mentioning that we are in three segments in particular. One is the regular segment where our Soulmate Blue is among the top three brands in the state of Delhi, and we command that position for the last so many years. We have a license in Delhi for the last 25 years. So, in other words, IGL is a

prominent player in Delhi market.
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Second is the segment of Vodka. Again, we are among the top three brands. There are more than 35 brands in Delhi of vodka, but we are among the top three brands of vodka in the state of Delhi. This is because of the fact that we use imported enhancers, which cost a little bit more, but the consumer shifts from other regular vodkas to our vodka. And once he or she shifts from the regular vodkas, he or she stays with us. We are increasing at an increasing rate in terms of market share. So, this is the Vodka segment. The third segment, in fact, you clubbed it well with the third question, if I may say, that Rs. 850 and Rs. 1,000 segment. See, these are the two segments which are galloping. Galloping in the sense, the consumer is all the time very aspirational and all the time moving upwards and trading up the price ladder. So, it is very difficult to establish a whiskey brand in this premium price point. This is with reference to Delhi. As you rightly said, these are the price points of Delhi market. So, this segment is growing in high double digits, and there was every reason for us to address this because of two reasons. One is our extra neutral alcohol, which goes to Diageo, Pernod, Radico, name the top big, big companies' world over, it is used by all of them. S

o, there was every reason for us to use it for our captive consumption. And as our CEO rightly said, we have, in conjunction with Amrut, taken certain brands on royalty basis.

So, we have made two brands, one is Maqintosh White Label, which is at Rs. 850 and one is Maqintosh Black Label which is at Rs. 1,100. These two segments are growing, and we are able to capitalize on the growth, and we are able to get more than 10% market share. We have not even completed one year of its launch. And it is quite satisfying that we have more than 10% market share.

Now as far as your third question or partially third question was Paramilitary. As our CEO rightly mentioned, this is an annual contract just to elucidate for the benefit of everyone, Paramilitary means ITBP, BSF, CRPF and SSB. So, these are the four arms of the defense forces which are paramilitary, they defend the internal that is India operation. Army defends the borders. That is the difference. So, they are under Ministry of Home Affairs. And they do an annual contract, which is generally extended for one more year. So, effectively, it is two-year contract.

It is noteworthy that out of 66 companies who tendered, less than half of them got approval, including IGL. And we are the number four company already in India. And just to mention that this is all-India supplies so it has a snowballing effect on the civil sales as well. So, this keeps us in good stead as far as our long-term pursuit of going

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national is concerned because we are able to feed as many as, as our CEO rightly mentioned, five brands across our price spectrum that we have got into the entire country. I can talk more about it, but I will be very glad to field any other question. Balasubramanian A.: Thank you for a detailed explanation, sir. In that Bio-Fuel segment, what is the capacity utilization at this point of time? And we have seen the revenue growth is much, much better, but we have seen some margin contractions. Are we facing on that raw material side, any issues, how are we dependent on domestic line supply? And is there any risk on the gross margin side if corn adoption faces any regular hurdles?

Rupark Sarswat: So, Bala, let me try and take that. And then if there is something else, then Shukla ji may add. So, your question was with respect to the Bio-Fuel segment and whether there is a margin squeeze there or whether there is raw material issue. The short answer is, there is no raw material issue. There were some hiccups last year, more to do with internal arrangements. There are multiple sources which the government has allowed, which includes sugarcane juice, C-heavy molasses, B-heavy molasses, rice, which is DFG, damaged food grain rice, surplus food grain as well as corn. And it is not a completely free market kind of system because the government has come up with very well thought through administrative price mechanism. They recognize what the various feedstocks costs are. And accordingly, if you see, different prices are given for ethanol, which is produced for using different feedstocks to make sure that there is balanced growth, there are many factors to be balanced. There is agricultural factors, there are climatic factors, there is factors to do with MSP, factors to do with excess foodgrain storage, etc.

And in terms of gross margins, as you know, there are three factors which lead to the money that we made in the Bio-Fuel space. One is the administrative price. Second is the cost of the grain, which is used, which is, for our case, either damaged food grain, DFG or surplus food grain. And the fourth factor is, at what price are we able to sell DDGS, which is the byproduct. So, like we continue to look at the overall profitability that we get, the government also continues to look at that. It is a flagship program for the government, so it's very important that people who have i

nvested continue to support this program.

So, what we have seen ever since we have participated in the market, there have been times when margins go up, margins come down a little bit. But the regulatory bodies play a significant role in making sure with respect to availability of feedstock, with respect to adjustment of prices which they have done from time to time. But by and large, a steady decent margin, not necessarily steady in the shorter term. And I have no

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reasons to believe that that will go away. Now, we also keep track of overall capacities that the country has. So, the country has put up capacity but we do not have much excess capacity compared to the total demand. The market will continue to grow and people will continue to add steady capacity, but there is no huge excess capacity which will impact.

So, to answer your question, we are not in a situation where suddenly you will see a glut because of either raw materials are not available or suddenly because of market factors prices collapse. Prices are determined by the government. The government takes several supporting actions to make sure feedstocks are available. So, whilst there is some level of uncertainty on all businesses, and to some extent you may say that at times we may think that we could make more money, but this is a more steady, reasonably supported business backed by our national ethanol blending program. And at least I do not have undue concerns, and I have definitely spoken to you about this for the last three and a half years.

And at times, I was a little conservative, which also some people did not like. But at the same time, I was reasonably confident that this is not just a splash in the band. This is a well thought through agenda which the government has executed quite well, and I think industry players have come up to support that and deliver it throughout the country quite well. And if you look at how the blending has gone up in the country from something like 5% in '19-'20, to 10% in 2021, to 10% in '21-'22, there was a hiccup, to 12% in '22-'23, to 15% in '23-'24, to 19% in '24-'25, and we are expecting to do 20% in '25-'26, which, mind you, is ahead of the original plan of delivering this by 2030. So, I would not be overly concerned, and I would request you not to be overly concerned.

Balasubramanian A.: Got it.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please proceed.

Saket Kapoor: Namaskar, sir. Thank you for this opportunity. Sir firstly, with now Q1 through and we have the remaining three quarters. So, as an organization, what are our key operational and financial agendas or the thought process of the management for this current year? Because I think so finance cost is the area that needs attention and what steps are we taking to reduce the impact of the same? My first question. Secondly, on the CapEx part, last year we did around Rs. 750 crores, Rs. 700 crores-odd number,

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what has been envisaged for the current year? And what are the current maturities which are payable for the current financial year?

Rupark Sarswat: So, Saket, after we answer your question, hopefully, you will buy some more IGL shares. No, that was on a lighter note ahead. Yes, go ahead Anand Ji.

Anand Singhal: So, regarding the finance cost, Saket, as such, as of now we are not planning to raise equity or something. That is always in the pipeline, always from last seven, eight years. But since inception 1989, the company has not done any public issuance. So, yes, that finance cost is in our mind that, that is increasing, and we will certainly check that. But number two, regarding the CapEx, we are not planning to do any huge CapEx in the current year. So, hopefully, the current year CapEx will be the rollover CapEx, which are coming

from last year or maybe maintenance CapEx, which will be about Rs. 40 crores to Rs. 50 crores per year. So, we are not targeting any big size CapEx in this year, and we will like to consolidate. And after the demerger, the separate companies will think over the CapEx.

And regarding the financial performance, what you said, so I think the Q1 number is already indicating about the financials of the company when the company has already achieved Rs. 23.66 EPS. So, rest, you can think of on your own. I cannot give you the numbers and the projections because that is not allowed. But you yourself can rather guess what will be the financial numbers of the company.

Saket Kapoor: Sir, my question was really towards the trajectory part since a lot of CapEx has gone through. So, as you mentioned that our key agenda should be how to sweat those assets and create value out of it. So, that was the premise of the question. And for the current year, sir, what are the current maturities? How much is payable? And are we going to pay through the internal accruals?

Anand Singhal: Whatever CapEx is going on, that has already been funded. So, we are not targeting any fresh loan. And whatever the maintenance CapEx will be there, that will be from the internal accruals.

Saket Kapoor: Okay. Current maturity, sir, how much of the loan is due for repayment for this year?

Anand Singhal: Current year, the repayment will be about Rs. 300 crores.

Saket Kapoor: Okay. And this will be through the cash accruals only. We will be lowering the debt by that tune for this year?

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Anand Singhal: Hardly any debt will be there, maybe Rs. 100 crores, Rs. 150 crores. But yes, Rs. 325 crores is the figure, which is payable, which will be paid out of the cash accruals.

Saket Kapoor: Right, sir. And sir, now coming to the JV performance, I think so the JV performance has been very good if you take the Q-on-Q number. And last year the contribution was closer to Rs. 47 crores, and this first quarter itself it is now Rs. 19 crores. So, what factors, actually Rupark sir did mention, but if you could describe more on to the same and the continuity of the same, what should be factored in?

Rupark Sarswat: Okay. So, Saket, I mentioned a couple of points. One is that we had faced a challenge where the cost differential between Reliance's and IGL EO had gone up to as high as 42% in around mid of '23, July, August. Now, that really came down to close to 12% to 14% in the quarter. And that was the highest that we have seen, which was 42%. In fact, if you go back prior to mid of '22, or before that, for 5, 10, 15 years, never had been seen something like this, which was pre-COVID times. In fact, if at all, IGL EO cost was slightly lower than Reliance's EO sales rise.

So, the good thing is that we have tided over the biggest obstacle of as high as a 42% differential, and we are down to operating in the 12% to 15% range. We have no reasons to believe that it's going up to fundamentally to those high levels. That is one. So, that has contributed in improving margins, getting more sales, and I think we have been able to not only sustain but drive our sales growth.

The second thing, as I mentioned, it also improved trading. So, when we formed the joint venture, Clariant had a trading business in India. When I say trading business in India, they do not buy products from everybody and sell it. I mean, products that are manufactured in Clariant and sold in India through the Indian entity, and that business was put into the joint venture that the joint venture will do that part, which means that we have access to several technologies, manufactured products throughout the Clariant world, which are sold into India, which also improved both the percentage margin as the absolute margin. This was the second factor.

The third factor has been the enhancement of the product mix within what is

manufactured in Kashipur, some actions taken from here, some are also taken because there is greater access to Clariant's application know-how, the product chemistry on the table, bouquet, so to say. So, these are factors. Given that these are factors and given the end markets that the joint venture services, which you know, right, from personal care, pharma, crop care, textiles, lubricants, coatings, etc., which are also

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growing, there are reasons for us to believe that there were fundamental reasons for the JV to start doing well. The challenges which squeezed profits a couple of years ago.

And as I said, whilst nobody can give you an exact number on how business is going to perform, but going by the fundamentals of what the markets are doing, what the JV

is doing in terms of drive the business growth, we believe that, again, this is not a one-off, I think the JV will steadily, in my opinion, you should expect JV to continue to steadily deliver good performance.

Moderator: Thank you, sir. The next question is from the line of Rohit from B&K Securities. Please proceed.

Rohit Nagraj: Thanks for the opportunity. Congrats on good set of numbers. Sir, first question is on the Specialty Chemicals front. So, how have we seen growth in terms of volumes? And how has been the trend in terms of pricing over the last one year? And what are you expecting? Are we seeing signs in terms of pricing recovery? Just your thoughts on this. Thank you.

Rupark Sarswat: Are you talking about the joint venture? Or are you talking about our own business?

Rohit Nagraj: Both our own business as well as on the JV part.

Rupark Sarswat: So, some of the factors are common. So, if you look at the joint venture, there was broadly 15%, 16% top line growth. And you already know the IGL share which grew by 73%, which means that PAT growth was similar, which is high. And EBITDA growth was around 40%. And the factors that I told you led to increased sales, which is why you see the top-line growth. But the EBITDA growth is much higher than top line growth because of a better cost position, raw material wise and transaction wise, and also improvement of the mix. And when all of these go up, generally PAT is more sensitive, so that goes up as well.

Our story in value-added Chemicals has some factors. But obviously, we are starting with molecules which are different, which we are entering the market and our strategy is also somewhat slightly different.

One of the things that we are doing in our Performance Chemicals business is, whilst we continue to build on our green credentials, we are not as dependent only on EO ethanol in the bouquet of products that we have. It's not that we are discouraging ourselves from doing EO-based products, a lot of EO-based products from the segment

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is done also by the joint venture, and we have other ideas. For example, one of the areas that we have been looking at and doing well is oil fields chemicals, and we are looking at areas like crop protection, bio-based amines, carbon smart products, etc. Our business will be led more by building partnerships where it is not that I have a product and suddenly go and sell into the market. It is generally about product development that takes us two to four years to work with the customer on developing the product process, understanding the applications and delivering the value that they seek. Broadly speaking, we are looking at significant, kind of ballpark I am saying, so keep that in mind, in excess of 150% volume value contribution growth in that small segment.

Now, we think that is what our target is, maybe higher. I think the potential is more as well. And I have reasons to believe that we should continue to deliver that kind of growth at least in the foreseeable future or the years to come. Our broad strategy has

been to become good partners with good players. The kind of companies that we are working with are generally very reputed global partners, which see value in IGL. We do not see ourselves as either low-cost players or just commodity players or me-too players. Our objective, obviously, is to be preferred, if possible, indispensable partners to some of these players.

And I think that strategy is well in place. It is a business which takes some time to build. I am very confident that sometimes you have ups and downs here and there. But broadly, that business will continue to grow. And we should be able to maintain our reasonable contribution levels as well. Sometimes you enter with an entry strategy into the market and then you improve your contribution by doing several things, by doing front-end differentiation, by improving your processes, etc. Those are things that we are working on. We have certain ideas about the business, which could be quite strategic and also, god willing, give step increases rather than merely incremental, but it is very early for me to start elaborating on them. So, looking at different feedstocks, different value propositions, etc. So, that is it from me, Rohit, on this.

Rohit Nagraj: Sure. Thanks a lot. Sir, second question on the Liquor business. So, a few parts to it. One, in terms of the mix, how currently the mix is from the Country Liquor? Then maybe if you can give in terms of IMFL, where we are doing our own brands of whiskey, vodka and the one which we are doing bottling for third party and recently acquired brands from Amrut. And how this particular mix was, let's say, five years back just to give an understanding of how we are progressing? The second one, again,

allied question to that, in terms of individual brands and categories, which and all are
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the geographies where we are currently present and where we are likely to expand in near future. So, these two points, a little more discussion on this will be really helpful.

Rupark Sarswat: So, Rohit, I will just give you a flavor of the mix, and then I will pass on to Raju ji and Shukla ji to give you some more details. So, the Potable Spirits or the Liquor business has three parts. The smallest of them is extra neutral alcohol which is basically ethanol which is sold as such to beverage manufacturers in bulk, which last year, I am not going to project numbers for this year, which last year was of the order of Rs. 70 crores. We expect to see very good growth in this area because now we have capacity. And this fetches us better profits than just selling into Biofuels. So, that last year was close to Rs. 70 crores.

As far as Country Liquor is concerned, which has been a good workhorse for us, both profitable, steady. Last year was close to Rs. 870 crores. Good share, strong presence in Uttar Pradesh and Uttarakhand, and we will continue to maintain that strong position. This is net of excise. And for IMFL, we clocked about Rs. 185 crores last year. And we expect in percentage terms that will probably see much better growth because of focus. First of all, there is a much bigger playground there for us to play. Secondly, we are bringing in inorganic in some ways, growth strategies like Amrut, etc., which will help us drive premiumization, value, profitability. So, that gives you an idea of the mix and the relative growth that we will see, we think we would register in near future. And now I will hand over to Raju ji to talk to you about the question on IMFL brand, and Shukla ji, if you have anything on Country Liquor or anything else that he wants to add.

S.K. Shukla: Okay. So, Country Liquor in UP and Uttarakhand both states, we have the leading position because the quality of the product certainly plays a very vital role in this segment, and IGL, because of their extra neutral good quality ENA and the traditional blending methods thro

ugh which we make Buntj Buntj. So, because of this, our growth every year on year, is approximately 7% to 12% growth we are getting. And this is because we have the in-built capacity.

So, in UP and in Uttarakhand, mostly all the aseptic packs is compulsory by the state excise. And we were the leader since beginning in the production capacity of the aseptic packs. So, because of this company as a whole, we are in the position to place our product, quality product, almost more than 95% share in the nine districts of the UP, which no other having such kinds of monopoly situation, which we have.

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So, because customer is liking too much our product and they are loyal. They can go away from the shops if the product is not available. Such kinds of loyalty has never been seen in any shops for this product. So, this is the traditional advantage and traditional benefit of this product. And after Gorakhpur plant started in 2006 and after '17 - '18 when the progressive governments came in, in UP, all the growth happened in the last seven to eight years, as well as in Uttarakhand also. Raju ji, if you can add more.

Raju Vaziraney: Yes. Thank you, Shukla ji. See, as three questions you asked. One is the partnership that we have with Bacardi. For the benefit of everyone, it is not a third-party bottling or as we call it contract bottling. This is much brighter ambit because we make all the brands of Bacardi at our Kashipur plant. One segment is the RTD segment – Breezer. It's a carbonated drink so it requires high degree of capital, maintaining temperature, and it's a totally different ball game. Except Nanjangud, where Bacardi has its own plant and one more small place, we supply most of North and East India only from our Kashipur plant for Bacardi products.

Number two, we have in-house high bouquet spirit maturation, CapEx has been spent. So, the world-class standards of as many as more than 10 brands of Bacardi right from Breezer up to their flagship brand, Carta Blanca and Bacardi Limon, are all manufactured there under very, very high-quality standards. So, the entire maturation and special distillation columns, the supply chain, the logistics, the environmental regulatory clearances, everything Kashipur or IGL is responsible for.

The principal company, Bacardi, who are our close partners for the last 15 years, are so satisfied that they have left everything to us except a couple of people who then, of

course, they do marketing because it is their brand. So, it's a huge, huge effort that we go into partnership with Bacardi. Just to give you a perspective, we do as many as 200,000 cases per month for Bacardi International, which is a very, very high degree of volume, considering the fact that they do all premium products. This is as far as Bacardi partnership is concerned, which for the benefit of everyone, I elucidated. As far as our own organic products are concerned. The traditional brand is Soulmate Blue whiskey, which is a millionaire case brand, we did last year. And I briefly mentioned about vodka, Amazing Vodka, which is making its presence felt wherever we go, wherever we have launched and also the partnership with Amrut. Strategically, what we have done is Amrut brands are known for quality and high standards of packaging and recipe. We have kept it at the top end.

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So, we complement each other as far as Country Liquor, then regular brands, then vodka for IGL products. Then we come to premium and semi-premium brands for Amrut, which are from a long-term point of view, our own brands, acquired brands with the understanding that the first refusal is with us. These are all factuals, publicly known facts. So, we have a complete price spectrum of brands, and we have positioned the brand in such a manner that from a long-term point of view, we will be able to

live up on them.

Your third question was geographical coverage. See, it is very easy to open new states, but we do a very detailed study and our CFO, CEO and particularly our CMD are very particular that we do not open a state until we are sure about the size of the price or as a huge opportunity exists and we make money. So, we have identified Kerala as the first state outside North, where we have succeeded in getting the tender brands approval. And this month, we will be addressing that state. And then a couple of other states for obvious reasons, since we have not started, I cannot mention, but we have definite plans in this current fiscal to address at least two or three more states along with CSD.

Rohit Nagraj: Yes. Thank you. Thanks a lot for answering all questions. Best of luck for the future.

Moderator: Thank you. The next question is from the line of Jaswinder Singh, an individual investor. Please proceed.

Jaswinder Singh: Good evening, Mr. Sarswat and Mr. Singhal. My question is related to the Liquor segment, and I would like to bring out some figures, which I see in the balance sheet.

The sales, if you compare between the March and June quarter, the sales are up by 20.42%, but our net profit is down 7.75%. I was just listening to Mr. Shukla and Mr. Raju Vaziraney saying that we have got leadership position in our Liquor segment in UP and Uttarakhand. And we have been doing so much of cost-cutting measures, tetra packaging, premiumization of our liquor. But why is that the sales have grown, but there's a degrowth in our profit?

I have been an investor of your company for the last 10 years and what I am yet to see is that you have been doing so much of CapEx, we are changing our company, our sales have grown, but we are yet to see any kind of financial or operating leverage come into play. It's a very basic mathematics that when our sales are growing and our CapEx is all done, the profit should be incremental. But this degrowth in our profit from March quarter has really disappointed us. Just can you just throw some light and explain to me why we have missed on our bottom line in this quarter?

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Anand Singhal: See, in Q1 of last year, the EBIT margin was 17.54%. While in the Q1 of the current year, it is 21.12%. Of course, that has increased by about 3.5% or so. Of course, the sales have also increased from Rs. 1,593 crores to Rs. 1,805 crores. If you compare it with the last quarter, means Q4 of last year, when the sales were Rs. 1,609 crores, while in the current quarter it is Rs. 1,805 crores, while the EBIT margin has certainly reduced from 27% to 21%. In some cases, there are so many brands which my marketing division is selling in the market. And every product does not have the same kind of EBIT margin. So, I have to check internally, but there may be some of the sales which is having a slightly lesser margin as compared to the other products. So, it may be because of that. If Raju ji wants to add something on this, he can add.

Raju Vaziraney: See, there are two factors, as I know, as I understand. If my understanding of the question is right, between last fiscal, last quarter and this quarter, see, there were two

changes that have happened in our heartland of UP and Uttarakhand, both the states underwent new policies which start from April. So, April and May, I mean, end of last year, that is from 31st March there was a lot of lifting and a lot of dumping of stocks naturally by the trade because they were not sure about the new policy.

And once the new policy has come in UP and Uttarakhand, which are our key states, naturally, the growth was sluggish, not only with us, but it is also as an industry phenomenon. I am sure in the current quarter, July, August, and September, it will not only stabilize, but it will also grow. And definitely, in Q4 quarters, as we call it, October, November, December, it will

I gallop. As our CFO beautifully said, there can be ups and downs in a quarter in an industry, including us. But overall, last year's performance versus this year, we have definitely grown as a percentage in volume as well as value. So, there is no cause of concern. It's an industry phenomenon. Jaswinder Singh: Secondly, Mr. Sarswat, my next question is for the Ennature Biopharma. And I remember in 2021 we were doing a net margin of around 33% in our business and our sales were around maybe Rs. 38 crores, Rs. 40 crores per quarter. And now when I see the results of Ennature Biopharma, the net has come down to 2.38%. As a businessman, this would suggest that this is a trading margin, not a manufacturing margin. Any manufacturer who is in a segment of pharmaceuticals or nutraceuticals would not operate at these levels. So, what is the business strategy in this Ennature Biopharma when we are demerging, my concern is about the business strategy. We are planning to unlock shareholder value by demerging our business units when there is extreme degrowth in that business. So, how are we going to address that?

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Rupark Sarswat: So, Mr. Singh, there is a margin squeeze, not as much as a degrowth in the business because when you look at growth, sometimes you do not only look at one-year number.

But if you look at four years, you will see significant top line growth in the business, okay? So, that's one thing. You have made a very valid point. I cannot deny the fact that there is a margin squeeze, which is what you pointed out. Now I will give you a more generic answer, so to say, and then we can engage separately with more details. And I have my colleague, who looks at finances and numbers for Ennature Biopharma, would also respond. Whilst this is an API business, thiocolchicoside is also an API, so is nicotine where we sell, it is also an API. It has its own pressures as well.

There are a couple of pressures. I am not going to elaborate on the exact impact of all. One pressure is to do with if there is increased cultivation of the feedstock and there are more new entrants, that puts pressure on margins. So, that is one thing. We have been selling thiocolchicoside to markets like Turkey, which is a gateway to Europe. We also saw some kind of a demand squeeze there. And when there are a lot of new entrants and there are alternatives to these natural muscle relaxants, which come from countries like China, which have also flooded the market. So, to some extent, some of the more, so to say, workhorse products have faced this. That's a value point. Now the strategy, of course, is very simple.

I mentioned before, is to do several things, is to, first of all, get into differentiation through impurity profiling, building dossiers, etc., which is something that we are doing. Also now what happens is Turkey, for example, finds it easier to get materials from India, sell it into EU because they are a partner of that to also get direct approval, which is a more stringent process. But when you go through this process, and I will request Manish to talk about some of those approvals, which we are getting in the regulated developed markets to get more products in there by being differentiated through quality, through having our dossiers completed, etc. We are also looking at a whole host of other products, and we are looking at formulated products, co-branding products and creating a branded portfolio. That is a generic strategy. But I will pause. I will have a colleague of mine who can add something more to it.

Manish Pant: Yes, Jaswinder, Manish this side. So, yes. So, basically, broadly, if we bifurcate nutraceutical business, so as CEO told that one is API, another is nutraceuticals. So, as mentioned by him about the pressures of various kind on the APIs, simultaneously, we are trying to develop the nutraceuticals market. So, for that, our plant

has also been

certified as GMP plant. We have got the EAR and NSF for that particular plant. So, as this quarter performs, another one quarter could be on the same line. But from the third

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quarter, we are having a certain planning to introduce our branded nutraceuticals in U.S. market and in European countries directly on our own. So, at that time, the margin could increase substantially as it looks to us.

Jaswinder Singh: That's good to hear. Thank you.

Moderator: Thank you. This will be the last question of the day from the line of Saket Kapoor from Kapoor & Company. Please proceed.

Saket Kapoor: Thank you for the opportunity. You have already answered about the nutraceutical part of the story, sir, that was only the point of concern and steps also you have attributed what we are taking. And it is only now on the markets to improve so that our profitability will improve. That is what the understanding is. So, that's all from my side and we hope for good times ahead, sir.

Moderator: Thank you. I now hand the conference over to the management for the closing comments.

Rupark Sarswat: So, thank you for conducting this conference for us. Thank you all for attending it, and thank you, many of you who have been watching IGL very closely. And through your questions, we try and introspect, we try and learn. Thank you for that. And look forward to seeing you after the next quarter. Have a good day.

Moderator: Thank you. On behalf of InCred Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for readability purposes)

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IGL/SE/2025-26/64

21st November, 2025

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q2 & H1FY26 Earnings Conference Call.

Further to our letters bearing no. IGL/SE/2025-26/58, IGL/SE/2025-26/61 and IGL/SE/2025-26/62 dated 7th, 18th & 18th November, 2025 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q2 & H1FY26 held on Tuesday, 18th November, 2025 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q2 & H1 FY 26 Earnings Conference Call"

November 18, 2025

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. S.K. SHUKLA – HEAD LIQUOR BUSINESS

MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: M R. NITIN AWASTHI – INCRED EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q2 and FY '26 Earning Call, hosted by InCred Equities.

This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on date of this call. The statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, sir.

Nitin Awasthi: Thank you. Good evening, everyone. Welcome to the Q2 & FY '26 Earnings Conference Call of India Glycols.

Firstly, I would like to thank the Management for giving us this opportunity to host the conference call today and also congratulate them on a good set of numbers.

India Glycols Management is represented by their CEO – Mr. Rupark Sarswat, their CFO – Mr. Anand Singhal, the Head of Liquor Business – Mr. S.K. Shukla; Head (Legal) and Company Secretary – Mr. Ankur Jain.

I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for Q&A session. Thank you, and over to you, sir.

Rupark Sarswat: Thank you, Nitin, and a very good afternoon to everybody.

Let me start by apologizing for making you wait. For about 10 minutes, we had a minor issue to deal with. And as Nitin said, I will give you a quick overview of our performance, and we will give you also a quick overview of how the various segments have done, what the key factors have been, and so on. Some of it would be a bit of a repetition for you, but for the sake of completeness, I would do that.

So, if you look at the Quarter 2 performance for the Financial Year 2026, our gross revenues have increased from INR 2,144 crores to INR 2,412 crores, which is up 13%. Our net revenue is up from INR 961 crores to INR 1,092 crores, which is up 14%.

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Our EBITDA is up from INR 120 crores to INR 160 crores, which is up 33%. And the EBITDA margin is up 12.4% to 14.6%.

Our PAT is up from INR 50 crores to INR 65 crores, which is up 31%. And the PAT margin is up from 5.1% to 5.9%.

So, overall, we have seen a good strong growth and net revenue growth for the business. And we have also reported an EBITDA margin, which has a healthy upside of 216 basis points, while the absolute EBITDA has grown by 33%.

If you look at the H1 performance, I am pleased to also report a good performance, where we have seen strong sales in Biofuels and Potable Spirit segment particularly, which have contributed to strong growth in both contributions as well as revenue. EBITDA margin has also grown strongly for these two segments. BSPC and Ennature Biopharma have seen a quarter under pressure, somewhat weak. But for BSPC, we registered a modest margin expansion during the period.

So, for H1, our gross revenues have grown from INR 4,426 crores to INR 4,916 crores, which is up 11%. Our net revenue, which is up from INR 1,930 crores to INR 2,133 crores, which is up 11%. Our EBITDA, which is up from INR 248 crores to INR 311 crores, which is up 25%, and margins up from 12.8% to 14.6%. Similarly, PAT is up from INR 110 crores to INR 138 crores, which is up 26%. And in percentage terms from 5.7% to 6.5% is the PAT margin. In terms of business performance in Q2, our net revenue, which stood at INR 1,092 crores in Q2 FY '26, this is compared to INR 961 crores in Q2 FY '25, which is up 13.6%

. Our Biofuels sales

increased by nearly 63% to INR 423 crores for the quarter. And our Potable Spirits sales is up by 24.5% nearly, year-on-year, to INR 338 crores. For the chemicals business, the sales are at close to INR 288 crores, which has been a weak quarter, as I said. And similarly, for the Ennature

Biopharma, INR 43 crores.

Our EBITDA increased by 33% at INR 160 crores, as you know. And for the segments, Biofuels EBIT margins have increased from 5.1% to 6.9%. For Potable Spirits, EBIT margins have increased from 20.5% to 21.4%. And for Chemicals, EBIT margins have expanded from 8.1% to 10.9% or nearly 11%.

And amongst other things, share of profit from the JV has also increased by 6.8% year-on-year to 12 crores.

If you look at the H1 performance, our net revenue at INR 2,133 crores versus INR 1,930 crores is up by 10.5%. Biofuels increased by 54.5% to INR 770 crores. Potable spirits up by 23.4% to INR 338 crores. BSPC stood at INR 588 crores, and Ennature Biopharma INR 94 crores.

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Our EBITDA increased by 25%, as I mentioned earlier, from INR 248 crores to INR 311 crores and EBITDA margins from 12.8% to 14.6%. Biofuel margins have increased from 6.4% to 6.8%. For Potable Spirits, EBIT margins have improved from 19.0% to 21.3%. And for the Chemicals business, other than biofuels now, EBIT margins have expanded from 9.0% to 10.9%. This is for the first half.

Another thing which I have also looked at, at an overall level, when I look at our EBITDA trend over the last several years, we had a relatively lower year in the year 2022, at an EBITDA margin of close to 11%. And that has improved steadily from 11% to close to 15%, as you would see now, which has been a steady, you would say, recovery for the business or growth in the business, not only in terms of top line, but also in terms of the quality of the business. So, we had it at 11% in the year '22, then 13%, 14%, 14%, and now we are closing up nearly close to 15%, which is good.

I will take a short pause here. And Anandji, would you like to give a quick summary of financials?

Anand Singhal: So, just to update on the financials in a summarized manner, as on 30th September 2025, on standalone basis for the quarter ended, the total income from operations is INR 2,413 crore, with EBITDA of INR 160 crores. PBT is INR 72 crores and PAT is INR 54 crores.

Overall growth in all the sectors, and which has already been explained by our CEO, on consolidated basis, the total income from operations is INR 2,414 crores against INR 2,148 crores. EBITDA is INR 160 crores against INR 120 crores. PBT is INR 84 crores against INR 63 crores. And PAT is INR 65 crores against INR 50 crores.

So, on half-yearly basis, on a standalone basis, our turnover is INR 4,917 crores vis-à-vis INR 4,433 crores, with EBITDA of INR 310 crores vis-à-vis INR 246 crores. So, EBITDA has gone up almost by, I will say, 26%. On consolidated basis, the sales is INR 4,920 crores vis-à-vis INR 4,433 crores. And EBITDA is INR 311 crores, which is INR 248 crores. So, all-round growth, the financials, as per comparing to the last quarter, is showing very good growth overall in the company.

So, this is the brief on the financials.

Rupark Sarswat: Thank you, Anandji. Continuing with the highlights to tell you a little bit about the joint venture business, which though reported a softer quarter in terms of sales and EBITDA, which has been partly on account of pressures in domestic sales, a slightly higher pressure in terms of export sales, some cascading impact of tariffs and also lower crude prices, which means that our EO prices were slightly higher. So, it was a slightly lower quarter.

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But if you look at the half yearly performance for the JV, it is overall quite good. So, there is a marginal sales growth. There is a EBITDA growth of close to

17%. And there is a PAT growth

for the joint venture, which is about 35%, which also means that the IGL share also has grown for the half-year by close to 35% -36%.

Now, talking about the segmental highlights, let me start with the Biofuels first, which has been a segment which has shown good growth for us and has helped us take both our top line and bottom line up. So, for the quarter, for biofuels, our net revenue is up from INR 260 crores to INR 423 crores, which is up close to 63%. And for the first half, it is up from nearly INR 499 crores to INR 770 crores, which is up nearly 55%. And at an EBIT level, for the quarter, it is from INR 13 crores to INR 29 crores, which is 121% up. And for the first half, it is up from INR 32 crores to INR 52 crores, which is up by nearly 63%.

So, overall, Biofuel has given a good growth in terms of numbers that I told you. So, it has been supported both by the blending program and I think our adding capacity to continue to service that through multiple feedstocks, right from molasses to grain, to as and when it is optimal for

us, also looking at utilizing corn.

To give you a quick update, IGL has supplied about 15 crore liters in the year '24-'25, and we supplied about 1,100 crores in the year '24-'25. And we expect it to grow in line with the blending program.

Talking about the blending program, the good thing is that the blending program has more or less progressed as per plan from nearly 5% blending in '19-'20 to an expected blending of close to 20%, which is expected in this year, which is the year '25-'26.

However, what has happened slightly is that the capacity has also caught up with the demand because the blending program is right now at 20%, while there is discussion on how it can be increased beyond 20% to maybe up to 27%. There is now some excess capacity in the industry. And this is obviously part of a net zero nationally determined commitment, which is the commitment by India by 2070.

In short, it has helped rural economy and farmers' incomes, payments to farmers of roughly about INR 40,000 crores happened in '24-'25 and Forex savings of about INR 43,000 crores happened in the same year.

There is also a significant crude oil substitution which is close to 24 lakh metric tons on account of this. And while there has been some talk in the social media about E20, but the government has come out with a paper clarifying and there are definite advantages which have been realized on account of the blending program, both in terms of the economy as well as cleaner air, as well as in some factors better engine performance, while there have been some concerns about

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slightly lower mileage, which is expected because of Ethanol being slightly lower dense in terms of energy.

So, the government is clear that the policy of 20% blending is up to October 2026. Beyond 2026, the government is looking at the possibility of increasing it to about 27%. However, that is something which will be clarified by the government in the times to come. So, that is as far as the Biofuel business is concerned.

The Chemicals business overall has had a weak quarter in terms of sales. And from close to INR 369 crore, we registered a net revenue of close to INR 288 crore for the quarter. And from close to INR 763 crores, we registered a revenue of close to INR 588 crores for H1. At an EBIT level, however, our EBIT grew for the quarter from INR 30 crores to INR 31 crores and is marginally lower compared to the first half of last year, which is from INR 69 to INR 64 crores.

Now, there are various factors for this, which I will cover a little later, which includes slightly lower offtake by the JV, some drop in terms of value of some of our products. At a volume level, however, we were closer to flat in the first half.

So, amongst various things which have put some pressure on us, one is a global situation

on which

has meant that crude has been close to \$60, which has meant that some of the other products like MEG have been lower on cost and some other petrochemical-based alternatives to our products have been lower on cost and we have had to struggle on price as well as margins in areas like glycol ethers.

And also, 50% tariff in the U.S. has impacted to some extent the joint venture, some of our products directly and some of our products indirectly. We hope that that will stabilize, which will mean that the markets in Europe and America and elsewhere will have, hopefully, a positive impact.

Now, what we also see, hopefully, is that there is a general expectation that with India and China expected to buy less and less of Russian crude in the months to come, as the two major Russian oil suppliers have been put under sanction by the U.S., we expect the oil prices to harden a little bit. There is general consensus on this. That is just a projection, which means that, relatively speaking, the disadvantage that we were having may become lesser. And we are hoping that with the resolution of the trade issues between India and U.S. would also help the overall chemical market globally and domestically to start to be better.

And the highlight for us in terms of the chemicals business, small highlight, is also that, as you know, we started with new performance chemicals, which is doing well. I am quite confident about the strong pipeline that we have. That business quite small is doing well, with very strong partnerships starting to merge with significant players like BASF, Newpark, Dow, etc.

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We have also become the first ever company globally to make bio-based amines. Whilst we are to start commercial sales in this quarter and the next quarter, but nevertheless, it is an achievement where we worked with customers like L'Oreal and others. And we are working with

other partners to see how we can build that bio-based amines business. And we are looking at several new technologies and we will keep you posted. So, that has been a quick update on the chemicals business.

And let me now go back to last but not least, which is the Potable Spirits business, which has also done very well for us. For the quarter, sales have improved from INR 271 crores to INR 338 crores, up 24%. For H1, sales are up INR 551 crores to INR 680 crores, which is 23%. EBIT for the quarter, up from INR 56 crores to INR 72 crores, which is up 30%. For the first half, up from INR 105 crores to INR 145 crores, which is up 38%. So, that is good.

I think our Amrut partnership is doing well. To start with, we have introduced nearly 8 to 10 different brands of Amrut in various areas. And we have continued our solid performance in Country Liquor, both in Uttarakhand as well as UP.

We are looking at expanding the market as far as IMFL is concerned in areas like Kerala geographically. As you know, we have seen good growth in the Paramilitary area and we are looking at getting some of our brands approved in the Canteen Services Department for the army, which will also drive the next phase of growth in the IMFL business.

So, we have seen strong growth in Paramilitary, as I said, which is up close to 70%. Strong growth in the Vodka segment, which is up 38%. Rum segment up 26%. And as I said, we are starting to see good traction for some of the Amrut brands that we have introduced. So, that is a quick update on the Potable Spirit business.

And I will take a pause. And particularly on the liquor business, I will request Shuklaji, if he has to add something both from Country Liquor and IMFL. And then we can go on to questions.

S.K. Shukla : Good afternoon. In line of our CEO's statement, the liquor business is doing well. And though, besides the tough situation, July, August and September, we were able to maintain our leadership in both the segments, Country Liquor as well

as IMFL. And as far as margin is concerned,

because of the season is expected to start from November to March, as far as raw material is concerned and fuel is concerned, both is a very positive sign for us.

We are expecting not only the surplus raw material availability, but also the price would be very positive in the next couple of months. So, we are expecting next month, the excise policy which are in line. So, we are hoping better excise policies by the state authorities which will decide our fate for the '26-'27. Certainly, it would be in our favor. Thank you so much.

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Anand Singhal: Just to add here that the 2nd Quarter for the liquor is always a very lean quarter. And as Shuklaji said that despite the lean quarter, the company is able to maintain its growth and has achieved a very good turnover.

Secondly, just to add that the company has decided to come out with the preferential allotment to the promoters, friends and relatives. Out of that, the Board has already approved the issuance of 467 crores equity at the rate of INR 915 to the promoters, friends and relatives. The EGM has already approved, means the investors have rather blessed that resolution. And we are expecting the approval from the BSE and NSE shortly. After that we will issue the equity shares.

So, this is the update, and the money which whatever we will receive out of this preferential will be utilized for the reduction of the term loan. Basically, you can expect that from this quarter onwards the finance costs will start reducing. So, this is the update.

Rupark Sarswat: Yes, so we can now take questions, if any.

Moderator: Our first question comes from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: So, my first question is, again, on the fundraise and the debt side. So, as you explained earlier that you will be using the funds that we have raised to repay the debt. So, I just wanted to understand, can you give a segmental bifurcation on where most of the debt lies and on which segment? And if you could share the numbers for the same.

Anand Singhal: Actually, the company is having about INR 1,400 crores long-term debt as on date. And the normal repayment for the remaining period in this year is about INR 180 crores in next five months, means November to March. Apart from this, whatever we are raising, this INR 467 crores will also be utilized for the repayment or you can say the prepayment of the existing debt.

As far as the division is concerned, after the de-merger, there will be three companies. One is India Glycols, other one is IGL Spirits and third one will be the Ennature Bio Pharma. So, in these two companies, India Glycols and IGL Spirits, the segregation what we have done as of date is about INR 600 crores and INR 800 crores. INR 600 crores in India Glycols and INR 800 crores in IGL Spirits. So, if we pay this INR 467 crores plus INR 180 crores, which comes to about INR 640 crores; So, then the corresponding, I will say almost equal amount of the debt will be reduced from these companies. Of course, we have say about repayment of INR 300 crores, which will automatically be paid by these companies.

Vignesh Iyer: So, if I understand what you are saying, proportionately the debt will go down INR 600 crores

and INR 800 crores, right?
Anand Singhal: Yes, correct.
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Vignesh Iyer: And what is the cost of debt right now? I mean, on the term and on the working capital.
Anand Singhal: As far as the long-term debt is concerned, our average cost of borrowing is about 10%, while for the working capital, it is about 9.25%. So, we are also looking at something like, you can say, the improvement in the outside credit rating, which will help us to reduce the interest rates, as well as we are all focusing for the prepayments. So, that overall, the

company's on long-term

basis, I will say that the interest will come down by say about INR 60 crores to INR 70 crores in a year, which will be visible from the next year onwards.

Vignesh Iyer: Sir, just last question. So, am I right to understand that after this repayment of INR 600 crores roughly from fundraise plus the internal accruals, we are due for the re-rating from the credit rating agency.

Anand Singhal: Our credit rating exercise will start about next 15 to 20 days. And after that, we will see that how credit rating behaves on whatever has happened in the company.

Vignesh Iyer: That's all from my side.

Moderator: Our next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: So, as our CEO was mentioning that although the revenue for the Chemical segment has been down, but our margins were up. So, if you could just allude to us, sir, what were the key factors that led to this improvement in margin? And can we expect the continuity of the same post the normalization of trades, which is expected in the later half of the current financial year?

Rupark Sarswat: See, if you look at our margins, as I mentioned to you, our sales top line was weak in some areas. For example, our top line was weak in glycol ethers. Our top line growth was weak in sales of EO to the joint venture, which, based on the contract in percentage terms does not make us a lot of margin.

And whereas internally, while we don't give that breakup, the product mix in terms of the new performance chemicals, while the base is small, has grown quite well. So, looking at this mix and some of the volumes which are not necessarily very profitable businesses, especially given the current scenario, so not doing some of that business, which is lower margin business or even negative margin business, improving margin mix in some of the businesses like performance chemicals, I think that has led to the improvement in margins in chemicals.

Longer term, you can expect that trend because our strategy is to continue to drive growth in new value-added chemicals. Some of that is in the more nearer term, but also we have a broader strategy on, in terms of the green chemicals, yes. So, we would expect, and I also mentioned to

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you that we are looking at a potential situation where we may see ethanol price softening in imports and domestic potentially.

And we may, given today's volatility, but as India, China nearly are expected to slow down or stop buying Russian oil, two of the major Russian oil companies have been sanctioned, it is not only a pressure on India, but I think those companies have been sanctioned.

So, you will see more and more oil being bought by India and China from the Middle East, from U.S., from other locations, which will mean that we are likely to see an upward pressure in crude, which means, and we also expect that the things like tariff issues will get sorted out, which has an impact, some bit of it directly, but some bit of it indirectly for us, as I mentioned, for the joint venture, for our product.

So, I expect that all-in-all, these factors are likely to have a positive impact on both the top line and the bottom line of our business. And I say crude going up is good for us because we compete with alternatives from crude. So, that is the reason to say that while it is very difficult to do a month-on-month and quarter-on-quarter prediction, but looking at the fundamentals and how we see the factors change in the months or slightly beyond that ahead, that should be reflected.

Saket Kapoor: Sir, we have invested around, say, INR 80 crore, INR 85 crore for the NSU segment. And as you mentioned about that, we have been getting the affirmations from the MNCs and we are going to execute some orders. So, if you could just give us some colors, how will this segment contribute going ah

ead? I think some 15,000 or 10,000 metric ton was the total pilot capacity that was envisaged. So, where are we, sir, in terms of that upscaling of the same and its contribution?

Rupark Sarswat: So, I will tell you, ballpark. I mean, if you look at, we started with a very small base. And I think really speaking up, it takes about two to three years as a gestation period to do these development projects with companies. And whilst we would have expected it to do much better, but we are seeing nearly a doubling of revenue and contribution for the year and also till date. In fact, for H2, it is much more than doubling of contribution.

I am not giving specific numbers right now because I need to look at the product mix and I don't want to be wrong. But broadly speaking, I expect to see a doubling on a small base of both volumes and contributions. And I expect that trend to continue.

Now, some of the projects that we are working on, while it has led to some slowdown, I can see which gives me confidence. Potentially, it can be 10x the business that we are doing right now over the next few years. Now, this is with the rider that I mentioned potentially. But those are the discussions that we are having. And we are also looking at new areas.

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We are looking at newer technologies. So, we will continue to invest incrementally in this business. And I am quite confident that this is not a CAPEX-intensive business. But once we get our fingers in this business or get our foot in the door in this business, I think the payback and the associations are stronger, longer term. And I expect that trend to continue.

Saket Kapoor: Correct, sir. Sir, I have a couple of more points. Sir, now the pain point for the Ennature Bio Pharma segment. I think so, you have alluded and explained us the factors of the commercialization of that plant by ITC also in the previous year. And then again, this time you have in your presentation mentioned about some factors, about some crop and seeds. I am just forgetting the same. So, if you could just give us, sir, what is our thought process for this segment? It is the smallest of the lot. Earlier, its contribution to the profitability was among the highest.

So, now, as you mentioned earlier, that the nicotine sales were under pressure due to competition. And then there is volatility in the Thiocolchicoside market due to disruption in Gloriosa seed supply. Pardon me for the pronunciation. This is what has been mentioned. So, just a ballpark of how things will shape up. The "profitability" is now gone for the segment as a whole.

Rupark Sarswat: Saket, couple of things. First of all, you have done enough reading to give 75% of the answers.

So, we know that there is a lot of these sales that we do, in the Thiocolchicoside segment, are outside of India through Europe, through Turkey. And these areas and these businesses, because of how the international trade and situation is, has been under pressure. And there has been a shortage of seed supplies, which has also put some pressure as far as Thiocolchicoside is concerned. And you rightly said that there is a decline in nicotine sales.

But what we are focusing on is, as we have mentioned, and that will take time, and I will request my colleague Manish to also add, is not to do more of the same thing. We realize that we got those volumes. The volume business came under some pressure. Some of the things are possibly not permanent. Some of these things will improve. But there are many other things that we are doing. We are looking at getting several standard approvals for our plants, for our businesses, which allows us to register and enter with global players. So, that work is going on.

Plus, we are also looking at working with several brands, so that we look at the branded nutraceuticals market much more. And there are several things which we are doing to

differentiate our products through clinical studies, validation, and getting our products to be proven to be superior. And not only just mere nutraceuticals, but demonstration through claim substantiation. So, that is broadly the strategy.

We have spoken about this over the last few quarters. We understand that there have been some challenges. But I think the strategy is very clear, to focus on differentiation through standards, to get registrations in the developing market, and to focus on building the branded portfolio.

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Now, Manish, would you like to add something as well?

Manish Pant: As the CEO, said about the branded nutraceuticals, because in Thiocolchicoside, you know that there is less crop this year. And whatever the material is there is being held by the farmers, waiting to increase the prices and all. So, we are also watching that.

And in nicotine, the low-cost production by the new manufacturing facilities has dented the volumes and the value both. And apart from this, the Russia and Ukraine war has impacted negatively to nicotine business also. But in branded nutraceuticals, we have some development.

And if we talk about the branded nutraceuticals, it means that we are having our own brand, which will go to the formulation as an active agent with the name of our brand.

So, we are in the process of having some contract with the U.S. companies and European

companies to use our branded nutraceuticals. And you know the margin, as Saket, you asked about the margin earlier, like 40% -50%, the same margin we are expecting in this branded nutraceutical business.

But this is a slow process because we have to take certain certification of that country. Like in last quarter, we have got the US FDA approval for our plant. And now we are going to those particular countries for their certification. And then we will start selling the material. And I could tell you that in fourth quarter, the situation will be much, much better than the first three quarters.

Saket Kapoor: Then we will wait for the performance to improve. One question on the JV part. Sir, when I look at the balance sheet, the closing balance for investment in joint venture has gone up from INR 381 crore for March vis-a-vis INR 411 crore for September. So, can you explain the nature of the same for what the investment has gone up in the JV?

Manish Pant: So, investment, there are certain minimal CAPEX are being taken up by the JV itself. We have not invested directly into the JV by India Glycol Limited. Whatever the investment has been taken, they are taken by JV itself by their own funds. And those are decisions with the joint venture companies.

Saket Kapoor: And two points for our CEO sir, and then I will join the queue. Number one is that about, I think the cane allocation policy.

Rupark Sarswat: Saket, go ahead. One is cane allocation policy. Second?

Saket Kapoor: First is the cane allocation policy for the Country Liquor segment for Uttar Pradesh has been up from 19 to 25. So, that would add to the margins, I think so, and the availability will also improve. So, your thought on the same.

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And sir, secondly, for the U.S. tariff part, I read somewhere that U.S. is trying to come up with a treaty with our country for imports of ethanol that is in huge availability in their country. So, how does these two points work for our company product profile, sir?

Rupark Sarswat: Saket, Shuklaji will say about cane policy. I will say something about U.S. import. And if anything else, Shuklaji has to add, he will add.

Look, I think that is in the domain of speculation. Now the government has made a lot of companies to invest in the biofuels business to achieve several things. First thing they wanted to achieve, for example, is payables in the sugarcane sector. That has helped. You all know about

how important it was to try and address at least farmer's suicide and things like that. I mentioned to you earlier that about INR 40,000 crores have been paid to the farm sector last year. So, that is a very important thing.

We have saved about INR 43,000 crores in terms of Forex. Now, if you start buying all the ethanol, both these advantages are gone, in terms of Forex as well as farm sector income. So, whilst it is fair to assume that the U.S. has been asking us to be a little more liberal on their farm outputs, which can include corn, ethanol. And look, the allocations for next year have largely been done. There is a small margin. So, there may be some formula that they may arrive at to either look at corn imports. I think ethanol may be unlikely for Biofuel blending. But it is completely speculation right now, Saket. And I would like to believe that it is a program which has certain objectives. We talked about Forex. We talked about payments to the farm sector, which was a sector under stress. We talked about cleaner environment. We talked about independence as far as energy is concerned.

Look at the scenario where suddenly we have to shift. So, if 20% of our oil is blended within the country, it is not only about temporary economics, but it is also about energy independence. So, I don't think fundamentally that is going to suddenly shock the sector because it is in country's interest to have this sector to be stable. Otherwise, who will invest in such programs later on? So, that is my view on this.

Especially on the cane thing, I will pass on to Shuklaji to answer and also if he has to add something on this.

S.K. Shukla: Saket, perhaps there is no cane reservation. Cane reservation is a different thing. For the Country Liquor manufacturers, UP government decides the molasses reservation, which is meant for the manufacturing of Country Liquor. So, your question was that why the government has reduced the reservation quota from 19% to 18%?

So, answer is, first, you have to understand Country Liquor segment in Uttar Pradesh. The most highly consumed liquor in UP is the country liquor. Approximately in volume, 90 lakh cases are consumed in every month in UP, which is the highest in India. Out of that, the government has

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introduced the good liquor made from grain ENA, that is called UP-made liquor. So, last year,

before last year, the government has introduced.

Now the share of UP-made liquor is increasing gradually, and the share of molasses-based Country Liquor is reducing gradually. So, perhaps the 60% revenue of the state government is incurring from the Country Liquor. And Country Liquor, both for the protection of the consumer's interest as well as the government revenue is a very, very sensitive subject for the state government. So, the state government is giving the full protection for the Country Liquor manufacturers about the availability of the raw material.

That is why they have reserved, and not only reserved, they have mandated that whatever the reservation belongs to the sugar factory, they have to release in 12 equal installments in a year. So, nobody can go beyond that. So, be rest assured that this reduced reservation will not impact the Country Liquor supply. And also the UPML supply is increasing. So, gradually in the coming years, molasses-based Country Liquor will get slightly reduced and grain-based Country Liquor will increase. So, this is the policy of the state government.

Saket Kapoor: Sir, sorry to interrupt here, but what we have read is that UP has raised this molasses quota from 19% to 25%. So, how should we contemplate that, sir?

S.K. Shukla: Correct. So, there are two categories of molasses available in UP. One is the B grade. And one is the C grade. B grade molasses, total reducing sugar, is roughly coming around more than 55%. And C grade category molasses is

around 40% to 45%. So, the reservation was on the basis of B molasses, which convert 25% in C molasses. There are two grades of molasses. So, earlier reservation, you are mentioning about in classification under the B grade, if you convert that reservation into C grade, that comes around 25%.

Rupark Sarswat: So, essentially, B heavy molasses has 25% more sugar than C heavy molasses. So, that is the translation, which in terms of ethanol quantity does not mean that it will produce more ethanol. It is equivalent.

Saket Kapoor: Maybe, sir, I will take it offline. I just got stumbled somewhere. Fine, sir. I will just take it offline once again.

Moderator: Our next question comes from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Congrats on good set of numbers plus the preference issue. Sir, first question on the liquor business. Now, since we are going into Kerala, what is the strategy that we are adopting in terms of market expansion? And another question, in terms of the Amrut partnership, how is it? What are the contours of the partnership in terms of royalty payment, in terms of geographical reach, and in terms of any other arrangements that we have?

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Raju Vaziraney: I will come on to Kerala, you asked the first question. See, we are an evolving liquor company.

As opposed to evolved, or if I may use the word, saturated old liquor companies, they have a lot of excess baggage. They have a lot of excess baggage of smaller brands, not giving money, input costs going up, overheads high. Here we are an evolving organization.

So, what we do rightly is, we do not address any state without having a good look at it from a futuristic point of view of premiumization. So, Kerala is one such example. There was a time Kerala never used to give any bottom line. It used to be a volume state.

Now with the change in guard in Kerala wherein a lot of the bureaucrats are very progressive, they also know that the revenue will come. So, whatever is the tender price, since you are specific of Kerala, whatever the tender price is approved, in my more than four decades of experience with Kerala, it was never done that whatever is your tender price you get. There used to be negotiations. And there used to be at least 20% to 25% deduction in the tender price.

In other words, we have got what we have tendered. So, we have got as many as seven brands approved in Kerala. And Kerala is a government state as you know. So, the monies are secured. But we have to go gradually but definitely. And I am sure we have got the right price points.

And we have got approval for brandy. We have got approval for rum. Just for your benefit. 90% of the volume is brandy and rum and not whisky. Whisky is only 1%.

So, we have launched our rum there. And very soon we are going to launch our brandy. And one is very well versed with brandies like Morpheus. One has handled such brand, created right from initiation. So, one is well versed with premium brandy, and I take a lot of satisfaction in mentioning that we have created a marvel of a brandy which will hit the stands very soon. So, these two, rum and brandy in Kerala will be our growth engines at a certain definite profit.

Now to answer your second question on Amrut, see, for obvious reasons we cannot over this call talk about royalty because it is not in public domain, but the royalty, naturally, is because these are all non-malt whisky brands. Amrut is concentrating on their core competence, that is their malt whiskies.

So, naturally, it is bonus sales for them, because they were not concentrating on chasing the volumes of non-malt. And while it suits us to sell Amrut, because we have got the specifications of Amrut, we follow the quality standards, and that holds lot of promise. But there is a rider here.

Because these are all premium brands, they will take time. We will

increase, but we will increase gradually.

See, whisky is a very, very difficult segment, as you would know, since you have asked question on liquor. It is very difficult to establish a premium whisky brand. Only three or four companies have been able to establish premium whisky brands in the Blenders Pride, Rockford range. And we have the inherent advantage of Amrut with us.

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So, we have got this Macintosh in two versions. So, gradually, but definitely, it will make its own place. So, we are on the right track. We have the patience. But one thing is sure, we will not fail because these are tried, tested quality brands.

Rohit Nagraj: Thanks for that elaborate answer. Sir, second question on the specialty chemicals business. Now, as we have got, we will be receiving the preference money, the debt partially will be paid off. What is the CAPEX plan that we are looking at over the next maybe a couple of years? And during the intervening period, do we have sufficient capacities to grow the business?

Rupark Sarswat: So, Rohit, we are already in the process of adding some incremental capacities where we think we will need them over the next few months to one year. The way we have structured the manufacturing is also to keep it modular. We have looked at where we have land and how we can continue to add.

Given the nature of the business and the investment already done and also the fact that we are in a brownfield site where we can build on some of the existing assets, I don't think we are going to do a huge amount of CAPEX investment in the next one year.

However, having said that, we are working on certain projects and newer technologies.

Depending upon opportunities, we may expedite or put up some cases. As of now, if I have to just look at something like the next one year, I think you will continue to see some incremental CAPEX based on how our projects and how our customers are scaling up, which will be we are talking about in the range of maybe INR 10 crores to INR 50 crore kind of CAPEX to start with, but nothing of this is definitive. Depends on how some of the projects kick off and we have larger volumes contracts. If we sign up accordingly, we will vary that.

Rohit Nagraj: That's helpful,

Moderator: Our next question comes from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Sir, my first question on the Biofuel side, what is the unexecuted order book as of now? And what kind of traction we are getting from oil marketing companies? And are you exploring advanced biofuels like SAF or chemical derivatives of ethanol to create new growth vectors and mitigate future volumes?

Rupark Sarswat: So, let me start with your second question first. Are we exploring? The short answer is yes. SAF is a very interesting area, but it is something which everybody, or I would say, largely, is under wait and watch category right now. And the reason it is under wait and watch category is that the prime drivers from SAF are completely different from prime drivers for ethanol.

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The drivers for SAF would come, for example, from Europe, which is expected to implement CORSIA standards by 2027, possibly now or later. And the drivers there are not, for example, farmers' incomes or energy independence or reducing forex outflow. The driver there is completely reducing carbon emissions. And I think there are various technologies which the world is working on.

Of course, CORSIA standards have to come into play. And it is not only a government of India decision. I think it is largely to start with being driven by the developed countries, to start with Europe. And initially, people are talking about 1% mandate and so on and so forth, but with appropriate carbon footprint reductions. And so those technologies are being evaluated. We are

also looking at them. We are also evaluating them. But as you may know, it is an area where a number of people are in the evaluation stage.

Now, as far as green chemistries are concerned, there are various green chemistries through synthetic biology and fermentation kind of roots, which may have synergies with what we do.

The short answer is, yes, we are looking at them, but there is nothing concrete that I can say right now, which you can start looking at business projections or something like that.

And I think you asked one more question.

Balasubramanian: Sir, what is the current unexecuted order book in Biofuel segment? And what kind of traction we are getting from oil marketing companies?

Rupark Sarswat: So, we are not clear about your question when you said unexecuted order...

Balasubramanian: Yes, I think earlier we got INR 1,100 crore, INR 1,200 crore kind of order book from oil marketing companies. And what is the unexecuted order book as of now? And what are the tractions we are getting from oil marketing companies?

Rupark Sarswat: So, look, the ethanol supply year is up to 31st of October. So, we are on track to supply based on the order book.

Yes, so that is okay. I think, subsequently, the allocation that we have got, the OMCs have given not complete allocations. They have given some allocations. We have also got some of our allocations. We are working on our allocations with the private sector companies as well as the Biofuel companies.

The traction overall is good because the 20% blending is going to stay. There is no doubt. And further traction will happen as and when the blending program is enhanced to possibly order more. And some traction will come because there will be a natural growth in terms of fuel consumption, year-on-year growth. So, it is kind of steady.

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I think I also mentioned in my earlier remarks that in the near future, one of the things also is that there is now some bit of excess ethanol capacity, which means that we will have to make sure that we get our orders and try and get our top line with the OMCs who are going to order more than the last year for sure because that is going to grow, 20% is going to stay. It is about trying to make sure that we get as much as possible for our capacity. All their allocations have not been done as of for the next year. We will have a clearer picture in the next couple of months.

Balasubramanian: Amrut partnership is showing strong early-start actions. And I just want to understand what are the gross margin profiles of Amrut brands versus legacy brands like Buntly Buntly. And whether in Potable Spirit side, the margin expansion is happening based on the mix, the mix is shifting towards premium brands, and what are the exact rationality for this?

Raju Vaziraney: Again, you have got two questions, so I will answer the second question first, because that is fresh on my mind. See, margin expansion is because of two reasons. One is that, as you rightly said, Amrut brands are premium on price point, so naturally they give more money. And they require very less investment.

This is noteworthy. See, brands are created by huge ATL spends. For that, Amrut, we don't have to spend ATL money because Amrut is an established name. So, that we have an advantage. So, naturally those premium brands will give us money without spending anything on ATL.

As far as our margin expansion is concerned, because of premiumization in our organic brands, that is Amazing and Zumba, and also selecting the right states. For example, I just explained to you, Kerala. Now, another example is CSD. You are aware some of our brands are in principle cleared by the CSD. So, we are not going to launch the brand in the run-of-the-mill price points. We have selected the price points because we know the market well.

And we also know we have got the best ENA quality, which come

s from, particularly our

Kashipur plant where we do Bacardi for 15 years. And Bacardi all CSD for North and East goes from our plant. So, there is no reason why we can't make as good or better white spirits, particularly from Kashipur. So, our white spirit called Zumba Lemoni, which is a premium version of white spirit is approved, as also our Soulmate Blu, which is a millionaire case brand. Second is our Amazing series. What we have done is, as you know, it is very difficult to establish a new brand in dark environment where you cannot advertise directly or indirectly. So, we have established the name of Amazing with our vodka. And in our previous interactions, we have mentioned that wherever we have launched Amazing vodka in various flavors, as well as pure plain vodka, it has done well. And we are among the top three in UP, Delhi, Uttarakhand, Chandigarh, and now we are going to in Kerala. So, that is vodka, we have established our name. So, we have extended the vodka name, Amazing, into whiskey. Amazing Whiskey also.

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So, this is how gradually but definitely we are having a three-pronged attack. One is, our organic brand, we are expanding the range. Second is, just for your correction, Amrut brand for all practical purposes are our brand because beyond royalty, it is our pricing decision. It is our investment. The profit is ours, and it is long-term understanding. So, for all practical purposes, these are our brands. So, we make investments, and we get the return on them. And as I mentioned, Amrut is a hallmark of quality. So, the fatality scope is almost nil. So, we have that advantage.

I can talk more, but just to mention that we are in the right direction. But one word of caution, it will take time because premium brands do not, you know, you can't double the volume every

three months. So, they will definitely grow. My personal ambition is grow every day, one case or more every day. So, the graph has to be looking north. We should sell more every month, month after month, and also gain market share month after month. That is our objective.

Balasubramanian: So, the gross margin profits are similar for Amrut brands and our brands?

Raju Vaziraney: It depends. See, the margins are very handsome for our own brand. See, vodka, as you would know, vodka doesn't have any VMS, it does not have any monocots. It does not have any expensive material. It is basically the fineness of ENA and the precision with which you work. And since we have got the best ENA in the country, so we have that advantage of making vodka, which the margins are good. Similarly, the margins are also good in Amrut.

Balasubramanian: So, my last question, you have mentioned some tariff impact on our JV. So, what is our revenue share on the U.S. side? And what kind of impact we have in terms of tariffs? And secondly, we are following some 3x3 strategy for cost mitigations. So, what kind of, do you please quantify cost advantage in terms of rupees per liter of using in-house ethanol for your bio-based chemicals versus sourcing it domestically or via imports?

Rupark Sarswat: So, to answer your question, firstly, honestly, it is very difficult for me to quantify the tariff impact because some of the tariff impact is indirect. Because as the consumers start to buy less, I do not know how much is because of tariffs, how much is because of a slowdown in Europe for some of our products, which we sell directly into the US, some of the customers have slowed down, etc., etc. So, it is a little difficult for me to quantify. That is the honest answer.

And the second question that you had was basically saying how do you look at which ethanol to use for chemicals and which is the best at any point in time? Something that you said, we keep a track on. We keep a track, for example, if ethanol prices or cost, there are two ethanol prices which are going to be th

ere subsequently if there is excess ethanol capacity. One ethanol price which what the government will pay for biofuels. Now, if there is excess capacity which will get sold outside of the biofuels, that will be market driven.

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Now, if that cost pushes down either the cost of manufacture or even the cost of availability in the Indian marketplace and compared to the purchased ethanol that we are going to buy in the near future, it will be more advantageous for us to produce and we are going to have spare capacity. We will take that call. As of now, we are not at that stage. But yes, something that we are keeping a close watch on.

Moderator: Our next question comes from the line of Rohit Nagraj from 360 ONE Capital. Please proceed.

Rohit Nagraj: Just one clarification, Vaziraney sir. On the Amrut partnership, is it an exclusive partnership with us for certain brands or as an Amruth, as a company, we will be only doing the incremental partnerships across any of new products that will be introduced?

Raju Vaziraney: Amrut's understanding with us is exclusive. They cannot give the brand which we are doing to anyone else. And since we are manufacturing them, we are selling them, we are putting investments into them, so the understanding is very clear from a long-term perspective, we have the first right of refusal, even after a long term, once the agreements are there for renewal. So, for all practical purposes, these are our brands except that all the trademarks belong to them.

Rupark Sarswat: In the agreed market.

Raju Vaziraney: Yes, of course, in the agreed market. But see, what a good point CEO has mentioned. But what we have, if I may say, smartly done is we have picked up those markets, which are whisky-whisky markets. See, just for your knowledge, like Kerala, like Tamil Nadu, like so many markets, there is no whisky. So, we are a North-based company, and we have got our bearings right in UP, Uttarakhand, these are our home states. We are very strong, both in Country Liquor and IMFL. So, these are the key markets, which will drive, as also Delhi. So, these three should suffice in the next couple of years, for us to gain volumes as well as value.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rupark Sarswat: Thank you for helping us conduct this conference, which went on very smoothly from every perspective. As I said, again, apologies from our side for making you wait for an extra 10 minutes. And have a good evening, all of you. And we will see you in the next quarter. Also, thanks to my colleagues who joined me for the call.

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Moderator: Thank you so much, sir. On behalf of InCred Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Feb 2026

IGL/SE/2025-26/80

17th February, 2026

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q3 & 9MFY26 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2025-26/74, IGL/SE/2025-26/78 & IGL/SE/2025-26/79 dated 3rd, 12th & 12th February, 2026 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q3 & 9MFY26 held on Thursday, 12th February, 2026 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q3 & 9M FY '26 Earnings Conference Call"
February 12, 2026

MANAGEMENT : M R. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. S. K. SHUKLA – HEAD LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

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Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q3 and 9M FY '26 Earnings Conference Call hosted by InCred Equities. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. The future statements are not guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, sir.

Nitin Awasthi: Thank you. Firstly, I would like to thank the management for giving us this opportunity to host their conference call today. From India Glycols management, we have the CEO, Mr. Rupark Sarswat; the CFO, Mr. Anand Singhal; the Head of Liquor Business, Mr. S.K. Shukla; and the Head (Legal) and Company Secretary, Mr. Ankur Jain.

I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for Q&A session. Thank you, and over to you, sir.

Rupark Sarswat: Thank you, Nitin. And let me start by apologies for making all of you wait for about 10 minutes. It was some glitch at my end, which I had to resolve. In addition, let me also wish you all a very happy new calendar year. Of course, all of us follow different financial year.

I was listening to the introduction. And for the first time, I took notice when she kind of put a disqualifier regarding forward-looking statements, uncertainties and projections being indicative. So, I thought to myself, what better time in the world than this to remind ourselves of the uncertainties, starting with Mr. Trump, to the war, to the FTAs that we are signing, to the drastic change in the tariff we hear every day. So never ever before has there been a roller coaster ride as it has been this year.

So, with that, I'll get on to the regular business of talking about how IGL has done. At the very, very highlight, and I will come to the points again, I am happy, and I'm sure you are happy as well, that India Glycols has recorded a record revenue and EBITDA for the quarter as well as for 9 months. And I will get into the details in a bit.

And talking about the volatility, it's something that you know, but to also remind ourselves that we've been dealing with an extremely volatile global environment. So fortunately, growth engine has been Asia and continues to be so, whereas U.S. and EU have been weaker.

In general, in the Chemical space, there has been some recovery, particularly in Performance Chemicals, Agrochemicals. But it has been gradual, I think, and the sentiment globally is cautious optimism, with pricing still being soft. And to some extent, some of these things impact on how we think about our company. And there have been some weaknesses in base and petrochemical materials. And in some of the areas, we've been dealing with structural overcapacity in the world.

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Now having said that, I think Asia continues to be the growth engine and the expectation is that Asia will continue to be the growth engine. North America has been somewhat moderate in performance, whereas European Union, as you know, has been facing significant challenges on account of high energy costs, regulations, lack of investments plus geopolitical uncertainty and so on.

So globally, the outlook, and I kind of agree that the growth drivers in the Chemical space, it

will be

driven by innovation, Performance Chemicals, huge amount of innovation and sustainability, which is safe by design, decarbonization will be a great driver, circular economy, carbon economy and so on. Now whilst I spoke about India, I think India on the other hand has by and large registered high single or double-digit growth. And this trend is expected to continue with expanding manufacturing and consumption in India and growing incomes. And the reason I mentioned it is that, by and large, our growth strategy is aligned with how some of these macros have been changing. So, if you look at how we've been looking at place positioning our company, it is about the focus on bio-based ingredients. Incidentally, the lifestyle and consumer products that we make also are purely bio-based ingredients and with a high level of synergy in what we manufacture.

So, we've been looking at how we will leverage our strength in a non-limiting way, we've been looking at how we'll focus on. And one of the outcomes of that is in the last few years and now once again, how

we've been reorganizing and restructuring our businesses to bring the necessary focus.

Given the opportunity in India and the focus on value, we've been looking at significant value realization in the consumer segment and therefore the lifestyle segment and the Potable Spirits segment for us. On one hand, value through innovation and cost and efficiency; on the other hand, value through connecting to end consumers through the lifestyle products.

And within that, and within everything moving up the value chain through premiumization, superior innovation and broadly all across, how can we build on broader partnerships to take this forward and innovation in our products. So that has been broadly the strategy. And by and large, we can say despite all the ups and downs and the challenges, the company has been making robust progress, and we expect that that will continue.

As I mentioned to you, IGL has registered the highest Net Turnover and highest EBITDA for any quarter. And you can also see, as my colleague Anand ji will explain subsequently, that we have had a substantial reduction in debt and as a result, the interest payments. So, for the 9MFY26, the revenue is up 11.4%, which is strong growth.

The EBITDA is up 28.9%, and our EBITDA margin for 9MFY26 is 15.0%. The 3 months' revenue is up 13.0% and EBITDA has an excellent growth of 36.1% with EBITDA margins of 16.0% overall. The Potable Spirits segment, which has been doing very well for us in terms of profitability as well as driving growth, has delivered a strong performance and we've achieved a 17% year-on-year growth in net revenue for 9MFY '26, totalling INR1,025 crores in the business.

And in this period, we've sold a large number of cases, which is 23.7 million cases, which is a 5% year-on-year increase. Our broad strategy has been a dual strategy for future growth in this segment. And we've been trying to focus on product innovation and premiumization as you would hear later.

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And also, in a gradual manner and in a phased manner, regional expansion, expanding geographically and also to other markets like the CSD department, which is the canteen department and the paramilitary and so on. On the partnerships front, as you heard before, apart from the partnership that we have with Bacardi, which has been a good partnership and has gone on for a long time.

You are aware of our partnership with Amrut where we are manufacturing and selling several of the brands and now, we've introduced several of them and there is good traction that we see. And these kinds of products will also be growth drivers for the future. In addition, IGL has been launching its own brand, so that we are able to create a strong portfolio that will help us drive growth.

Within the Chemicals space as well as the Potable Spirit

s space, one of our common synergies or strength

areas has been our ability to manufacture ethanol and ethanol of very high quality, which also means the ENA or Extra Neutral Alcohol, which is the beverage grade ethanol of very high quality, from multiple feed stocks as we've spoken before. So, we have the ability to use several feed stocks, which is different kinds of rice, corn, molasses and so on.

And this is crucial for our Potable Spirits business; this is the backbone of our Bio-Fuels business and is often significantly important for our Chemicals business as well. It has been the backbone. And the reason I use the word often is that we look at the make or buy versus opportunity on whether we would import or manufacture in-house.

As you've known, we've manufactured in the past, as we've imported in the past and it may so happen that the fact that we have ethanol capacity and the country may have surplus ethanol capacity, we could be stopping imports and utilizing ethanol at a lower cost, as an intermediate for our Chemicals business as well.

In the Chemicals Space or the BSPC segment or the Bio-based Specialties and Performance Chemicals, I'm happy to report an outstanding EBITDA performance, which is up 68% in Q3 and 26% for 9M. Now this might appear that a bit sudden to you, but it has been the result of several structured actions that we've been taking, which is focused on high-margin products.

Discontinuation of some of the businesses which have been low margin and significant changes in our operational philosophy in how we will run plants or stop them, etcetera and therefore, reduce operational costs. And we are starting to realize those benefits in this quarter, and we expect that this gain that we've made will continue to benefit us in the times to come.

Now apart from this business, we've also spoken several times about the pipeline in the new Performance Chemicals business, and whilst the business is still small, but I'm very confident of the strong business development and the new product pipeline that we have there. And I'm quite confident that it will continue to grow very rapidly and become a significant part of the business, not only for this year or next year, but for a long time ahead, driving future growth and making it strong.

Another good news for this segment for us is a debt reduction by INR582 crores. So, you are aware that INR467 crores were raised through preferential allotment, and Mr. Anand will talk about it subsequently. So overall, the company is well positioned to sustain a positive financial performance going forward.

We have a diversified product portfolio, but it is not all over the place. As I've tried to explain to you, our business has had significant synergies, and we've benefited from those synergies. And that is also apparent in how some of the results have shaped. I'm sure we'll continue to grow well, show strong leadership, make use of our strength in operations, marketing, understanding of the market, of the country and consumer behaviour.

Talking about the performance whilst I've spoken about the numbers, but with a bit of repetition, you will see that overall, the quarter has been strong with a positive momentum in revenue growth. So, our net revenue growth for the quarter is up 13%. The EBITDA is up 36%, which is up 277 basis points, driven by strong growth in EBITDA in Chemicals as well as Biofuels for the quarter in particular.

Looking at the 9M performance, you see that the gross revenue at INR7,467 crores is up 9%. Our net revenue at INR3,235 crores is up 11% and EBITDA at INR487 crores for 9M is up 29% and our PAT at INR206 crores is up 23%. So overall, strong revenue growth driven by strong growth in Potable Spirits as well as Biofuels. Excellent EBITDA growth, up 29% year-on-year, driven by excellent growth in Biofuels, Chemicals as well as Potab

le Spirits. And as I mentioned, we have a good PAT growth to report as well.

We've been focusing on the quality of the business, and I may just add for your information that we came from a period of greater uncertainty post COVID or in the midst of COVID rather where we were operating with an EBITDA margin of 11%, which subsequently has grown from 11% in '22 to 13% in '23 to 14% in '24 to 14.9% in '25 and 15.0% in '26.

The larger point that I'm making is that this is a result of a structured effort in how we will run our business, how we will focus on more value-added segments, be it in the B2B space or the B2C space. And that was obviously the intention, and that is obviously something that you are also interested in knowing from us. I will jump to Mr. Anand Singhal talking about the financial summary first. And then I will spend some time on segmental highlights, and my colleagues will talk a little bit more about specific segments in Potable Spirits and other areas as well.

Anand Singhal: Thank you, sir. So now financial highlights more or less have been covered by our CEO. On the interest side and the prepayment of the term loan, I will just cover briefly. So, company has raised INR467 crores in November through preferential allotment through the promoters, their friends and relatives.

We have utilized the entire INR467 crores for the prepayment of the existing debt, which includes the term loan as well as the working capital. Apart from this, we have paid INR116 crores more debt in the third quarter itself, this was through our internal accrual. We are also planning to prepay some of the debt, say about INR75 crores to INR100 crores, in Q4 that will also be through our internal accrual. Apart from this, we are also in the process of swapping the high-cost debt to the low-cost debt in which we have recently swapped, about INR130 crores debt, which will save us about 125 basis points to 150 basis points. So, we are on the track to reducing the interest cost and the impact of all the efforts will be visible in Q4, because whatever efforts we have started that has been started from December '25, so you will see the interest cost coming down in the fourth quarter. So, this is what is from my side. Rest CEO sir has already covered about the performance and other things.

Rupark Sarswat: Right. I'm sure you'll have more questions to Anand later on. Coming back to talking about the segments in the quarter. So, talking about BSPC or Bio-based Specialty Chemicals and Performance Chemicals, so we've registered a turnover of INR313 crores, with an EBIT margin of 12.8%.

For Biofuels, we've registered INR394 crores with an EBIT margin of 8.4%. For Potable Spirits, INR345 crores, up from INR328 crores with an EBIT margin of 21.0%. And for Ennature Biopharma, INR50 crores with an EBIT margin of 4.1%, which has been a bit under pressure.

For 9MFY26, Performance Chemicals has registered a revenue of INR901 crores with an EBIT margin of 11.6%. Biofuels has registered a revenue of INR1,165 crores with an EBIT margin of 7.3%. Potable Spirits has registered a revenue of INR1,025 crores with an EBIT margin of 21.2%. And Ennature Biopharma has registered a revenue of INR144 crores with an EBIT margin of 2.9%.

So, with a little more detail on the segments. In the Potable Spirits segment, for 3M or the quarter, we've seen a growth of 5.0%, EBIT has been flattish. But for 9M, we've seen a growth of 16.6% and an EBIT growth of 22.0%, which is INR217 crores from INR178 crores. Broadly speaking, our Potable Spirits has delivered a INR345 crores revenue in Q3FY26, which is up 11%, as I mentioned.

Our regular brands reported a volume increase in Uttarakhand, while in Uttar Pradesh, the sales was

somewhat flattish. So, we've taken several actions, which is, for example, improving the distribution of regular brands in U.P. by adding

5 more districts, and we have maintained the leadership position in U.P. and Uttarakhand.

The focus has been to expand premium and luxury portfolio to premium single malt category, moving up the value chain. We'll talk a little bit more about it. The Amrut partnership has been picking up traction in U.P., Uttarakhand, Delhi, and we have been focusing on premiumization of this brand.

We've rolled out some major products in Kerala, strengthening overall presence in high consumption markets. And as I mentioned earlier, we've reinforced our footprint in the paramilitary business, and we've launched 2 major brands in CSC, which is something that will drive significant growth.

So overall, we've been driving this business with a lot of focus, leveraging our manufacturing, our capabilities in manufacturing high-quality ENA. Traditionally strong market for us, UP and Uttarakhand, which we are continuing to move up the value chain introducing more brands with our partners as well as ourselves. So, it is also about partnerships. And we are also looking at new markets geographically as well as markets like paramilitary and canteens.

On the Potable Spirits segment, I will request Raju ji to say a little bit more. And then, of course, we can take in Q&A.

Raju Vaziraney: Okay. I'm Raju Vaziraney here. Good evening. As our CEO has, in a summarized manner, already mentioned about Potable Spirits, what is noteworthy is in the last 3 months, particularly because most of you must be attending our call regularly, is a substantial cementing of partnership between Amrut and IGL.

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See, this is the first time Amrut, which is known for its world-class quality, has given its brand away through IGL. In India, they have never done this, because of the strength of our company, because we already got the royalty brands and they are doing well. They make the world famous single malts.

As you are aware, Fusion is the most sought after Indian single malt world over. And if I may use the word, all the other Indian single malts are all inspired by Amrut, Amrut's quality consciousness and Amrut's zero defect products. So in select markets of North, we have been given long-term distribution sales and profit-making rights, because of our strength of manpower that we have in U.P., Uttarakhand and Delhi in particular.

Just what is noteworthy is that these 3 markets are all in terms of industry. And so, we have entered into markets which are already growing. Just to give you a perspective, in U.P., the sale used to be about 15 lakh cases per month in IMFL. Today, it is 23 lakh, 24 lakh, 25 lakh cases. So natural growth is there. And on top of that, we get our luxury brands.

This completes our brand portfolio right from our Soulmate whiskey, which is our traditional brand, which is a millionaire case brand up to single malts like Fusion and Amalgam. You must have heard these brands, because these are age-old brands, now 20 years old, and they are top sellers in CSD, paramilitary and all over the country and all over the world.

So this gives us a lot of market reach, and as I say, range selling. At every INR10 to INR20 a NIP, in India, we say NIP price. At every INR10 to INR20 a NIP, we have got a whiskey. We have got Soulmate, then we have got Amazing Whiskey, which are our organic brands. Then we have got our MaQintosh White Whiskey, then we have got our MaQintosh Black Whiskey.

Then now we have got our Fusion, Amalgam, and what gives us a lot of satisfaction is we were able to sell to Amrut a very unique concept. The unique concept, which gives a lot of money and reach in the market is super special brands. We started with and I'm giving you a little bit of background so that you understand in the right perspective, with City of Joy. City of Joy was Calcutta when we launched a city-specific brand.

The idea was when the Indian diaspora comes

in India, because all over the world, people want to visit

India. So Indian diaspora and the foreigners, when they go back, they want to carry these precious brands.

So, City of Joy were quickly followed by Mumbai Chi Maaya. I'm sure some of you are from Mumbai.

So, Mumbai Chi Maaya was also launched. So, we have not stopped there. And now IGL has been given 3 brands, which are state specific. So, in Uttarakhand, which is our home state, we have launched a Silver Jubilee Edition, because this is the 25th year of formation of Uttarakhand, where we have leadership both in regular brands as well as IMFL. We have launched this as the top end single malt.

Followed quickly by Delhi, where we have called the National Capital Exclusive Edition. So, this again is the highest priced. And now we will follow it up with a brand in U.P. Since it has not seen the light of the day, it is not fair for me to name it. Very soon, you will hear from us.

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So, what is the idea? Idea is to address the aspirations of the consumer. The consumers are quickly shifting from blended whiskeys to malts, because malts are very precious and very powerful. They are very good quality, particularly from raw material. So, this is as far as Amrut is concerned.

I can talk more, but for want of time, I want to just run through the brand facts. I have already talked about Bunt Bubbly, which is our biggest brand in Asia, and it's an award winner from Asia Book of Awards. Then we have got our Amazing Vodka and its flavours, which are doing very well. They are among the top 3 brands selling in U.P., Uttarakhand and Delhi. And then, of course, Soulmate is a millionaire case brand and Amazing Whiskey.

And what we did cleverly, if I may use the word, smartly, is we have launched, because India is a tropical country. So, people want citrus and refreshing drinks. So, we launched a brand called Zumba. Zumba, as you know, is the biggest wellness program, particularly for females. So, we have launched this with the female customer in mind, and this is also doing very well. And wherever it has been launched, it is called Zumba Citrus.

Of course, Bacardi partnership, I don't have to mention, you are aware, CEO also has covered. We do almost 200,000 cases of Bacardi across brands at our Kashipur mother plant. Now I've already talked about Amrut. The intent is that we must address segments which are growing, which are premium in nature and also what inherent advantage do we have.

Now see, after all, there are so many brands coming from so many companies, but the mortality rate in India of premium brands is very high. So how do we insulate ourselves from any discomfort on the brand and growth is, Amrut. That is quality assurance. We can also make our brand opposite Amrut or MaQintosh or any other brand.

But it will take time. One has to do ATL activity, one has to invest over a period of time. So here is a brand where we are known for our best quality ENA. Our ENA goes to Diageo, Pernod, name the top company and it is welcomed there. Amrut also buys our ENA down South, while there is abundant ENA available in Karnataka.

That talks about our quality of ENA. We take satisfaction in mentioning that all our products, including our regular brands in both our mother factories in Gorakhpur as well as Kashipur, 100% captive consumption of ENA is there. See, it is known that in cigarette and in liquor, consistency of quality is the key.

So, this assures us of quality, because ENA is like the blood in a person's body. So, it is the heart or the blood. So that is consistent and our own, so which I don't think any other company enjoys that luxury. All the entire volume that we have talked about and our CEO has mentioned is done by captive consumption.

So that gives us double advantage, because naturally, in the same factory, we produce ENA and we bottle it. An

d the latest addition to our portfolio has been CSD. Canteen Stores Department normally takes a number of years for introduction. But considering the success story of our brands, we have to mention that we have already got the orders and we have started, in this financial year itself, we will get volumes. Over to CEO.

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Rupark Sarswat: Thank you, Raju ji, for explaining in detail what we've done in the market. So, as you heard, we've expanded our portfolio to premium single malt category, moving up the value chain. We've rolled out Amazing Dark Spice Rum, and Amazing Premium Brandy in Kerala, with a focus on diversifying the offering, strengthening our presence in the high consumption market.

And within CSD, launch of Zumba Lemoni Citrus Rum and Soulmate whiskey. And the rollout plan, just to add, is across 34 CSD depots pan-India. And also, for the regular Potable Spirits segment, we've introduced new SKUs in both glass and tetra formats, launching them in the Uttarakhand market and therefore expanding our portfolio.

So, coming to the Chemicals portfolio. So, for the quarter, we've seen some decline in sales, which is a 3.8% decline and a 46.1% increase in EBIT. And year-on-year, it is a decline of about 17.1% with a growth in EBIT of 8.3%. And our EBIT margins are up from 8.5% for the quarter to 12.8% and 8.8% for 9M to 11.6%.

So, there are several segments that we operate in this. In general, we've had a strong pipeline for our Performance Chemicals segment that I spoke about. And our focus is to continue to do incremental capacity expansion, introduce new products and continue to drive growth. Within the glycols space, which has been significant for us are bio-based glycols.

We've continued to maintain our strong foothold in the Eastern and Southeastern market despite

introduction of rPET. We've started to look at bio-DEG, which is different from MEG for new segments like PU, UPR etcetera. We've initiated trials with some other companies, and we are engaging with other companies which are showing greater interest in sustainability. Interestingly, some of them are also in China.

Within the Performance Chemicals segment, which is something that I can talk about a little more, which is smaller, but we are seeing good growth, we are also now the first company in the world to make the first commercial sale of bio-based amines, which we make to L'Oreal. We've worked on this project with them for several years together.

And I say this with permission from L'Oreal that we are selling to them, and we are in discussion with several others to look at selling more of this and many other products. We are operating in several new segments over the last 3-odd years or really speaking about 1.5 since our units started to come up. We broadly introduced in excess of 30 different products.

Now it takes time, there's a gestation period to work with several customers to develop them. But our pipeline is strong. We are working with some very strong names right from BSF, Dove to many others internationally as well as within the country. Our end segments include crop protection, carbon smart products, personal care, crop protection, paper, oilfield and we are looking at new areas like flavour and fragrances and potentially many other as well. So that is basically on the Chemicals segment.

As far as the Bio-Fuel segment is concerned, you are aware that this was driven by India's plan to increase blending of ethanol to about 20%. And our revenue for quarter 3 increased by 45.2%, EBIT up 273.2% and for 9M, revenue increased 51.2% and EBIT increased about 108.5%.

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So that is on the Biofuel space. I have spoken about it before several times, and I think we've taken quite a lot of time, so I will reserve any further input based on our questions. I

n short, the country is blending

20% ethanol. We believe that at least in near future, growth in consumption of fuel will continue to drive this as well as increase penetration.

For now, there is adequate or somewhat excess capacity in ethanol, which means it presents an opportunity for us to also start to look at ethanol for our Chemicals business being made within in-house. That is something that we are considering opposite imports.

As far as the Ennature Bio Pharma segment is concerned, it is one of the smaller but interesting segments of our business. It has been going through a bit of a challenging time essentially because of cost pressures on feedstocks and a significant amount of volatility in the Western market; that is where we sell this in Europe, U.S., etcetera.

But our focus is very clear. It is to graduate into the branded portfolio where we can add more value, implement stringent standards on quality and innovative products and formulations, and get those permissions and our products registered into some of the major developed country economies in the world.

So that focus continues, and we are quite hopeful that whilst we have seen some volatility and pressure on margins, the top line has been maintained or grown somewhat, and that we believe will continue to drive the business forward. So, with this, thank you for your time for a rather longest introduction from all of us, but we will take your questions.

Moderator: The first question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Congrats on improvement in performance all along. Sir, first question is to Anand sir. In terms of gross debt after repayment of the one of the tranches in this quarter, INR70 crores- INR77 crores, what is the year-end figure that we are looking at? And what could be the capex that is planned for the next couple of years? And how are we likely to fund it?

Anand Singhal: Rohit, whatever we have paid, say INR582 crores, in this we have paid INR288 crores working capital, which is, you can say, rupee CC. INR200 crores we have paid out of the term loan, and about INR87 crores we have paid out of some unsecured loan, which we have taken earlier. So hopefully, we will close on 31st March 2026 around INR1,100 crores term loan.

Apart from this, we are not having any big size capex. And any capex will be undertaken only after the demerger. And our efforts are continuing relating to the prepayment, and we are planning to pay, say, about INR100 crores, INR150 crores in April '26 also. Reason being because of the 31st March, most of the banks are not ready to take the prepayment. So, this is what is the situation as of now.

Rohit Nagraj: Sure. Second question to Rupark sir. Two parts. One is in terms of the ethanol blending in fuel, we have almost reached 20%. Is there any possibility to go further to 25%? And if yes, what are the areas? And if not, what could be the challenges? And second part is we have had 2 collaborations or relationships earlier. One is with LanzaTech, and one was with Lululemon, if I'm not wrong. What is the current progress or status on this deal?

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Rupark Sarswat: Okay. So Rohit, thank you for your question. And this has been something which has been talked about in the industry and the market as to whether the blending will be taken beyond 20%. And if it all will be taken beyond 20%, what will it be. Now as I had mentioned in some of my earlier discussions that there is clearly a committee appointed under NITI Aayog to look at blending over and above 20%.

So just to let you know that blending of ethanol is a bit tricky and it is not a linear blending, which can happen from 20% to 30% to 40% to 50% to 60% to 80%. So, the way this goes is that when you increase from 0% to 5%, there are hardly any challenges. Up to about 10%, also hardly any challenges. When you go to about 15%

, blending is okay, but then you also have to look at some issues in terms of mileage or some parts which need to be upgraded ideally.

And when you start to go beyond 20%, there is a greater effort required in terms of some modifications in vehicles to get ideal performance and not have any issues. So beyond 20%, the government is also, I think, in discussion with the auto manufacturers as I understand. That is up for consideration. And also, ethanol blending within petrol beyond 20% raises some requirements with respect to infrastructure, because petrol, as you know, is hydrophobic, ethanol is hydrophilic.

And as more and more ethanol goes into petrol, it becomes hydrophilic. It absorbs moisture, which means challenges in terms of making sure of moisture, corrosion, etcetera, etcetera. The smaller point that I'm trying to make is that a step from 20% to 25% to 27% may need some more actions on part of the government on part of the automakers in terms of the infra, etcetera. So, there is a bit of a challenge there, but it is definitely up for consideration.

Having said that, I think as far as the broader agenda of the Government of India is concerned, which is increasing farm sector incomes, reducing dependence on energy from outside, etcetera, that agenda, I think, is still valid and will benefit from greater blending, especially given the uncertainties in the world.

So for now, we believe and I think we'll have to wait and watch, it's not a given that 20% to 25% is going to happen next year or not, but some growth because India is growing, India is doing well. So, some growth in the consumption of oil will happen and that will drive some growth.

Having said that, I think subsequently, there is probably going to be increased demand for ethanol for a set of chemicals for which it is an important feedstock. Now why the Government of India may look at more blending from a feedstock perspective, if you look at the feedstock in 2019, '20, for example, 43%, 49% or in excess of 80% of what was blended came from molasses or almost 90% came from, if you also include sugarcane juice.

However, now, nearly 80% comes from grain and only about, maybe 70% comes from grain with about 46% from corn, which was nearly 0% a few years ago. The reason I'm mentioning this is in order to increase this, the government is also looking at how to spread out the feedstock, because otherwise, rice and sugarcane by themselves become limiting.

So, from a rice perspective, there is increased water use, longer crop cycle time, geographic spread is not that much there. If you look at maize, similarly for cane, the scalability is much higher, water use is lower, the crop cycle is shorter. The geographical spread is much better. And so, in future, there are several things.

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One is people will grow more corn and the second is introduction of improved varieties either from within what is available in India or potentially even GM corn, etcetera. I do not know whether that happens. But that thought process is there. It's not something that's going to happen immediately. And we realize that for now, we have to work with 20% increasing because of increased penetration and growth in the fuel market.

Answering your second question, as far as LanzaTech is concerned, we are working very closely with LanzaTech. We are continuing to sell some products to various customers, various multinational customers. The volumes have picked up lower from what we have thought, but there is regular business, and we are engaging with customers to sell more carbon smart products. I don't have a ready data to tell you volume, but I think it is significant within the Performance Chemicals portfolio.

So, the broader strategy in terms of looking at decarbonization, in terms of looking at greener products is intact. Whilst you would keep hearing in the world that sustaina

bility has suddenly to make an

exaggerated point, thrown out of window, I don't believe so, because sustainability is not a 4-year program. It is a decade or even a century-based issue.

And as you can see in other areas, for example, green hydrogen, green ammonia and multiple feedstocks

for ethanol, etcetera, coming down, and one of them is carbon captured, as I keep hearing. I believe in due course, the costs as well as the incentives for using captured carbon-based products, be it for the kind of product that we make or a wide range, will continue.

And therefore, it continues to remain a strategic focus area for us. And it's not something that has evaporated, but we have maybe possibly not spoken about it as much. It is something that is continuing.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, pertaining to the NSU ramp-up, what should we expect in terms of the ramp-up, in terms of the introduction of new products? You did outline about it in your opening remark. So, in terms of revenue, what should be the performance? If you could throw more light on the same?

Rupark Sarswat: So look, Saket, first of all, good to hear from you. I am tempted to give you numbers, because I think I'm very bullish about it. But it is a new business. It is very difficult to give you numbers and projections.

We are going to see a very strong growth this year, both in terms of revenue as well as profit, on a small base.

And I'm quite confident that we are going to see good growth in the years to come. So, we are not talking about percentage growth here. Not allowing optimism to overflow, we are hopefully going to see growth for the next few years in multiples.

Saket Kapoor: Okay. But any ballpark number, sir, to start with for this year?

Rupark Sarswat: Sir, I'm constrained to not rattle out numbers. As I said, I was very tempted, but I have to contain my optimism.

Saket Kapoor: Okay. And what should be the margin profile, sir for?

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Rupark Sarswat: You can support me on my bullishness based on what I've told you. We are looking at a wide range of chemicals. More than 30 to 40 have been approved. We are working with some of the best names. Of course, these are products which take 2 years to 3 years to work with them. For example, we are working with one customer. At one point in time, his projection is in terms of thousands of tons, which is by itself potentially hundreds of crores of business.

But then it depends on so many things: how the technology is adopted, how the global environment is. I think once we are a little closer and a little more certain to what's happening, that kind of idea we'll continue to give you. But please excuse me for not kind of giving you numbers.

Saket Kapoor: Right, sir. So now coming to the same point then, sir. For the JV, the performance has been on the lower side, in fact, last quarter was good, sir. But this quarter, I think so share of profit of joint venture has dipped significantly. So, if you could just explain to us the factors and what is the situation right now, sir?

Rupark Sarswat: So Saket, yes, so there has been not as much as a pressure on the top line, but there has been a squeeze of margins for the joint venture, essentially because as you know, we talk about price of the alternate material, which comes from Reliance as a feedstock versus ours. So that gap widened, which means that in order to get business, we were under a little pressure, our products are greener and more expensive. So that pressure has led to squeezing of EBITDA margins, and it's not that much of a top line issue, that was one. But also, to some extent, top line. So that situation right now is like that, but we are working on several things. We are working on enhancing exports. And this is a cycle which has happened for the last 5 years up a

nd down.

And as I mentioned to you earlier in a different context, we also see that with growing capacities in ethanol, it is quite possible. In fact, you can see the trend right now, that ethanol prices in India and globally are likely, I can't determine on a commodity, to see a downward trend, which should help us regain some of that margin.

The broader focus of the joint venture apart from the cost, of course, has been to look at more value-added products, more formulated products. And one of the reasons is that we were also very focused on exports. We are still very focused on exports.

The markets which pay a premium for the greener products, which, as you know, are Europe and U.S., which have been going through a much higher level of volatility and some of the challenges in their chemical businesses. So that, to some extent, has put pressure. But as I mentioned to you, longer term and strategically, we are doing the right things. And given all of these, I think we should be okay.

Saket Kapoor: Okay, sir. And if time permits, sir, for the Ennatura Biopharma, we have seen the contribution margins improving rather for the quarter. Sir, so whatever negatives were there because in the business plan, business environment rather, how are those factors currently playing out? And what is our road map for this segment? I think so this has been a pain point, although a smaller portion in total portfolio but still that margins were significantly higher. So right now, yes sir tell me?

Rupark Sarswat: Saket, first of all we look forward to your question every time.

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Saket Kapoor: Thank you, sir.

Rupark Sarswat: Okay tell me, if we listen to your question, but firstly say something about our good performance. We had record numbers overall friend.

Saket Kapoor: That's right sir.

Rupark Sarswat: Your questions are valid. I need to lighten a little bit. That's fine. And I took the liberty with you because you are a good friend. I will request Manish to enlighten you.

Manish Pant: Yes, so Saket, as in the last quarter, I have told you that coming quarter would also be under stress and the situation will improve in fourth quarter only. So, in the same line, I'm just trying to tell you that the Thiocolchicoside the raw material feedstock, which is Gloriosa seed is now being stabilized, and the new crop is coming. So we don't foresee any problem in getting the material, and we are expecting a better price in the international market also.

And the nicotine sales, which was earlier under stress, now it has been started again. So, we are expecting a good margin and a good turnover in the fourth quarter and going forward also. And with respect to the branded nutraceuticals, we are in the recent acquisition in supply side, we are launching Gingeren and asparagine both the new product under the branded nutraceuticals. So, we are expecting a good traction in those products.

And we have already established an office in Houston, America. And the person who is already there, is in the contact of the many agents to have the better turnover in the next coming quarters.

Rupark Sarswat: So Saket, just to add to what Manish said, as you see, nicotine sales have started to increase. In terms of branded ingredients, Gingeren and asparagine have been launched in supply chain in U.S. with clinical data, and I think that will strengthen NHS's global market presence. Maxicama NOP organic certification and Korea registration is underway, which will also help enhance sales and positioning across key markets.

I mentioned to you about some of the challenges. In this business, we are dependent on how the developed markets are picking up, but the efforts are on to build standardized ingredients, improved quality, better certification, better registration, including markets like Taiwan, etcetera.

So, all in all, we are focused on the strategy, we

realize we are going through a bit of a challenging time.

But as you know, the nutraceuticals and the herbal by fundamentally, it's a good business as long as you continue to innovate, give differentiated products, build a brand around it, get your registrations and get your products into good formulations across the world.

Saket Kapoor: Only one point for Anand Ji. Anandji, Namaskar. Just you mentioned that INR1,100 crores is the net debt number as on 31st December and INR150 crores is the repayment we are planning to make in the month of April. Sir, what is the roadmap next year to end the closing date or you are in a hurry to figure out this number?

Anand Singhal: Saket, I have told you that on 31st March, the closing term loan will be about INR1,100 crores. And we are planning to pay some more debt in April, because there are some reservations from the bank side that

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they don't want to take the prepayments in March, okay? Next year, we have a normal repayment of INR285 crores. So, in any case, that will happen. And depending upon our cash flow, we will certainly like to prepay some of the debt.

Today, our CC is totally vacant. So that's why the cash flow side, we have a good cash flow. And we are continuously working very closely with the banks how to reduce interest or accept the prepayment. So, I cannot give you the number for the next year, but we will certainly try to reduce our interest burden in the coming years.

Saket Kapoor: When would the ratings happen?

Anand Singhal: Rating is in process. Shortly, you will get. But only thing is because of the demerger, the rating is in watch list.

Saket Kapoor: Watch list, yes sir.

Anand Singhal: So, you will not find the rating improvement till our demerger happens. So, any improvement in the rating you will see only after the completion of the demerger. Till that time, the rating will be the same, and we will continue to be in watch list.

Saket Kapoor: Okay. But cost of fund will remain then remain the same only, sir, that you will not be able to put the rationale on banks to reduce?

Anand Singhal: Cost of funds will reduce, Saket. We have already done some swapping of about INR125 crores, saving us about 150 bps to 200 bps. And now we are working on the same. So don't worry, we will reduce our interest debt.

Saket Kapoor: Thank you sir, to the entire team for very good set of numbers and good operational data points and hope to end the year on a promising note.

Rupark Sarswat: So, you always improve our vocabulary. You will also see improvement from a business perspective.

Moderator: The next question is from the line of Balasubramanian from Arian Capital.

Balasubramanian: Sir, my first question in total sales the volume grew almost about 5% year-on-year on a 9-month basis, around 23.7 million cases, while the revenue grew 16.6%. It clearly shows like we are shifting to premiumization strategy. I just want to understand this premiumization strategy is cannibalizing the regular portfolio?

And what price level ranges products we are having on premium portfolio as well as regular portfolio?

And if you could share what is the current update on market share across North states? And what is the current progress in Kerala market and other South India?

Raju Vaziraney: Okay. It's quite a elongated question, but I will try to answer. See, as you rightly said, the intent is to move from regular brands to premium and figures have already been spoken. You are talking about qualitative measures. And now we have a range of brands. See, what is our strategy? Important is the strategy of the organization.

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The strategy of the organization is to establish our brands across segments, particularly in whiskey segment. All our competitors, most of them do not have whiskeys in the premium

segment. So, what we

have been able to, if I may say, establish is we have seeded in all segments, which I spoke a few minutes earlier.

Every INR20 or every INR30 or every INR100 a bottle, we have got a brand. So, the stage is set. Now it is for us to go stepwise. Our strategy, our Chairman is very clear that it has to be steady build approach, not big bang, because big bang generally doesn't succeed. So, we are starting states like now to cover your other question, Kerala.

Kerala is a government-controlled market. Payments are secured, and we have created a beautiful brandy. And I must mention that it has come from France. The blend has come from France. It took that kind of time, but one is well versed with making brandy. For obvious reasons, I don't have to elaborate. You are well aware, it is the leader brand now.

So, we have got a challenger brand to the leader brand, and we have got it from Cognac France. And it's brilliant. The first reports are very encouraging. We are going to expand the brandy portfolio in South. For the benefit of all the investors, in this after whiskey, it is the brandy which sells more, not rum. So, we are now addressing the second biggest category of our country, which is growing and that also in the premium range. So that is Kerala. Anything else you want to know?

Balasubramanian: Sir, on the market share side, especially the North states?

Raju Vaziraney: See, market share, it's not fair to elaborate, because it is not in public domain, but we are in double-digit growth. And we are among the top 3 brands, as I mentioned, of our flagship organic brand called Amazing Vodka and it's stable. It has been well awarded brand, and it is in all the markets that we have launched. Similarly, our Zumba Lemoni, which is in the premium segment and challenger brand to the leader. Also, we are in double-digit market share and among the top, there are 2 brands literally now. So, I can talk more, but we are cautiously, but definitely working in premiumization, but we don't take rash decisions, because it has a lot of financial implication. Now CSD has been our latest success. And very quickly, we have been able to get registrations because of our efficiency and our quality, because there is differential power in market, 100 things, so many screenings that they do, we will pass all screenings.

I mean once our ENA is used by Bacardi, which is an international brand, all our CSD as well as civil in entire North and East, there is no reason why our brand also should not succeed. So CSD is our, if I may say, latest success. And every quarter, you will see more results, more premiumization stories and more market share gain.

Balasubramanian: Yes, sir. My last question in Chemical business side, we have seen clear margin improvement supported by discontinuation of low-margin trading activities. Now I think new bio-based amines the commercial sales is beginning in Q4. I just want to understand these amines margins are double-digit rates, whether we can be able to maintain that historical average of 12% to 13% kind of range?

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On that biofuel side, the margins also significantly improved from 3.3% to 8.4% in this quarter. And because in the OMCs, their pricing is very stringent. We are achieving this scale because of the operating

leverage or whether we can be able to cross it double-digit levels?

Rupark Sarswat: To answer your question first on Chemicals, whether we'll be retaining this percentage margin, the short answer is expectation is yes. As I mentioned to you that, first of all, I gave you a view of how our margins have not suddenly improved, but we've gone from 11% to 15% for the business. A similar thing is also something that we were looking at very consciously in the Chemicals space. You mentioned one thing, which is about discontinuing lower-margin businesses, not only trading, but

also manufacturing.

I also mentioned to you that we made significant changes in our operational philosophy. Partly it was how we ran our plant. Continuous plants sometimes need to be shut down, sometimes we need to segregate some portion, so that we don't manufacture, for example, byproducts or products which we have to sell at lower prices and so on. That helped.

We are continuing to look at a portfolio of performance chemicals, which will continue to deliver better margins over a period of time. The short answer to your question on bio-based amines, the margins on that are good. It's too early on an initial sales for me to predict margins for this in the longer term, because we are also scaling up and looking at improving technology in this space.

So, when we enter product like bio-based amines, it is a slightly longer-term bet for us as well. And then I said it's not, bio-based amines is something that I talked about. But the numbers that I didn't talk about, which are delivering for us right now are, for example chemicals in oilfield and gas, for example chemicals in paper, for example chemicals in crop.

And for example, chemicals in coatings and polymers, I'm sure that the pipeline that I'm aware of, one of the criteria for us to select our NPDI product is apart from the size of the market, apart from the strength that we may have is also a reasonable profitability that it would deliver.

So, with that strategy and based on what is happening in the world and how India is growing, I believe that the margins for the Chemicals business, what you see right now is not a one-shop shift, but we believe that this will be sustained. And of course, our attempt is to continue to make it even better.

Balasubramanian: Sir, on the Biofuel side?

Rupark Sarswat: Yes, sir, I forgot. So, in Biofuels, you are right that the price is actually fixed by the government, right?

So, it is based on the feedstock that they fix the price. It is not a price which is just fixed on ethanol. And I think it was part of a strategic action that the government took, so that there is a overall bouquet of feedstocks which are encouraged in the country and not only put pressure on one particular feedstock, be it cane, be it rice, etcetera.

And I did speak about the fact that even though the government pays higher for corn and it is more expensive, it is a strategic feedstock, and therefore, the government is working on expanding maize and corn. And the reason I mentioned this is that the Bio-Fuel story may have taken a pause at 20%.

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But strategically, it is an important part of the Government of India from a farm sector perspective, from an energy security perspective, and also from an environmental perspective, talking about water, they want to move to crops, which are less water intensive and so on. And so, margins also depend on several things. It depends on feedstock prices, and it also depends on an important byproduct called DDGS.

So, I have a lot of data on various sources of protein for veterinary and poultry use. DDGS prices, for example, of late have been going up. Now DDGS availability has also been going up. But the reason it has been going up is that, the biggest, for example, sources of protein for animals and veterinary and poultry has been soya and some others. There is now increasing acceptance, for example, for the byproduct in DDGS.

Longer term, as far as the margins of this range of products in Biofuels is concerned, my take on this. And take it with the fact that it is my take, it's not a prediction, is this is an important business from a country perspective, from a government perspective from a farm sector perspective, from an energy security perspective. And whilst the margins, depending from the availability of the feedstock, DDGS price decided by the government from time to time, may vary a little bit as has

been seen over the last 3

years or 4 years. As far as Biofuels is concerned, there will be a range-bound profitability, but it will be range bound on both sides, which means that it is not a commodity, which will certainly start becoming like gold as it did in few months back. Neither will it drop or crash for what you sell in Biofuels. So, it is range bound by policy.

So that is how we see the margins going forward as well. It's not a margin where we can predict that it will be 12% or 13%. I think it will be range bound. It will be positive. It will not be huge. And this is a business which is here to stay strategically, my view is based on how the government has implemented

its policy.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. On behalf of InCred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Rupark Sarswat: Thank you very much for joining us, everybody who spent time to understand what we've done. And thank you for your questions as well.

(This document has been edited for readability purposes)

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Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q4 & Full Year FY26 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2026-27/08, IGL/SE/2026-27/11 & IGL/SE/2026-27/12 dated 7th, 18th & 18st May, 2026 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q4 & Full Year FY26 held on Monday, 18st May, 2026 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

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"India Glycols Limited
Q4 & Full Year FY26 Earnings Conference Call"
May 18, 2026

MANAGEMENT : M R. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. S. K. SHUKLA – HEAD, LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD, LEGAL AND COMPANY SECRETARY

MODERATOR : M R. NITIN AWASTHI – INCRED EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q4 & FY26 Earnings Conference Call hosted by InCred Equities. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. The statements are not guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, Mr. Awasthi.

Nitin Awasthi: Thank you. Firstly, I would like to thank the management for giving us this opportunity to host their conference call today. From India Glycols management, we have their CEO, Mr. Rupark Sarswat, their CFO, Mr. Anand Singhal, their Head of Liquor Business, Mr. S.K. Shukla, and their Head Legal & Company Secretary, Mr. Ankur Jain. I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for a Q&A session. Thank you and over to you, sir.

Rupark Sarswat: Yes, good afternoon, Nitin, and thank you for hosting this call. Also, my apologies for us starting a little late. And I'm also joined by one of our other colleagues, Akshay Bansal, who Heads the Ennature Biopharma business, and Ankur due to some emergency is not here.

So, nevertheless, I think I have a good year to report, because we are talking about the annual performance. So, as you have probably seen the numbers, we have had gross revenues of INR9,827 crores, which is up 8.7%. Net revenues of INR4,211 crores, which is up 11.8%. Now, the revenue growth has been led to a large extent by the growth in Potable Spirits and Bio-Fuels, and we will talk about these segment a little bit subsequently. EBITDA has been INR654 crores, which is up 24.5% over last year. And the EBITDA margin itself is up to 15.5%, up 162 basis points. And we have seen EBITDA growth more or less across the business. The significant segments of Potable Spirits, Bio-Fuels, as well as Chemicals have driven the margin improvement, particularly led by Chemicals and Bio-Fuels.

At a PAT level, we are posting INR293 crores, which is up 26.8%, and the PAT margin at 6.9% is also 84 basis points up. So all in all, a strong operating performance, and therefore, also resulting in a good increase in profitability.

If you look at the quarter, we have a net revenue of INR976 crores, which is up 13.1% for the same quarter prior year. And in this quarter, all segments have delivered strong growth and that has resulted in this 13.1% growth for the quarter. In EBITDA terms, it is INR167 crores, which is up 13.3%, and the EBITDA margin at 17.1%, is up five basis points.

Now, if you add other income, actually our EBITDA margin is close to 20.8%. And the reason I mention this is that the most significant part of our other income is actually income from the JV. And why it is not a one-off income, it is a income, which is very much interrelated and integrated with the Chemical business. And in a way, we sell EO to them and the way IGL realizes its profitability is through this steady other income. So, in that sense, when you look at the Chemical business and the quality of the business, it might be good to look at both. And as you would expect, our finance costs have been lower and talking about the segments, India reached 20% blending as far as Bio-Fuels is concerned, which

drove quite a lot of growth,

both in terms of profits as well as sales. And as we will talk later, there is talk about how and whether the Government of India can increase the blending to 21% to 22% or even looking at flexi vehicles.

In the Potable Spirit space, we have maintained our market leadership in the markets that we are present. And broadly as far as IMFL is concerned, we successfully look at implementing the strategy for premiumization, and Buntty Bubbly continues to be the largest selling brand within the country.

In Chemicals, we've seen a bit of a dip in sales, but having said that, I think we saw significant uptick in terms of the margin percentages as well as growth in overall margin. Now, that's based on some readjustments in the business, and letting go of some low margin businesses, but we continue to focus on higher value-added Chemicals.

In short, our performance Chemicals portfolio has started to do well, though it's a smaller part of the overall Chemicals business, but our pipeline is strong and we expect that it will continue to drive good growth in Chemicals.

In Ennature Biopharma, you would hear later as well, the top-line by and large has been stable despite a relatively challenging global and macroeconomic environment, as well as cost pressures. But the silver lining is that we've been acquiring new customers and the progress that has been made in terms of launching of branded nutraceuticals, getting more standards and certificates, etcetera is good, and we expect that the business will recover and do well in the times to come.

Now, as I report this year, I may like to point out that we've had an interesting journey over the last few years. So, I'll talk about some ratios, our EBITDA in the year FY22 was 9.6%, in FY23 it became 11.9%, in FY24 it became 12.9%, in FY25 it became 13.9%, and in FY26 it became 15.5%.

So whilst, if you remember when we started doing these calls, we spoke about certain challenges that the business had and a strategy to overcome those challenges both in terms of actions in the marketplace, diversifying our portfolio, taking some cost actions. Of course, we always depend on some tailwinds, but by and large, it is a result of a strategic thrust to improve the quality of the business.

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Similarly, if you look at some of our ratios, our debt-to-equity ratio has gone down from 0.7x in FY23 to 0.5x this year. Our interest coverage ratio has gone up from 2.3x in FY23 to 3.0x in FY26. And if you look at ROCE over the last few years, it has gone from 7.7% in FY23 to 11.9% in FY26, and RONW has gone up from 7.7% in FY23 to 11.3% in FY26. So, I am optimistic, and I think I'm happy to report that we've made progress over the years, we've made steady progress, and we've made good progress.

And the other thing, which is talked about and I must brief you is whether the war has had any impact on us. Well, the short answer for everybody is, yes, but it has had a mixed impact on us. Now, the reason it has had mixed impact probably overall a little positive is that what it has led to, it has led to sharp increases in the crude price and also some availability constraints as far as MEG or ethanol is concerned. Which means that our relative competitiveness for products, which are based on ethanol is somewhat better, or significantly better in some cases, and which has helped us improve margins a little bit, get market a little bit more. And I will talk about crude price a little bit more subsequently.

And as far as exports is concerned, it has impacted us adversely because for big customers like New Park, where we send our oilfield chemicals largely to the Middle East, that business is largely on hold. I think fundamentally the business is strong, we continue to work on new products and new application areas, but this has caused some problems.

As you also know, as a result of the wa

r, many raw material feedstocks, for example, propylene oxide, prices have gone up, availability is a challenge, so it has affected some areas. And as you would imagine, given a sustained situation of war, the demand itself has softened in some areas. So, all in all, a mixed impact, but overall, maybe slightly positive given the fact that in the ethanol-based materials it has improved our competitiveness.

Now, talking about business performance from an SBU or segment perspective, so in the Chemicals business, we've had a net revenue of INR1,203 crores in FY26, which is down 10.4%, but our EBIT at INR141 crores is up 12.5% and our EBIT margins are up to 11.7%. So, I spoke about the reasons for the weak sales, but it is a good improvement both in EBITDA margin as well as overall EBITDA.

Now, there is, if you look at EBITDA without adjusting the other income and probably some streamlining that is required in-house, we will start to see that the quality of the Chemicals business is probably going to be better than this going forward.

As far as the Potable Spirit business is concerned, we posted a top-line of INR1,331 crores in FY26, up 14.4% and an EBIT of INR285 crores, which is up 11.1%. For the Bio-Fuels business, an excellent year with the 40.9% growth delivering a top-line of INR1,470 crores in FY26 and an EBIT of INR115 crores, which is nearly double, which is up 103.3% and an EBIT margin of 7.8%.

Ennature Biopharma, as I mentioned, top-line has more or less been similar to last year, but margins have been under pressure. And we will talk about the actions, which we are taking and

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making good progress on, which should see this business becoming stronger in this year, as well as the years going forward.

For the quarter, the net revenue for Chemicals is up 18.8% at INR301 crores. The EBIT is at INR37 crores, is up 37.4%, and EBIT margins are 12.2%. And this is given some of the factors that I spoke about, the business, in my opinion, will start to look better going forward.

In Potable Spirits, we posted a top-line of INR306 crores for the quarter, up 7.9%, whereas, margins for the quarter were somewhat under pressure, but that was a bit of an odd quarter in the last year, at INR68 crores. Overall, EBIT margins were very good at 22.1%.

For Bio-Fuels, for the quarter, 11.6% growth posting a top-line of INR305 crores and an EBIT of INR30 crores, which is up 90.0% with an EBIT margin of 9.9%. Ennature Biopharma saw a turnaround as far as the top-line is concerned with a 23.2% growth in the last quarter, but an EBIT of INR3 crores, as I said, the margins have continued to be under pressure.

Talking about a few other things, I spoke about one of the things that we often talk about, which is the EO price and the ethanol price and the relative price of EO to Reliance's EO price, because it impacts several of our businesses.

So, we saw a period and for the last couple of months, we have been competitive as far as Reliance's EO price is concerned and that is because of rising crude prices and also ample availability of ethanol within India. And we'll talk about the ethanol capacity and the fact that we have now a little more than the capacity that Bio-Fuels consumed in India.

Now, the reason I mention about this is that I do feel, however, that whilst the petroleum prices or the crude prices may soften, but the crude prices may, and that's my opinion, whilst, it's anybody's guess as to what's going to happen, are expected to stay a bit firm. And the reason I say this is, first of all, the war, different people have different expectations, has lasted a little longer than what most people expected. There has been a significant amount of damage, and the damage has been to a number of friends of the US and people who control oil, and I would imagine that one of the ways to some extent recover is to keep oil prices somewhat high

er.

The second reason, in my opinion, is that America also wants to sell oil, you remember Mr. Trump saying "drill baby drill" in his election campaign, which means that there's a possibility of America wanting the prices to be a little more firmer than they have been. We've seen a period of low crude prices for a period. And they also control Venezuela to some extent, Iran.

I also imagine that some customers would like some diversification in terms of sources. Even if it is a smaller percentage of share, we should be able to benefit in some cases.

Now, the reason I say this is that we have seen a period of lower crude prices and if you go back before 2021, for a period of 15 years, we were equal or less than Reliance's EO price. So, I do not know, which period to call abnormal, but we did see significantly lower crude prices for a period of time.

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Related to this is also the ethanol price trend that we monitor. It is important to several of our businesses; Chemicals, Potable Spirits, Bio-Fuels. Because of a number of factors including freight and others, the imported ethanol prices in India went up quite significantly, whereas, the domestic prices have more or less been stable or maybe even saw a bit of a dip.

Now, given the fact that we have good ethanol capacities in-house, we talked about a 3x3 strategy and the fact that we have grain, molasses-based, as well as the option to import, it allows us to also use in-house ethanol for our Chemicals as an intermediate without worrying too much about excess ethanol capacity.

So, I think that strategy, which allowed us to tide over some of the difficult times, also is helping us right now because we've toned down our imports quite significantly and we've been able to support our Chemical business to a large extent by ethanol produced in-house.

So, talking about the segment, which is in higher spirits these days, which is definitely Potable Spirits, to start with, continued to have a very good year with 14.4% top-line growth. As I mentioned, 11.1% EBIT growth and improvement in EBIT margin as well.

So, we've made a strong entry in the CSD business, Bunty and Bubbly continues to remain the highest selling brand in India. We've maintained our market leadership position, as far as Indian Made Indian Liquor is concerned in UP and Uttarakhand. And we launched several new brands and we'll talk about a little bit. In Uttarakhand, Indian Made Indian Liquor, we saw a growth of 21%, in UP, we saw a growth of 11%, and despite our being in only these territories as far as Indian made liquor is concerned.

And we have done several things to continue to strengthen this exciting business. We've expanded coverage in Western UP with new brands as far as IMIL is concerned. IGL has maintained the leadership position in UP. So, our leadership position has been amongst the top two and very close for a long period of time.

We've increased our coverage in the state with almost 10 new stations. We've introduced seven new brands in the market to the new stations. And as per the government policy, also added the 100 ml SKU in the market and we are getting a good response. We've also opened 42 company-operated warehouses in UP, which will continue to drive this business.

For IMFL in UP, we've successfully introduced Amrut's Prestige Whisky in the Deluxe segment and sold 51,000 cases so far. We've introduced Bunty Vodka, Jeera and Cranberry flavor in the middle of this year. We've received a 66% growth in Amrut's MaQintosh Whisky, overall a 30% growth in IMFL volumes for the year. Successfully launched Amazing Vodka, Jamun flavor, which is Bunty Vodka in Q1 as well. We've also successfully launched Dhurandhar Whisky in the regular category.

Similarly, talking about our initiatives in Uttarakhand, Amazing Vodka achieved a 21% market share against an 18% market share last year. Amazing Whisky in Utt

arakhand secured a 76%

growth. And we also introduced Amrut Prestige Whisky in the middle of this year.

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In Bunty Vodka, we saw a 122% growth. And we have continued to maintain our leadership position in the regular whisky category with Soulmate Black. We've successfully introduced Amazing Jamun, Bunty Jamun, and Cranberry. And these, I think, will continue to drive growth in these segments both in UP and Uttarakhand. And other than that, of course, as you know, our growth is also coming from new areas like CSD, and paramilitary, which you'll hear more about a little later.

I have already spoken about Bio-Fuels, so I will not come to the numbers once again, except that, in general, the government's policy of 20% blending was finished ahead of schedule, which was initially scheduled for 2030. Now we have somewhat excess capacity in ethanol, which we all know. And there are discussions with increasing talk about securing India's energy, reducing forex outflows, of probably increasing it beyond 20%. So, you can increase a few percentage points beyond 20% depending upon the government policy decision.

The other thing that is being talked about is, in a selected manner, going to flexi vehicles, which operate at 85% plus. Now, and some of you may know or most of you may know, there is an operating range for ethanol. You can't linearly go from 20% to 85%. There is a wide range, broadly between 30% to 85%, which is a no operating range for various reasons.

So, both these may help further pull up demand for Bio-Fuels. But having said that, I think if India continues to remain a high volume, cost-effective producer of ethanol, there are a number of other outlets for ethanol including ethanol-based chemicals.

And, similarly, we saw good sales growth in our ENA business, which is Extra-Neutral Alcohol.

Now, dual flexibility, as you know, that we can produce ethanol from grain and molasses, has helped us with optimizing the cost as well as offering people different feedstock-based ENA.

Our domestic volumes are stable, and we also see steady demand from IMFL, pharma, perfumery, as well as the packaging that we do for Bacardi.

Now we keep a track of our margins and the few factors, which affect our margins for the Bio-Fuels business, include the price of course, which has more or less been steady. The good thing has been that the grain prices have been somewhat stable. In fact, a little lower than what we saw earlier last year. And there is increasing acceptability of DDGS, which is a protein by-product, which means that the profitability in the Bio-Fuels business, as you see, has also improved.

Now, these are questions, which many of you over the years continue to ask, which was about growth in Bio-Fuels, as well as how would we sustain the profitability in Bio-Fuels. And we continue to at least have an opinion that the policy by and large is not a short-term policy, is a long-term policy. And there is enough thought that the government has given to make sure that the industry is sustained with reasonable margin at the least. So, whilst from time to time the profitability varied, but remember it never became red and by and large there were adjustments in the market, either due to a natural adjustment or because of price adjustments that the government did, and the profitability of the industry has remained healthy.

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Now, talking about Chemicals, we have spoken about the numbers. In short, the story in Chemicals is that we continue to see very good growth in performance chemicals, although it is a relatively smaller segment as of now. And we are quite confident that that growth is going to stay for the years to come and drive growth as far as Chemicals is concerned. So, we've spoken to you in the past about carbon smart materials, we continue to build that busin

ess. We continue to build the business in oilfield chemicals, working with several global majors like BASF, New Park, and now even some others. We continue to work with big majors like Dow, L'Oreal. We spoke about bio-based amines, we had a slow start but we did mention to you that IGL became the first manufacturer of a green bio-based amine for certain applications, and our first customer, we are proud to say, is L'Oreal with whom we also did some co-development over the last three-four years, and we've started commercial supplies for them. There are a number of new products that we are working on, which includes dibasic esters for foundries, wire enamels, certain products for the personal care space and the Flavors and fragrances space.

Our glycols did well. We saw some growth in the glycol space and we've maintained our market in Southeast Asia despite the challenges. I don't even think that I should talk about those as separate challenges right now, because the Reliance MEG, we don't compete with. I think the point here is that the niche customers have continued to buy glycols from us and have continued to grow.

Then coming to Ennature Biopharma, we spoke about the numbers in terms of growth being steady, in terms of top-line, a nominal degrowth is what we saw, however, margins being under pressure. So, the Q4 revenue performance saw a strong comeback as I mentioned driven by certain increase in Thiocolchicoside prices, recovery of the nicotine business, and strong nutraceutical numbers.

We've strengthened our branded nutraceuticals portfolio through global certifications, clinically backed ingredient launches. And we expect that the business will come back given the actions that we are doing in the times to come both in terms of volume as well as profitability. And my colleague Akshay would be here to answer or talk about this business a little more.

Now, allow me to take a pause as I request my colleague Mr. Singhal to take you through the financials.

Anand Singhal: Good afternoon. Since most of the financials has already been covered, I will only cover three points. One point is that the company has prepaid almost about INR804 crores in this quarter, which has been funded by INR467 crores through equity issue, which we did in November '25 and rest of the funds has been put in through the cash flow.

So, this INR804 crores include the long-term debt, the working capital, and the short-term loans resulting in INR20 crores saving in the interest cost, which is already there in the results.

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Number two, there are so many queries relating to the dividend showing in the consolidated results. Just to update that the Accounting Standard 28 do not allow us to show the dividend as income. The amount of INR38.38 crores, which we have received from our JV Clariant has been adjusted against the investment, which is there.

Third point, that there was a plant shutdown for the change of the catalyst from 17th March till 2nd April. So, this has also resulted the reduction in the production as well as some sales. Apart from this, most of the results has already been covered by Mr. Rupark and that's all. I don't want to rather take more time, and I will like you to raise your questions. Thank you.

Moderator: Sir, should we start the Q&A session now?

Anand Singhal: Yes, you can.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Pragya Laddha from Omni Securities. Please go ahead.

Pragya Laddha: Sir, my question was firstly on the plant shutdown, which you talked about. How was our business disturbed due to this, can you throw some more light on it?

Rupark Sarswat: Yes. So, we take shutdowns for two reasons. One, is generally for catalyst changeovers, which takes some time, which is required roughly in 1.5 y

ears. Now, the way the business gets impacted by that is that we are a continuous plant. So, we also make ethylene oxide, which we sell to, for example, the Clariant joint venture.

So, which means that business to some extent gets affected, to the extent that they cannot build up stock. And, obviously, sometimes there are new orders for, which you have not planned and they stop.

The other thing is that it has not impacted our MEG business, but it impacts some other businesses like glycol ethers, or specialty surfactants, etcetera, which you can't stock up too much in advance. So that's how it impacts us.

Pragyam Laddha: Okay, sir. Secondly, sir, on the Potable Spirit segment, the EBIT is down Q-o-Q. We say we are continuously moving towards premiumization, and so sir, my first question is what is the split between country liquor and IMFL, and how do you see it going forward? Also, what would be the EBIT margins for say FY27 or going forward for this segment?

Raju Vaziraney: Okay. Thank you for the question. Approximately 25% of the pie is towards IMFL and 75% towards India Made Indian Liquor. But we have definite focus to improve the IMFL part of it without losing focus of the IMIL part. With the result that, you know, we are now, I would like to tell you what the steps are we are taking for increasing the IMFL segment, particularly premium segment.

First of all, we take satisfaction in mentioning that two of our key brands, that is Soulmate Whisky, which is a Millionaire Case Brand, also our Zumba Lemoni, which is very popular in

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the market have been introduced in the CSD and we've already started supplies in the entire country.

For the benefit of those who are not very much familiar with CSD details, this is a lifetime registration, and which is obtained after a lot of screenings by the armed forces, because it is meant for the consumption of the Indian military. So, this is one.

And also, a third brand of ours, that is Zumba Black, which is the mainstay business, the rum, black rum of the military, also has cleared the preliminary screening committee, PSC we call it, which consists of the entire board of the administration of CSD.

In other words, in principle, they have accepted our third brand also, of course, final board approval will be awaited. It will take little time, but this is also very positive news. Now, our growth, as our CEO rightly said, has been very strong in the IMFL, particularly premium segments. And we expect to continue to grow rapidly in the IMFL premium segment.

Now, how this is possible is in two ways. The first point is that we are taking more geographical coverage. We started with Kerala market. We are very cautious about giving credit. So, our first focus is on the corporation-led markets in particular where the money is secure, because the working capital required for IMFL is very high.

So, we want to go steadily but with very firm grounding. So, Kerala has given us very good response. We introduced our new brandy in Kerala, and we used a French blend, which took us lot of time, lot of research was done. We don't introduce brands off the cuff. We do a lot of research, and we do it both internally and externally. So, the brand is well-accepted in the market. Then we have started business in our other states and very soon we will be doing in Andhra Pradesh and other markets like Rajasthan. So, one, is geographical coverage.

And second is with new brands. As our CEO rightly said, we have introduced brands like Jamun and Cranberry Vodka, which are in demand, or if I may use the word, which are in vogue. So, because of we being a tropical country, Jamun and Cranberry are well-accepted. We have two more brands in the offering, but for obvious reasons we cannot disclose at this stage, but very soon they will see the light of the day.

So, both geographically, as well as new brands will

I stem the growth to high double digits, and

we expect to consolidate our position in the markets like Delhi, UP, Uttarakhand, Kerala, and other markets very soon.

Most important is that we have inbuilt capacity, see as opposed to competition, if I may say, we have an inherent advantage where we do not use even one liter of ENA for our brands and we have enough inbuilt capacity to use our ENA.

For the benefit of those who may not be aware, our ENA goes to top multinational companies including Radico and Tilaknagar and Diageo for now, and Bacardi, which is our partner since over 15 years. So, there is no reason why we should not be able to make our brands as good or better than competition. So, our ingredients are good, we have laid the foundation of our new

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brands, and I'm sure in times to come, we will have a very strong double-digit growth. So any other questions?

Rupark Sarswat: Raju ji, can I just add to it?

Raju Vaziraney: Yes, why not.

Rupark Sarswat: So, just to share some data with you, UP is one of the largest liquor market where for IMFL, if I am not wrong, Manish correct me, our top-line growth last year was 25%, that's it. So, lot of our growth is coming from IMFL, which is the relatively premium part of Potable Spirits.

Now, the numbers that I have for UP, for example, whilst Indian Made Indian Liquor is 65% of the volume, but 52% of value. IMFL on the other hand is about 16% of the volume, but about 34% of the value.

So, if you see in value terms, it starts to approach right now slightly more than one-third, but half of the market share. And my understanding is that whilst the medium and economy brands over there have grown close to between 4% to 7%, but the premium brands of IMFL have grown in higher double-digit number percentages.

Now, I have a number, I don't know what the exact one is, so I'm refraining from quoting it.

Now, if you see what our strategies and why we think we would be successful in these market that we are focusing on, for example, Delhi, UP, Uttarakhand, which are the first markets that we're focusing on, is as Raju ji said, we are very strong in terms of high-quality ethanol manufacturing.

As, you know, we are also the first company ever to start doing third-party bottling for Bacardi in Kashipur. In addition to that, I think the fact that we've got a strong base in terms of Indian Made Indian Liquor is a good way for us to make our presence felt and graduate some of our customers.

In addition, I think our approvals in CSD, as well as paramilitary, we think would be growth drivers. And the traction that we have seen with the inorganic growth in terms of acquisition of Amrut brand is also good, which allows us to state with some confidence that we will continue to drive premiumization in our portfolio, which will not only drive growth but also make the business richer in terms of margins.

Raju Vaziraney: Yes. If I may just add and supplement to what our CEO said. See, now we are poised for growth, because now we've got the entire range of brands. Our Soulmate Whisky, which is our flagship brand, is a Millionaire Case Brand. We've got our Vodka, which is Amazing Vodka with various Flavors including Cranberry and Jamun, which are doing very well, which are a challenger brand to the leader brand. We've got our Zumba Lemoni, which is again number two brand in that segment.

And now it is in public domain, so I can clearly say that we've got in few states of the north, we've got the distribution rights of our Amrut luxury malts, which are world famous and loved

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all over the world. There was unmet demand for these brands. So, it is slightly more than distribution, but for obvious reasons I cannot disclose, but we have got the entire range now. So, when our sales guy goes, he has a regular range brand up to th

ese single malts. The future is in premiumization, so we are in a good position to attend to the needs of all segments.

Pragyam Laddha: Okay. Thank you, thank you, sir, for such a detailed answer. Since, the IMFL portfolio is growing, do you see the margins to be north of 22%?, if I'm not wrong.

Rupark Sarswat: Sorry, can you repeat your question?

Pragyam Laddha: For the Potable Spirit segment, do you see the EBIT margins to be in north of 22% for the Potable Spirit segment?

Rupark Sarswat: For the Potable Spirit segment, I think I've already shared the number, which for Q4 were 22%, the EBIT margin. Now, I think the point that we made is we made certain assumptions in terms of ethanol, the growing market premiumization, as well as strengths of IGL. So, I would imagine that there is no reason for us to believe that we should be able to maintain these margins and in for the effort that we put in mix, we will try and improve it.

Pragyam Laddha: Okay, sir. Thank you. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Sir, firstly, if we look at our number in the segment part, the BSPC segment performance has been muted a little bit. So, if you could just give us some understanding on the factors that has led to the revenue going down, and how should this segment shape up in the coming years, what are our preparations? So, some color on the same.

Rupark Sarswat: Saket, thank you, and thank you for your nice, kind words. So, first of all, it'll be slightly

incorrect to say that the performance has been muted. I think top-line growth has been muted.

Saket Kapoor: Yes, sir.

Rupark Sarswat: Right. Whereas, we've seen growth in absolute EBIT, as well as EBIT margin. Now since we have not discussed EBITDA separately, our actual EBITDA performance is much better. Now there is some need for streamlining of certain cost etcetera, which will also result in that.

Yes, we lost some top-line essentially because of loss of some markets like glycol ethers, okay.

And also some top-line loss in gases. Now, the reason why we saw some drop in sales of businesses like glycol ethers is that we had a much lower cost material available from China, for example, and some of the other variants, which are like propylene or butylene-based glycol ethers, which gathered some of our market.

Now some of our degrowth actually also came from the EO offtake by the joint venture. And one of the challenges here was a large delta between Reliance and our EO price. Right now, to a large extent that has been adjusted, and we believe that the huge delta that we saw for a period

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of one-and-a-half-two years, hopefully in my opinion, maybe a thing of the past and we should see much better competitiveness on that front as well.

We've seen good growth in terms of glycols, we've seen excellent growth in terms of performance chemicals, which in terms of value itself is up 40%, and contribution is up 40+%.

And we are hoping, that I'm not projecting, but we are hoping for in excess of doubling this business this year and maybe continue, if we continue to do our projects well, continue to maintain that momentum for years to come.

In gases, the reason we saw a top-line decline was that in the year before, we saw extremely high argon prices, and argon is something, which is very volatile. There was a shortage in India, partly because of steel plants, partly because of increased consumption and putting up of electronics plants, etcetera and so that also led to some top-line decline in gases.

And some of our smaller business, which we were selling as EO to some of our customers here, which wasn't particularly high margin, again, for the reasons of competitiveness with Reliance, we could not do last year.

So going forward, in what we see based on the

actions that we are taking, we may be a little here

and there in terms of timeline, our quality of business will continue to improve, our width of portfolio will continue to improve. The people that we are engaging which are good end customers, that will continue to improve. And for the year at least, we see that we should have improved profitability and also top-line growth.

And beyond that, we are working on quite a number of projects, Saket, some of them, which you are aware of, and I will state them as we start materializing, which have a huge upside potential as well. And I'll leave it as saying that it is potential, because we need to make them happen.

But since you asked me as to what the future of the Chemicals business is, I am kind of cautiously optimistic for the immediate term or rather optimistic, but I'm bullish based on the actions that we are taking that this business will continue to and will, and as we get in a little more focus on this business, you'll find that this business actually shows up better than what it may be getting seen right now.

Saket Kapoor: Turning to then the NSU segment, I think so that will add to your growth because some capex was done and we were doing some commercial pilot plants also, and some sales had also happened earlier last quarter, on which you had discussed earlier, but where are we in terms of that?

And secondly sir, currently are all our plants running at optimum level, because generally we also see that a revenue decline is attributable to maintenance or a shutdown, so are things at optimum level?

Rupark Sarswat: No, see, as I said, we saw the value decline in glycol ethers, we saw a value decline in gases, and we saw a value decline in terms of the ethylene oxide that we sell to the JV.

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Now the shutdown does directly impact the ethylene oxide that we sell to the JV, because for 15-20 days, there is no EO supply to the JV, right. On most of the sales that we book under sales to the JV is actually ethylene oxide, which is completely stopped during the shutdown. So yes, that's a contributing factor as well.

Saket Kapoor: Okay. And, but sir, still then, with the shutdown, our JV's contribution to the profitability was significantly higher on a Q-on-Q basis. So, do we have any one-off or what has led to the jump to INR13 crores, however on the annual basis numbers are flat INR46.42 crores versus INR46.40 crores. How should the performance of the JV shaping up? And sir, as per I think to the JV, we have 51%-49% ratio share. So, going ahead, how are we going to monetize as per the terms if you could just give some more color?

Rupark Sarswat: Saket, you always come up with difficult questions for me, but I will try and answer. So, it's like this. The JV's performance is not only reflected by how many EO they buy from us. And direct EO supply in a particular month is not a reflection on the total turnover of the JV for the year, neither is their profitability.

Now the JV, if you look at the JV performance and by and large, JV performance has improved by improvement in mix and also improvement in certain imported traded materials that they get from Clariant. And when we get back, or when we plow back the profits from the joint venture, it is a sum total of all of that.

Yes, going forward, if the ethoxylates-based volumes also pick up for the JV, and we don't have a shutdown, we expect that the EO based volumes will also contribute to growth and they will contribute to the growth in my opinion. So, Saket, my only request to you is that please don't judge the JV's profitability just because the EO offtake is slightly lower.

Saket Kapoor: Okay. So, sir, in normal terms, regarding the profitability of INR12 to INR13 crores that we have achieved, and the specific factors that led to these figures, can this level of performance be sustained? Furthermore, sir, what is o

ur current thought process regarding the JV monetization exercise? Specifically, when do we intend to exit? Namaskar sir.

Anand Singhal: Look, Saket, to be very frank, the fourth quarter, the JV 49%, which we have taken into consolidated results, that will continue. So this year, which you are seeing that INR46.42 crores share of net profit from the JV, I think that will improve drastically.

And as I have already told that in '28-'29, we are going to sell out 24% more equity as per the agreement. So, depending upon the agreement and whatever, that will give us a very handsome amount, which will again be utilized for the payment of the term loan and making this company debt-free. So, in '28-'29, I'm hopeful that the Chemical business will be totally debt-free.

Saket Kapoor: Right, sir. Very good to hear that. And sir, firstly, the finance cost number is one-off I think, so the, the lowest number posted by the company. So, the finance team headed by you have done very good job. I think so, sir, can we maintain this run rate, our numbers have come in at 26-27 this quarter primarily due to the promoter infusion that took place, and going ahead, what should we be fencing in, in terms of finance cost going ahead?

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Anand Singhal: Look, Saket, I have covered in the beginning itself that we have prepaid INR800 crores. And the promoter funding was only INR467 crores. So, INR333 crores has been funded from the internal approval. So, whatever you are saying that run rate will continue and will continue to reduce our interest cost in the years to come. Although, there is a normal repayment of the term loan also, but we will continue to pre-pay some of the high-cost debt. So, you'll see those numbers in first quarter and onwards in the FY '26-'27.

Saket Kapoor: So, these are consistent numbers. And what is the current maturity, sir, and how much of our loan will we repay this year?

Anand Singhal: This year we have a normal liability of say about INR268 crores, which in liquor, it is INR168 crores, and INR100 crores in Chemical.

Anand Singhal: Both we will pay, and apart from this, we will try to make some of the prepayments.

Saket Kapoor: Okay, sir. And two points on the RM part, sir. How are currently the grain prices for our bioethanol segment shaping up, the availability of the same? And if I remember correctly, sir, earlier when we had this shutdown and all, we had also realized some sale of silver also because of some catalyst change, if I remember twice or thrice, we have done that. How has that benefited us, sir, in terms of our reportable numbers for this quarter?

Anand Singhal: I will cover the silver, and grain will be covered by CEO sir. So silver sale during the shutdown was INR98 crores we got out of the silver sale. While the purchase price of this silver was INR51 crores. And since we have not provided the consumption of the catalyst, which we are doing every month, so basically there is no profit on the silver. So that's why that has not been shown in the books only.

Rupark Sarswat: Yes. So, Saket, as I mentioned earlier, there is adequate stock of grain. And the grain prices have been stable, and if I may just state to you, in the middle of last year, grain prices were running close to INR24 a kilo. And then in the last quarter of last year, they were running close to between INR21 and INR22 or, INR21 plus minus.

And the good thing was that the DDGS started to fetch a better price. My opinion is, it is because there is greater acceptability of this protein source in the world. And also, you see a distinct shift in terms of the feedstocks, which are being used to produce ethanol. If you go back to say 2019-2020, out of 173, in terms of ethanol, C-heavy molasses and B-heavy molasses were contributing to 43% and 39%, respectively and sugarcane 9%, and damaged only 9%. So, grain were contributing only

about 9% of the total 100% of ethanol production.

Now come to '25-'26, grain is contributing 5% plus 22%, 27% plus 46%, which is close to 70-plus-percent, 73% of ethanol production is coming from grain. There also a very interesting shift has happened. So, what was initially largely being serviced by damaged food grain and FCI rice, and it was zero in '19-'20, 46% is being covered by maize.

So, I think there is a part of the policy initiative by the government realizing that we need to diversify in terms of the feedstocks for ethanol production. There is also increasingly maize

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being used. We believe that there would be several things being done on this front. First of all, it's a hardier crop, which can be grown in many parts of the country, even in somewhat dryer climatic zones.

And also there is ample scope for improving the productivity of grain. I do not know, it will be speculative, but one of the things, which could cause a significant jump in maize productivity, for example, which makes the US quite an efficient producer of ethanol is introduction of genetically modified maize specifically for ethanol. Now I am not making this as a projection, these are some of the things, which may in going forward significantly improve the productivity and efficiency of Bio-Fuel production in India.

Saket Kapoor: Right, sir. If I may just add one more point and join the queue is about the Ennature Biopharma. So that segment also the profitability has improved, and also in your presentation, sir, the outlook is mentioned that the segment is expected to perform well in future on account of good customer addition, volume growth, and price realization.

So if you could just throw some more color, and when will this segment achieve, sir, earlier when we used to post a higher EBITDA profitability, I think the environment has changed significantly in our product profile. How is this segment going to perform?

Akshay Bansal: So, Saket, this is Akshay here. So, basically, the division was originally dependent on one of the products, which has the highs and downs of the price in terms of the total contribution to the net margin, and as well as the top-line.

But as a company, what we have done in last three years, we have diversified the business. So, more focus has come to the highly growing market in nutraceutical, which is basically the branded nutraceutical segment. And we have invested very significantly on some of the clinicals, for the highly growing indications of women's health and some other indications. So already we have completed some of the studies in last one year and there are a couple of more studies, which are ongoing and that is likely to be completed by this financial year.

And then we have a target focus on multi-geography presence in terms of right now we already have a strong presence in Asia Pacific, but we are also trying to get hold of US market, which is one of the biggest markets. And then we also have opened our office very recently for us to have that trajectory and momentum in US.

So, this is broadly in terms of Ennature Biopharma, we are on the right trajectory. We are investing in higher growth component both in terms of our manufacturing capability, and also the customer acquisition in various market, and so we'll continue to remain in that.

Saket Kapoor: Only on the profitability front, can you give some more color, how will the profitability shape, I think so last time, because of some products and some new plants were also commissioned, because of which the realizations were down and so were the profits. So, our key product, I'm unable to spell it, Thio some, key product of nicotine and all, wherein one of your competitor also came up with a new unit, and that has put pressure on the realization. So how will that product profile shape up?

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Akshay Bansal: See so for us, the nicotine business, as we are diversifying into more of a value-added customers, we are trying to add couple of customers, which are long-term. So, broadly, if you look at where

we started this business, we had some of the customers, which are from the commodity side, but again they are volume-based driven customers and that has given a good top-line.

But strategically we have taken a very strategic shift in last three years for us to shift to more value-added customers to sustain for the long-term growth and to contribute on the profitability.

So, this is broadly in terms of nicotine, I mean, I would say, the business right now is in the focus, but in terms of the EBITDA improvement, we may not see the significant improvement in this financial year, but definitely the investment and the growth and the customer acquisition what we're doing right now is going to contribute towards more of EBITDA and the profitability of the particular this Ennature Biopharma segment.

Saket Kapoor: Yes. Thank you for all the answer and thanks to the Board also for the interim dividend that has already been paid to the investors, and that too on the higher side. So, thank you for looking after the minority shareholders. Thank you.

Moderator: Thank you. We'll take the next question from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Yes. Sir, on the debt profile side, is there any plan for further reduction in the coming year?

Right now it's around INR25- INR26 crores kind of per quarter on the interest cost side. Whether this rate will continue in the coming quarter, and what is the average borrowing cost right now, sir? If you could possibly share that debt break-up in all three segments.

Anand Singhal: I have already given this answer that we are rather in the process of reducing the debt. There is a liability of INR268 crores for the year '26-'27 which we will pay. Apart from this year, as per the cash flow, we will target the prepayment. As such, there is nothing has been written in the paper how much we will pay. And the second thing what you are saying that INR25-INR26 crores per quarter, that we will reduce. And if you want the debt profile, I will give you the debt profile of all these three units, which is in process and I will share with you.

Balasubramanian: Okay, sir. So, my second question on the scheme of arrangement is submitted by NCLT. I think the hearing is expected, 21st of May. Is there any expected timeline for the completion of demerger?

Anand Singhal: 21st May, we are hopeful that we will get the order for the demerger of the division. And another hope is that in first 10 days of the June we will get the order. So, once we get the order, we will start working for filing that in ROC and the other matters, which is related.

Balasubramanian: Okay. Got it, sir. Thank you.

Moderator: Thank you. We'll take the next question from the line of Varun Mehta from Wealth Link Investment. Please go ahead.

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Varun Mehta: Sir, I just have question on the balance sheet side. Basically, this year we have done around about INR830 crores of capital expenditure. And that also in last six months it is gone from about INR600 crores in last six months. Can you just throw some light on it, sir? Where have we invested this money?

Anand Singhal: Actually, there are two distilleries largely, which are the main capital expenditure. One is the grain distillery in Gorakhpur, and one is the grain distillery in Kashipur. So, basically, out of whatever amount you are saying, about INR400 crores is out of these two distilleries capitalization. And apart from this, we have some more capex's, which is not a major amount and that has been completed. So, this is what is the amount, which we have spent on the capex.

Varun Mehta: Okay. And sir, s

econdly on the debt side, we have repaid around INR800 crores, but net debt from last year is only down by INR220 crores. So, will our interest cost remain at INR45 crores or it will go slightly higher?

Anand Singhal: No, our interest cost will be remaining in about INR25 crores range. Actually, you are not able to see the reduction, because we have reduced our cash credit limits. So, some of the amount, which has been repaid against the long-term loan that is visible. But the amount, which we have paid out of the cash credit limit, that is not visible.

Varun Mehta: Okay. All right, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Akash Gupta, an Individual Investor. Please go ahead.

Akash Gupta: Good evening, sir. I hope I'm audible. First question I have on Potable Spirit segment. So, I think you answered this in the beginning of the call as some other participant asked. I missed that, if you could just repeat what percentage of our total revenue of Potable Spirit comes from IMFL, and within this what percentage will be Amrut?

Manish Pant: Okay, Amrut. So, Akash, the total freight revenue percentage, whatever we have declared, it is around 31% of the total Potable section, and Amrut share is likely to be around 5% to 6% out of it.

Akash Gupta: Okay. 31% you said, right?

Manish Pant: Yes.

Akash Gupta: If I remember correctly, last year it was around mid-teens, 16%, 17%. So, are we saying that our IMFL has doubled?

Manish Pant: So, I think, Akash this has been already answered by our CEO that, we are now shifting from our regular segment to the premium segment. So, the revenue percentage is increasing in the IMFL, and we are aspiring to shift more percentage by introducing more premium brands in future.

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Akash Gupta: Yes, the bottling that we do for Bacardi, I think that directly flows into our margin for Potable segment. So, excluding that, what is our margin on Potable Spirit, EBITDA margin?

Manish Pant: So this Bacardi business, it is for their low-proof and the high-proof brands. The major portion belongs to the low-proof brands, like Breezer and all. So we are only charging, the filling cost from them, and though this directly gives the revenue to us in liquor segment, but it comes under the miscellaneous income segment, not in the sales revenue.

Akash Gupta: Right. So, excluding that, what will be our margin for Potable Spirit segment?

Manish Pant: So, I don't think that this would be a very greater percentage in this. This could be hardly 2% or 3% of the total Potable revenue.

Rupark Sarswat: My suggestion is, Akash, if you can send an email, and we can revert with more precise details in terms of break-up, etcetera. If required, have a separate discussion later.

Akash Gupta: Sure, sir. Sure. I'll do that. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Rupark sir for closing comments. Thank you and over to you, sir.

Rupark Sarswat: Yes. Let me thank you all on behalf of my colleagues here for turning up for this conference and also giving us your time and a lot of interest in our business.

But on that note, all of you have a good evening, good day, and we look forward to seeing you again. Thank you for your time. Thank you very much.

Moderator: Thank you. Thank you, members of the management. On behalf of InCred Equities, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Thank you.

(This document has been edited for readability purposes.)

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